

FDI Qualities Review of Viet Nam

Powering the Next Growth Phase



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POWERING THE NEXT GROWTH PHASE

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Foreword

This *FDI Qualities Review of Viet Nam* examines how foreign direct investment (FDI) can power Viet Nam's next growth phase by boosting technology adoption, digital transformation, workforce skills, quality jobs, opportunities for women and the transition to a greener economy. FDI is a cornerstone of Viet Nam's economic transformation, helping expand exports, build industries and create jobs. As the country enters a new stage of development, maintaining strong growth will depend less on the volume of investment and more on its quality – how much it increases productivity, transfers knowledge, supports Vietnamese firms and benefits workers. The report reviews how current investment policies work in practice, how different government agencies co-ordinate and how progress is tracked. It identifies reforms to attract investors that innovate, train local workers and partner with domestic suppliers – helping Vietnamese businesses move up the value chain and ensuring that investment delivers broader benefits across the economy.

The FDI Qualities Review of Viet Nam is part of the broader OECD – Viet Nam Action Plan 2022-2027. The work has been carried out in close partnership with the Foreign Investment Agency of the Ministry of Finance and supported by an interministerial working group to ensure a whole-of-government approach. The Review was discussed in the OECD Investment Committee on 6 November 2025 in presence of a high-level delegation from the Foreign Investment Agency. The report reflects insights from extensive stakeholder consultations involving government officials, foreign government representatives, development partners, the private sector, civil society organisations, and think tanks.

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Executive summary

Over the past four decades, Viet Nam has achieved a remarkable economic transformation. Since the *Doi Moi* reforms of 1986, it has shifted from a centrally planned agrarian economy to an export-oriented manufacturing hub integrated into global production networks. With inflows among the largest in Southeast Asia, foreign direct investment (FDI) has been central to this progress: GDP per capita has risen steadily, productivity growth has ranked among the highest in ASEAN, and trade now equals nearly 200% of GDP – making Viet Nam one of the world’s most open economies. Amid recent supply chain disruptions, the government has set ambitious goals: advancing toward high-income status by 2045, accelerating digital transformation, and achieving net-zero emissions by 2050. To power this next growth phase, Viet Nam seeks not only more FDI, but higher-quality investment that deepens local value creation, technology transfer, skills, inclusion, and sustainability.

Powering Viet Nam’s next growth phase through foreign direct investment

Viet Nam’s sustained economic progress has been underpinned by openness to trade and investment. Joining the WTO in 2007 and concluding a wide network of free trade agreements accelerated export growth and strengthened the country’s position in global supply chains. Regulatory reforms have progressively liberalised the investment regime, and FDI inflows have remained resilient even as global flows declined. Legislative initiatives in 2025 – including amendments to the Law on Investment and landmark resolutions promoting innovation, private sector development, and digital transformation – demonstrated strong political commitment to structural reform.

Despite significant progress, barriers persist in knowledge-intensive services, regulatory procedures remain uneven across provinces, and co-ordination challenges limit the effectiveness of investment, innovation, skills, and green policies. Viet Nam also faces structural pressures: informality remains widespread, R&D expenditure is modest, digital adoption gaps persist, and climate risks are significant in a fossil fuel – intensive energy system.

Foreign multinational enterprises have played an outsized role in Viet Nam’s development. Although foreign firms represented less than 3% of formal enterprises between 2006 and 2023, they generated 27% of total revenues, 34% of wages and 29% formal employment, and accounted for 78% of manufacturing revenues and over 90% of manufacturing employment in 2023. They employed four out of 10 women, consistent with their concentration in export-oriented manufacturing that draws heavily on female labour.

Yet the prevailing FDI model – centred on assembly-based, low value-added manufacturing – has reached its limits as a driver of productivity growth. While foreign firms outperform domestic peers within most sectors, they were on average about 18% less productive in aggregate in 2023 due to their heavy concentration in lower value-added activities, despite paying wages 21% higher. Foreign firms also rely significantly on imported inputs: about 60% of their inputs are sourced locally, and 21% of those come from other foreign firms rather than Vietnamese SMEs. Greenfield FDI in R&D remains modest, representing 2% of capital expenditure in 2020-2024, compared to 3.7% in OECD Member countries. At the same time, the sectoral composition of FDI is shifting rapidly, with roughly half of greenfield FDI in 2020-2025 directed to green or digital sectors, signalling an opportunity to upgrade the growth model – provided that policies better align investment with skills, innovation, inclusion, and sustainability objectives.

From quantity to quality investment: Key reform priorities

To unlock the next generation of FDI benefits, Viet Nam needs to strengthen policy coherence, modernise regulatory frameworks, rebalance incentives toward productivity-enhancing investment, and enhance investment promotion and facilitation. This report identifies four priority reform areas:

- **Strengthen policy coherence through clearer mandates and improved alignment of investment-related strategies.** Viet Nam has established a strong strategic foundation linking FDI to productivity, skills, inclusion and green growth, but overlapping frameworks and limited co-ordination may reduce their effectiveness. Enhancing coherence across investment, innovation, skills and green policies, while translating strategic objectives into actionable measures with clear institutional responsibilities, could support more consistent implementation. Clarifying various national bodies' roles between regulatory (state management) and investment promotion functions, alongside stronger inter-ministerial co-ordination and structured dialogue with the private sector, may further improve efficiency, reduce duplication, and better align FDI with national priorities.
- **Modernise regulatory frameworks to enable quality investment.** While Viet Nam has made significant progress in liberalising its investment regime, restrictions in knowledge- and digital-intensive services, as well as regulatory complexity, may constrain technology transfer and upgrading. Further easing barriers in high-skill sectors, alongside stronger enforcement of intellectual property rights and clearer digital regulations on data localisation, cybersecurity and cross-border data flows, could enhance investor confidence and innovation. Continued labour market reforms, including stronger collective bargaining, reduced informality and facilitated entry of skilled foreign workers, would help maximise FDI benefits, while integrating gender considerations can support inclusiveness. Strengthening environmental governance, including earlier and more robust impact assessments, improved renewable energy frameworks and more cost-reflective pricing, would better mobilise private investment in line with green growth ambitions.
- **Tailor financial and technical support to strengthen linkages between MNEs and SMEs.** Viet Nam has relied on generous income-based CIT incentives, which may entail significant fiscal costs while delivering limited productivity gains. Recent reforms, including the Investment Support Fund, signal a shift toward more targeted support, but uptake is constrained by administrative complexity. Gradually moving toward expenditure-based incentives, such as support for R&D, workforce training and green technologies, could better align FDI with national upgrading objectives. At the same time, enhancing transparency and coordination of SME support and supplier development programmes would help extend benefits beyond major industrial hubs. In parallel, reinforcing labour market information systems and skills anticipation mechanisms, with input from MNEs, would support better alignment of training with emerging needs in AI and green sectors.
- **Promote quality FDI through targeted and data-informed approaches.** Viet Nam is positioning FDI as a driver of digital transformation, green growth and broader socio-economic goals, in line with Politburo's Resolution No. 50-NQ/TW of August 2019, but implementation is at early stages. Strengthening a value driven, data informed approach to promote sectors such as semiconductors, renewable energy, digital services including 5G, cloud computing and e-commerce, and higher value-added manufacturing, could increase spillovers. Reinforcing investor targeting, aftercare and coordination between the Foreign Investment Agency and relevant national and subnational institutions would support this shift. Streamlining procedures through digital one stop platforms and consistent provincial practices, alongside stronger monitoring and FDI impact assessment systems, developed with the National Statistical Office, would improve policy effectiveness.

1 Key assessment and recommendations

Foreign direct investment has been central to Viet Nam's remarkable economic transformation. Since the 1980s, FDI has increased substantially, supporting industrialisation, integration in global value chains, and employment. Challenges remain in ensuring that FDI benefits are broadly shared across the economy and society. Amid recent trade tensions, the next phase of Viet Nam's FDI strategy will need to focus on attracting multinationals that deepen local value creation and technology transfer. Cross-cutting reforms are needed to raise productivity, support innovation, and develop the workforce to enable successful green and digital transitions.

Priority recommendations

Strengthen governance and co-ordination through clearer mandates and cross-ministerial taskforces

- **Strengthen strategic policy coherence and inter-ministerial co-ordination.** Establish formal co-ordination mechanisms across ministries involved in investment, innovation, and SME policy to reduce duplication and ensure coherent implementation. Clear division of responsibilities, backed by shared monitoring frameworks, would help align FDI attraction with Viet Nam's productivity, digital, and green goals.
- **Consider the potential benefits of further clarifying the separation between regulatory (state management) and promotion functions within the investment framework.** This may consist of retaining policy oversight in the Ministry of Finance while strengthening the autonomy and investor orientation of the investment promotion agency, supported by an appropriate supervisory board, thereby helping Viet Nam align with international practices.

Modernise regulatory frameworks, easing restrictions in high-skill services, enforcing IPR, strengthening labour rights, and improving environmental standards

- **Consider easing FDI and product market barriers in sectors that advance productive and inclusive growth.** Foreign ownership limits and licensing constraints in high-value sectors such as telecommunications, finance, and digital services can impede innovation-driven investment that creates quality jobs, including for women and outside of urban hubs. A targeted reform roadmap would signal Viet Nam's commitment to an open, competitive economy.
- **Strengthen implementation of Intellectual Property Rights and digital regulations.** Enhance enforcement capacity and institutional co-ordination for intellectual property protection to foster technology transfer and innovation. Streamline and clarify rules governing data localisation, cybersecurity, and digital services to reduce compliance burdens for investors.
- **Deepen labour, skill, and gender reforms to sustain the employment benefits of FDI.** Continue strengthening collective bargaining rights, reducing informality, and improving enforcement of labour standards to ensure FDI contributes to decent work. Integrate FDI trends in skills anticipation systems to help align training with enterprise needs, particularly in digital, semiconductor, and green sectors. Integrate gender considerations into investment and labour policies to promote women's leadership and participation in high-value industries.
- **Strengthen green investment regulations to meet net-zero ambitions.** Accelerate and enhance the implementation of environmental impact assessments and improve transparency in renewable energy licensing. Introduce predictable and competitive green investment frameworks, including renewable auctions and improved risk allocation in power purchase agreements.
- **Strengthen the implementation and awareness of responsible business conduct (RBC) policies.** Build on the National Action Plan for Law and Policy Improvement to Promote Responsible Business Practices to align Viet Nam's framework with international standards. This can be done by raising awareness among firms and policymakers, integrating RBC principles into public procurement and SOE operations, and strengthening enforcement. Improved environmental disclosure, stricter penalties for violations, and full implementation of the revised Labour Code would reinforce accountability and sustainable business practices.

Rebalance incentives and support, shifting from income- to expenditure-based incentives for R&D, skills, and green innovation

- **Align incentives with productivity, skills, innovation and inclusion goals.** Shift from income-based to expenditure-based tax incentives to encourage R&D, training, and green investments, while considering phasing-out benefits in high-polluting sectors. Improve transparency of incentives to support greater take-up and conduct regular evaluations to ensure tax incentives deliver measurable outcomes.
- **Strengthen technical support to build linkages and align skills, gender, and green capabilities with investment.** Co-design supplier development programmes with MNEs and expand advisory services to help Vietnamese firms meet international standards. Promote partnerships between foreign firms, universities, and training bodies to ensure skills development programmes meet industry needs.

Enhance investment promotion and transparency, focusing on high-quality FDI and reducing information asymmetries through digital disclosure tools

- **Strengthen investment promotion to align with Viet Nam's strategic goals.** Adopt a data-driven approach to target investors with high spillover potential and enhance FIA's capacity for proactive promotion and investor targeting. Promoting expansion to existing investors in higher-value-added activities such as R&D can be cost-effective.
- **Streamline investment facilitation to improve the investor experience.** Consider developing a fully integrated one-stop digital portal that allows for online applications, payment, and tracking, supported by responsive FIA aftercare services. Consistent procedures across provinces would reduce administrative barriers and improve transparency. Joining the WTO initiative on Investment Facilitation can signal commitment to the facilitation actions undertaken.
- **Enhance accountability, data, and co-ordination to align FDI with national priorities.** Introduce a comprehensive monitoring and evaluation framework with clear KPIs on FDI's contribution to development outcomes. Strengthen data sharing among the National Statistical Office, ministries and subnational agencies to enable evidence-based policymaking.

1.1. Powering Viet Nam's next growth phase: challenges and opportunities

Viet Nam was one of the countries with the lowest income levels in the world in 1985. The *Doi Moi* reforms of 1986 laid the foundation for rapid growth, reducing the dominance of the public sector and transforming Viet Nam from a closed, centrally planned agrarian economy to a major exporter. At the centre of this transformation lies foreign direct investment (FDI), which has supported industrialisation, generated millions of jobs, and integrated Viet Nam into global value chains (GVCs) (OECD, 2018^[1]; OECD, 2025^[2]). FDI has therefore become a key enabler of Viet Nam's long-term development targets. High ambitions for the future include a double-digit growth for 2026-2030, with the aim of reaching high-income status by 2045, while transitioning to net-zero and a digital economy. These goals require faster productivity gains and adequate skill basis for FDI to power Viet Nam's next growth phase that benefits all Vietnamese.

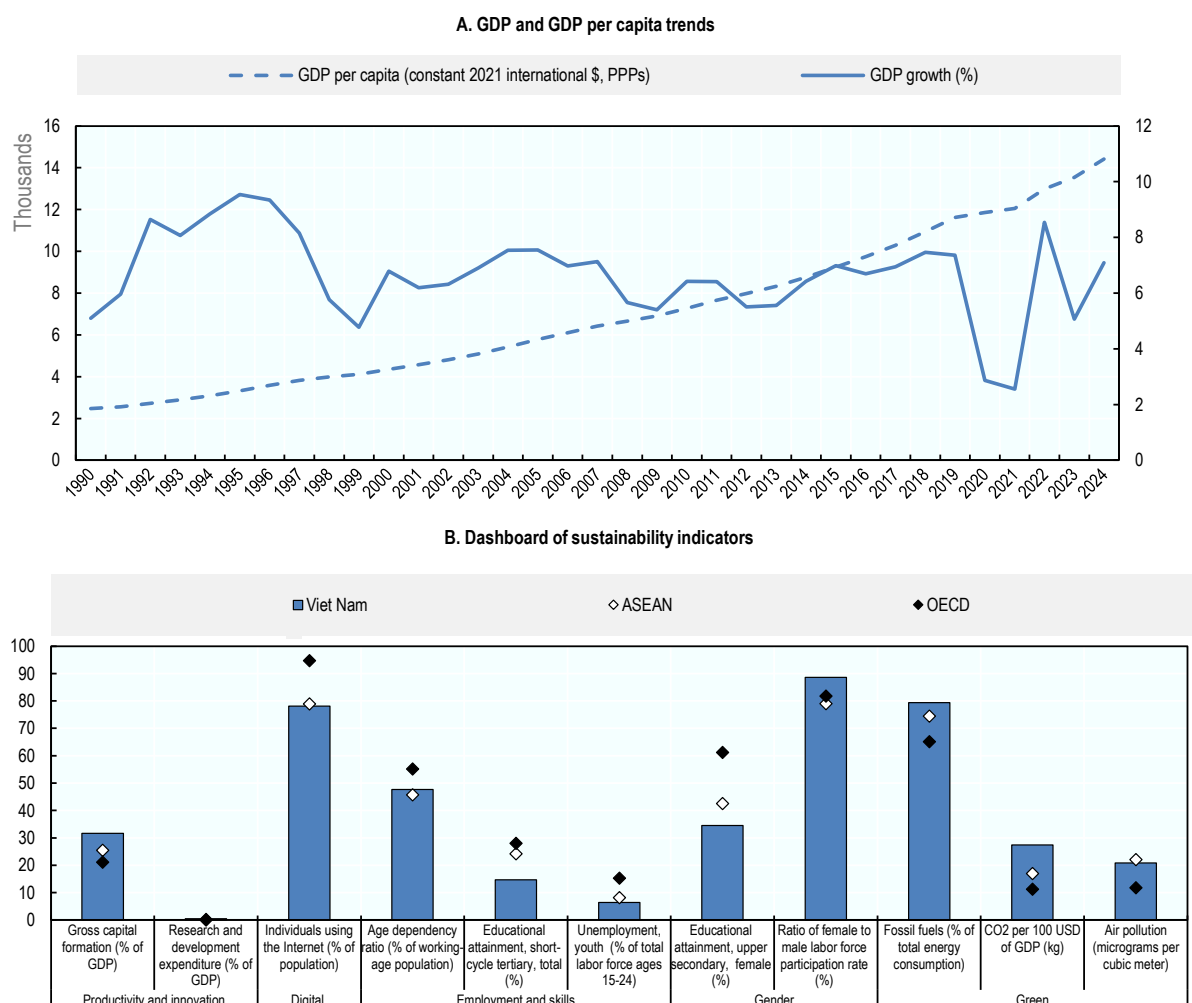
1.1.1. Sustained economic progress will require new drivers of productivity

In the last three decades, Viet Nam has experienced remarkable economic progress, its GDP per capita has increased steadily, supported by rapid output growth. Although annual GDP growth has been volatile, with marked slowdowns during the Asian Financial Crisis, the Global Financial Crisis, and the COVID-19 pandemic, each downturn was followed by a strong rebound (Figure 1.1, Panel A). The

sharp contraction in 2020-2021 and recovery in 2022 highlights Viet Nam's resilience and capacity to adapt, underpinned by an export-oriented model and increasing integration into global value chains (GVCs). Productivity growth averaged 4.5% annually between 2000 and 2023 among the highest in ASEAN countries (OECD, 2025^[2]). Looking ahead, several past sources of growth – such as high labour utilisation – are expected to diminish, underscoring the need for new drivers of productivity.

Viet Nam's rapid economic expansion has delivered large benefits to a broad share of the population. A middle class is emerging, income inequality has declined, and extreme poverty has been almost eradicated. Despite low unemployment and comparatively high female participation, informality remains pervasive (Figure 1.1, Panel B), with two-thirds of workers lacking access to social protection benefits. Recent reforms to enhance access to pensions and health care will help address this gap and should be implemented. Further reducing the tax burden on labour income would also support formalisation and help mitigate the pervasive effects of informality on wages and career pathways (OECD, 2025^[2]). In addition, educational attainment at the upper secondary and short-cycle tertiary levels is still limited, particularly for women, and few informal workers have qualifications with recognised certification, which could constrain the development of a highly skilled workforce (Figure 1.1, Panel B).

Figure 1.1. Economic performance and sustainability indicators in Viet Nam



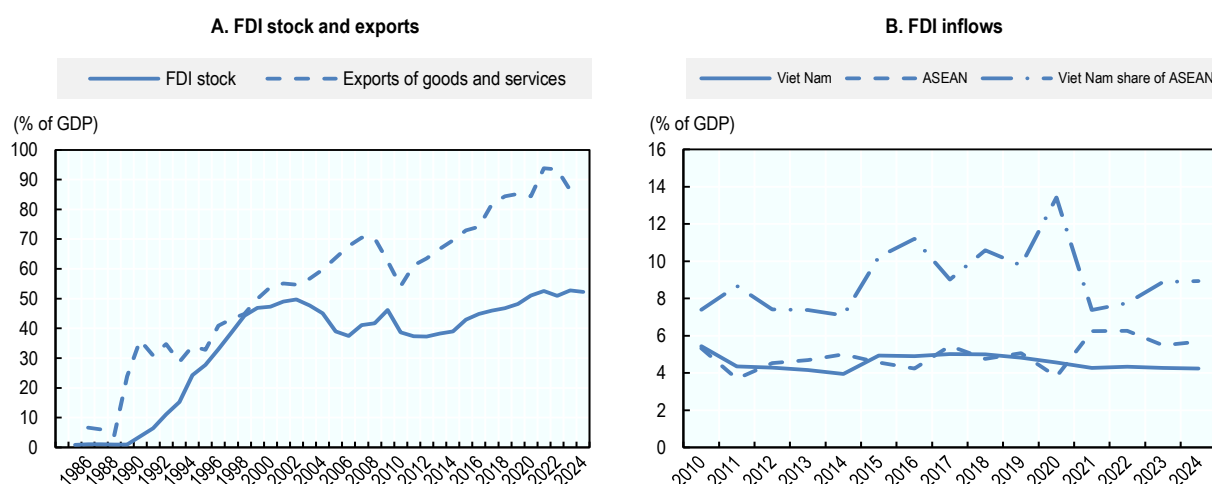
Note: Most indicators refer to 2023 and 2024. For some series, the most recent available data are from earlier years between 2020 and 2022.
Source: OECD based on the World Bank's World Development Indicators.

Viet Nam is highly exposed to the effects of climate change while challenges related to the digital transformation persist. The population is exposed to risks of flooding, heat waves, and extreme weather events. Ambitious climate mitigation policies have been introduced, including incentives for solar and wind power, and a commitment to net zero carbon emissions by 2050 (OECD, 2025^[2]). Viet Nam's energy sector is predominantly fossil-fuelled, carbon intensity and poor air quality are high compared to the average for ASEAN and OECD countries (Figure 1.1, Panel B). Digital challenges persist, as internet adoption remains limited, albeit comparable to other ASEAN economies, highlighting the need to strengthen digital access.

1.1.2. Viet Nam has made impressive strides towards a more open investment regime

Openness to trade and investment, including joining the World Trade Organization in 2007, has been central to Viet Nam's success (OECD, 2018^[1]). Foreign investment has helped to drive this growth, pushing the trade-to-GDP ratio to almost 200%, one of the highest in the world. The steady rise of FDI stock has gone hand in hand with rapid export expansion, underscoring the role of foreign investment in Viet Nam's integration into GVCs (Figure 1.2, Panel A). Viet Nam has been able to sustain high inflows of FDI over the past decade at a time when global FDI flows have fallen relative to GDP (Figure 1.2, Panel B). Cumulative inflows of FDI from 2010 to 2024 place Viet Nam in third place in Southeast Asia, ahead of Thailand and Malaysia. Although FDI inflows as share of GDP are stagnating, they are still at high levels compared to the rest of the world, and Viet Nam has been capturing an increased share of the FDI going to ASEAN, except in recent years (Figure 1.2, Panel B).

Figure 1.2. Along with exports, Viet Nam sustained high inflows of FDI including in recent years

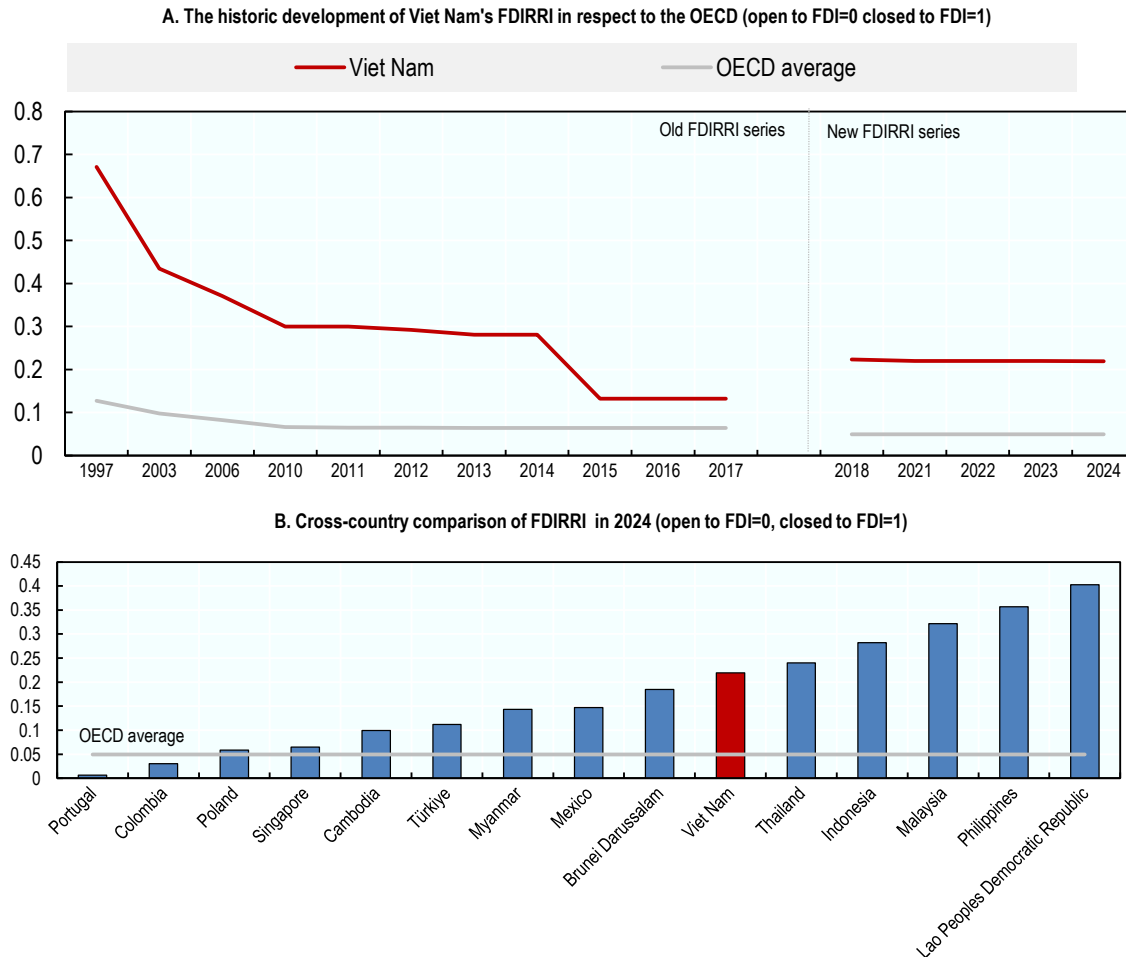


Source: OECD based on World Bank and UNCTAD statistics (Panel A) and World Bank and Asean Statistics (Panel B).

The search for supply chain resilience and increased margins have encouraged MNEs to diversify manufacturing away from China. Viet Nam's geographic proximity, competitive labour costs, expanding network of free trade agreements, and improving infrastructure have made it one of the primary destinations for these relocations, particularly in electronics, machinery, and consumer goods. However, this reallocation also reveals structural challenges: investment remains concentrated in assembly and lower value-added segments of GVCs, limiting the scope for domestic spillovers and technology transfer. Furthermore, this shift faces headwinds with the recent U.S. tariffs on Vietnamese exports, raising the risk that some export-driven FDI will become less attractive unless firms embed more value creation locally.

Viet Nam owes its success to ambitious and incremental reforms over decades that contrasts positively with other countries at a similar level of development. Viet Nam initially had separate laws for foreign and domestic investment, as in many other countries, but these were merged in 2005 and subsequently modified to improve transparency and openness of the investment regime (OECD, 2018^[1]). Viet Nam has matched these domestic reforms with an equally ambitious international agenda that includes ASEAN-wide agreements, the Regional Comprehensive Economic Partnership, the Comprehensive and Progressive Trans-Pacific Partnership and a Free Trade Agreement with the European Union. The extent and timing of these reforms and international engagements are reflected in the remarkable evolution of Viet Nam from a closed economy before the 1986 market reforms to a gradually open economy (Figure 1.3). Barriers to FDI are still higher than in OECD countries, with restrictions in knowledge-intensive services such as telecommunications and finance, where opportunities for technology transfer are high.

Figure 1.3. Viet Nam's FDI Regulatory Restrictiveness Index in comparison to ASEAN and OECD



Note: The FDIRRI captures FDI restrictions across four policy categories: i) foreign equity limits; ii) screening and approval of foreign investment; iii) restrictions on key foreign personnel; and iv) other operational restrictions. Caution is needed when interpreting the trend before and after 2018 due to the adjustments in methodology, which adjusted sectoral weights to correct for the overrepresentation of smaller sectors, such as fisheries, electricity, media, but in turn give more prominence to larger sectors like real estate in the new scoring framework.

Source: OECD FDI Regulatory Restrictiveness Index 2023; and the former OECD FDI Regulatory Restrictiveness Index 1997-2020 (archived).

While regulatory barriers to FDI are lower than in most ASEAN member countries, foreign investors in Viet Nam face high barriers to competition. According to OECD Product Market Regulation (PMR) indicators, “distortions induced by state involvement” are high (OECD, 2025^[2]). State-Owned Enterprises account for one-third of GDP and are prevalent in network sectors. Increasing their efficiency and levelling the playing field with the private sector will help improve the overall climate for domestic and foreign companies (OECD, 2023^[3]). Other barriers include complex and time-consuming administrative procedures, a lack of regulatory transparency, and inconsistent application of rules across provinces. Foreign investors often face difficulties accessing clear and timely information on investment procedures, licenses, and legal requirements. Strengthening investment facilitation remains key to improving the investment climate and levelling the playing field for foreign investors. Joining the WTO initiative on Investment Facilitation could signal Viet Nam’s commitment to facilitation actions it is already undertaking.

In December 2025, Viet Nam adopted a new Law on Investment to further simplify the business environment by narrowing the scope of projects requiring prior approval and encouraging investment in priority areas such as high technology, digital sectors, and innovation-led activities. The law introduces a key procedural reform allowing foreign investors to establish an entity before obtaining a registration certificate, shortening establishment timelines and lowering entry barriers. It also simplifies outbound investment procedures, reflecting a stronger commitment to transparency, openness, and competitiveness in the investment regime. Full impact of the reform will depend on effective implementation, including timely secondary regulations, strong administrative capacity, and transparent decision-making. Ensuring coherence with sectoral policies and incentive frameworks will be key to translating these procedural improvements into stronger technology transfer and value creation.

Beyond the new investment law, Viet Nam enacted major reforms and comprehensive set of landmark resolutions aimed at elevating the private sector, fostering innovation, and accelerating digital and green transformation (Table 1.1). Politburo’s Resolution 68-NQ/TW of May 2025 redefined the private sector as the leading driver of growth, setting ambitious targets for enterprise creation, productivity growth, and integration into GVCs. The National Assembly passed Resolution 198/2025/QH15, introducing new incentives – especially for startups, R&D, and innovative SMEs – while the Government of Viet Nam’s Resolution 139/NQ-CP of May 2025 operationalised these reforms by streamlining administrative procedures and supporting green finance. Complementing these, Politburo’s Resolution 57-NQ/TW of December 2024 foregrounded science, technology, and digital transformation as national priorities with clear R&D, human capital, and digital economy goals. Together, these reforms articulate a coherent policy framework and unified strategy to unleash private-sector dynamism, including through foreign investment, foster technological innovation, and embed digital transformation in Viet Nam’s economic development.

Table 1.1. A new policy framework to power Viet Nam's private sector transformation

Resolution	Key objectives	Role of FDI (if indicated)
Resolution 57-NQ/TW of the Politburo	Prioritise science, tech, innovation, R&D investment, digital economy growth	Signals FDI that supports high-tech, digital transformation is encouraged
Resolution 59-NQ/TW of the Politburo	Shift to proactive GVC engagement and align domestic regulations with international standards	Enhance competitiveness through high-quality FDI and FTAs
Resolution 66-NQ/TW of the Politburo	Build transparent legal framework, eliminate overlapping regulations, and improve legal accountability across government	
Resolution 68-NQ/TW of the Politburo	Elevate private sector as core growth engine; set goals for number of firms, GDP share, productivity	Encourages FDI by signaling long-term commitment to a competitive private ecosystem
Resolution 139-NQ-CP of the Government of Viet Nam	Implement policies from Res. 198; streamline business, support green finance, reduce procedures	Simplifies the operating environment for FDI, including green and innovation projects
Resolution 198/2025/QH15 of the National Assembly	Offer tax exemptions for startups and R&D; support SMEs and innovation	Enhances FDI incentives via tax breaks and support for innovative, high-value firms

Source: OECD based on various government sources.

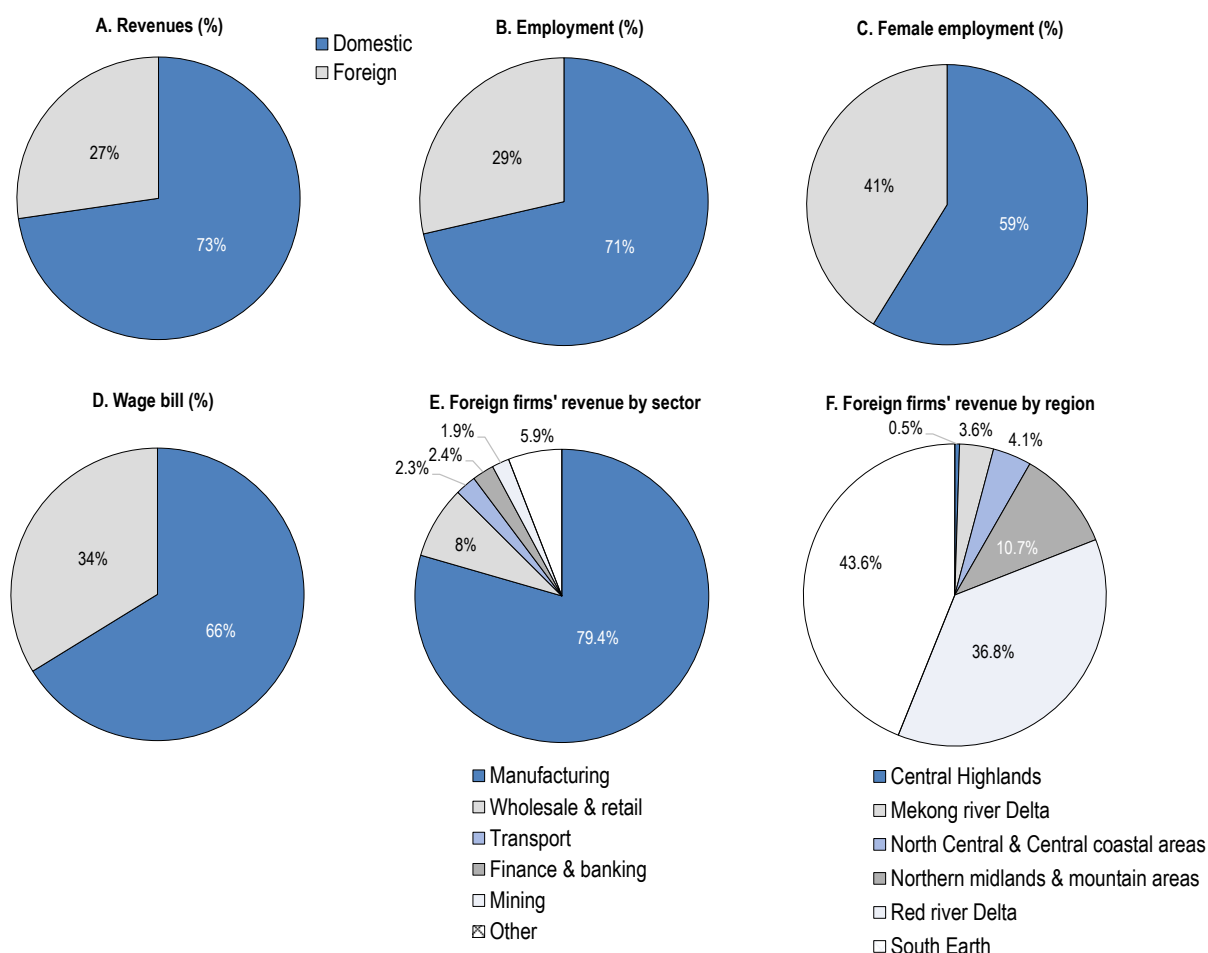
1.2. The contribution of FDI to Viet Nam's development: Achievements and limits

Realising Viet Nam's ambitious economic goals requires not just attracting foreign investment but ensuring that it generates positive spillovers in areas such as productivity, innovation, skills, gender equality, and environmental sustainability (OECD, 2022^[4]). Foreign companies have accelerated industrialisation, poverty reduction and job creation. At the same time, challenges remain in ensuring that FDI supports productivity enhancements and that benefits are broadly shared across the Vietnamese economy and society. Amid recent tariff hikes that risk discouraging export-oriented MNEs, the next phase of Viet Nam's FDI strategy will need to focus on attracting MNEs that deepen local value creation and technology transfer.

1.2.1. Foreign firms' characteristics in Viet Nam: Rapid wage and labour growth, modest revenue gains

Foreign firms play an outsized role in Viet Nam's economy, and significantly more than in other countries. They represented less than 3% of all formal companies – both public and private – between 2006 and 2023, yet generated around 30% of the revenues, wages, and formal employment (Figure 1.4, Panel A, B, D). This partly owes to their average size of around 250 employees – 10 to 15 times larger than Vietnamese firms' size. Foreign firms' contribution to female employment is especially pronounced, hiring around four out of ten women, consistent with their concentration in export-oriented, labour-intensive manufacturing that draws heavily on female labour (Panel C and E) (OECD, 2022^[4]). Their footprint on services is limited, generating only 20% of foreign firms' revenues. Regionally, only 20% of foreign activity is outside the two major urban hubs of the Red River Delta (Ha Noi) and the Southeast (Ho Chi Minh City) (Panel F). In OECD countries, foreign firms accounted for 21% of private sector employment.

Figure 1.4. Key characteristics of foreign firms in Viet Nam (2006-2023)



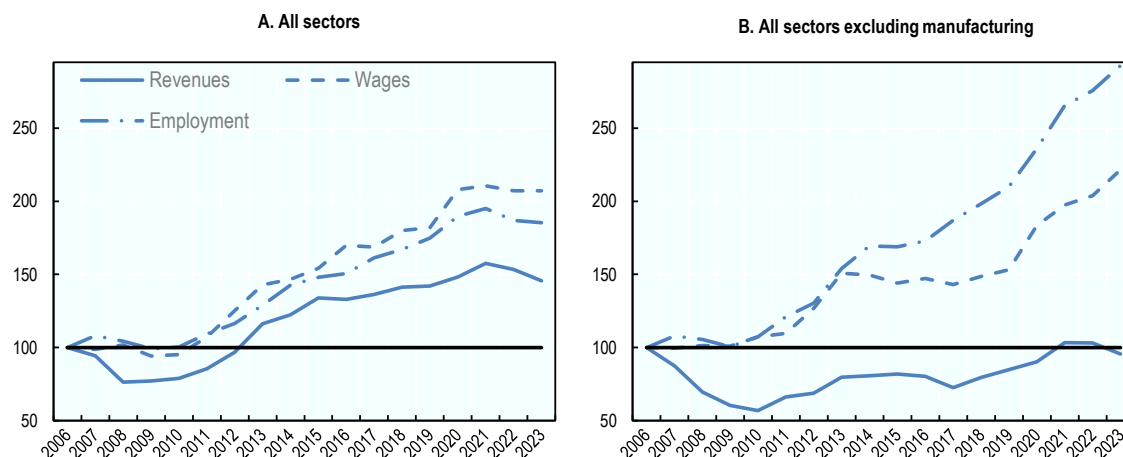
Note: Domestic firms include State owned enterprise (over 50% state owned capital), non-state enterprise (private, limited Co., joint stock Co.), and co-operatives. Revenues, employment, female employment, the wage bill are aggregated over 2006 and 2023.

Source: OECD based on latest available year from the National Statistics Office (NSO) enterprise data.

The footprint of foreign firms in Viet Nam expanded significantly, albeit unevenly across various economic dimensions, over the past two decades. Wages and employment grew faster in foreign relative to Vietnamese firms, but revenues rose more modestly, pointing to rising labour costs and thin-margin revenues (Figure 1.5, Panel A). Although they remain low among ASEAN peers, real wages grew strongly among foreign manufacturers, which employed nine out of 10 workers in a foreign firm in 2023 (Table 1.2) (OECD, 2025^[2]). In services, foreign firms' relative revenues barely grew, while employment and especially wages rose sharply, reinforcing the picture of foreign activity being driven more by labour and wage dynamics than by revenue gains (Figure 1.5, Panel B). The foreign-to-domestic wage ratios climbed steeply compared to revenues in ICT, professional services, finance, and education.

Figure 1.5. Foreign activity grew faster, but disproportionately in labour-intensive dimensions

Foreign-domestic ratios of revenues, wages, and employment (2006=100)



Note: variables were calculated as the ratio of foreign to domestic firms' totals for revenues, wages, and employment. Each ratio was then normalised to its 2006 value (2006=100) to show relative growth over time.

Source: OECD based on latest available year from the National Statistics Office (NSO) enterprise data.

Table 1.2. Foreign firms are disproportionately important to Viet Nam's manufacturing sector

Manufacturing in percent of total, by ownership, 2023

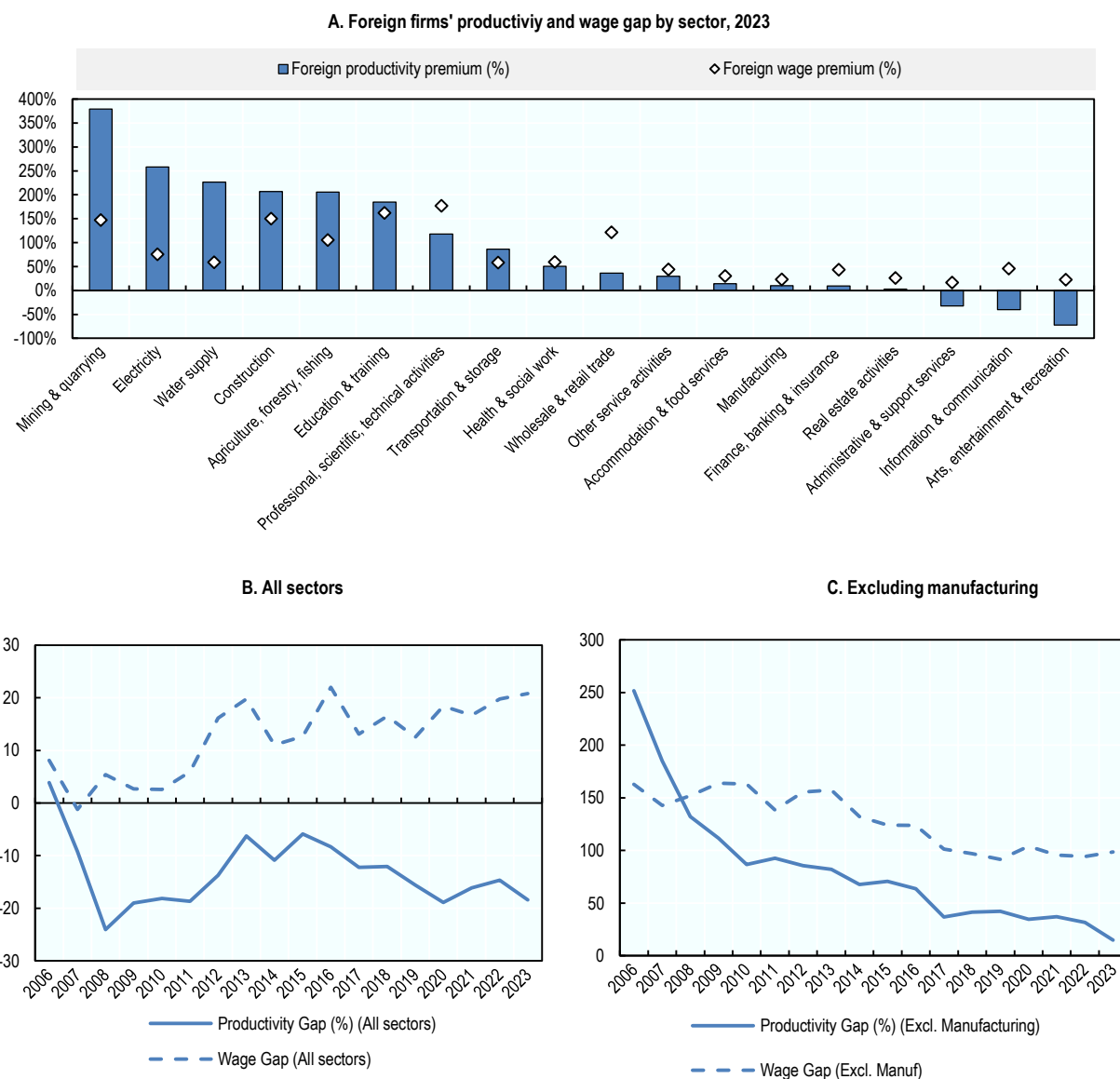
Firm ownership	Revenues (%)	Wages (%)	Employment (%)	Female employment (%)
Domestic	19.3	25.4	30.2	35.1
Foreign	78.5	79.7	89.7	88.9

Source: OECD based on latest available year from the National Statistics Office (NSO) enterprise data.

1.2.2. Thin-margin FDI is no longer enough to fuel the next productivity boom

Viet Nam's FDI model, centred on low value-added manufacturing exports, may have reached its limits in sustaining incomes and productivity. Foreign firms have consistently outperformed Vietnamese peers within most sectors in terms of revenues per worker and wages (Figure 1.6, Panel A). In mining, energy, utilities, and construction, the productivity gap is large, reflecting capital-intensive operations, while the wage gap is smaller, suggesting limited wage pass-through.¹ Foreign firms' productivity advantage also translates into higher wages in labour- or skill-intensive sectors such as education, professional, scientific, and technical activities, retail, finance, and manufacturing. Nonetheless, heavy concentration in lower-productivity, lower-wage assembly industries drag down foreign firms' aggregate performance. In 2023, they were on average about 18% less productive than domestic firms, while paying wages around 21% higher (Figure 1.6, Panel B). The wage gap is modest compared to other countries, however, and job quality remains constrained by limited training, long working hours, and high informality in supply chains.

Figure 1.6. Foreign firms perform strongly but their concentration in manufacturing drags down their edge



Note: Labour productivity is calculated as revenues divided by total employment.

Source: OECD based on latest available year from the National Statistics Office (NSO) enterprise data.

The negative labour productivity foreign-domestic gap emerges not because foreign firms underperform in manufacturing – they are slightly more productive in this sector – but due to their under-representation in more productive sectors where Vietnamese firms prevail. Excluding manufacturing, foreign firms were 15% more productive and paid nearly twice as much in wages in 2023 (Figure 1.6, Panel C). This aggregate performance by foreign firms highlights a *composition challenge* (the distribution of FDI across sectors), not necessarily *efficiency weaknesses*. It does not imply their performance is weaker in the same sector – foreign firms outperform Vietnamese peers in nearly all sectors. Calculated performance gaps, based on firm-level data produced by Viet Nam’s National Statistics Office, could also suffer from data limitations. Informal employment in Vietnamese firms may be potentially higher and, in turn, their aggregate labour productivity lower. Other sources such as the World Bank Enterprise Survey suggest that foreign firms are, on aggregate, three times more productive than Vietnamese firms (see Chapter 2).

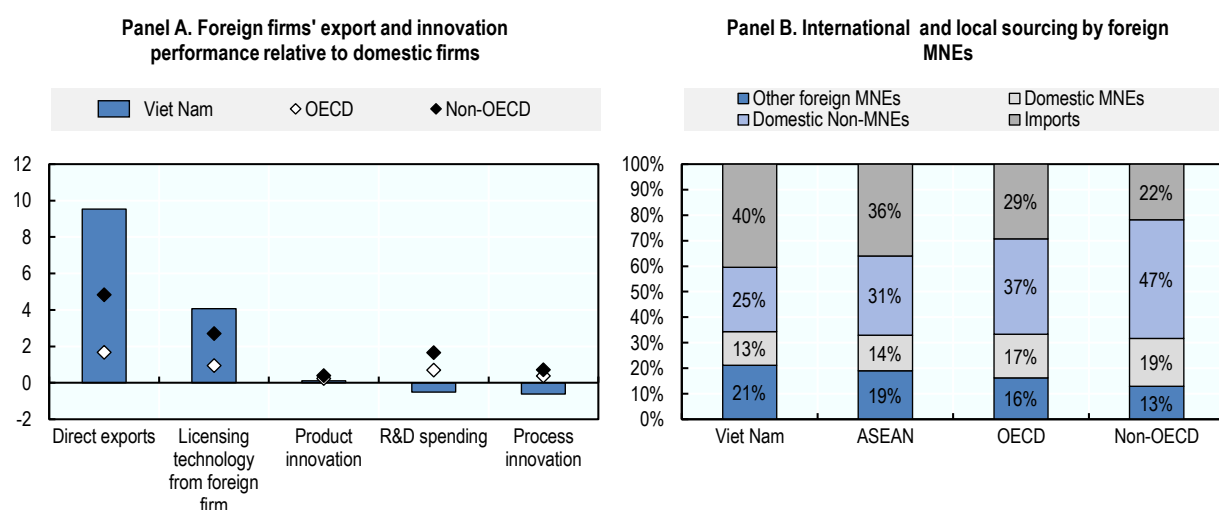
Foreign firms’ higher wage performance relative to productivity reflects both structure and behaviour. They are concentrated in activities with high labour costs relative to revenues, unlike capital-intensive, domestic-dominated sectors (utilities, extractives) where wages are a smaller fraction of revenues. Consequently, the aggregate labour share is pushed up for foreign firms. Their heavy reliance on imported inputs – many foreign exporters import foreign components – further inflates revenues without adding much local value, while the entire wage bill is recorded in Viet Nam. However, even within the same sectors, foreign firms tend to have higher labour costs, due to higher shares of formal employment, social insurance, and compliance with international buyers (Figure 1.6, Panel A) (OECD, 2022^[4]). These pressures have increased over time, alongside successive minimum wage hikes and strengthened labour standards.

Viet Nam’s specialisation pattern has persisted as FDI has continued to flow disproportionately into labour-intensive export industries over the past two decades, locking in a model that delivers jobs but creates little value-added. Similar experiences in Tunisia – or Malaysia and Thailand in earlier development stages – show that while FDI-led manufacturing exports drive growth and jobs, including for women, limited local value-added constrains productivity gains (OECD, 2024^[5]). For Viet Nam, this underscores the urgency of upgrading – and implementing – FDI-related strategies towards higher-value-added manufacturing, services, and innovation. Viet Nam’s comprehensive private sector resolutions in 2025 to foster innovation are an important step in that direction. This includes the ICT sector, where foreign firms pay higher wages, potentially employing more skilled labour, but generate lower revenues per employee.

1.2.3. Foreign firms’ limited R&D and high import reliance constrain technology transfer

Foreign firms are technologically more advanced and innovative than Vietnamese firms, but export-led manufacturing FDI has offered limited opportunities for knowledge spillovers and technology transfers (Figure 1.7, Panel A). The share of high-tech exports in total manufacturing exports (44%) was more than twice the OECD average (21%) in 2023. This reflects the strong role of foreign firms in the electronics sector; these firms accounted for around 93% of the sector’s total output (Trinh et al., 2026^[6]). However, foreigners strongly rely on imported inputs for assembly-based manufacturing, instead of involving Vietnamese SMEs in global supplier networks. Local sourcing was highest in agrifood and financial services but, overall, accounted for just 60% of total input use by foreign firms in 2016-2020, among which 21% was from other foreign firms, a higher share than in other countries (Figure 1.7, Panel B).

Figure 1.7. Foreign firms in Viet Nam invest little in R&D and rely heavily on imported inputs



Source: Panel A: World Bank Enterprise Survey (Viet Nam: 2023); Panel B: OECD Analytical Activity of MNEs Database (AAMNE), 2019.

Vietnamese SMEs struggle to meet international standards and face financing constraints to upgrade their capabilities (OECD, 2025^[2]). Support mechanisms – such as the SME Development Fund and the National Technology Innovation Fund – provide assistance to upgrade suppliers' capabilities, but fall short from closing the skill gap and creating strong linkages between foreign and domestic firms. While Thailand and Malaysia have developed targeted supplier development programmes that facilitate co-production and technology partnerships, supplier linkages in Viet Nam are concentrated in low-value input provision. This is due to the lack of uptake of financial support, limited co-ordination between financial and technical assistance as well as concentration of support in industrial hubs, leaving SMEs in lagging provinces with few opportunities to connect with foreign investors. Provincial investment promotion agencies and SME assistance centres are central actors, but limited co-ordination with national agencies often results in duplicated procedures and weak connections between MNEs and local firms.

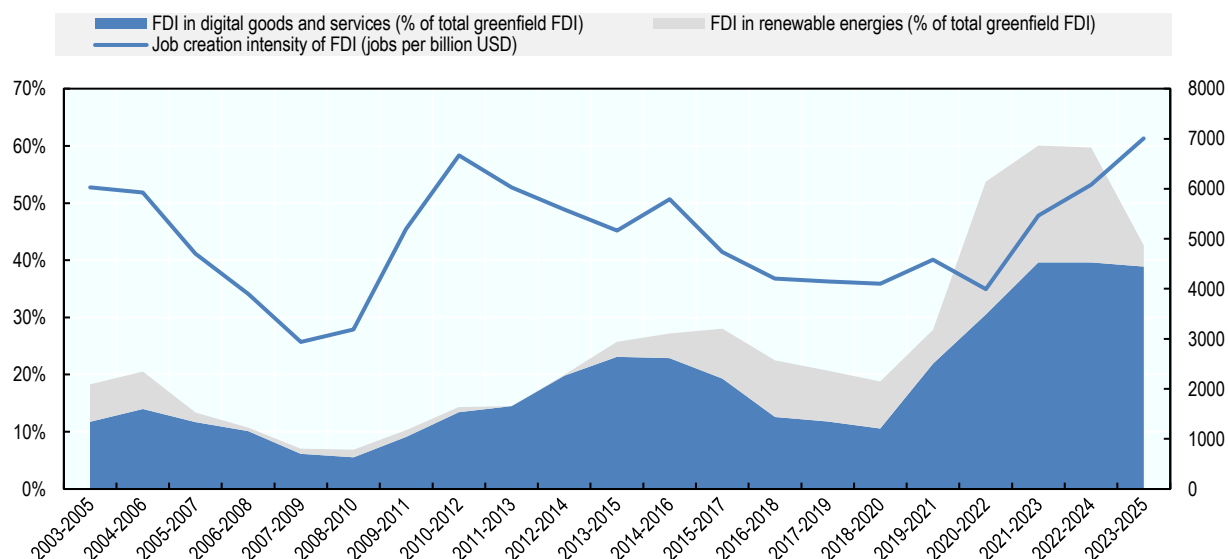
The limited performance of Vietnamese SMEs is not the only barrier to FDI technology transfer. Foreign firms in Viet Nam spend relatively little on R&D, unlike their peers in other countries (Figure 1.7 Panel A), due to their concentration in assembly-based manufacturing. Greenfield FDI in R&D increased over the past two decades but remains at just 1.9% of capital expenditure over 2020-2024 relative to 3.7% in the OECD and 2.5% in ASEAN. It was highest in healthcare, industrial equipment, software and IT services, and semiconductors. Overall, public spending on R&D remains low at 0.4% of GDP compared to 1.2% in Thailand and 4.9% in Korea, leaving few opportunities for deeper innovation spillovers. Weak, albeit improving, enforcement of intellectual property rights further discourages foreign firms from sharing technology. At the same time, the institutional framework for investment and innovation is fragmented: the Ministry of Finance (MoF), the Ministry of Science and Technology, and the Ministry of Industry and Trade – and their respective implementing agencies – all shape policy in this area, but co-ordination is weak.

1.2.4. Viet Nam's green and digital transition is an opportunity to better reap the benefits of FDI

Investment has become instrumental in advancing Viet Nam's green and digital transformation goals, offering an opportunity to re-think how it can better serve broader productivity and innovation goals. Half of greenfield FDI between 2020 and 2025 was in digital or green sectors – with a peak of 90% of all investments in 2022, twice more than over 2015-2019 (Figure 1.8). Along with this rapid

industry restructuring, the same amount of FDI that Viet Nam receives may create fewer jobs in the future as sectors attracting massive investments such as renewables or semi-conductors have moderate job creation intensities. While this shift signals a reallocation of labour to where it is needed, swift policy action, including preparing the workforce to emerging skills in demand, will ensure FDI benefits both people and the planet.

Figure 1.8. Increased green and digital FDI shifts FDI from labour to knowledge intensive projects



Note: variables are expressed as a three-year moving average over 2003-2025. FDI in digital includes digital services (e.g. computer programming activities; data processing and hosting activities; information services activities, etc.); ICT goods (electronics, computer equipment, etc.); electrical components (batteries, electrical equipment, wiring devices, etc.); and telecommunications (wired and wireless telecommunications activities and satellite activities).

Source: OECD based on fDi Markets database and OECD (2025), FDI Qualities Indicators Visualisation Platform. Available at: <https://www.oecd.org/en/data/dashboards/fdi-qualities-indicators-visualisation-platform.html>.

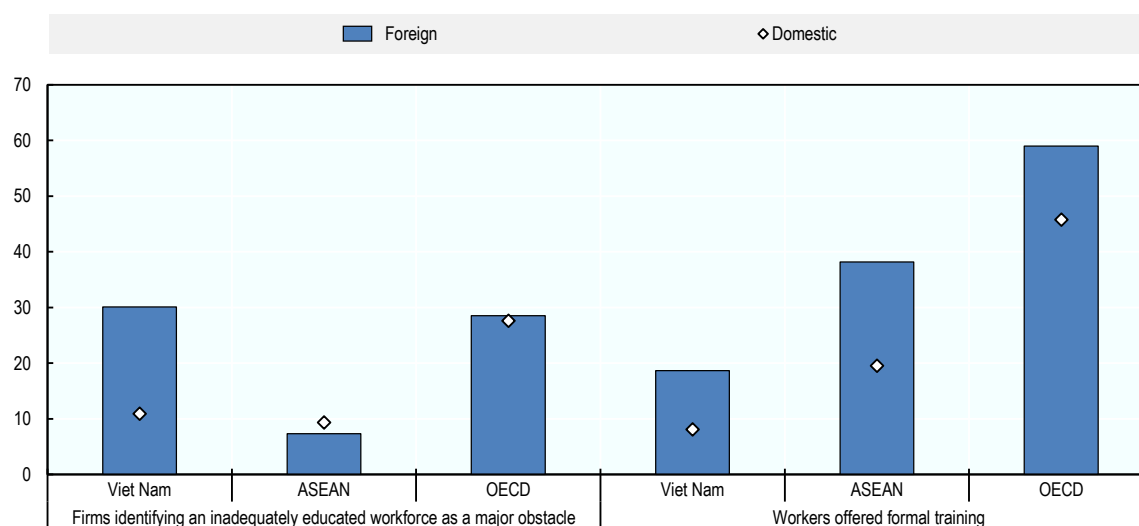
Foreign investors have been central to Viet Nam’s renewable energy surge: solar and wind expanded from under 1% of installed capacity in 2017 to 28% in 2023, largely driven by feed-in-tariff incentives. The share of renewables in greenfield FDI doubled between 2014–18 and 2019–2023 (from 7.6% to 14.7%), though it remains below both fossil fuels (23% in 2019–2023) and the OECD average (24%). Manufacturing, often carbon-intensive, accounts for 60% of total FDI, raising concerns about “carbon lock-in” if investment continues to favour polluting industries. Foreign firms outperform domestic ones on environmental practices – being twice as likely to monitor emissions and adopt energy management systems – yet spillovers are limited by low energy prices, weak financing, and limited awareness among local firms. Meeting Viet Nam’s net-zero 2050 target, which requires up to USD 658 billion in investment, as reaffirmed through recent legislative and regulatory updates, will demand more FDI in renewables, improved environmental standards among domestic firms, and reconsidering incentives for fossil fuel projects. Overlapping green strategies, weak co-ordination, and frequent policy changes in renewable support schemes currently undermine investor confidence. Stronger facilitation, streamlined permitting, and grid upgrades will be essential to attract and retain green FDI.

Digital FDI is rising sharply, playing a leading role in e-commerce, digital payments, and software services, often introducing cutting-edge practices, yet its contribution is constrained by several structural barriers. Investment remains heavily concentrated in hardware manufacturing, while FDI in telecommunications and digital services – crucial for higher value-added activities – lags behind regional peers due to restrictive market access, ownership caps, and weak competition. Overlapping institutional mandates and limited co-ordination across ministries, alongside regulatory uncertainty in data governance and weak enforcement of intellectual property rights, further undermine policy coherence and discourage technology transfer. At the same time, generous incentive regimes risk being undercut by unclear eligibility rules and weak monitoring, while SME digital adoption remains limited, preventing stronger linkages with foreign investors. Without more open digital services markets, clearer and more predictable regulations, and stronger domestic capabilities, Viet Nam may capture partial benefits from rapidly growing digital FDI.

1.2.5. Reaping the benefits of FDI requires better alignment across investment, skills and gender policies

Leveraging FDI to power Viet Nam’s next growth phase requires adjustments on the labour market. While FDI has contributed significantly to creating jobs, its impact on job quality and skills transfer and development remains limited. The reliance on low-skilled labour has created little incentive for both foreign firms and domestic suppliers to invest in workforce development, while it represents an important channel for knowledge diffusion. Only about 20% of foreign firms provide training – double the share of Vietnamese firms, but still insufficient to meet rising skills needs (Figure 1.9). Viet Nam has untapped potential to attract FDI in high-value, skill-intensive sectors, including digital, financial services, education, and healthcare. Regulatory restrictions on foreign ownership persist in key sectors such as telecommunications and financial services, which holds back the potential of FDI to support job quality and skills development.

Figure 1.9. Skills gaps in foreign firms persist as training falls short of meeting rising skills needs



Source: OECD based on World Bank Enterprise Surveys (Viet Nam: 2023).

While Viet Nam has made progress in integrating labour provisions into trade and investment agreements, updating labour and employment laws, and ratifying ILO conventions, barriers remain to ensuring FDI supports job quality and skills development. Worker organisations – key to giving workers a voice and addressing firm-level issues – have yet to materialise, pending regulatory guidance, and foreign investors still face obstacles in attracting skilled workers and facilitating the entry of foreign talent. Skills shortages in managerial, technical, and language areas are constraining investment in digital and green sectors, including at the technician and TVET level, where shortages are particularly acute for renewable energy, energy efficiency, and green manufacturing activities (GIZ, 2025^[7]). Despite embedding skills development in national strategies, fragmented responsibilities and weak inter-agency co-ordination undermine implementation and labour market information systems. Limited linkages between businesses and educational establishments prevent effective alignment of training programmes with industry needs. Moreover, investment incentives remain tied largely to job creation rather than upgrading skills, with income-based tax breaks creating fiscal costs but limited impact on workforce capabilities, and transparency gaps reducing business take-up.

Viet Nam has one of the highest female labour participation rates in the world, and FDI has created significant employment opportunities for women, particularly in manufacturing and electronics. Foreign firms account for nearly half of women's formal employment and tend to hire more women than domestic firms in most sectors. Yet, women remain underrepresented in leadership roles, with foreign firms half as likely to have a female top manager compared to domestic ones. Wages are also skewed: foreign firms pay much higher wages in male-dominated sectors like construction and mining, but the premium is smaller in sectors with higher female representation, such as garments. Geographic concentration of FDI in urban centres further limits opportunities for women in rural areas, while adding social costs to those who migrate to benefit from urban employment.

Despite a strong legal framework and high-level commitment to gender equality, barriers persist to translating FDI into more inclusive opportunities. Gender considerations are only partially integrated into investment and digital strategies, and co-ordination between investment and gender equality bodies is weak. Incentive schemes tied to gender equality are complex, limiting their reach, and non-compliance with gender equality provisions remains an issue. Social norms and disproportionate care responsibilities also continue to influence women's education and career paths, keeping them underrepresented in knowledge-intensive and high-tech sectors. While Viet Nam's trade agreements with the European Union and CPTPP contain gender provisions, these lack enforceability, underscoring the need for clearer and binding measures that align FDI attraction with women's economic empowerment.

1.3. From quantity to quality FDI: A policy agenda

FDI has decisively contributed to Viet Nam's development agenda, but the depth and inclusiveness of this contribution is limited by weak technology transfer and SME linkages, uneven skills upgrading, persistent gender gaps, and the dominance of low value-added and carbon-intensive activities. Institutional fragmentation, regulatory barriers in high-value sectors, reliance on income-based incentives, and insufficient investment facilitation further constrain FDI's potential to deliver broad-based benefits. Leveraging recent landmark reforms (Table 1.1) and international experience offers an opportunity to build a more coherent policy framework, aligned with national priorities, to ensure that the next generation of FDI supports productivity, inclusiveness, and sustainability. This section summarises reform opportunities assessed in Chapters 2 to 6 to improve the institutional, regulatory, financial, and investment promotion framework for FDI based on the OECD FDI Qualities Recommendation and Policy Toolkit (Box 1.1).

Box 1.1. Policy principles of the OECD Council Recommendation on FDI Qualities

The Recommendation on FDI Qualities is structured around the following key high-level policy principles/directions, drawn from the FDI Qualities Policy Toolkit:

1. **Governance:** Provide coherent strategic direction on fostering investment in support of sustainable development, and foster policy continuity and effective implementation of such policies.
2. **Domestic policy and legal frameworks:** Take steps to ensure that domestic policy and legal frameworks support positive impacts of investment on sustainable development.
3. **Financial and technical support:** Prioritise sustainable development objectives when providing financial and technical support to stimulate investment.
4. **Information and facilitation services:** Facilitate and promote investment for sustainable development opportunities by addressing information failures and administrative barriers.
5. **Development co-operation:** Strengthen the role of development co-operation for mobilising FDI and enhancing its positive impact in developing countries.

The FDI Qualities Policy Toolkit is also structured along these policy principles and provides detailed guidance to governments on enhancing the contribution of FDI to economic development. The Recommendation builds on other standards developed by the OECD in the area of international investment, including the Declaration on International Investment and Multinational Enterprises.

Source: OECD (2022^[4]), *FDI Qualities Policy Toolkit*, OECD Publishing, Paris, <https://doi.org/10.1787/7ba74100-en>.

1.3.1. Strengthen governance and co-ordination through clearer mandates and cross-ministerial taskforces

Improve strategic policy coherence and inter-ministerial co-ordination

Viet Nam has developed a wide range of strategies that recognise the role of FDI in driving productivity, skills, gender equality, and green growth. These include the Strategy for Investment Cooperation (2021-2030), the National Innovation Strategy, the Climate Change Strategy (2022), the National Strategy on Gender Equality (2021-2030), and the Education Strategy set in Politburo's Resolution 71-NQ/TW of 2025. However, these strategies often overlap and lack integration, leading to fragmented implementation. Institutions at both national and provincial levels play overlapping roles: the Foreign Investment Agency (FIA) under the MOF is tasked with investment promotion across all sectors. MoF's National Innovation Centre (NIC) promotes innovation ecosystems and partnerships with MNEs. The Ministry of Home Affairs (MOHA) leads on labour and skills policy – the Ministry of Education and Training on Vocational and Higher Education, while the Ministry of Agriculture and Environment (MOAE) drives environmental policy. Provincial investment promotion agencies and SME assistance centres play a direct role in investment facilitation and supplier upgrading.

Viet Nam's policy framework for investment in support of productivity, SME development, digital transformation, skills, gender equality, and green growth would benefit from stronger strategic alignment. Recent national strategies and visions have created a strong foundation, but their objectives need to be translated into concrete and actionable measures with clear institutional responsibilities. Strategies should be aligned on simplifying the regulatory framework, targeting knowledge-intensive FDI, integrating MNEs into the innovation ecosystem, and strengthening SME capacity to benefit from their presence. Skills development features across multiple national strategies but require strong co-ordination mechanisms to avoid fragmented efforts, while mainstreaming gender equality across investment, digital,

and green strategies would ensure inclusiveness. Likewise, Viet Nam's multiple green investment strategies should be streamlined into a coherent framework that sets out clear priorities and policy measures to mobilise private investment for green growth.

Achieving strategic alignment requires robust co-ordination mechanisms at both national and provincial levels. Clearer division of mandates and better resourcing of agencies are essential, supported by regular monitoring and evaluation. In the digital economy – and related Resolutions of the Politburo 57-NQ/TW and 68-NQ/TW and the Digital Economy Strategy – this means consolidating overlapping functions, creating working groups that bring together investment and innovation agencies, and publishing annual action plans with transparent reviews. In skills development, formal co-ordination between investment bodies, labour authorities, and education providers – alongside input from business associations and trade unions – would help align workforce planning with enterprise needs. Strengthening links between MoF and MoHA would allow gender considerations to be systematically integrated into investment policies, while structured public–private dialogue in green sectors would improve regulatory design and investor confidence. These mechanisms would reinforce policy coherence, reduce duplication, and ensure that FDI supports productivity, inclusiveness, and sustainability.

Further clarify the separation between regulatory (state management) and investment promotion functions

As Viet Nam enters a new phase of FDI attraction – prioritising quality, sustainability, and high technology – its investment promotion and facilitation framework should evolve accordingly. The FIA, under MoF, combines multiple roles: policy design, regulatory oversight, data management, investment promotion, and outward investment support. While current arrangements have supported strong FDI performance, international experience suggests that clearer functional differentiation between regulatory and promotional activities can enhance efficiency, accountability and investor confidence. The skills and cultures required for regulation differ from those needed for promotion. Regulation – or state management functions – demands legal and compliance expertise, while promotion requires investor care, business development, and international marketing. When both functions sit in one agency, conflicts of interest can arise, accountability is blurred, and investor trust is undermined, as the same body charged with promoting investment is also empowered to restrict it. The establishment of the NIC in 2019 has complemented the investment framework by supporting the attraction of technology-oriented FDI, particularly in semiconductors and artificial intelligence, while FIA continues to perform its regulatory and policy functions.

International experience suggests that separating regulatory and investment promotion functions can be effective. In most OECD countries, regulatory duties are within ministries, while promotion is delegated to specialised agencies with clear, non-duplicative mandates (OECD, 2018^[8]). ASEAN peers such as Singapore's EDB, Thailand's BOI, and Malaysia's MIDA demonstrate how autonomous, well-resourced promotion agencies can become trusted partners for investors (OECD, 2023^[9]). For Viet Nam, policymaking and regulatory oversight could remain in the MoF, while a dedicated investment promotion agency focuses exclusively on marketing the country, facilitating projects, and delivering investor services, reporting either to the MoF Minister or the Prime Minister.

In OECD economies, more than two-thirds of IPAs have supervisory or advisory boards that bring together senior representatives from key ministries alongside private sector actors (OECD, 2018^[8]). These boards improve co-ordination across government, align investment promotion with industrial, environmental, and regional priorities, and strengthen accountability. For Viet Nam, establishing such a board would help link investment attraction to broader goals of industrial upgrading, sustainable growth, and regional development. Other countries provide models for addressing investment promotion governance and co-ordination challenges. For example, Ireland's IDA integrates innovation and investment promotion in a single agency, with targeted data collection and evaluation tools. Costa Rica's IPA acts as

a one-stop agency linking FDI attraction with skills training and supplier development. The Netherlands' Invest in Holland Network provides a national–regional co-ordination platform with shared branding and joint investor servicing.

1.3.2. Modernise regulatory frameworks: Easing restrictions in high-skill services, enforcing IPR, strengthening labour rights and improving environmental standards

Consider easing FDI barriers in sectors that advance productive and inclusive growth

Viet Nam has gradually liberalised its investment regime, but important restrictions remain in knowledge- and digital intensive services such as telecommunications and finance. Barriers in these sectors are higher than in peer ASEAN economies. These sectors not only offer high potential for knowledge transfer and skills diffusion but are also female-intensive, creating opportunities for inclusive growth. Easing foreign ownership caps, removing time limits on property ownership, and simplifying commercial presence requirements would strengthen competition, improve the availability of high-quality services, and generate new skill-intensive jobs. At the same time, regulatory processes for investment registration and land use permits remain complex and uneven across provinces, highlighting the need for simplification and greater consistency in implementation.

Strengthen implementation of IPR and digital regulations

Weak IPR enforcement continues to deter technology transfer, even as Viet Nam has expanded its legal framework. Strengthening enforcement – including greater institutional awareness, improved inter-agency co-ordination, and potential institutional reforms to improve IP adjudication – would help effective protection of patents and trademarks, build investor confidence and facilitate knowledge spillovers. In parallel, clarifying rules on data localisation, cybersecurity, and digital services would reduce compliance burdens and legal uncertainty for investors, while ensuring coherence between MoPS, MoST, and Defence agencies. Improved independence of the Telecommunications Authority would further increase regulatory credibility.

Deepen labour and gender reforms to sustain the employment benefits of FDI

Continued labour market reforms are critical to maximising the employment benefits of FDI. Viet Nam has made progress through revisions to the Trade Union and Employment Laws, labour market reforms linked to international agreements (EVFTA, CPTPP), and ratification of ILO conventions, but further efforts are needed to strengthen collective bargaining, reduce informality, and facilitate the entry of skilled foreign workers. Worker voice arrangements and stronger labour rights would improve conditions in MNEs and support collective solutions to emerging challenges. At the same time, persistent gender gaps constrain inclusiveness: women remain underrepresented in management and high-tech sectors despite their strong presence in the financial sector. Integrating gender considerations into ongoing labour law reforms, operationalising labour market information systems (LMIS) – including through big data use – to track disparities, and involving investment bodies (e.g. FIA) in skills and gender policy and LMIS would better align FDI with women's economic empowerment.

Strengthen green investment regulations to meet Viet Nam's net-zero ambitions

The legal and regulatory framework for green investment requires significant strengthening to meet Viet Nam's climate and net-zero ambitions. Environmental impact assessments (EIAs) and public consultations often occur too late – although ongoing reforms may request earlier assessments – in project cycles and lack impartiality, limiting their effectiveness. Improving early-stage assessments, resourcing appraisal committees, and enhancing monitoring post-approval are critical. Energy efficiency policies face similar challenges, with low electricity prices undermining private investment; aligning prices with supply

costs, raising awareness, and providing targeted support would boost uptake. For renewables, improving risk allocation in power purchase agreements (PPAs) through long-term purchase obligations, international arbitration, and clearer compensation rules would enhance project bankability. Finally, accelerating power market liberalisation – by opening retail and wholesale markets to private players and strengthening market contestability through carefully sequenced reforms – would improve competition and attract sustainable FDI in the energy sector. International experience suggests that liberalisation outcomes depend critically on regulatory capacity, transparent market rules and effective system operation, rather than ownership reform alone (World Bank, 2019^[10]).

Improve the implementation and awareness of responsible business conduct policies

Viet Nam has made progress in promoting RBC in recent years, with several laws, policies, and initiatives in the different areas covered by the MNE Guidelines. This includes the adoption of the “National Action Plan for Law and Policy Improvement to Promote Responsible Business Practices in Viet Nam” (2023-2027), which seeks to align the domestic legislative framework with international commitments in areas such as environmental protection, labour standards, and gender equality. Going forward, Viet Nam could consider further advancing RBC by raising awareness among businesses and policymakers, and integrating RBC into public procurement criteria and the operations of state-owned enterprises. Other areas for improvement include strengthening the enforcement of environmental disclosure mechanisms for public and private companies, ensuring implementation of the revised Labour Code, and imposing higher fines and more effective litigation for environmental offenses.

1.3.3. Rebalance incentives and support, shifting from income- to expenditure-based incentives for R&D, skills, and green innovation

Align incentives with productivity, skills, innovation and inclusion goals

Viet Nam offers some of the most generous corporate income tax (CIT) incentives in ASEAN, primarily income-based (CIT exemptions and reduced CIT rates). These incentives may have helped attracting investment in manufacturing but are poorly targeted and risks creating fiscal costs without delivering strong productivity gains. Recent policy reforms have sought to better align incentives with strategic sectors. In particular, the Prime Minister’s Decision 29/2021/QD-TTg and the Government of Viet Nam’s Decree No. 182/2024/ND-CP introduced additional support measures for priority activities such as artificial intelligence, R&D, high technology, clean energy and data centre investments. Nonetheless, shifting further toward expenditure-based incentives – such as R&D tax credits, training allowances, or co-financing for green investments – would better stimulate long-term investments in innovation, workforce skills, and sustainable technologies. The new Investment Support Fund can cover up to 50% of eligible training costs in high-tech sectors, but uptake is still low – incentives introduced in 2013 for reimbursement of training costs have not taken up due to administrative burdens. Stronger co-financing models and closer alignment with MNEs’ needs are required. In the digital economy, incentives should be tied to measurable outcomes such as R&D, workforce development, and technology transfer, supported by clear eligibility criteria and regular performance reviews.

Viet Nam could leverage its incentive framework more effectively to advance gender equality and the green transition. Gender-focused tax incentives remain complex and risk excluding many firms; they should be simplified and better aligned with priority sectors, while embedding gender targets into high-tech incentives to avoid widening disparities. Similarly, income-based or indirect incentives for renewables should be replaced by expenditure-based instruments that lower input costs for genuinely additional projects. Electricity tariff reform – by gradually aligning prices with supply cost while maintaining targeted support for poor households – would improve investment conditions for green energy, strengthen utility financial viability, and support grid investment. Above all, stable, predictable policies, including renewable auctions announced well in advance, are essential to reduce risk and attract sustainable FDI.

Tax incentives transparency is also crucial along the full tax incentive lifecycle – from conception to implementation, monitoring, and evaluation – to support policymakers in improving the design and implementation of tax incentives (OECD, forthcoming^[11]). Viet Nam could address current barriers to transparency by consolidating all tax incentives into the main body of the tax law and implementing complementary measures to raise awareness of the instruments. For example, creating an online, multilingual portal consolidating all incentives by sector, activity, and province would provide clarity for investors and allow closer monitoring of uptake and impact.

Strengthen technical support to build linkages and link investment with skills, gender, and green capabilities

Beyond incentives, stronger technical assistance is needed to deepen spillovers from FDI. Several support programmes aim to strengthen SME participation in supply chains, including the SME Development Fund and regional assistance centres. However, weak co-ordination and low uptake reduce impact. Other countries have established robust platforms for SME upgrading that Viet Nam could emulate. Supplier development programmes should be co-designed with MNEs to address real capability gaps, combining technical assistance with financial support and targeted interventions, such as co-financed product certification schemes. Examples include Thailand's Unit for Industrial Linkage Development and Korea's supplier certification schemes. Expanding advisory services and training for international standards compliance, and aligning national standards with global norms, would help SMEs access export markets and join GVCs. Dedicated online tools – a supplier database by industry and province, and a centralised digital portal consolidating SME support – would improve visibility and uptake of support measures, while provincial IPAs could expand aftercare services through matchmaking to encourage local sourcing.

Technical support should also target workforce development and inclusion. Expanding skills anticipation exercises, as an integral part of an effective LMIS, with active input from the investment community, would help align training with enterprise needs, particularly in digital, semiconductor, and green sectors. Stronger education–industry collaboration and joint training centres with MNEs could overcome barriers to practical skill development, while targeted programmes for women – focusing on digital literacy, management, and leadership – would enable their career advancement in foreign firms. In parallel, dedicated strategies for green skills and green innovation, supported by start-up accelerators and international partnerships, would help SMEs develop absorptive capacity and integrate into green value chains. Together, these measures would ensure that Viet Nam's FDI delivers not only investment but also stronger linkages, skills, and inclusiveness across the economy.

1.3.4. Enhance investment promotion and transparency, focusing on high-quality FDI and reducing information asymmetries through digital disclosure tools

Viet Nam's investment promotion and facilitation framework is shifting from a focus on attracting capital inflows to positioning FDI as a tool for transformative development. The government increasingly emphasises the role of investment in driving digital transformation, supporting the low-carbon transition, and advancing national socio-economic goals. While these ambitions align with global trends and Viet Nam's own strategic documents, their implementation remains at an early stage. In recent years, investment promotion has become more targeted, in line with the Politburo's Resolution No. 50-NQ/TW of August 2019. Building on this strategic shift, further efforts should continue to strengthen a value-driven approach, ensuring that FDI contributes to productivity, skills, innovation, gender equality, and the green transition. Several cross-cutting opportunities for improvement have been identified as priorities to strengthen the alignment between investment promotion practices and Viet Nam's broader strategic vision, ultimately leveraging FDI more effectively to support national development goals (Table 1.3).

Table 1.3. Cross-cutting improvements to investment promotion and facilitation in Viet Nam

	Strategic Action	Description	Expected Outcomes
Investment promotion	Formalising dynamic prioritisation mechanisms	Introduce data-driven tools and regular review processes to prioritise sectors and projects based on performance, policy alignment, and global trends.	More agile and strategic investment targeting; alignment with 5-year socio-economic plans and national industrial strategies.
Investment facilitation	Creating integrated digital platforms	Build smart portals for investment facilitation, real-time feedback, and co-ordination among agencies. Include investor dashboards and AI-assisted policy matchmaking.	Improved investor experience and transparency; streamlined processes; enhanced data capture.
	Institutionalising aftercare services and advocacy	Establish dedicated investor aftercare units for strategic sectors (green energy, digital economy) with structured feedback loops into policymaking.	Higher investor retention and reinvestment; more responsive and inclusive policy formulation.
Accountability and data	Developing comprehensive KPIs	Expand KPI frameworks to include measures of sustainability, productivity, technology transfer, and social impact—not just investment volume or job count.	Better measurement of real value added by FDI; improved investor accountability and policy targeting.
	Strengthen internal capacity for data and evaluation	Building on the Ministry of Finance's role as the focal authority for FDI, strengthen capacity across IPAs and relevant ministries in data analysis and impact assessment.	Stronger policy coherence and evidence-based decision-making; improved monitoring of FDI impact.

Source: OECD analysis based on OECD Surveys for IPAs, 2025.

Strengthen investment promotion to align with Viet Nam's strategic goals

Viet Nam should move beyond broad-based attraction and prioritise sectors with the highest potential for productivity gains, technology transfer, and inclusive growth. Promotion efforts could focus on high- and medium-tech industries where Viet Nam has comparative advantages, including higher value-added niches in traditional sectors, as well as skill-intensive services and digital industries such as 5G, cloud services, and e-commerce. FIA should adopt structured investor targeting (e.g. based on sectors with high employment potential), lead generation, and aftercare models, guided by R&D, innovation, and sustainability indicators. International good practices (e.g. Costa Rica's gender-focused FDI campaigns or Singapore's green investment targeting) show that promotion strategies can integrate cross-cutting priorities such as women's economic empowerment and the green transition. Embedding such goals more explicitly into a national investment promotion strategy would allow Viet Nam to maximise spillovers across productivity, digitalisation, job quality, and inclusion. In addition, specialised institutions (e.g. National Innovation Centre) could work in closer co-ordination with FIA by supporting outreach to technology-oriented investors, identifying promising innovation-driven firms, and facilitating partnerships with domestic start-ups and research organisations. Developing lists of priority multinational enterprises aligned with national development objectives, and designing targeted engagement strategies –including tailored promotional and facilitation packages where appropriate– could further strengthen Viet Nam's ability to attract investors that bring advanced technologies and innovation activities.

Streamline investment facilitation to improve the investor experience

Effective implementation of the 2025 revised Law on Investment can help address cumbersome procedures for permits, land access, and licensing processes. Viet Nam should also expand digital one-stop shops, enabling end-to-end online services with application tracking, integrated payment systems, and AI-enabled matchmaking between investors and local suppliers. Examples from Malaysia, Lithuania, and Estonia show the benefits of combining specialised digital facilitation units with streamlined

regulatory frameworks. Dedicated facilitation channels for renewable energy projects, coupled with simplified procedures and better land access, could address barriers to green investment. Similarly, streamlined visa and work permit processes for foreign experts, alongside partnerships between MNEs, education and vocational training establishments, would help close critical skills gaps. Transparency is equally important: consolidating information on incentives, suppliers, and investor practices in a unified portal would help reduce asymmetries, strengthen accountability, and improve SME access to opportunities. Dedicated aftercare units for strategic sectors – green energy, digital, or gender-sensitive industries – could further support reinvestment, promote local sourcing, and strengthen domestic linkages. Joining the WTO initiative on Investment Facilitation can help signal commitment to the facilitation actions Viet Nam is undertaking.

Enhance accountability, data, and co-ordination to align FDI with national priorities

To ensure FDI delivers broad-based benefits, Viet Nam needs stronger mechanisms for monitoring, evaluation, and policy coherence. Investment promotion and facilitation activities should be guided by a dynamic, data-driven prioritisation model drawing on sources such as the Provincial Innovation Index, national enterprise surveys, and skills anticipation systems. Developing comprehensive KPIs that capture not only volumes of FDI but also its impact on R&D, skills, gender equality, and environmental performance would provide the basis for evidence-based policymaking. Finally, further improved co-ordination between FIA, NSO, NIC, MoST, provincial IPAs, and other agencies – backed by governance reforms such as a strategic board for FIA – would reduce duplication and ensure investment promotion aligns with national strategies for productivity, digitalisation, gender equality, and the green transition.

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Note

¹ Statistics provided by the National Statistical Office (NSO) provided information on firms’ revenues, the number of female and male workers, and the wage bill, disaggregated by ownership, sector, and region. Value-added was not available and revenues was used as proxy to estimate labour productivity.

2 Boosting FDI contribution to productivity and innovation

This chapter assesses the contribution of foreign direct investment (FDI) to productivity, innovation, and Viet Nam's integration into global value chains (GVCs), and examines the policies needed to maximise these benefits. It reviews the governance, regulatory, and policy frameworks related to investment, innovation, and SME and entrepreneurship development, and provides targeted recommendations to strengthen the productivity-enhancing effects of FDI and improve the conditions for technology transfer from foreign multinationals to Vietnamese firms.

2.1. Summary and main policy recommendations

Foreign direct investment (FDI) inflows into Viet Nam have increased substantially since the late 1980s, contributing to the structural transformation of the economy, with a marked acceleration and shift in composition following WTO accession in 2007 and, especially, in the post-global financial crisis period. These inflows have supported the emergence of new sectors, productivity gains, and export growth. However, these benefits have been primarily driven by the activities of foreign firms, with limited evidence of productivity spillovers to domestic enterprises. Productivity growth has been a key driver of rising incomes in Viet Nam, underpinned by both structural transformation and within-sector improvements. Looking ahead, several past sources of growth –such as high labour utilisation– are expected to diminish, underscoring the need for new drivers of productivity. Enhancing innovation and the use of technology will be essential, though both remain underdeveloped relative to Viet Nam's broader economic performance. While FDI has contributed to productivity through the expansion of more productive sectors, notably manufacturing, foreign firms are not consistently more productive than domestic firms in the same sectors. They are more likely to adopt advanced technologies but contribute relatively little to domestic innovation. FDI has also played a central role in increasing Viet Nam's integration into global trade, as foreign firms are highly export-oriented and embedded in global value chains (GVCs). In contrast, domestically owned firms remain largely disconnected from international markets, including through indirect exports. This limited engagement reflects the high reliance of foreign firms on imported inputs and the dominance of assembly-based manufacturing, which constrains opportunities for domestic value addition and knowledge transfer.

Attracting productivity-enhancing FDI and facilitating knowledge transfer to the domestic economy requires strong co-ordination across ministries and agencies, supported by a clear strategic framework. Following recent government restructurings, the Ministry of Finance, the Ministry of Science and Technology, and the Ministry of Industry and Trade are the main institutions shaping policies at the intersection of investment, innovation, and productivity. Their subordinate agencies have formally defined and distinct mandates. However, given the cross-cutting nature of investment, innovation and enterprise development policies, effective implementation depends on robust inter-agency co-ordination mechanisms. In practice, co-ordination has supported progress in several areas, yet there remains scope to further strengthen alignment across institutions to maximise synergies. These governance arrangements influence how the Foreign Investment Agency (FIA) – a department within the Ministry of Finance– aligns investment promotion with national innovation and productivity goals. While FIA is responsible for promoting investment across all sectors, the National Innovation Centre (NIC), also under the same ministry, focuses on strengthening the innovation ecosystem, including through partnerships with multinational enterprises. At the subnational level, provincial investment promotion agencies (IPAs) are central to investment facilitation, while provincial assistance centres for small and medium-sized enterprises (SMEs) play a key role in building domestic supplier capabilities. Strengthening co-ordination between national and provincial bodies could enhance complementarities, reduce administrative complexity, and reinforce linkages between MNEs and local firms. Although Viet Nam has adopted several strategies recognising the role of FDI in enhancing productivity and innovation, these often overlap and may fall short of creating coherent synergies across innovation, entrepreneurship, and investment policy domains. The strategies tend to set broad policy goals but would benefit from clearer prioritisation, sequencing and measurable implementation mechanisms to ensure effective impact.

Viet Nam has made significant progress in improving the investment climate over the past three decades; yet, regulatory barriers remain in knowledge-intensive services sectors, and weak enforcement of intellectual property rights (IPR) continues to hinder technology transfer. Having removed FDI restrictions in some knowledge intensive sectors, like high-tech manufacturing, restrictions are still pronounced in telecommunications and financial services, where a potential for knowledge transfer also exists. These restrictions, including limitations on foreign entry and barriers to competition are more stringent than in less knowledge-intensive sectors and higher than in peer economies. Despite welcomed

efforts to strengthen the IPR framework by creating a National Strategy for IPR and signing multiple key international agreements, there is room to improve the enforcement of IPR rights and enable foreign firms to engage in technology and knowledge transfer to Vietnamese enterprises. In addition, regulatory disparities across provinces, such as differences in issuing investment certificates and land use permits, have led to inconsistent communication with investors and duplications in administrative requirements.

Investment promotion and facilitation efforts, along with Viet Nam's broader investment incentive framework, remain broad. FIA's objective of leveraging FDI to support the knowledge economy is aligned with national goals on facilitating technology transfer. Developing a clear investment targeting and prioritisation framework would further enhance the agency's ability to attract and support knowledge-intensive activities. At the provincial level, there is an opportunity to strengthen investment facilitation services to better help foreign MNEs identify and connect with suitable domestic suppliers. Within Viet Nam's generous tax incentive framework, incentives are also offered for knowledge-intensive activities. The effectiveness of investment incentives and their impact on productivity could be further improved by undertaking regular evaluations and simplifying the incentive system to place greater emphasis on expenditure-based incentives –such as those targeting R&D– over income-based approaches.

Efforts to integrate multinational enterprises into the domestic economy are hampered by weak local supplier capacity. Domestic firms often struggle to meet international standards, lack sufficient R&D capacities, and face challenges achieving economies of scale. As a result, linkages between foreign and domestic firms are limited. Viet Nam is addressing these challenges by providing financial assistance through the SME Development Fund and the National Technology Innovation Fund, organising technical assistance for domestic firms through the National Productivity Institute, Agency for Enterprise Development and regional SME Assistance Centres. It is also supporting cluster formation through policy support for industrial park development. However, these efforts fall short from closing the skill gap and creating strong linkages between foreign and domestic firms. This is due to the lack of uptake of financial support, weak co-ordination between financial and technical assistance as well as concentration of support in industrial hubs. There also is scope to target the support for domestic enterprises in those areas that MNEs report as weaknesses and invest in infrastructure that can support knowledge-transfer in clusters.

Box 2.1. Policy recommendations

Leverage recent institutional reforms and national strategies to enhance accountability, clarify mandates, and strengthen co-ordination across investment, innovation and SME agencies.

- **Translate high-level strategic objectives into actionable policy measures** with clear institutional responsibilities. National strategies should outline concrete actions to (a) simplify the regulatory framework, (b) attract knowledge-intensive FDI, (c) support the integration of MNEs into Viet Nam's innovation ecosystem, and (d) strengthen the capacity of local SMEs to benefit from MNE presence. Implementation should be assigned to designated agencies, supported with adequate resources, and subject to regular monitoring and evaluation to enable timely course correction where needed.
- **Establish stronger intra-agency co-ordination mechanisms** at both national and provincial levels. This could include the creation of thematic policy networks, dedicated communication platforms, and cross-representation of agency leadership – such as including representatives from innovation and entrepreneurship agencies in investment agency board meetings, and vice versa – to ensure alignment of priorities and reinforce policy coherence.

Build upon recent reform efforts to further streamline the regulatory environment for knowledge-intensive FDI and strengthen conditions for technology transfer.

- **Reduce entry barriers for FDI in knowledge-intensive services sectors** such as telecommunications and finance to foster competition and improve the availability of high-

quality services. This could include removing time limits on foreign property ownership and easing commercial presence requirements.

- **Continue efforts to reduce regulatory complexity** by simplifying the process for obtaining investment registration certificates and land use permits and by ensuring consistency of regulatory requirements across provinces.
- **Strengthen intellectual property rights enforcement to enable technology transfer.** This should include increasing IPR awareness among key institutions, enhancing inter-agency co-ordination, and continuing efforts to establish a specialised IP court.

Strengthen Viet Nam’s strategic investment promotion framework to better target productivity- and innovation-enhancing FDI.

- **Develop a data-driven prioritisation model** that identifies sectors and investment projects with high potential for spillovers. This can build on the indicators recently established by the Prime Minister Decision to assess the R&D and knowledge transfer potential of prospective investment projects and could be informed by data from national innovation surveys and other ecosystem assessments.
- **Upgrade FIA’s investment generation tools and institutional capacity** by equipping the agency with modern investor targeting systems, dedicated resources, and greater operational flexibility. Consideration could be given to establishing an Executive Board – similar to the Netherlands Foreign Investment Agency – to strengthen strategic governance, enable more proactive promotion, and improve co-ordination with subnational agencies.

Ensure the alignment of investment incentives with Viet Nam’s strategic goals of raising productivity and leveraging technology transfer.

- **Shift from income-based to expenditure-based incentives** to encourage R&D and long-term productivity enhancing investments.
- **Establish an online tool with information on all investment incentives** targeting knowledge-intensive activities to increase transparency and clarity. Information should be provided by sector, activity and province in different languages. The FIA could oversee the development of the tool and regularly update it in co-operation with relevant national and subnational bodies.

Align support for strengthening domestic R&D and supplier capacity with the needs of foreign MNEs.

- **Improve the effectiveness of R&D financing instruments** by monitoring uptake of the SME Development Fund and the National Technology Innovation Fund, and adjusting eligibility criteria where needed. Provide innovation vouchers for SMEs to tap into the public R&D funding provided for Academies of Sciences.
- **Ensure that financial and technical support programmes are aligned** by establishing joint programming – for example, between the National Productivity Institute and the National Technology Innovation Fund to build enterprise innovation capacity, and between the Agency for Enterprise Development and the SME Development Fund to support SME integration into clusters and value chains.
- **Co-design supplier development programmes with MNEs to ensure they address real capability gaps.** Ensure that programme design reflects the sourcing needs of foreign investors while it complements technical assistance with financial support and targeted interventions – such as a dedicated product certification support scheme with co-financing for SMEs – to help domestic firms meet international standards. Expand sector-specific training and advisory services for standards compliance, and continue aligning Viet Nam’s national standardisation system with global norms to reduce market access barriers for local suppliers.

Expand technical support and infrastructure to foster linkages between foreign and domestic firms.

- **Develop an online database of domestic suppliers** by industry and province to improve MNE knowledge of domestic suppliers. It could be regularly updated by FIA in co-operation with MoIT and subnational agencies.
- **Enhance aftercare services** provided by provincial IPAs to promote local sourcing, including supplier referrals and matchmaking events.
- **Increase technical and financial support for SMEs aiming to join clusters** and consider developing cluster-specific action plans that include targeted regulatory reforms and policy measures to address sector-specific constraints.
- **Promote collaboration within industrial and technology parks** by incentivising private investment in shared R&D infrastructure. Industrial park authorities could directly inform agencies working with domestic suppliers of potential co-operation opportunities.

2.2. Productivity and innovation trends

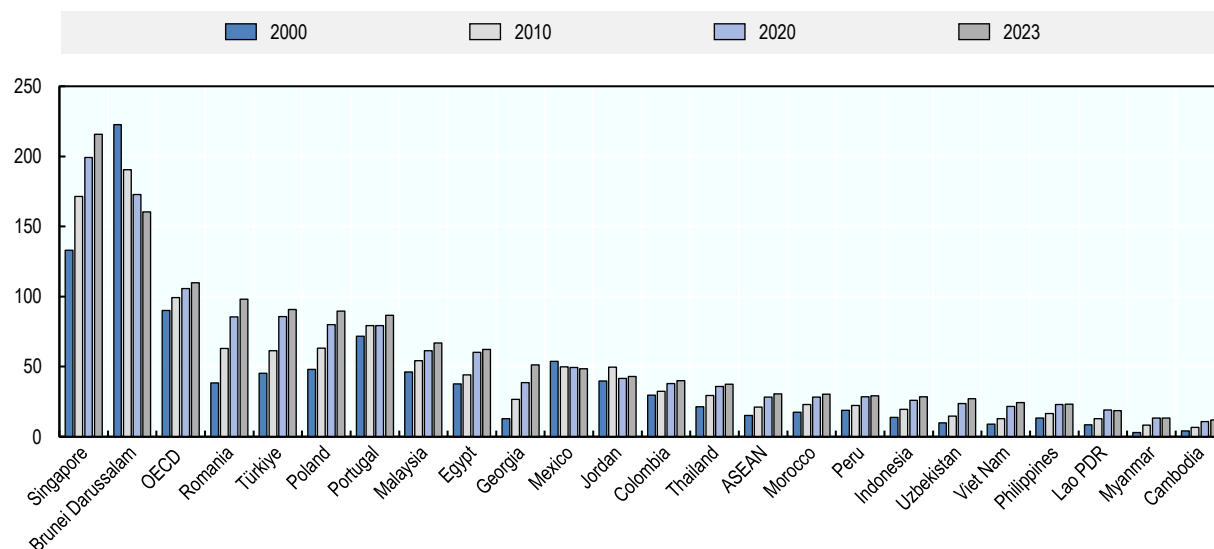
2.2.1. Viet Nam's economic growth has been driven by rising productivity and structural change, but future gains may be limited by an ageing population and regional disparities

Averaging 6% annually over 2013-2023, real GDP growth in Viet Nam has exceeded that of all other ASEAN member countries and the lower middle income country group average for this period (4.7%) (World Bank, 2024^[1]). A favourable age structure and high labour utilisation have underpinned this performance. The population is already getting older, however, leading to a smaller share of the population of working age, affecting output, savings, and demand on public services. Viet Nam's age dependency ratio remains low but has been climbing gradually since 2012. The employment to population ratio (72.9 per cent of the population aged 15 years and older) in Viet Nam exceeds its income group average (55.8 per cent) (World Bank, 2024^[1]). These growth drivers face inevitable limitations, as the demographic dividend wanes and the economy approaches fuller employment, and the dependency ratio is expected to climb more quickly in coming decades (United Nations, 2024^[2]).

Income growth has also been the result of improvements in labour productivity. While GDP per person employed remains below the ASEAN average as of 2023, it is increasing faster than in many peer economies, growing by an average 4.5% per year over 2000-2023 (Figure 2.1). Capital deepening has played a major role in driving these improvements, accounting for about three-quarters of labour productivity growth over 1970-2022. Growth in total factor productivity has also exceeded that of many other Asian economies in recent years, however (APO, 2024^[3]).

Figure 2.1. Labour productivity growth in Viet Nam and selected economies

GDP per person employed (in thousand 2021 PPP USD), 2000-2023



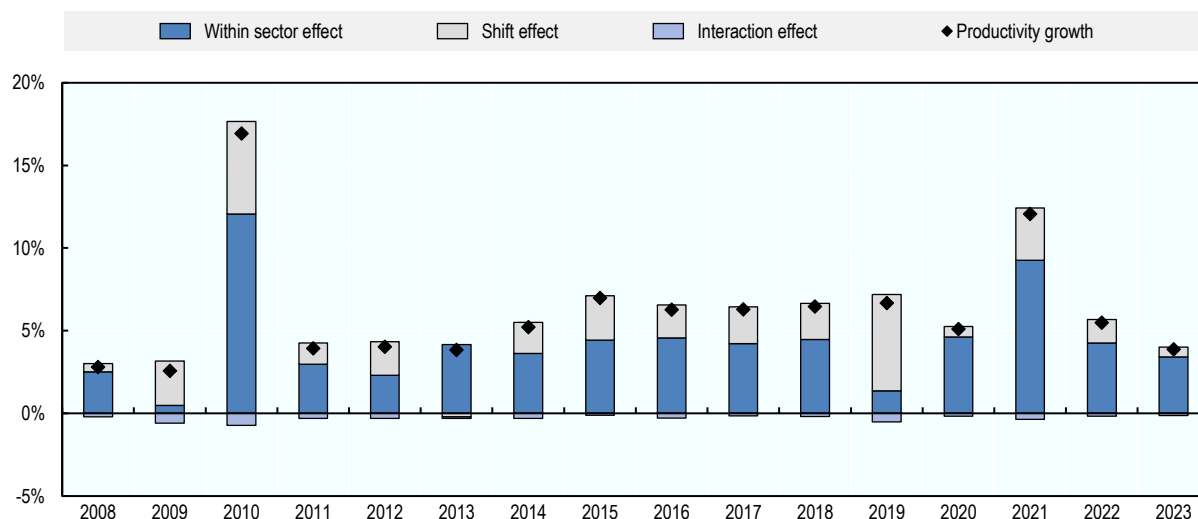
Source: OECD based on World Bank (2024_[1]), World Development Indicators, <https://databank.worldbank.org/source/world-development-indicators>.

Productivity growth has been the result of both structural transformation and within-sector improvements. The reallocation of workers into more productive activities has been substantial - the share of total employment in agriculture has more than halved in the past three decades, falling from 72.5% in 1993 to 33.0% in 2023 (World Bank, 2024_[1]). Structural change is not the only driver of growth, however. Within-sector improvements not attributable to shifts in employment shares between sectors have been responsible for most productivity growth in the recent past (Figure 2.2). With the agricultural share much lower than in the 1990s, the scope for further growth from reallocation is narrowing, placing greater weight on the need for technology adoption, skills and management upgrades within sectors.

While growth has been uneven across the country – the five largest provincial economies together account for more than half of GDP – productivity levels appear to be beginning to converge. Recent rates of labour productivity growth are generally lower in higher-productivity provinces (Figure 2.3). While a few provinces home to urban and industrial centres are among the most productive – Ho Chi Minh City and Ha Noi are both among the top five – productivity growth has been led by smaller provinces, including northern and largely agricultural provinces such as Lang Son, Yen Bai, and Cao Bang.

Figure 2.2. Shift-share decomposition of productivity growth in Viet Nam

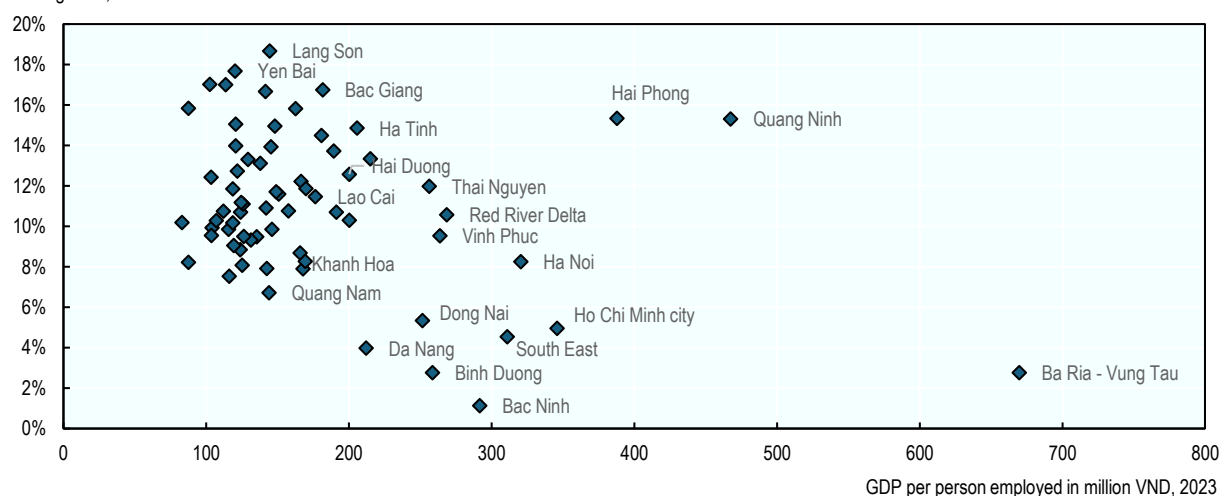
Annual change (%) in value added per person employed decomposed across 19 sectors



Source: OECD based on NSO (2026₍₄₎), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

Figure 2.3. Labour productivity by province in Viet Nam, 2018-2023

Average annual productivity growth, 2018-23

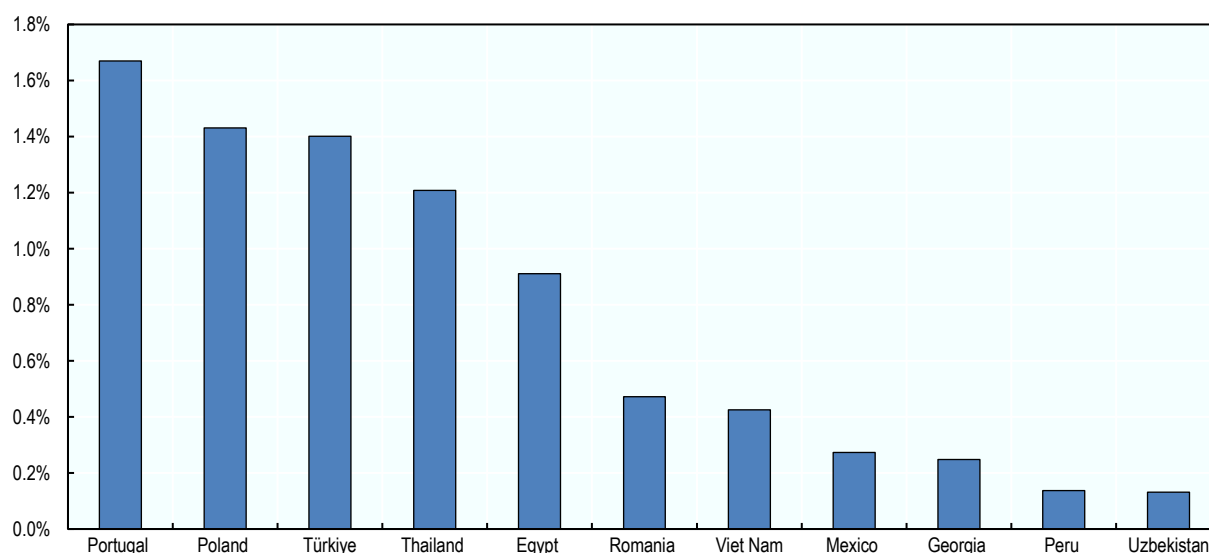


Source: OECD based on NSO (2026₍₄₎), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

2.2.2. Despite limited domestic R&D and innovation capacity, Viet Nam benefits from high-tech exports and ranks relatively well on innovation outputs

While the development and adoption of new products and services or production processes is critical in sustaining productivity growth, innovation remains limited in Viet Nam in spite of recent economic development and diversification. Domestic capacities are limited and most firms are not innovative or technology-intensive. While progress is being made in education and the development of skills supportive of increased use of technology, human capital constraints still hinder innovation. The number of researchers – just 767.9 per million inhabitants – is lower than in most comparison countries (UNESCO, 2024^[5]). As a result, neither the public nor private sector are significantly engaged in research and development. Gross domestic expenditure on R&D (GERD) was just 0.4% of GDP in 2021 (Figure 2.4). This is well below the rates in a number of comparison countries, including the expenditure of 1.2% of GDP in Thailand.

Figure 2.4. Gross domestic expenditure on R&D in percentage of GDP in selected economies, 2021



Source: OECD based on UNESCO (2024^[5]), UIS Data Browser, <https://databrowser.uis.unesco.org/>.

Investment is generally focused on lower-skill and less innovative or technology-intensive activities. Information and communication technologies do not make significant contributions to growth, for example. Capital deepening of non-ICT capital exceeds the ASEAN average, accounting for about half of Viet Nam's labour productivity growth in 2015-2022 (APO, 2024^[3]). New technologies will nevertheless be needed to drive continued productivity and income growth. This may include embodied technology in imported capital goods and improved management and organisation accessed through FDI, though domestic innovation will also be needed eventually (OECD/The World Bank, 2014^[6]).

Despite this lack of focus on research and development, Viet Nam manages to reap some of the benefits of innovation. According to WIPO's Global Innovation Index, Viet Nam ranks higher in terms of innovation outputs (36th out of 133 economies), based on knowledge and technology and creative outputs, than innovation inputs (53rd), which includes R&D as well as measures of institutional and other capacities (WIPO, 2024^[7]). Not surprisingly, given the focus on electronics manufacturing, the share of high technology exports in all manufacturing exports (44.3% in 2023) significantly exceeds the OECD average (20.8% in 2023) (World Bank, 2024^[1]).

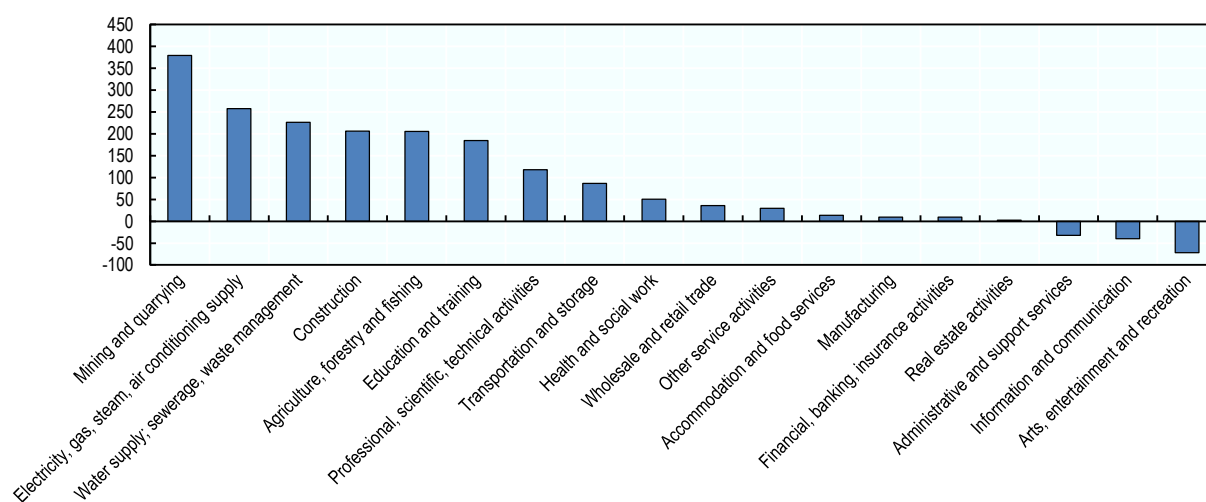
2.3. The contribution of FDI to productivity and innovation

2.3.1. Foreign firms are more productive within sectors, but their aggregate contribution to productivity growth is constrained by FDI's sectoral composition

Foreign firms in Viet Nam are, on average, more productive than their domestic counterparts within **most sectors**. This reflects the advantages often associated with multinational enterprises (MNEs), including access to superior technology, managerial know-how, and international networks. Foreign multinationals tend to operate at higher levels of capital intensity and formalisation, contributing to better performance outcomes in terms of revenue per worker and compensation. However, at the aggregate level, foreign firms appear less productive than domestic firms –a seemingly paradoxical finding that stems not from inferior firm-level performance, but rather from the concentration of FDI in lower-productivity sectors.

Foreign firms demonstrate significantly higher productivity in several capital-intensive sectors such as mining, electricity and construction, although these productivity advantages do not translate into equally large wage differentials (Figure 2.5). For example, in the electricity sector, foreign firms were 3.5 times more productive than their domestic counterparts in 2023. Despite this large productivity gap, foreign firms typically pay only two to three times higher wages, suggesting that the productivity advantage is driven primarily by differences in capital intensity and technological sophistication, rather than labour quality or human capital. In contrast, in labour- or skill-intensive sectors such as education, professional services, wholesale and retail trade, and manufacturing, the productivity premium of foreign firms is below 10%, yet foreign firms still tend to pay significantly higher wages –often around 1.5 to 2 times those paid by domestic firms. In some service sectors –notably information and communication, and arts, entertainment and recreation– foreign firms appear less productive than their domestic peers, while still offering higher wages. This may be due to differing business models, or the strategic positioning of foreign affiliates in niche markets such as content licensing or digital services.

Figure 2.5. Foreign firms' productivity premium over Vietnamese firms by sector, 2023

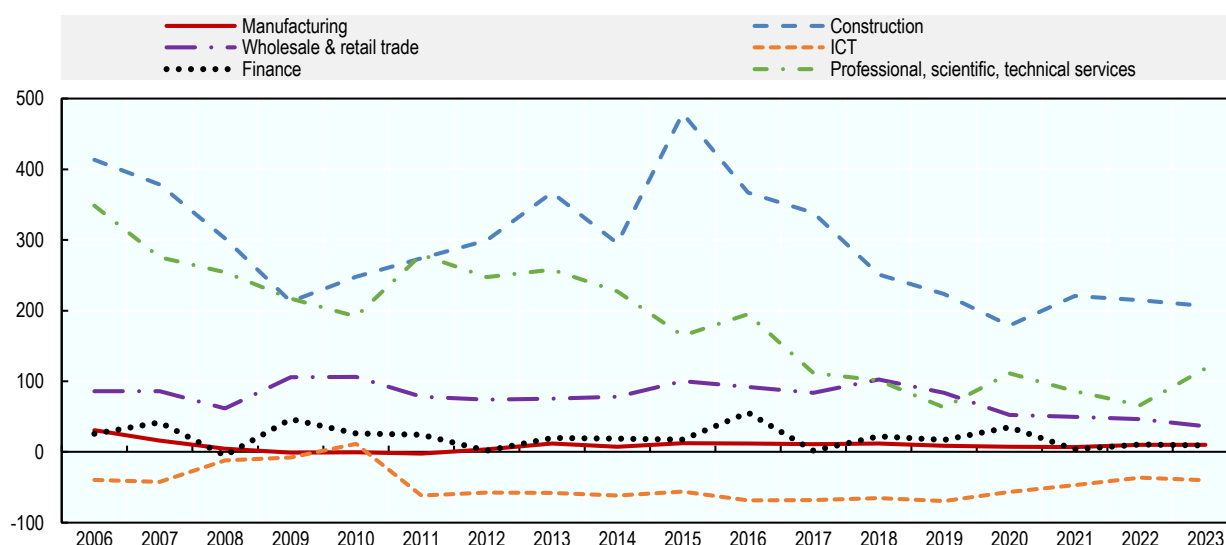


Note: Labour productivity is calculated as revenues divided by total employment. The productivity gap refers to the percentage difference in average labour productivity between foreign and domestic firms, calculated at the sectoral or aggregate level

Source: OECD based on NSO (2026^[41]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

Over the past two decades, foreign productivity premia have generally narrowed in several sectors, indicating possible convergence between foreign and domestic firms and absorptive capacity gains. Time-series evidence suggests that the productivity advantage of foreign firms in some capital-intensive sectors has declined significantly. In electricity, for example, foreign firms' productivity advantage fell from extremely high levels in the mid-2000s –exceeding seventeen times that of domestic firms– to around 3.5 times higher by 2022. In construction and professional services, foreign firms remain substantially more productive than domestic firms, although the productivity gap has gradually narrowed over time. In manufacturing, by contrast, the productivity premium has remained relatively modest throughout the period, fluctuating around single-digit levels. Meanwhile, in the ICT sector, foreign firms have consistently underperformed relative to domestic ones. This likely reflects differences in the roles played by foreign affiliates, such as content distribution or service delivery, rather than fundamental productivity disadvantages.

Figure 2.6. Foreign firms' productivity premium in selected sectors over time, 2006-2023



Note: Labour productivity is calculated as revenues divided by total employment. The productivity gap refers to the percentage difference in average labour productivity between foreign and domestic firms, calculated at the sectoral or aggregate level

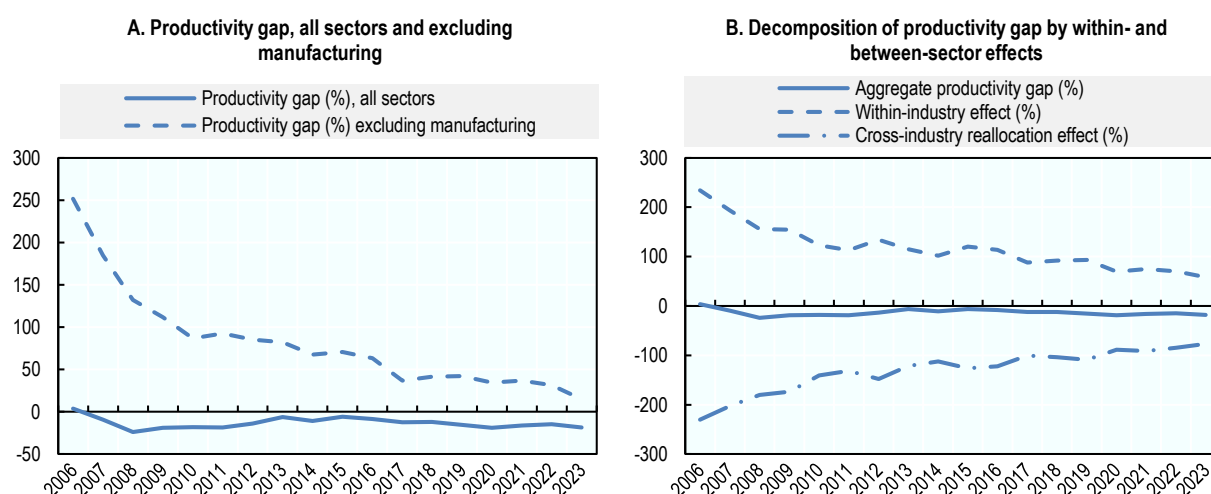
Source: OECD based on NSO (2026^[41]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

At the aggregate level, foreign firms' productivity advantage has been negative. In 2023, foreign firms were about 18% less productive than domestic firms overall, even though they paid wages about 20% higher (Figure 2.7, Panel A). When manufacturing is excluded –a sector with many low-margin, assembly-based foreign firms– the productivity premium becomes positive: foreign firms were nearly 15% more productive than domestic firms outside manufacturing. The negative performance of foreign firms does not stem from their weaker performance in manufacturing –where they actually perform slightly better (Figure 2.5)– but rather from their limited presence in higher-productivity sectors that are dominated by Vietnamese firms.

Foreign investment is concentrated in lower-productivity manufacturing segments such as electronics assembly, footwear, and garments, where thin margins and heavy reliance on imported inputs constrain value added per worker. Conversely, domestic firms are more active in higher-productivity service sectors, such as finance and real estate. A shift-share decomposition of the productivity gap confirms this interpretation (Figure 2.7, Panel B). The within-industry effect –capturing productivity differences between foreign and domestic firms within the same sector– is consistently positive over time, indicating that foreign firms outperform domestic peers in most sectors. By contrast, the cross-industry

reallocation effect –capturing the impact of sectoral concentration– is persistently negative, suggesting that foreign firms are under-represented in high-productivity sectors and over-represented in sectors with lower value-added per worker. These findings should be interpreted with some caution, as firm-level data from Viet Nam’s National Statistics Office may not fully capture informal employment, which is likely more prevalent among domestic firms and could depress their measured productivity. International benchmarks further suggest a stronger performance of foreign firms at the aggregate level: for example, the World Bank Enterprise Survey indicates that foreign firms in Viet Nam may be up to three times more productive than domestic ones on average (Box 2.2).

Figure 2.7. Foreign-domestic labour productivity gap and decomposition by sectoral and within-industry effects

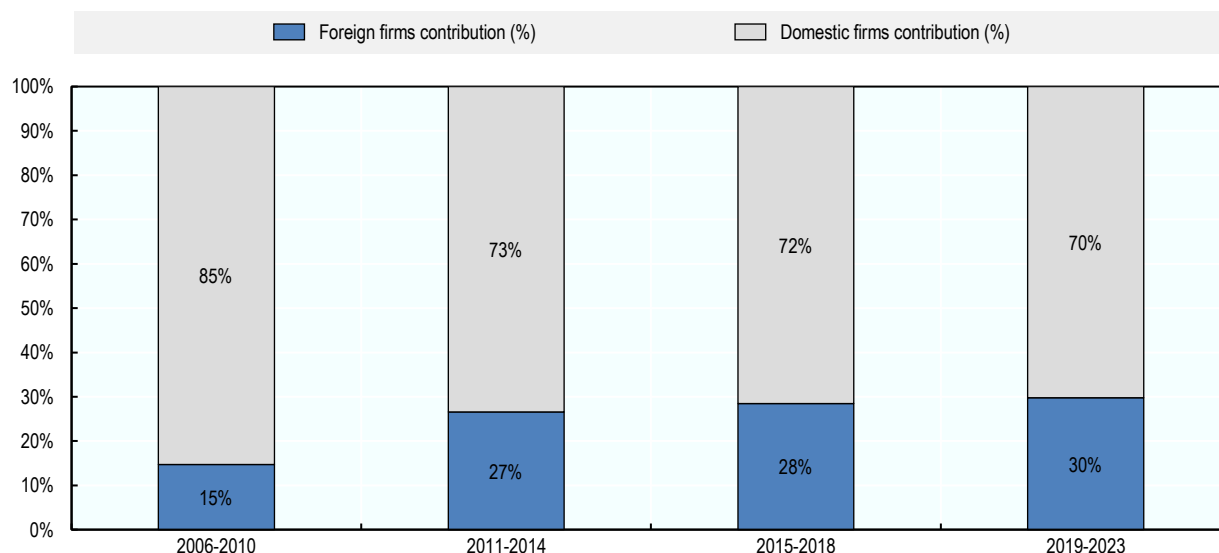


Note: Panel B shows the productivity gap of foreign and domestic firms in Viet Nam for the total economy and decomposes it into two main components: the within-industry effect and the cross-industry reallocation effect. The within-industry effect captures differences in average productivity between foreign and domestic firms operating in the same industry. The cross-industry reallocation effect reflects the impact of the sectoral distribution of foreign versus domestic firms – that is, whether foreign firms are concentrated in industries with higher or lower average productivity. A negative reallocation effect implies that foreign firms are concentrated in lower-productivity sectors, which drags down their aggregate productivity despite higher performance within individual industries.

Source: OECD based on NSO (2026^[41]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

Foreign firms have made a consistent and meaningful contribution to Viet Nam’s labour productivity growth, despite their smaller footprint in the economy. While domestic firms account for most of the gains – reflecting their dominant share of employment and firm count – foreign firms contributed over one-third of aggregate productivity growth in several years over the past two decades (Figure 2.8). By contrast, the reallocation effect – productivity gains from resources shifting from less to more productive firms – has been negligible or slightly negative throughout the period. This indicates that Viet Nam’s productivity growth has largely been driven by within-firm improvements rather than structural transformation across sectors or firms. It also underscores the importance of supporting firm-level upgrading – especially among domestic enterprises – and better leveraging the presence of foreign firms to stimulate dynamic reallocation and knowledge spillovers across the economy. To enhance the impact of FDI on productivity, Viet Nam will need to foster greater linkages between foreign and domestic firms and enable stronger structural transformation. Encouraging local sourcing, supporting supplier upgrading, and facilitating employment shifts into higher-productivity sectors can help translate Viet Nam’s large FDI stock into broader economy-wide benefits.

Figure 2.8. Contribution of foreign firms to labour productivity growth in Viet Nam, 2006-2023



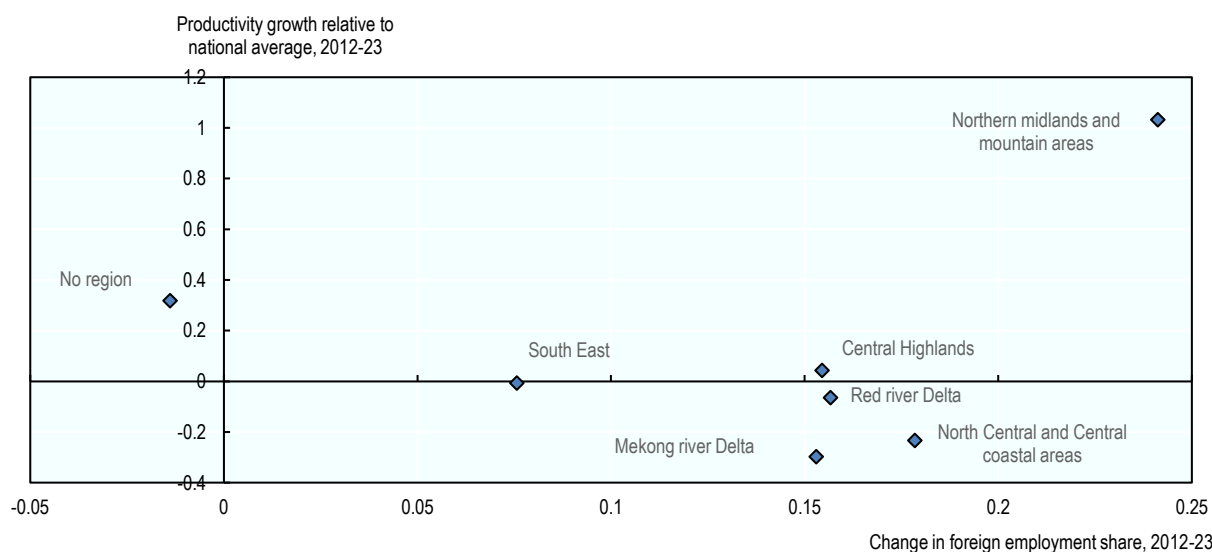
Source: OECD based on NSO (2026_[41]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

Limited or negative productivity premia relative to comparable firms may also hinder the realisation of positive productivity spillovers benefitting the Vietnamese economy. While backwards spillovers through domestic firms supplying foreign-owned firms appear to be an important channel for productivity improvement, domestic firms that compete with or are supplied by foreign firms may experience negative productivity effects from increased foreign competition (Huynh et al., 2019_[8]). At the regional level, the relationship between the expansion of foreign firms and productivity growth appears mixed. Regions with larger increases in foreign firms' shares of manufacturing employment between 2012 and 2023 do not systematically exhibit faster productivity growth relative to the national average (Figure 2.9), suggesting that the presence of foreign firms alone is not sufficient to generate broad productivity gains. Firm-level characteristics may also matter; productivity spillovers tend to be strongest for domestic firms with fewer workers and those with greater capital intensity (Ngo and Tran, 2020_[9]).

Unlocking the full productivity potential of FDI will require a shift in sectoral focus and stronger domestic linkages. Foreign firms outperform domestic firms within sectors and pay better wages, but their broader impact is constrained by sectoral concentration. Policy efforts should aim to attract FDI into higher-value-added activities, promote linkages with domestic suppliers, and support the functional upgrading of existing foreign affiliates. Enhancing firm-level absorptive capacity and workforce skills will be essential to generate stronger spillovers and sustained productivity gains over time.

Figure 2.9. Foreign employment and relative productivity growth in manufacturing, 2012-2023

Change in percentage points



Note: The figure shows the relative contributions of foreign and domestic firms to aggregate labour productivity growth, excluding the reallocation effect.

Source: OECD based on NSO (2026^[41]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises>.

Box 2.2. Measuring the productivity premium of foreign firms in Viet Nam

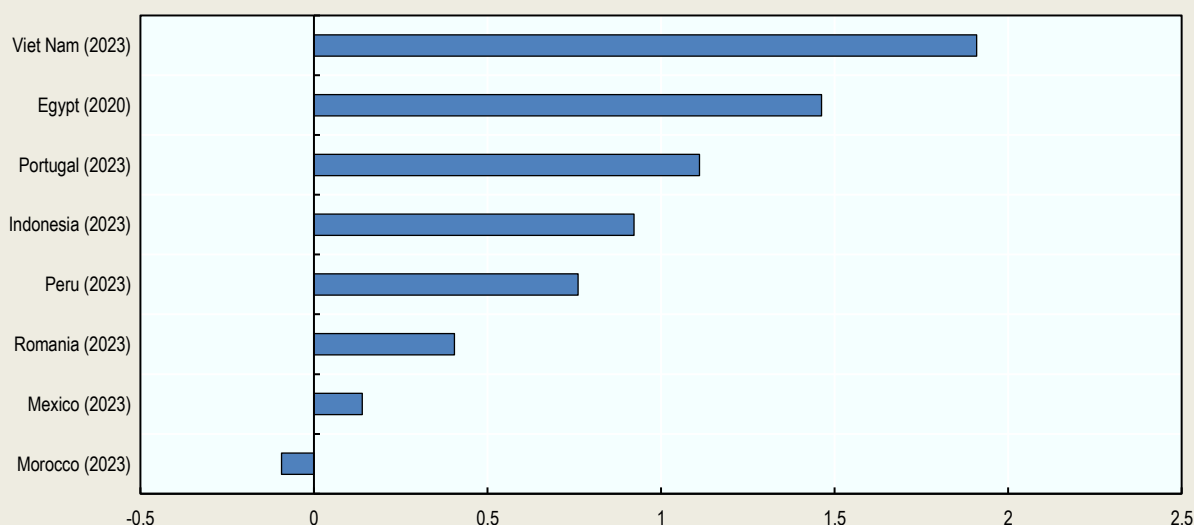
Measuring the labour productivity of foreign and domestic firms depends heavily on the data source and the method used to calculate labour productivity. In the main analysis of this section, labour productivity is measured using data from the National Statistical Office (NSO), defined as revenues divided by the number of employees. While this measure allows for economy-wide and sectoral comparisons, it can be distorted by differences in pricing, mark-ups and input costs across firms, and does not account for the value added created by each worker.

An alternative, more accurate measure of labour productivity is value added per employee, which directly reflects the economic contribution of each worker. This metric is used in the World Bank Enterprise Survey, which samples formal sector firms across a range of countries. Using this approach, foreign firms in Viet Nam show a significantly positive productivity premium at the aggregate level, with labour productivity nearly twice as high as that of domestic firms in the 2023 survey (Figure 2.10). This is more in line with theoretical expectations and empirical patterns in other emerging economies, such as Egypt, Portugal, or Indonesia. However, World Bank enterprise surveys are based on a limited sample of firms, typically concentrated in urban areas and selected sectors, and therefore may not fully capture the structure and diversity of the national economy. This sampling issue can affect comparability across countries and limit the generalisability of results.

While the World Bank data provide valuable insights using a more appropriate productivity metric (value added per employee), results should be interpreted with caution given the sample-based nature of the data, which may not fully reflect the structure or diversity of the Vietnamese economy. Similarly, while NSO data allow for comprehensive, economy-wide analysis, the use of revenue rather than value added as a proxy for productivity limits comparability across firms and sectors. Each approach involves

trade-offs: administrative data offer broader coverage but rely on cruder proxies, while survey data allow for more refined measures but suffer from limited representativeness. Taken together, the results underline the importance of triangulating findings across data sources and interpreting productivity differences in light of both methodological and contextual limitations.

Figure 2.10. Labour productivity premium of foreign versus domestic firms



Note: Foreign firms are defined as those with at least ten percent foreign ownership. Labour productivity in foreign firms is higher if index > 0.
Source: OECD based on World Bank (World Bank, 2024^[10]), Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

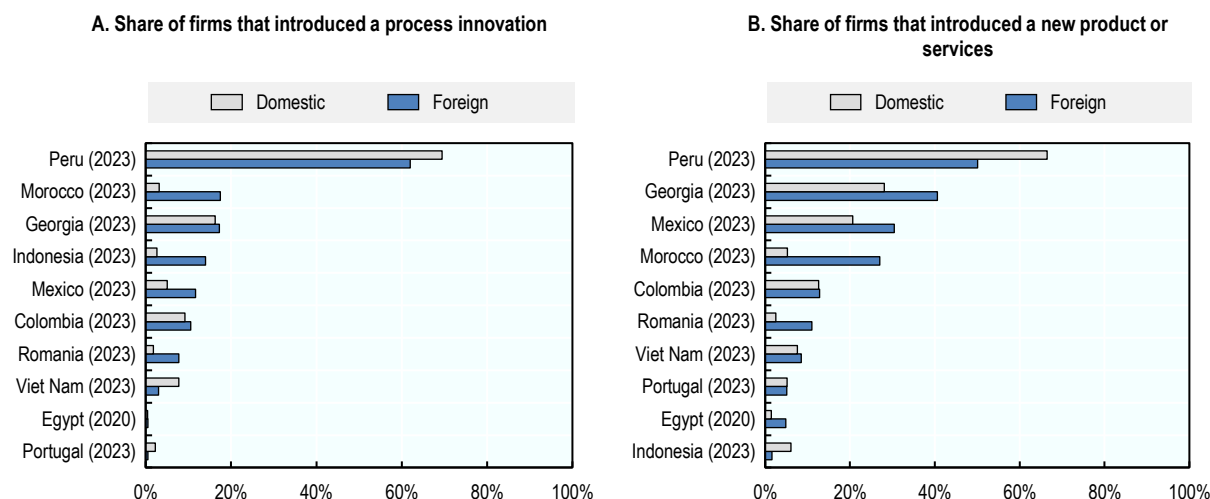
2.3.2. Foreign firms contribute little to innovation, with low R&D investment and limited process or product innovation compared to peers

Foreign direct investment is also not making significant contributions to boosting innovation, as foreign firms in Viet Nam are not particularly innovation-intensive. Just 3.09% of foreign firms surveyed in 2023 said that they had introduced a process innovation in the previous three years, while 7.8% of domestic firms had done so (Figure 2.11). Foreign businesses were slightly more likely to introduce new products or services (7.6% of domestic firms, compared with 8.5% of foreign firms), but these innovations remained low among all businesses in Viet Nam in comparison to similar economies (which averaged 15.6% of domestic firms and 19.2% of foreign firms across ten comparator countries). Similarly, few firms invest in research and development; in the previous year, just 2.3% of foreign firms and 4.7% of domestic firms reported R&D expenditure (which averaged 7.2% of domestic firms and 13.7% of foreign firms across ten comparator countries). Foreign-owned firms are somewhat more technology-intensive, however. They are more likely to use a website to manage business relationships, though this is not common, regardless of ownership. As in most comparator countries, foreign businesses are also much more likely than businesses to use technology licensed from foreign companies (10.3% of domestic firms, compared with 29.9% of foreign firms).

Limited investment in innovation is partly a result of the composition of FDI inflows. Over 2020-2024, greenfield investment in healthcare was the most R&D intensive, with 91% of capital expenditure in R&D, though this sector accounted for a negligible share of greenfield FDI in this period and had no greenfield FDI R&D expenditure in the preceding five-year period (Figure 2.12). In absolute terms, nominal investment in R&D was greatest in the industrial equipment (USD 562.7 million), software and IT services (USD 457.3 million), and semiconductors (USD 333.6 million) sectors, however. While research and

development expenditure has accounted for a generally growing share of greenfield FDI inflows over the past two decades in Viet Nam, this share remains relatively small at just 1.9% of capital expenditure over 2020-2024. In comparison, the figures for the OECD and ASEAN were 3.7% and 2.4% respectively.

Figure 2.11. Innovation performance of foreign versus domestic firms

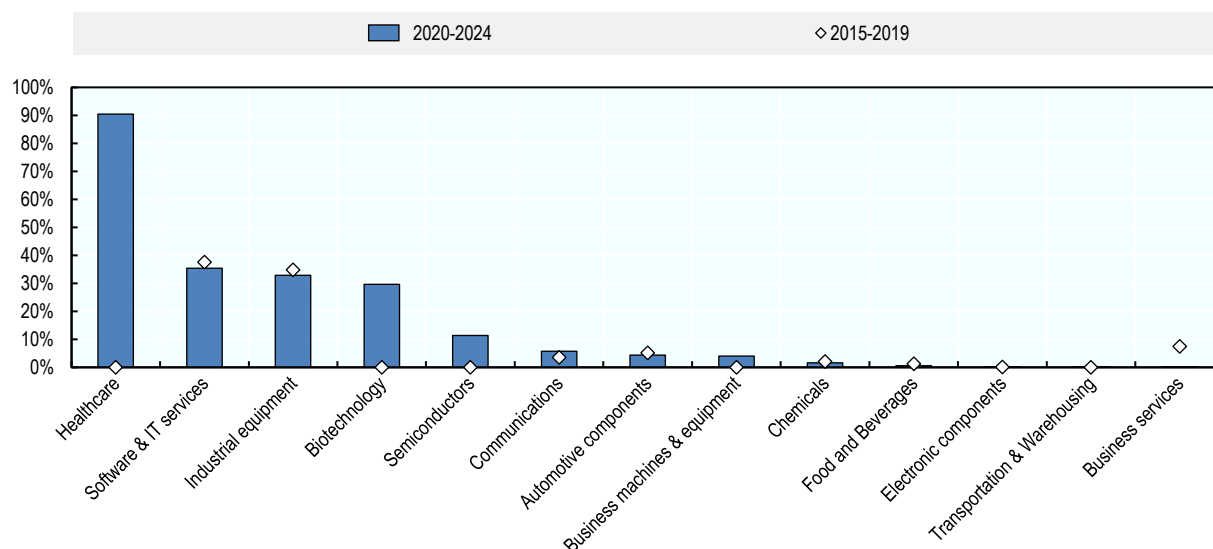


Note: Foreign firms are defined as those with at least ten percent foreign ownership.

Source: OECD based on World Bank (2024_[10]), Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

Figure 2.12. Greenfield FDI in R&D activities by sector in Viet Nam

R&D as a share of total capital expenditure in greenfield investment, 2015-2024



Source: OECD based on Financial Times (2024_[11]), fDi Markets database, <https://www.fdimarkets.com>.

2.3.3. Export-oriented FDI has deepened Viet Nam's trade integration, but rising global trade pressures and limited domestic value addition expose vulnerabilities

Ongoing shifts in the global and regional environment – such as rising tariffs, tighter rules of origin, and stricter enforcement of sustainability and traceability standards – are reshaping production networks in Asia. As a highly trade-dependent economy, Viet Nam remains particularly exposed to these shifts. In recent years, Viet Nam attracted significant FDI inflows as multinationals relocated production – particularly assembly and processing – to avoid tariffs on Chinese goods. However, new U.S. tariffs on Vietnamese exports are expected to dampen export prospects, with the United States accounting for nearly 30% of Viet Nam's gross exports (about half in domestic value added). Export growth is projected to decline from 15.4% in 2024 to 5.4% in 2026 (OECD, 2025^[12]). These pressures expose the vulnerability of Viet Nam's low-value manufacturing model and highlight the growing importance of meeting evolving international requirements on compliance, traceability, and sustainability.

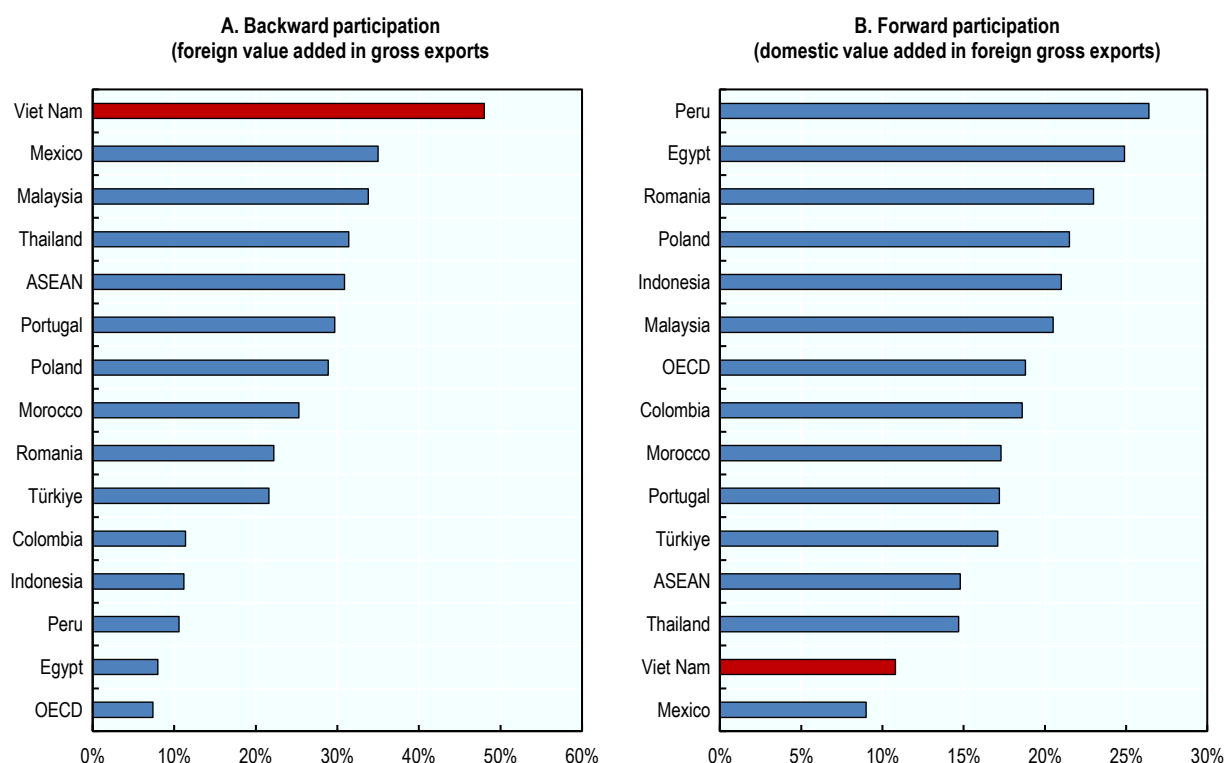
Trade tensions could affect Viet Nam's ability to sustain FDI inflows over the medium term. While the country continues to offer cost advantages and broad market access through trade agreements, future FDI is likely to become more selective, favouring locations with robust supplier ecosystems, reliable compliance infrastructure, and capacity for greater value addition. Viet Nam risks losing competitiveness in tariff-sensitive, assembly-heavy sectors unless it can strengthen domestic sourcing, improve traceability and certification systems, and support investors in upgrading local operations. Sustaining high-quality FDI – and maximising its contributions to productivity and innovation – will require a stronger enabling environment, including investment in skills, logistics, testing and standards infrastructure, and more efficient administrative procedures to support higher-value and more resilient investment activities.

FDI has increased Viet Nam's integration in international trade, though few domestically-owned firms export directly or indirectly. Expanding involvement in trade and participation in global value chains would help to foster growth, improve access to international knowledge and technology, and support productivity. Vietnamese firms engaging in international trade tend to be more productive than their peers (Ngo and Tran, 2020^[9]).

Growth in exports has exceeded income growth since the late 1980s; between 1988 and 2023, goods and services exports as a percent of GDP increased from 4.0% to 87% (World Bank, 2024^[11]). This growth has largely been driven by the expansion of the export-oriented manufacturing sector. Manufacturing goods accounted for 92.5% of exports in 2023 (GSO, 2024^[13]). Electronics assembly is particularly important. Exports of electrical machinery and equipment (HS 85) alone accounted for 37.6% of goods exports in 2023. Over the past two decades, Viet Nam has become one of the world's top electronics exporters, increasing its share of global electronics trade from 0.1% in 2003 to 3.9% in 2023 (ITC, 2024^[14]). With lower labour costs than in neighbouring countries, Viet Nam benefitted from investment from major consumer electronics brands and others as production costs increased in China and trade disputes limited access to the United States (OECD, 2020^[15]).

Export-oriented FDI has contributed to Viet Nam's integration into global value chains. Imports have grown alongside exports and are also mostly (84.5%) composed of manufactured goods, many of which are destined to be exported following assembly or other further processing. As a result, backward participation in GVCs is high. Close to half (48%) of the value of gross exports is foreign value added. This share has increased significantly from 23.1% in 1995, the earliest year for which data are available. In contrast, forward participation is relatively limited, with little growth; domestic value added accounts for just 10.8% of foreign gross exports.

Figure 2.13. Participation in global value chains in Viet Nam and selected economies, 2020

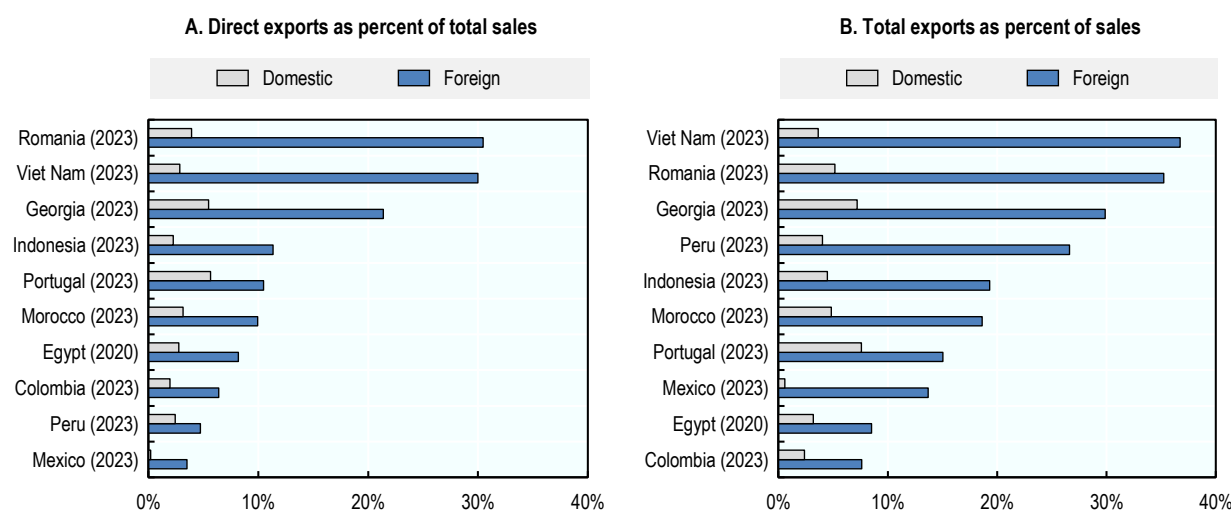


Source: OECD (2025_[16]), TiVA database, <https://data-explorer.oecd.org/s/4lp>.

This pattern is typical of developing countries with large manufacturing sectors, though it may involve missed opportunities for domestic value addition. Higher backward participation is common in economies that are engaged in neither the export of resources nor the more technologically advanced activities in production (Kowalski et al., 2015_[17]). A focus on assembly work leads to a large share of foreign value added in Viet Nam's exports. As such, focusing on these activities can represent missed opportunities for growing domestic production (Kowalski et al., 2015_[17]). Along potentially expanding assembly and similar work, GVC upgrading might include targeting greater forward participation. Increasing domestic value added in foreign gross exports may be part of a process of supporting growth by moving from assembly and into more technologically sophisticated activities along the value chain in areas including manufacturing, innovation, and design (Kowalski et al., 2015_[17]). Greater forward participation in GVCs may also have more positive impacts on the productivity of Vietnamese firms, as a result of the benefits of engaging in exporting and in learning-by-supplying (Korwatanasakul and Hue, 2022_[18]).

Despite the high degree of export-orientation of FDI, foreign investment does not appear to support much additional indirect exporting and involvement in GVCs among domestically-owned firms. Foreign-owned firms are far more export-oriented than their domestically-owned counterparts. While the former group exports 30% of total sales, exports account for just 2.8% of the latter's sales (Figure 2.14). Including indirect exporting does not significantly change these patterns; total exports are 36.7% of foreign firms' sales and 3.6% of domestic firms' sales. The implied share of indirect exports sold domestically and ultimately exported in Vietnamese firms' sales (0.8%) is well below that of Indonesia (2.2%), but higher than that in Mexico (0.4%), for example.

Figure 2.14. Exports of foreign versus domestic firms, 2023



Note: Foreign firms are defined as those with at least ten percent foreign ownership.

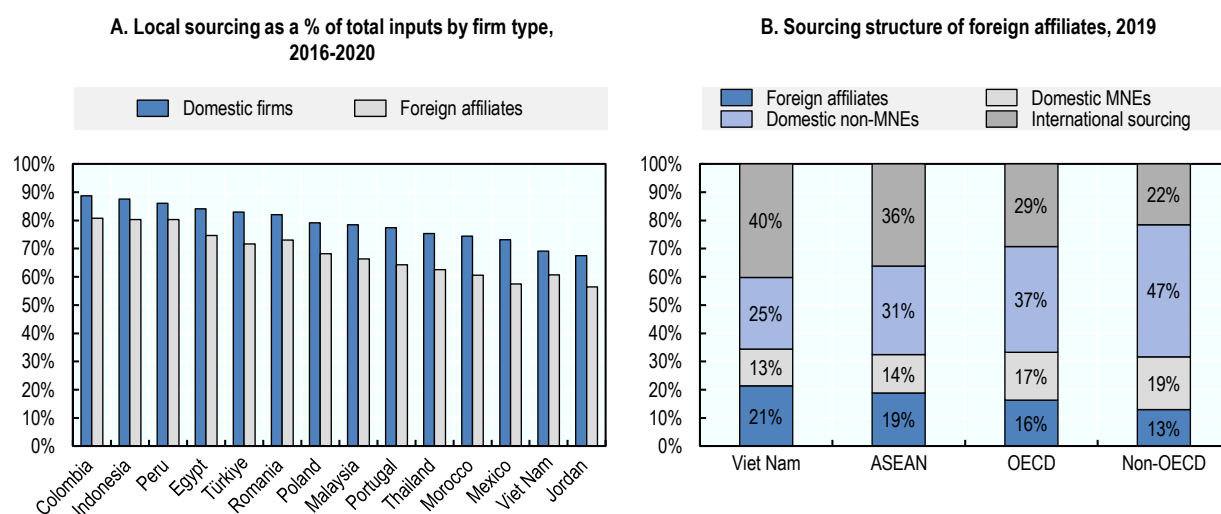
Source: OECD based on World Bank (2024_[10]), Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

2.3.4. Limited local sourcing by foreign affiliates constrains the potential for productivity spillovers

Foreign affiliates' limited use of domestic inputs reduces the potential for productivity spillovers and deeper GVC integration in Viet Nam. Foreign firms can play a catalytic role in upgrading domestic capabilities by sourcing locally, which enables domestic suppliers to access more advanced technology, quality standards and managerial practices. Yet in Viet Nam, local sourcing by foreign affiliates remains relatively low. Between 2016 and 2020, only 61% of inputs used by foreign firms were sourced domestically, compared to 69.1% for domestic firms and over 80% for foreign firms in Colombia, Indonesia and Peru (Figure 2.15, Panel A). Viet Nam performs worse than most ASEAN and emerging economy comparators, suggesting that the spillover potential of foreign firms remains underexploited.

The sourcing structure of foreign affiliates in Viet Nam is more externally oriented than in other regions, with limited engagement of Vietnamese MNEs and non-MNEs. In 2019, 40% of the inputs used by foreign affiliates in Viet Nam were sourced from abroad through imports, while only 34% came from the domestic economy – 21% from other foreign affiliates operating in Viet Nam and just 13% from Vietnamese MNEs (Figure 2.15, Panel B). This international sourcing (imports) share is significantly higher than in OECD or non-OECD economies, where domestic sourcing – especially from non-MNEs – plays a much larger role. In non-OECD economies, for example, nearly half of inputs are sourced from domestic non-MNEs, while only 22% come from abroad. This underscores the weak integration of Vietnamese firms into foreign affiliates' supply chains, limiting opportunities for knowledge transfer and industrial upgrading.

Figure 2.15. Local supplier linkages in Viet Nam and selected economies



Source: OECD based on the OECD (2025^[19]), Analytical AMNE database, <https://www.oecd.org/en/data/datasets/multinational-enterprises-and-global-value-chains.html>.

Low local sourcing reflects persistent gaps in domestic supplier capacity and weak sectoral alignment with export-oriented foreign firms. Foreign investors in Viet Nam often cite concerns about the quality, consistency, and certification of domestic inputs, particularly in sectors with demanding production standards such as electronics and automotive. While local sourcing is relatively high in food and beverages, financial services and cultural industries, these sectors have lower input intensity and limited trade exposure. In contrast, key export industries like electronics, garments and footwear rely heavily on imported components and tend to have thin local supplier networks. This misalignment reduces the likelihood of spillovers from foreign to domestic firms, despite the scale of FDI in these sectors.

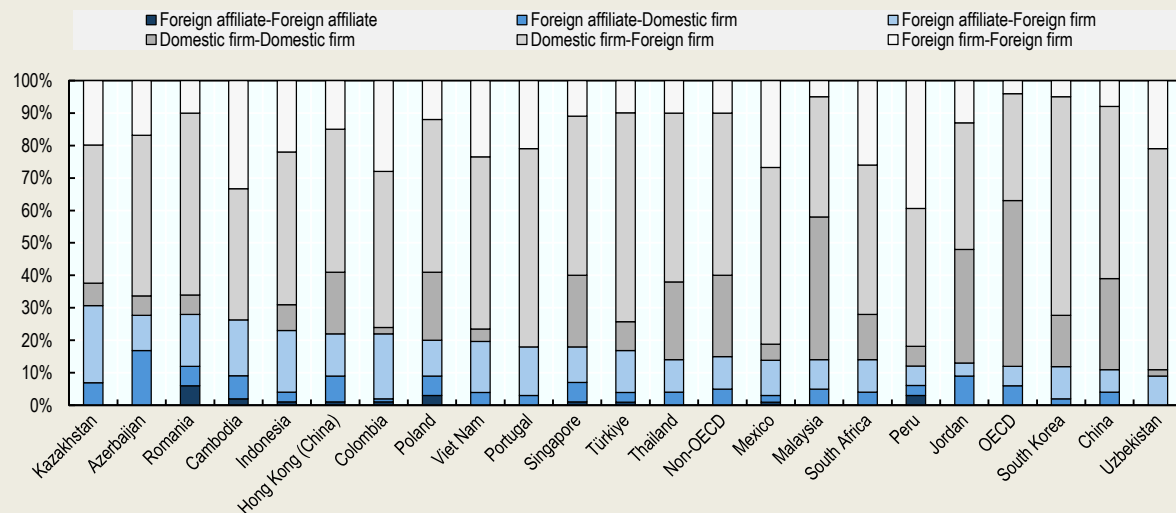
In addition to supplier linkages, business partnerships between domestic and foreign firms offer another potential channel for knowledge transfer and upgrading. Box 2.3 shows that in Viet Nam, domestic firms are more likely to engage in cross-border partnerships with foreign firms abroad than with foreign affiliates operating in the country – suggesting limited embeddedness of foreign investors and missed opportunities for local spillovers. Strengthening domestic supplier readiness and facilitating linkages with foreign firms is essential to unlock FDI's full contribution to productivity and innovation. Policies that improve supplier capabilities – through quality upgrading, access to finance, certification support, and skills development – can help domestic firms meet the requirements of foreign buyers.

Box 2.3. Business partnerships are a potential channel for FDI spillovers in Viet Nam

Business partnerships, broadly understood as recurring transactions between firms with shared business objectives, often involve some level of knowledge transfer, regardless of whether they are formalised through equity stakes or contracts. In practice, these partnerships can take various forms, including strategic alliances, joint ventures, contractual agreements, technology licenses, franchises, research collaborations, or even informal arrangements. Both affiliates of foreign firms operating within the host economy and foreign firms that do not have a physical presence but engage in cross-border partnerships with domestic firms can participate in these collaborations. Such partnerships may include sharing products, distribution channels, manufacturing capabilities, capital equipment, expertise, or intellectual property, which can foster innovation spillovers and enable domestic firms to enhance their capabilities and competitiveness.

Domestic firms in Viet Nam engage more frequently in cross-border partnerships with foreign firms than in local linkages with foreign affiliates, limiting opportunities for knowledge transfer and capability upgrading. Just 4% of reported partnerships in Viet Nam occur between domestic firms and foreign affiliates based in the country, compared to 16% involving foreign firms abroad and 24% between two foreign firms (Figure 2.16). While the dominance of domestic–foreign firm partnerships is broadly in line with patterns across emerging markets, Viet Nam stands out for the relatively low involvement of foreign investors with a physical presence in the country. By contrast, economies such as Singapore, Hong Kong (China), and Poland exhibit greater integration between foreign affiliates and domestic partners, reflecting more embedded investment ecosystems. Developing further partnerships – including through attracting more investment in the kind of knowledge-intensive and high-tech sectors where partnerships are increasingly common – will nevertheless be critical in fostering additional spillovers.

Figure 2.16. Business partnerships in selected economies, 2003-2023



Note: Foreign affiliates are enterprises based in the host economy that operate as subsidiaries or branches of a foreign parent company. These entities are legally established within the host country but maintain ownership ties to a foreign firm. In contrast, foreign firms are businesses headquartered in another economy that do not have a physical presence in the host country but engage in partnerships or collaborations with domestic firms through cross-border agreements.

Source: OECD elaboration based on Refinitiv (2024^[20]), SDC Platinum database.

2.4. The governance and policy framework for investment, innovation and SME

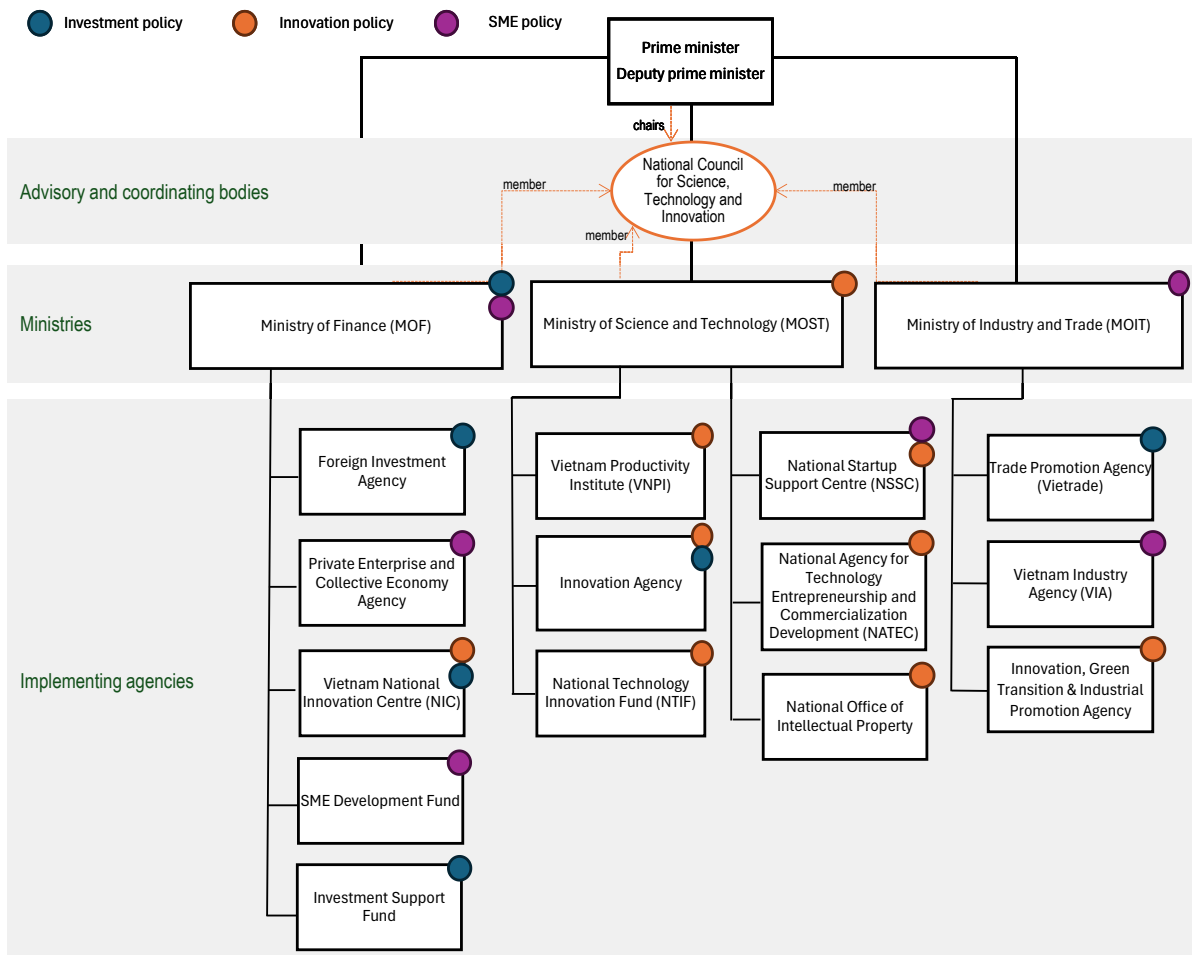
2.4.1. The complexity of the institutional framework for FDI, productivity and innovation has been reduced, but policy overlaps at the agency level remain

The Ministry of Finance plays a central role across the investment, innovation and entrepreneurship policy areas, overseeing three key agencies: FIA, NIC and the Agency for Private Enterprise and Collective Economy Development (APED). Unlike most OECD countries, where the majority of investment promotion agencies (IPAs) are autonomous agencies, FIA operates as a department in MoF. FIA operates as a generalist IPA with a broad mandate, but its role is formally limited to ‘state management functions’ – that is investment promotion policy design, regulation and oversight rather than direct implementation (MPI, 2024^[21]; OECD, 2018^[22]). Similarly to other cases internationally where the IPA is a department in a ministry, FIA holds regulatory responsibilities, including the development and revision of laws related to inward and outward investment, as well as the compilation of FDI statistics (MPI, 2009^[23]). By contrast, the NIC has an operational mandate focused on targeted policy implementation, leveraging dedicated staff and programmes to promote innovation and attract knowledge-intensive investment (NIC, 2024^[24]). Similarly, while APED is the primary agency responsible for SME development and fostering linkages with foreign investors, NIC’s training and capacity building programmes target SMEs’ innovation and technological capabilities necessary to enable effective technology transfer.

Innovation policy in Viet Nam is anchored in the Ministry of Science and Technology (MoST) which oversees several key agencies supporting start-ups and enterprise-level innovation. The Viet Nam National Productivity Institute (VNPI) provides technological trainings and dedicated innovation capacity building programmes for enterprises (VNPI, 2025^[25]). The recently restructured Department of Technology Development and Innovation – also known as the State Agency for Technology and Innovation (SATI) – has an explicit mandate to promote international technology transfer (SATI, 2024^[26]; 2024^[27]). The National Agency for Technology Entrepreneurship and Commercialisation Development (NATEC) is responsible for facilitating knowledge transfer from academia to industry, and within it, the National Start-up Support Centre (NSSC) focuses on supporting the startup ecosystem (Government of Viet Nam, 2025^[28]). The key department responsible for establishing and enforcing a favourable intellectual property rights (IPR) framework is the Intellectual Property Office (2025^[29]). MoST is also in charge of the National Technology Innovation Fund (NTIF), which provides financial support for innovative enterprises through commercial banks (Government of Viet Nam, 2024^[30]; NATIF, n.d.^[31])

MoIT designs policies to strengthen productive capabilities and support internationalisation of domestic firms and oversees several implementing agencies. The Viet Nam Industry Agency (VIA) is the lead institution responsible for strengthening domestic supplier capacity, while the Trade Promotion Agency (Vietrade), supports export promotion but also undertakes supplier development activities (Vietrade, 2022^[32]). Vietrade also hosts a centre for digitalisation (INTEC), which offers innovation support to enterprises, creating potential overlap with the NIC. As part of the 2025 government restructuring, a new agency for Innovation, Green Transition and Industry Promotion has been established as a department within MoIT with the aim to advise and implement policies related to innovation and sustainable development (Government of Viet Nam, 2025^[33]).

Figure 2.17. The institutional framework for investment, productivity and Innovation



Source: OECD elaboration.

The 2025 government restructuring, which significantly reduced the number of ministries, is a positive step towards improving institutional coherence; yet, the institutional landscape remains fragmented, with overlapping mandates and broadly defined responsibilities. These challenges are common in many economies, where responsibilities for investment, innovation, and entrepreneurship are distributed across multiple ministries and agencies. The MoF, MoST, and MoIT all share responsibility for strengthening enterprise innovation and productivity, often resulting in mandate overlaps among their subordinate agencies. Technical capacity building is carried out by several bodies, including APED, VNPI, SATI, NIC, and VIA, while agencies primarily focused on innovation, such as NIC and SATI, also engage in investment promotion and collaborate with multinational enterprises in the knowledge economy. NIC's growing autonomy and its strong capacity to attract high-tech partners represent important assets for Viet Nam. At the same time, while NIC's activities align with the government's strategic investment orientations and do not conflict with FIA's role, the fragmentation and absence of clearly defined and institutionalised co-operation mechanisms across agencies creates risks of duplication and missed synergies. Consolidation therefore needs to take place not only at the ministerial but also at the agency level. Even where agencies have different functions – for instance, state management versus policy implementation – they frequently operate in the same policy domains, creating unnecessary overlaps and challenges for policy coherence. In some cases, merging agencies with closely related mandates could help streamline

responsibilities, reduce duplication, and strengthen the overall effectiveness of Viet Nam's institutional framework.

FIA's mandate is primarily focused on "state management functions", including investment policy design, regulation and oversight and the agency officially performs investment promotion functions. While this positioning allows FIA to ensure coherence between investment policy and regulation, it does not equip the agency with the practical tools and resources required to directly target and service knowledge-intensive, productivity-enhancing investment. As a result, Viet Nam's investment promotion system lacks a central institution with the capacity to pro-actively attract and facilitate strategic FDI. By contrast, the NIC, which receives both public and private funding, benefits from greater operational flexibility, higher salaries, and the ability to attract specialised staff to design and implement targeted programmes for innovation-focused investment. NIC's activities with foreign high-tech multinationals are consistent with established national strategies and criteria. Nevertheless, international experience suggests that formalised co-ordination frameworks between policy-design agencies such as FIA and implementation-focused bodies such as NIC can help ensure policy coherence and maximise synergies. To strengthen effectiveness, FIA could be restructured so that it acquires a more operational and autonomous investment promotion role and a strong co-ordinating function, enabling collaboration with sectoral ministries and agencies. This would align Viet Nam's institutional set-up with international practice, where leading IPAs operate under ministerial oversight but with an independent board, budget, and mandate for proactive promotion.

The institutional complexity is further heightened by the important role that provincial authorities play in investment facilitation, which is particularly important to embed foreign multinationals in local supply chains and foster knowledge and technology transfer. Although FIA holds a national mandate, facilitation is typically carried out at the provincial level either by regional IPAs (IPA Vinh Phuc, 2025^[34]; IPA Da Nang, 2025^[35]) regional departments of finance (Phu Yen DPI, 2025^[36]; Binh Dinh DPI, 2025^[37]; Hai Duong DPI, 2025^[38]; Ho Chi Minh City DPI, 2025^[39]; HAPI, 2025^[40]) or directly by economic zones. Local governments are often better positioned to connect investors with domestic suppliers and understand regional innovation ecosystems, making them valuable actors in strengthening FDI spillovers. However, the involvement of multiple actors –national, regional and provincial– creates a risk of overlapping responsibilities, duplicated requirements and inconsistent messaging to investors. This is a common challenge, also faced by subnational IPAs across OECD and non-OECD economies, where mandate clarity remains a key concern (OECD, 2023^[41]).

2.4.2. Institutional co-ordination on FDI, productivity and innovation could be further improved

Despite recent improvements in co-ordination, there is room to improve communication between investment and innovation agencies as well as national and provincial agencies. The creation of the National Council for Science, Technology and Innovation will help increase the co-ordination of innovation policies across ministries (MoST, 2024^[42]). Yet on an agency level, agencies responsible for innovation policy (like NIC or SATI) are more likely to undertake investment promotion activities themselves than co-ordinate with FIA. Similarly, on a provincial level, the agencies responsible for investment facilitation (such as the Investment and Trade Promotion Centre in Ho Chi Minh City) and those responsible for increasing the productivity of domestic firms (such as the Centre for Supporting Industries Development in Ho Chi Minh City) have not established strong co-ordination mechanisms, weakening their efforts to connect MNEs to local suppliers. Furthermore, while most subnational agencies work in accordance with national strategies – and MoF provides instructions to provinces on investment incentives, the only instance where subnational agencies have an opportunity to provide feedback to FIA is the annual revision of National Investment Promotion Program.

Inter-institutional co-ordination can be improved either by establishing agency networks, collaborating in the framework of specific programmes or organising management level exchanges. Because of the wide array of agencies involved in the ecosystem that can support knowledge and technology transfer from MNEs to domestic firms, aligning efforts between these agencies is important to increase policy efficiency. For example, by establishing clear co-ordination mechanisms between agencies providing technical assistance for SME innovation such as the VNPI and agencies providing financial support for the same goals, such as the NTIF, can significantly improve the efforts to strengthen domestic firm absorptive capacity. Viet Nam could consider bringing the key agencies of investment and innovation ecosystems together in a joint network. In Finland, for example, this is done by bringing together all institutions relevant for business internationalisation in the Team Finland Network, that co-ordinates operations at regional, national and international level (Team Finland, 2019^[43]). Similarly in France, all agencies that are active in economic development and attractiveness regularly convene under the Team France Invest Network (Business France, 2022^[44]). Establishing such networks can not only improve the operational efficiency of agencies but also facilitate FDI by creating stronger links between the different agencies the investor works with. In Malaysia such agencies meet in councils and working groups under the framework of National Fourth Industrial Revolution strategy (Prime Minister's Department, 2023^[45]). Another way to foster inter-institutional alignment is establishing links between agency staff by ensuring other agency representative presence in board meetings. In Portugal, the SME and entrepreneurship agency (IAPMEI) sits in the board of the national innovation agency (ANI) (OECD, 2022^[46]).

Viet Nam would benefit from establishing regular information exchange between provincial IPAs as well as ensuring clear co-ordination mechanisms between national, regional and provincial level agencies. Given the high provincial disparities in FDI attraction and the practice of providing provincial level investment incentives in addition to national ones, there persists a risk of inconsistent messaging to investors, duplication of government services and furthering of regional disparities. These risks can be mitigated by co-ordination across regional IPAs on priority sectors and industries, as done in 29% of OECD IPAs (OECD, 2023^[41]). FIA should play a key role in designing regionally balanced and targeted national investment policies, however, to do so it should have access to the data collected on FDI by the provincial authorities and the economic zones. The Provincial Innovation Index, introduced by MoST in 2024 is a good practise example that allows national authorities to gain a more granulated insight in performance of policies across provinces (MIC, 2024^[47]; MoST, 2024^[48]).

Collaboration of agencies on a supra-national level is good practice for knowledge exchange among implementing agencies. APED, responsible for SME support in Viet Nam, is a member of ASEAN Access, ensuring shared regional expertise and extending the available support services targeted at SMEs (ASEAN Access, n.d.^[49]). Co-operation with agencies in other countries in the region can prove beneficial also to facilitate productivity enhancing FDI given the practice of investors first screening potential investment regions before settling on a country (GIZ, 2020^[50]). The ASEAN Access portal which provides information for foreign investors on matchmaking events across the region as well as market access information by country is a welcomed and good practice. Creating partnerships with other agencies in the region also by agencies directly responsible for investment policy, can increase efficiency of investment promotion efforts. EU's Interreg initiative showcases how co-operation across IPAs can not only serve as a platform for exchanging knowledge and best practices, but it is also a useful tool to integrate regional value chains and improve MNE access to them (European Commission, 2024^[51]).

Box 2.4. Co-ordination on investment promotion and facilitation: The Invest in Holland Network

The Netherlands Foreign Investment Agency (NFIA) operates as a department in the Ministry of Economic Affairs and Climate Policy while its activities take place under the umbrella of the Netherlands Enterprise Agency (RVO). In 2021, there were 28 NFIA offices abroad, including own premises in countries of strategic importance for FDI attraction, as well as agency representatives located across the Dutch embassies and consular offices. Although the agency has no subnational offices, it manages the Invest in Holland Network, which comprises 14 organisations, including regional development agencies, city administrations and other non-profit entities. The network aims to provide a continuum of support services to foreign investors and connect them with the right public and private sector partners depending on the type and location of their investments. The Invest in Holland Strategy 2020-2025 describes the policy areas for which the network operates jointly while indicating that each partner is free to undertake complementary investment promotion activities in line with their own priorities. In the period 2015-2019, approximately 1 800 investment projects were successfully completed with the help of the Invest in Holland Network, with a total investment value of EUR 12 billion and having created or maintained approximately 57 000 jobs.

The network is co-ordinated through the National Acquisition Platform (NAP), which is chaired by the NFIA Commissioner, and includes representatives of each organisation. Members meet once per quarter to discuss on the basis of joint short-term activity plans, take stock of progress in achieving FDI targets and evaluate the implementation of the Invest in Holland Strategy. Throughout the year members benefit from networking and knowledge sharing events as well as brainstorming meetings on how “working together” can be further simplified. To ensure consistency in the quality of services provided to foreign investors, the Invest in Holland Academy has been established to provide courses and seminars for new employees that join one of the 14 organisations as well as for more senior members and investment promotion staff located in the Dutch diplomatic missions abroad.

Investment prioritisation takes place through inter-agency Focus Teams that work on promoting investments in high-priority activities (ICT, Agri food, Life sciences and health, sustainable energy). Focus Teams hold regular meetings with companies and research institutions operating in various industries with the aim to identify new investment opportunities. They are also responsible for monitoring the business climate and bringing opportunities and threats to the attention of policymakers. For instance, in 2019, the Focus Team ICT, with NFIA and 5 regional partners, developed various value propositions, drew up target lists and visited conferences and events to generate new investment leads. Thanks to these efforts, a total of eight high-quality ICT investment projects were attracted in 2019.

The increased attention that investment generation activities receive in the Netherlands is reflected in the annual resources dedicated for that purpose. Roughly 70% of the NFIA resources are spent to find and guide potential initial investments, 20% of them are spent to find and guide potential follow-up investments (i.e. maintaining and expanding activities), 5% is spent for the role of the NFIA in the Invest in Holland network (i.e. co-operation between regional partners) and 5% to collect feedback from foreign companies on opportunities for improvement of the business climate.

Source: OECD based on NFIA (2020^[52]), Evaluatie van de NFIA 2010-2018, <https://open.overheid.nl/repository/ronl-2342ca2e-27ee-4da1-a407-ea24af4d63ad/1/pdf/bijlage-evaluatie-van-de-nfia.pdf>, and NFIA (2020^[53]), Invest in Holland Strategie 2020-2025, <https://open.overheid.nl/repository/ronl-1b3f0055-62a6-4757-80e7-7f32236d8f43/1/pdf/bijlage-invest-in-holland-strategie.pdf>.

2.4.3. Aligning Viet Nam's strategies and action plans on investment, innovation, entrepreneurship could improve policy coherence

Ensuring that national strategies promote a whole-of-government approach to FDI, productivity, and domestic enterprise innovation is instrumental in creating a coherent policy framework. To establish a long-term approach to technology transfer, FDI perspectives should be integrated in domestic entrepreneurship strategies and vice versa. Coherent strategies with clear, measurable, and adequately funded goals support the setting of direct objectives and tracking their fulfilment. They also can help to assign responsibilities across agencies and define specific actions for implementation.

The objective of strengthening domestic enterprises is included both in investment and trade promotion strategies; aligning these strategies could support fulfilling this objective. *The Strategy for Foreign Investment Cooperation 2021-2030* reflects the government's ambition to leverage FDI to boost productivity and innovation (Prime Minister of Viet Nam, 2022^[54]). Similarly, the project *Encouraging Vietnamese Enterprises to Participate Directly in Foreign Distribution Networks by 2030* aims to strengthen links between domestic and foreign enterprises and improve the capacity of domestic enterprises (Prime Minister of Viet Nam, 2022^[55]). While the latter project outlines more specific actions for agencies to build these connections, it does not refer to the strategy where the policy framework for these actions was designed. Nor do they mention the *Strategy for Domestic Trade Development by 2030*, despite its focus on enhancing domestic enterprise innovation and integration in global value chains (GVCs) (Prime Minister of Viet Nam, 2021^[56]). Creating synergies between efforts to increase domestic firm exporting capacity and supplier capacity to FDI enterprises could foster a more systematic approach, given their similar preconditions. Firms can internationalise either by creating linkages with MNEs or directly exporting themselves. However, in practice, those that build technological capacity and foreign market knowledge often pursue multiple paths simultaneously, meaning that openness to trade can also enhance firm opportunities to benefit from FDI spillovers (Havranek and Irsova, 2011^[57]; Qiang, Liu and Steenbergen, 2021^[58]). Strengthening strategic coherence across these efforts would therefore be beneficial.

While strategies on industrial development acknowledge the importance of technology transfer from MNEs, they often fall short from outlining specific actions necessary to achieve this goal. It is referenced in at least four of the strategies relevant for FDI spillovers on productivity and innovation, summarised in Box 2.5. These strategies include broad directions that have proven to facilitate technology and knowledge transfer, such as strengthening ties between academic and entrepreneurial ecosystems through cluster formation or strengthening intellectual property rights (Williams and Pouder, 2020^[59]; Fioravanti, Stocker and Macau, 2023^[60]; Falvey and Foster, 2006^[61]). However, despite recognising FDI's role in entrepreneurship and innovation, there is a systemic lack of outlining specific actions to foster these synergies. Clearly outlining planned policies, assigning tasks to ministries and agencies, and setting measurable targets for each would enhance their effectiveness.

Box 2.5. National strategies with implications for FDI impacts on productivity and innovation

Strategy for foreign investment co-operation for the period 2021-2030 aims to attract FDI projects with high added value that expand technology usage in the domestic market. It also aims to increase Vietnamese domestic enterprise involvement in GVC and emphasises promotion of technology transfer between foreign and domestic firms (Prime Minister of Viet Nam, 2022^[54]).

Resolution on orientations towards improvement of regulations and policies to enhance quality and efficiency of foreign investment by 2030 was adopted in 2019. It is a broad strategy which identifies the challenges in the current FDI framework, including incentive inconsistency and lack of FDI company integration with the domestic economy. It proposes solutions to these challenges by pointing to policy areas where improvements are required (Central Committee, 2019^[62]).

Strategy for domestic trade development by 2030, with visions towards 2045 was adopted in 2021 with the objective to grow domestic trade, limit dependence on MNEs and increase domestic company participation in GVC. Strengthening the skills of workforce, strengthening SMEs and investing in infrastructure are outlined as tools to achieve these goals (Prime Minister of Viet Nam, 2021^[56]).

Project for encouraging Vietnamese enterprises in directly participating in foreign distribution networks by 2030 was adopted in 2022 with the objective to develop and expand Viet Nam's import and export markets. The strategy focuses on supporting Vietnamese enterprises to become active participants in GVC by providing market information, training and consultation services and matchmaking opportunities (Prime Minister of Viet Nam, 2022^[55]).

National strategy for 4th Industrial Revolution was adopted in 2020 to encourage economy wide adaptation to new technologies. Its primary objectives are to improve the business environment for adaption of new technologies. It also sets objectives for increasing Viet Nam's innovation capacity, developing an e-government and growing the digital economy (Prime Minister of Viet Nam, 2020^[63]).

National Technology Innovation Programme to 2030, adopted in 2021 provides a framework for improving the contribution of science, technology and innovation to economic growth. It also lays out the tasks of assisting SMEs in innovating and facilitating technology transfer from science and technology organisations (MOST, 2021^[64]).

Strategy for development of Science, Technology and Innovation by 2030 adopted in 2022 sets objectives for increasing innovation in high technology sectors. The strategy is aimed both at universities and enterprises and recognises the necessity of synergies between both to facilitate technology transfer from FDI enterprises (Prime Minister of Viet Nam, 2022^[65]).

Strategy for breakthrough in the development of science, technology, innovation and national digital transformation adopted in December 2024, focuses on strengthening Viet Nam's technological potential with the aim to restructure the economy. Its key objectives are strengthening technological innovation in universities, research centres and enterprises, by providing the necessary infrastructure and conducting institutional, policy and regulatory reforms. Knowledge transfer from FDI enterprises to the local economy is also considered key to foster innovation (Central Executive Committee, 2024^[66]).

Including clear deadlines and quantifiable milestones could strengthen the governance framework for FDI, productivity, and innovation. While Viet Nam's strategies contain both general and specific objectives, some rely on achieving broad macroeconomic indicators, such as industry contribution to GDP or global rankings (Prime Minister of Viet Nam, 2020^[63]; 2021^[56]; 2022^[54]). Setting overarching goals is valuable but accompanying action plans should include measurable targets assigned to specific institutions to better guide implementation. For example, the *Project for Encouraging Vietnamese Enterprises to Participate Directly in Foreign Distribution Networks by 2030* sets a clear target for the number of

enterprises to receive training (Prime Minister of Viet Nam, 2022^[55]). Such concrete metrics offer institutions a defined objective within a set timeframe. Expanding the use of such targets would support effective implementation of broader strategic goals.

Viet Nam could use government strategies to clarify institutional responsibilities and improve accountability. While most strategies include an implementation section naming responsible ministries, these responsibilities are often vague and overlapping. Strategies would be more effective if they specified the responsible agencies and clarified their roles, rather than using broad terms like “relevant agencies”. This is especially important given the many institutions with overlapping mandates in FDI and innovation policy (see Figure 2.17). Accountability is easier to ensure when responsibilities are concrete such as assigning the Ministry of Finance to “promote NIC activities aimed at innovative start-ups” or directing the SME Development Fund to “increase the rate of supporting capital” rather than broadly instructing agencies to “take charge and co-operate with relevant entities” (Prime Minister of Viet Nam, 2020^[63]; 2022^[54]). Setting out clear expectations for specific agencies can help to ensure targeted and systematic implementation.

Viet Nam would benefit from explicitly embedding co-ordination mechanisms between agencies and ministries in its FDI and innovation strategies. Many strategies relevant to FDI spillovers into domestic entrepreneurial productivity (summarised in Box 2.5) emphasise the need for cross-ministerial co-operation, yet they rarely outline concrete co-ordination mechanisms – one exception is the establishment of the Council for Science, Technology and Innovation. Embedding co-ordination efforts directly into strategies can improve implementation and prevent agencies from working in silos. For example, if a strategy aims to incentivise technology transfer, it should involve institutions responsible for SME absorptive capacity, IPR enforcement, and FDI facilitation. Specifying how these institutions will interact is essential for achieving broad, cross-cutting policy goals.

Integrating monitoring and evaluation (M&E) mechanisms into strategies is essential to track output delivery and goal achievement. M&E mechanisms in FDI-related innovation strategies are often vague. For example, the *Strategy for Foreign Investment Cooperation* required the Ministry of Planning and Investment (now MoF) to submit a single report during the 10-year strategy period and annually inform the Prime Minister on implementation (Prime Minister of Viet Nam, 2022^[54]). Embedding more frequent and detailed evaluations for each specified solution is critical to ensuring full implementation. Moreover, as many strategy objectives are expressed through economic indicators, regularly tracking these metrics is key for assessing progress and enabling timely corrective action if needed.

2.4.4. Viet Nam has significantly liberalised market access, but there is still scope to ease regulatory restrictions in certain knowledge-intensive sectors

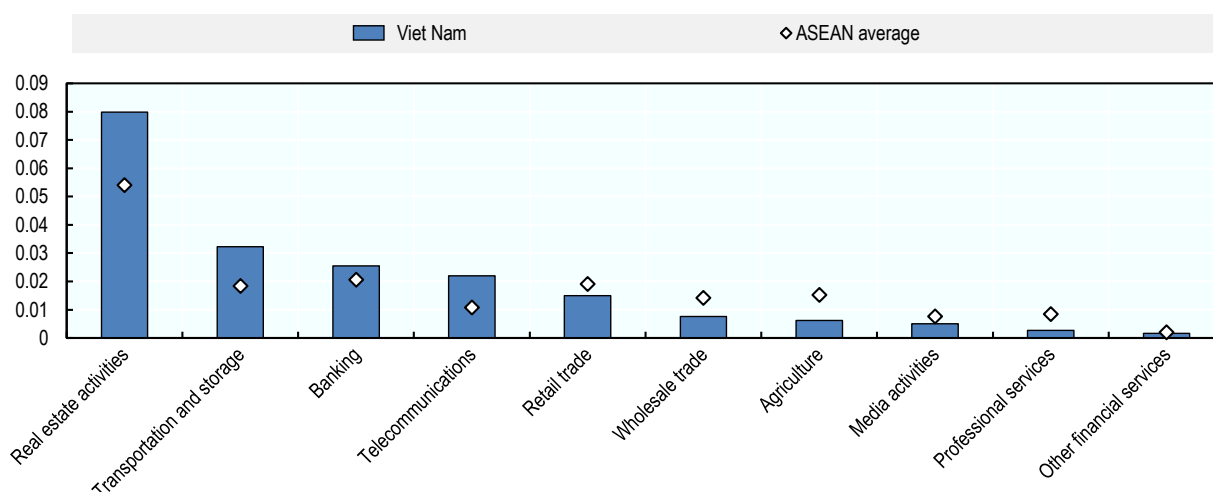
Viet Nam has gradually opened its economy to investors over the past three decades, yet there is room to further improve market access. Since the *Doi Moi* reforms in 1986, Viet Nam has considerably opened its economy, although the pace of liberalisation has slowed in recent years. According to the OECD FDI Regulatory Restrictiveness Index (FDIRRI), market access restrictions in Viet Nam now are lower than in other economies in the region (OECD, 2024^[67]). However, foreign firms still face higher restrictions in Viet Nam than in OECD countries. The most recent substantial improvement of Viet Nam’s FDIRRI performance resulted from the entry into force of the 2014 Law on Investment, which adopted a “negative list” approach to foreign investment. The 2020 revision of the law retained this approach while narrowing the list to 25 sectors fully closed to foreign investment and 59 sectors subject to conditions (Government of Viet Nam, 2021^[68]; National Assembly, 2020^[69]). Despite these reforms, barriers to foreign entry remain the main contributor to Viet Nam’s FDIRRI score.

Viet Nam could further ease FDI restrictions in selected knowledge-intensive services sectors to attract more diversified and high-value investment. While the country has made notable progress in liberalising high-tech manufacturing – removing most restrictions in sectors such as computer and

electronic products, electrical equipment, pharmaceuticals, and chemicals – barriers remain substantial in several services sectors. In particular, data localisation requirements, limitations on foreign commercial presence, and market access restrictions continue to constrain FDI in telecommunications, financial services, and transport. According to the OECD FDI Regulatory Restrictiveness Index, these sectors rank among the most restricted and correspondingly attract lower levels of FDI (World Bank, 2024^[70]). Significant restrictions also remain on investment in real estate; though the potential for innovation spillovers is limited in this sector. Telecommunications and banking, along with media and transportation services, are among the 59 sectors subject to specific conditions for foreign entry under Viet Nam's current legal framework (Government of Viet Nam, 2021^[68]). Easing restrictions in these areas – particularly where peer countries have already moved towards more open regimes (see Figure 2.18) (OECD, 2024^[67]) – could help Viet Nam unlock greater FDI-driven productivity gains in services.

Figure 2.18. Cross-sector comparison of FDI Regulatory Restrictiveness Index, 2023

Open to FDI = 0, closed to FDI = 1



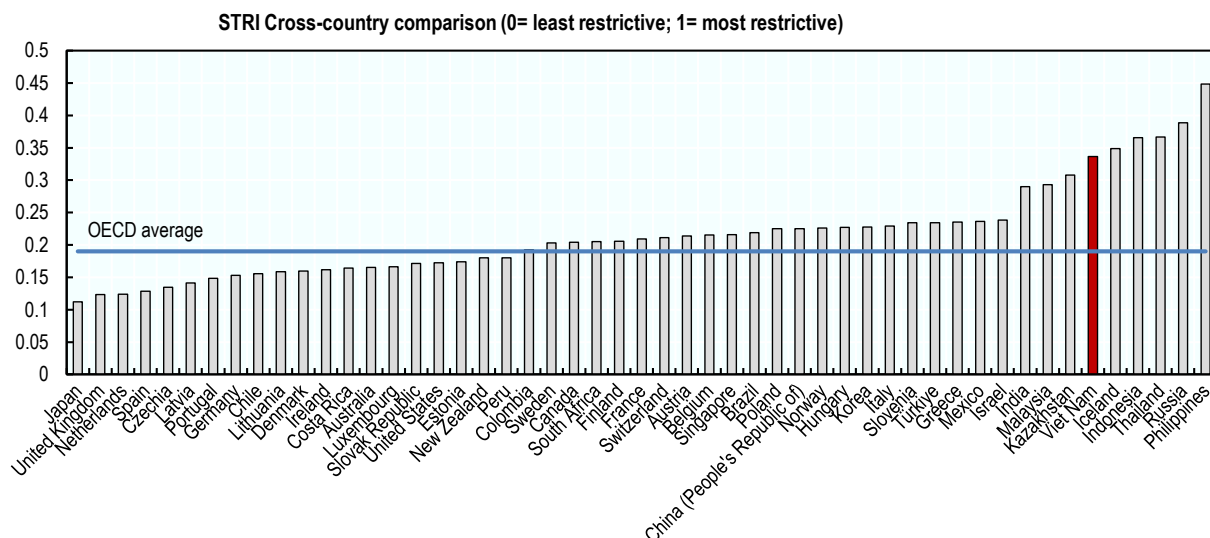
Source: OECD (2024^[67]), FDI Regulatory Restrictiveness Index, www.oecd.org/en/topics/sub-issues/sustainable-investment/fdi-regulatory-restrictiveness-index.html.

Regulatory barriers in knowledge-intensive services can have far-reaching negative effects on economy-wide productivity and innovation. Cost-efficient and high-quality service inputs – particularly in sectors such as telecommunications, finance, logistics, and insurance – are essential for strengthening the productive capacities of both manufacturing and services firms (OECD, 2025^[12]; 2022^[71]). Evidence from India shows that increased competition in services has led to productivity gains in manufacturing sectors that rely on these inputs (Arnold et al., 2016^[72]). In Viet Nam, however, both foreign entry restrictions and behind-the-border regulatory burdens limit the competitive provision of key service inputs. The Services Trade Restrictiveness Index (STRI) indicates that Viet Nam maintains a higher level of regulatory restrictions than most OECD countries, particularly in banking, insurance, telecommunications, and logistics (see Figure 2.19) (OECD, 2025^[73]). These are also the sectors where the FDI Regulatory Restrictiveness Index identifies the most significant barriers to foreign investment.

Reducing behind-the-border barriers in these services could increase competition and improve access to quality service inputs for both foreign and domestic firms. Regulatory complexity – including licensing requirements, restrictions on cross-border data flows, and the limited operational space for foreign firms – raises compliance costs and can deter innovation (Aghion, Bergeaud and Van Reenen, 2023^[74]). Moreover, the dominant position of state-owned enterprises in several of these sectors limits

market contestability and reinforces structural barriers to entry (OECD, 2025^[12]; World Bank, 2024^[75]). Addressing these constraints would not only attract higher quality FDI into services, but also raise productivity across the broader economy by enabling more efficient service delivery to domestic firms.

Figure 2.19. Services trade restrictiveness index, 2024



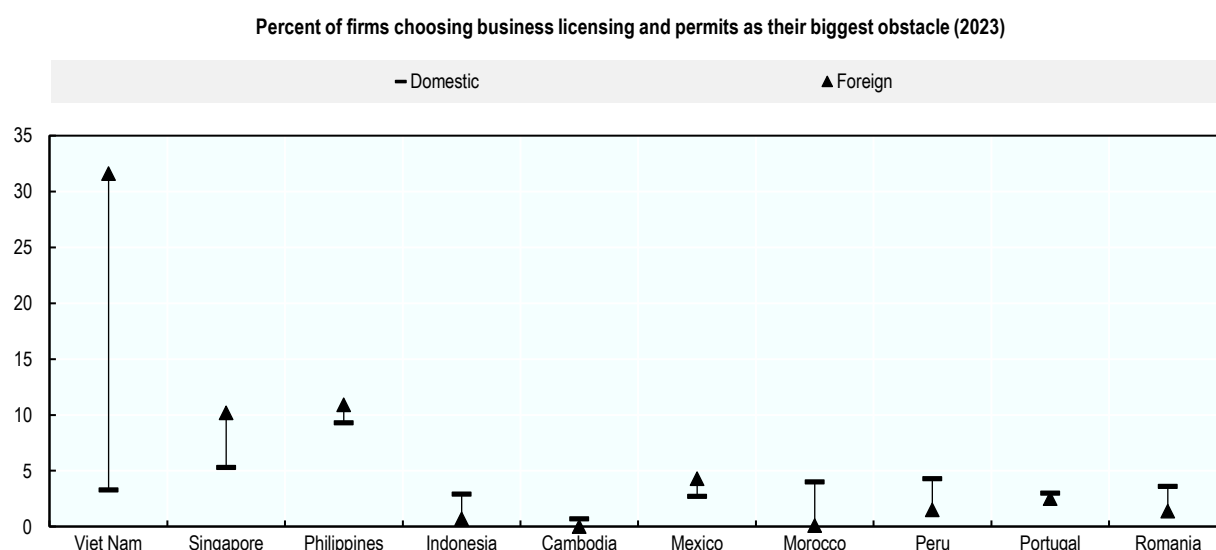
Note: The STRI indices take values between zero and one, one being the most restrictive. The STRI database records measures on a Most Favoured Nation basis.

Source: OECD (2025^[73]), Services Trade Restrictiveness Index,

<https://www.oecd.org/en/topics/sub-issues/services-trade-restrictiveness-index.html>.

Regulatory complexity continues to hinder market access for foreign firms. The 2024 adoption of the Law on Investment reduced the number of business licences subject to conditional investment from 247 to 143. Foreign firms in Viet Nam view licensing and permits as a significantly greater obstacle than domestic enterprises (Figure 2.20). This may be due to complexities in the process of obtaining investment registration certificates and land use permits for brownfield investments. Additional regulatory barriers that Viet Nam could consider removing include time limits on property ownership for foreigners and the requirement that at least one company manager be a resident of Viet Nam. Regulatory uncertainty is further compounded by inconsistencies in the interpretation and implementation of the Law on Investment across provinces, leading to variation in registration timelines and the quality of administrative support. Provinces with more streamlined regulatory practices such as Da Nang have attracted more new business registrations compared to those with higher regulatory barriers such as Lai Chau (World Bank, 2024^[70]; VCCI and USAID, 2023^[76]). Enhancing the clarity, consistency and transparency of investment registration procedures across provinces would make it easier for smaller foreign innovators to enter the Vietnamese market.

Figure 2.20. Biggest obstacles for businesses in Viet Nam and comparator countries



Note: Firms with 10% or more foreign ownership are represented as foreign

Source: OECD based on World Bank (2024^[10]), Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

2.4.5. Enforcing intellectual property rights and further strengthening competition rules may support technology transfer

Despite establishing a national intellectual property right (IPR) framework and aligning it with international standards, enforcement remains a significant challenge. Viet Nam's 2005 Intellectual Property Law, amended in 2009, provides the legal framework for intellectual property protection, while the 2019 National Strategy on Intellectual Property with a Vision to 2030 provides guidelines for the framework's future (Prime Minister of Viet Nam, 2019^[77]; National Assembly, 2009^[78]). Viet Nam is a signatory of multiple international IPR agreements, such as the Paris Convention for the Protection of Industrial Property, the WTO Trade-Related Aspects of Intellectual Property Rights (WTO TRIPS) Agreement, the World Intellectual Property Organization, the Patent Cooperation Treaty, the Madrid Protocol and The Hague Agreement concerning the International Deposit of Industrial Designs (OECD, 2021^[79]). However, challenges exist in the enforcement and implementation of intellectual property laws and regulations (ITA, 2024^[80]; OECD, 2021^[79]). Ranking 85 out of 125 countries in the International Property Rights Index, which measures the institutional and policy landscape for physical and intellectual property right regime, Viet Nam underperforms in judicial independence and copyright protection (Property Rights Alliance, 2024^[81]). It has also been listed on the Watch List in the United States Trade Representative's Special 301 Report, which annually reviews the global state of IPR protection and enforcement, for over a decade due to the lack of criminal investigations and prosecutions in copyright offense cases (Office of the United States Trade Representative, 2024^[82]; ITA, 2024^[80]).

Strengthening the enforcement of IPR is crucial to facilitate productivity enhancing investment and technology transfer to Vietnamese enterprises. Viet Nam's Technology Transfer Law itself requires the technology transfer to happen in accordance with regulations of the Law on Intellectual Property, thus it is key to enforce the Law of Intellectual Property for the legal landscape of technology transfer to be meaningful (National Assembly, 2017^[83]). Technology intensive firms are reluctant to transfer their activities to countries with weak IPR enforcement. Thus, innovation spillovers from foreign to domestic firms is stronger in economies with higher levels of IPR enforcement (Yi et al., 2015^[84]; Andrenelli, Gourdon and Moïsé, 2019^[85]). IPRs create strong incentives for innovation as they ensure that investors earn a fair return on their technological innovations. Consequently, their enforcement is particularly important for technology intensive investments which have the highest prospect for spillover to the local economy. IPRs

can generate revenues from licences, encourage partnerships, or create a market advantage and be the basis for productive activities (OECD, 2022^[71]).

Viet Nam could strengthen IPR enforcement by improving familiarity of IP law across relevant agencies, strengthening co-ordination among them, and establishing a specialised IP court. Since the Criminal Code of 2018 there has been limited guidance to Economic Police, the People's Procuracy, and the Court on how to conduct criminal prosecution for IP infringement (National Assembly, 2015^[86]; Office of the United States Trade Representative, 2024^[82]; Eurocham, 2024^[87]). Yet raising awareness and increasing knowledge among enforcing agencies is necessary to ensure that every day practises reflect the law. Furthermore, improving co-ordination and communication among these agencies is important to ensure fair, equitable and consistent enforcement practises (Andrenelli, Gourdon and Moïsé, 2019^[85]). To further strengthen judicial authority and thus the investor confidence, Viet Nam should streamline the bureaucratic mechanisms for enforcement. One option to do this is to continue the work on establishing a specialised IP court, which could ensure faster case-handling timelines and equip judges with the necessary expertise to handle IPR cases (National Assembly, 2024^[88]). This could in turn improve the consistency in the enforcement landscape and encourage property right holders to pursue litigation.

Viet Nam could further strengthen competition rules to foster technology and knowledge transfers from FDI. Competition rules are necessary to ensure a level playing field for foreign and domestic firms—they are both necessary to facilitate the entry of foreign firms while also incentivising domestic firms to innovate and improve product quality (OECD, 2022^[71]). With state-owned enterprises accounting for approximately 40% of Viet Nam's GDP, there is scope to improve competition, particularly in the transportation sector (OECD, 2025^[12]). With bank-specific credit growth targets still in place, barriers to competition also exist in the banking sector, which is necessary to improve credit allocation across the economy. The lack of clarification between state as an owner and regulator of the same companies limit competition in multiple service sectors (OECD, 2025^[12]; World Bank, 2024^[75]). The establishment of a National Competition Commission is a welcome development (Government of Viet Nam, 2023^[89]). Empowering the Commission to act against public and private companies that abuse their market power, could strengthen competition and thus give potential for new firms to enter the market.

2.4.6. Recently international trade and investment agreements include innovation and SME provisions

Integrating innovation and SME provisions in international investment agreements can strengthen domestic innovation capacities and promote technology transfer. The inclusion of such provisions in free trade agreements (FTAs) and international investment agreements (IIAs) specifically with regards to encouraging enterprise co-operation on technology and innovation has become more popular also in the Asia-Pacific region (OECD, 2022^[71]; WTO, 2016^[90]; Qian and Zhang, 2024^[91]; Stone, Kim and Engen, 2017^[92]). Since often such provisions are found in the chapters on intellectual property, the agreements can be leveraged to strengthen the domestic legal framework and prevent IPR policy reversal, thus indirectly strengthening the technology transfer potential and the innovation ecosystem.

Among Viet Nam's wide network of bilateral and plurilateral trade and investment agreements, the most recently concluded ones include science, technology and innovation provisions and provide incentives for further improvements of Viet Nam's IPR framework. The Regional Comprehensive Economic Partnership (RCEP), EU Viet Nam Trade and Investment Agreement (EVFTA) and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) all include chapters on intellectual property that stipulate the need for enforcement and protection of IPRs. CPTPP's intellectual property chapter is explicitly based on the principles of a) promoting innovation and creativity, b) facilitating diffusion of information, knowledge, technology, culture and the arts, and c) fostering competition and open and efficient markets. Entering these agreements can support Viet Nam's regulators in their efforts to strengthen the IPR framework as well as Vietnamese companies in co-operating on innovation.

Establishing working groups on IPR, as stipulated in EVFTA, or further co-operation mechanisms for intellectual property offices as stipulated in CPTPP, are good mechanisms that Viet Nam should use to strengthen its IPR framework. Amendments of the Law on Intellectual Property in 2019 and 2022 indicate that FTAs and IIAs can have a positive impact on the domestic regulatory framework, however Viet Nam should continue its efforts to strengthen enforcement (National Assembly, 2019^[93]; 2022^[94]; Anh and Thao, 2019^[95]). While Viet Nam, together with Malaysia and Singapore compared to other signatories exhibit relatively high intra-CPTPP co-operation on R&D, the CPTPP provides further opportunities to increase such co-operation among enterprises (Tan, Xie and Zhang, 2023^[96]).

Recently signed FTAs and IIAs also include SME specific provisions, giving possibility for enhancement of international collaboration in strengthening SME absorptive capacities, which are an important determinant of knowledge and technology spillovers from FDI. The CPTPP and RCEP agreements include separate chapters on SMEs and stipulate the need to ensure information provision through the establishment of easily accessible websites for SMEs that include information on how they can benefit from the agreements and international collaboration. In EVFTA, the need to ensure regulatory predictability for SMEs is stipulated in the Transparency chapter. It is important that Viet Nam honours such commitments within these agreements to support SME integration in GVCs increase their capacity to collaborate with foreign multinationals. Similarly, as with the science, technology and innovation and IPR framework, Viet Nam would benefit from leveraging the opportunities provided by the establishment of working groups on SMEs and economic and technical co-operation within these agreements.

2.4.7. FIA could further target knowledge-intensive investment in its promotion activities

Viet Nam's investment promotion policies could play a stronger role in advancing the country's strategic goal of fostering productivity and technology transfer. International evidence shows that investment promotion agencies (IPAs) are more effective when they target and prioritise sectors with strategic potential for spillovers and upgrading (Crescenzi, Cataldo and Giua, 2021^[97]; Miškinis and Byrka, 2014^[98]; Heilbron and Kronfol, 2020^[99]). FIA has already established criteria for promoting and prioritising investments in digital technologies, semiconductors, electronics, and software (Prime Minister, 2023^[100]), but also continues to target sectors such as agriculture and basic metals, which remain relevant for job creation and inclusive growth (Prime Minister, 2021^[101]). Attracting innovation-enhancing investment is referenced in multiple strategic documents. Identifying high-tech and medium-tech sectors where Viet Nam has existing comparative advantages, and where foreign and domestic capabilities are relatively aligned, is a step in the right direction. This may also include higher value-added segments of traditional industries such as textiles or food processing. However, FIA's mandate centres on strategy, rule-making and inter-provincial co-ordination rather than proactive investor targeting and project development. Equipping the FIA with more sophisticated investment generation tools and processes, such as structured lead generation, investor targeting systems, and aftercare frameworks, would enable more effective promotion of quality FDI. By contrast, NIC's more operationally autonomous set-up allows it to design and implement initiatives that involve foreign technology-intensive firms (NIC, 2024^[102]; 2025^[103]; 2024^[104]).

Policy emphasis should be placed on strengthening FIA's capacity to pro-actively target and generate productive and innovative investments. Granting greater operational flexibility, such as an extended mandate and an executive board with a dedicated budget, consistent with practice in several OECD and partner countries, could enable the development and implementation of strategic promotion instruments aligned with Viet Nam's productivity and innovation goals. While full autonomy may not be immediately feasible, targeted institutional leeway – dedicated resourcing, implementation responsibilities, enhanced visibility, and structured co-ordination with provincial authorities – would improve effectiveness. This will require developing modern investment generation tools and ensuring adequate financial and human resources to support their implementation. FIA's investment-generation measures can include: developing sector and value propositions that map technology-upgrade pathways; organising targeted investor missions and roadshows; pursuing lead generation for investors with engineering, design and

R&D-centre mandates; offering facilitation services that provide access to skills, site selection, research partners, testing/certification and sandbox infrastructure; co-designing with NIC and provinces supplier development and technology diffusion programmes involving lead MNEs and universities; and undertaking systematic aftercare to secure reinvestments in R&D and product/process upgrading.

Strengthening the evidence base on the impact of FDI on innovation and productivity would further support FIA in identifying and prioritising high-quality investments. FIA has already identified specific indicators related to foreign firms' R&D activities and knowledge transfer potential, which could be used to assess prospective investment projects and determine their eligibility for priority status and government support (Prime Minister of Viet Nam, 2025^[105]). This is a step in the right direction as long as it is accompanied by the necessary resources and specialised staff that can effectively undertake these assessments within FIA, especially as they can translate into special treatment such as in the form of faster replies to inquiries and tailored investment facilitation solutions. Various data sources can inform this process, including Viet Nam's Provincial Innovation Index, the Survey of Innovation in Enterprises, and innovation ecosystem reviews by NSSC and NATEC (MOST, 2022^[106]; 2024^[48]; MIC, 2024^[47]; WIPO, 2024^[107]; BambuUP Innovation Platform, 2024^[108]). Aggregating national-level data on the productivity and innovation effects of FDI would allow FIA to develop a more strategic prioritisation model based on key performance indicators (KPIs). For example, Ireland's Annual Business Survey of Economic Impact enables IDA Ireland to track FDI contributions to R&D and workforce training, supporting evidence-based adjustments in its investment promotion strategies.

Given regional disparities in investment promotion capacity and objectives, it is essential that FIA maintains a strong national co-ordination role and co-organise investment promotion campaigns together with sectoral and provincial bodies. The annual National Investment Promotion Programme, aligned with the Ministry of Finance's strategic priorities, serves as the main mechanism for transmitting national goals to provincial IPAs (Government of Viet Nam, 2021^[68]). While this process includes self-assessments from provincial agencies, variation in provincial competitiveness and regional advantages (VCCI and USAID, 2023^[76]) suggests a need for more structured dialogue and alignment. Regular co-ordination between FIA and provincial IPAs could help avoid fragmented promotion efforts, reduce inter-provincial competition, and promote more balanced FDI distribution in line with national development objectives. Similarly, strengthening complementarities between FIA and NIC could further support Viet Nam's ability to attract quality investment. Greater co-ordination – through shared targeting criteria, joint promotion activities for select high-tech and productivity-enhancing sectors, and aligned aftercare strategies – could ensure that Viet Nam captures a diverse range of FDI aligned with its multifaceted development goals. Formalising this co-ordination through thematic working groups would allow both agencies to build on their comparative advantages while reinforcing national objectives.

The recent establishment of International Financial Centres (IFCs) in Ho Chi Minh City and Da Nang (effective 1 September 2025) provides an opportunity to target and prioritise high value added investments. The IFCs are specialised zones intended to host and develop financial-services activities – banking, capital markets, insurance, asset and fund management, and fintech – alongside selected adjacent functions (e.g. greater FX flexibility among IFC participants and, subject to implementing rules, trading platforms such as commodities/derivatives or carbon). From an investment promotion perspective, the IFCs create a clearer, sector-specific value proposition to attract services FDI and diversify inflows beyond manufacturing; from an investment facilitation perspective, they signal streamlined establishment and operating procedures, dedicated governance/aftercare, and alignment with international practice. If effectively implemented, the IFCs could deepen domestic capital markets, broaden access to long-term finance (including green finance), and generate spillovers that support domestic firms' productivity and technological upgrading. Implementation will hinge on forthcoming decrees and the government's action plan led by the national IFC steering committee. To ensure effectiveness, the designated IFC authorities should clarify eligible activities and membership criteria and implement a digital one-stop procedure with explicit service commitments – such as published maximum processing times for admission/licensing and

work-permit/visa applications, named case managers, standardised document checklists, and online application tracking. National and subnational investment promotion bodies should align outreach with the IFC value proposition and establish formal referral and aftercare arrangements with the IFC authorities, while communicating predictable parameters for taxation, access to skilled workforce, and dispute resolution as implementing decrees are finalised.

Box 2.6. IDA Ireland's targeted data collection and evaluation tools for prioritising productivity-enhancing and R&D-intensive investment

IDA Ireland employs a comprehensive data collection strategy for monitoring and evaluation, with a specific focus on innovation, export, and regional development indicators. It relies on project data to address challenges related to data availability, calculating metrics such as R&D expenditures in the investment projects it facilitates. Furthermore, the agency keeps track of the number and scale of investment projects in various regions. These indicators undergo monitoring through surveys conducted by IDA Ireland's parent ministry, enabling a holistic assessment that considers both short-term direct effects and long-term indirect effects of FDI. While ensuring a thorough evaluation, there exists a potential risk of emphasising short-term, direct effects at the expense of fully capturing long-term and indirect impacts. IDA Ireland has explicitly identified increased productivity and innovation support as a strategic priority. The agency utilises R&D expenditure as a key metric in determining the prioritisation of specific investment projects. By amalgamating industry-level FDI and R&D expenditures per unit of value added into a single indicator, IDA Ireland assesses whether sectors receiving larger FDI shares exhibit higher or lower R&D intensity. This metric serves a dual purpose by not only informing prioritisation decisions but also functioning as a tool to retrospectively evaluate the effectiveness of the prioritisation strategy and overall work of the agency. The systematic recording of these applications in the CRM system over time provides a comprehensive view of the IPA's impact on Ireland's overall investment promotion and facilitation strategy, aligning with broader economic development goals.

Source: Sztajerowska, M.; Volpe Martincus, C, (2021^[109]), Together or apart: investment promotion agencies' prioritisation and monitoring and evaluation for sustainable investment promotion, <http://www.oecd.org/daf/inv/investment-policy/Investment-Insights-Investment-Promotion-Prioritisation-OECD.pdf>.

2.4.8. Investment facilitation services can be improved to encourage linkages between foreign and domestic firms

MNEs in Viet Nam have limited information about existing domestic suppliers, hindering FDI-SME linkage formation. According to OECD's Activity of Multinational Enterprises database and World Bank's 2023 Multinational Enterprises Pulse Survey, MNEs in Viet Nam source a lower share of their inputs domestically than in other countries in East Asia and Pacific region (World Bank, 2024^[75]) (see Figure 2.15). Some reasons for this include MNE dissatisfaction with the skill level and management capacity of Vietnamese firms. However, often times MNEs simply lack the information about available domestic suppliers (Akhlague, Ong Lopez and Coste, 2017^[110]). Foreign firms in Viet Nam tend to rely on their network of other foreign firms or on industrial zones to establish linkages with local suppliers, indicating that there is scope to improve the provision of knowledge of local suppliers for MNEs (Tusha, Jordaan and Seric, 2017^[111]).

Improving the quality of investment facilitation services can encourage linkages between foreign and Vietnamese firms. In 2020, with the support of IFC, Australia, and Switzerland, MoIT launched the Supporting Industry Portal, including in it a database of companies operating in the mechanical engineering, auto industry, electronics as well as textile sector. However, in the 2022 project “Encouraging Vietnamese enterprises in directly participating in foreign distribution networks by 2030” a task is outlined for establishing and maintaining an online database of industries and enterprises in the supply chain. The plan also indicates a need to integrate tools in this database that support the potential investor in analysing the information according to their needed business connection (Prime Minister of Viet Nam, 2022^[55]). In parallel, the Vietrade (2022^[32]) mission statement also indicates a goal to establish and regularly update a local supplier database. Such overlaps and information mismatches indicate that even among domestic actors there is a lack of clarity on the tools available to connect MNEs to local suppliers. Establishing one clear digital portal that provides information on local suppliers and popularising its use among all national and provincial agencies involved in the investment facilitation process is an important step to minimise the local supplier search costs for FDI companies.

The quality of investment facilitation services and thus the ability to support FDI-SME linkage formation largely depends on Viet Nam’s provincial authorities. While FIA provides strategic guidance to provincial departments of the MoF, government-business interactions take place on a provincial level, including business and investment registration and granting of land-use permits. Investors are only redirected to national level authorities in cases of significant investment amounts considered of national importance. This decentralised nature of investment facilitation can prove advantageous for encouraging linkages between foreign and domestic enterprises due to a better market knowledge of the local agencies. Yet provincial differences in investment and business registration procedures can increase regulatory complexity and prove burdensome for foreign companies. Nguyen, Sun and Welters (2024^[112]) find a significant moderating effect of the provincial institutional quality in positive spillover effects of FDI on R&D investment of domestic SMEs in Viet Nam. Thus, it is important to ensure that all provincial IPAs have the capacity to support foreign firms in establishing connections with local enterprises.

Amidst relatively high regulatory burden, Viet Nam performs well in ensuring regulatory transparency for investors. According to the ASEAN (2025^[113]) investment facilitation monitor, Viet Nam performs well in comparison to its peers in providing information on business registration and investment licensing. The success in ensuring regulatory transparency is also reflected by the STRI where despite weak performance in the restrictions to foreign entry, Viet Nam performs best in the regulatory transparency field (OECD, 2025^[73]; 2025^[114]). Transparency is ensured by the portal on foreign investment procedures, which provides information on the different provincial processes for obtaining investment certificates, opening a company or establishing co-operation contract with a Vietnamese company in one online interface (MPI, 2025^[115]). The National Investment Information System also compiles information on the conditions foreign investors must meet to invest in the 59 restricted sectors (FIA, 2025^[116]).

Box 2.7. Investment facilitation services to foster supplier linkages and R&D partnerships

Online databases of local suppliers and sector-specific opportunities

Examples of national level local supplier database include the platform operated by Hungary's National Innovation Centre, which in one digital interface combines information on all operating startups, scale ups and SMEs in the country. Created as a public private partnership, it is a good balance between quality and cost efficiency. It also provides information on investors and MNEs that have established some operations in the country. Similarly, the Irish Innovation Directory in a user-friendly interface provides a list of exporting companies that any interested party, including foreign investors, can find by filtering by sector. Another way to showcase sectors with high potential for technology transfer is by summarising the information on available investment opportunities in them alongside information on incentives and regulations affecting these sectors, as done by Egypt's Industrial Modernisation Centre (IMC). The Buy from Portugal platform is also an example Viet Nam could follow. Within this online platform the investors are provided with information on the certificates the domestic suppliers have obtained, allowing the investor to directly focus their search on suppliers meeting the standards they require. It also indicates to which markets the domestic companies are exporting already, further providing information on the relevant international standards the company has met.

Interactive maps of investment locations

Another option that Viet Nam could consider in its attempts to improve the foreign MNE knowledge of the domestic market is the provision of an interactive map that indicates all zones available for greenfield and brownfield investments in the country. Such a tool can serve as centralised source of information on investment opportunities across the country. It is suitable to facilitate the investing process for investors targeting specific locations in the country in which they seek to establish operations. Good examples of such online maps that are regularly updated include those available for investors looking to invest in Slovenia, Croatia, Sweden or Egypt. Croatia has structured its map based on the size of active business zones and the ports available near them. A useful feature of the map designed by Slovenia Business is the inclusion of the types of infrastructure available in the various investment locations. The practice of including the location of the nearest regional IPA in the map, as done in the Business Sweden's Site Finder, can further inform investors of the support services available to them. The map operated by Egypt's General Authority for Investment (GAFI) also includes a feature that enables investors to directly submit and follow up on their proposals.

Matchmaking services for foreign and domestic firms

As part of its investment aftercare services, the Portuguese investment promotion agency, AICEP, implements two programmes that help foreign investors identify local suppliers, targeting traditional SMEs as well as young innovative start-ups. The Sourcing in Portugal Initiative involves B2B meetings between foreign investors and Portuguese suppliers to identify local sourcing opportunities, while the Startups Connecting Links Programme introduces Portuguese startups to foreign MNEs to help mobilise financing and investment for the growth of the startup ecosystem. Several matchmaking platforms and local supplier databases are also in place to bring down information barriers and allow foreign and domestic firms to identify local sourcing and partnership opportunities. For instance, AICEP has developed a new platform, which relies on AI technology to deliver customised matchmaking services, while the National Innovation Agency (ANI) operates the Business and Technology Exchange platform, which serves as a single access point for Portuguese technology offers and requests.

Source: NIU (2025^[117]), Explore Hungary's innovation and startup ecosystem, <https://startupbase-hungary.dealroom.co/intro>, Enterprise Ireland (2025^[118]), Irish Innovation Directory, <https://directory.enterprise-ireland.com/vendors?limit=10>, AICEP (2025^[119]), Buy from Portugal: Portuguese Suppliers Directory, <https://www.buyfromportugal.com/export/>, Slovenia Business (2025^[120]), Invest in Slovenia- Business Locations, <https://www.sloveniabusiness.eu/invest-in-slovenia/locations/>, Invest Croatia (2025^[121]), Business Zones, <https://investcroatia.gov.hr/en/zone/>, Business Sweden (2025^[122]), Site Finder, <https://www.business-sweden.com/invest-in-sweden/online-tools/site-finder/>, IMC (2025^[123]), Industrial Modernisation Centre, <https://invest.imc-egypt.org/en>.

There is scope to improve aftercare services targeting co-operation between foreign and Vietnamese firms in higher added value activities. FIA and provincial IPAs could strengthen their relationship with MNEs by conducting investor surveys as done by 78% of OECD IPAs. This helps identify which services have been successful and where investors require further support (OECD, 2019^[124]). On the other hand, FIA could proactively support foreign firms with administrative procedures and regulatory reporting and compliance. Even if an FDI company, after relocating to Viet Nam has kept its previous suppliers, aftercare services can further expose companies to collaborations and partnerships available domestically. In Slovenia, this is conducted through the Further Growth Programme, which aims to support MNEs in addressing the challenges they face in the domestic market when they already have established their workstreams there. It also supports MNEs to create new connections with domestic suppliers in other areas where the FDI company initially preserved its foreign suppliers (Spirit Slovenia, 2020^[125]).

FIA could increase its efficiency by regularly monitoring and evaluating its investment promotion and facilitation services to identify gaps and enable corrective action. In contrast to 63% of OECD IPAs, FIA does not have a separate unit responsible for monitoring and evaluating if investment promotion and facilitation tools reached their goals (OECD, 2019^[124]; 2018^[22]). Monitoring if the investment projects the provincial IPAs have supported have had a positive impact also on the productivity and innovation of the domestic partners of the FDI company is key to identify which activities the agencies should focus on in the future. Allocating resources to M&E in long run could also save resources by enabling more efficient allocation to programmes that bring the desired benefits.

The recent adoption of a new Law on Investment strengthens investment facilitation by narrowing the scope of activities subject to prior licensing, including in several knowledge-intensive and innovation-relevant segments of the economy. Adopted by the National Assembly in late 2024 and taking effect in 2025, the new law removes business licensing requirements for 38 conditional business lines and adjusts the regulatory scope of a further 20 activities following a comprehensive review of their necessity and proportionality. While the full consolidated list of the adjusted sectors has not yet been publicly standardised across implementing decrees, the reforms extend beyond traditional low-risk activities to include selected professional and technical services and digital-economy enablers. These include, for example, data centre services supporting cloud computing and digital infrastructure, as well as specialised technical services such as energy auditing and certain forms of commercial inspection, which rely on professional standards rather than *ex ante* licensing. By shifting a wider range of activities from prior approval towards post-investment compliance and supervision, the new Law on Investment reduces administrative frictions at the entry stage and improves regulatory predictability, with potential benefits for productivity-enhancing and innovation-oriented investment, particularly in knowledge-intensive services linked to Viet Nam's digital transformation objectives.

Box 2.8. BOI Thailand's Unit for Industrial Linkage Development

Thailand Board of Investment established the Industrial Linkage Development (BUILD) unit, focusing on supporting business linkages and the utilisation of locally manufactured industrial parts. BUILD facilitates this through several initiatives.

Vendors Meet Customers: Acting as an intermediary, BUILD introduced the Vendors Meet Customers Program, bringing together vendors/parts manufacturers and customers/buyers. This initiative involves parts manufacturers visiting selected buyers' plants, providing them with insights into the overall processes. This interaction facilitates the initiation of business relationships, allowing parts manufacturers to supply components to buyers. Simultaneously, buyers gain valuable information about potential new suppliers, contributing to sourcing suitable parts locally and benefiting from reduced difficulties, cost savings, and time efficiency in the procurement process.

Marketplace: BUILD created a marketplace to serve as a comprehensive sourcing centre, connecting buyers and parts manufacturers. In this platform, buyers showcase sample parts, present their procurement policies, and outline parts requirements. The marketplace streamlines the sourcing process for buyers seeking localised parts and components, resulting in easier procurement, cost reduction, and time savings.

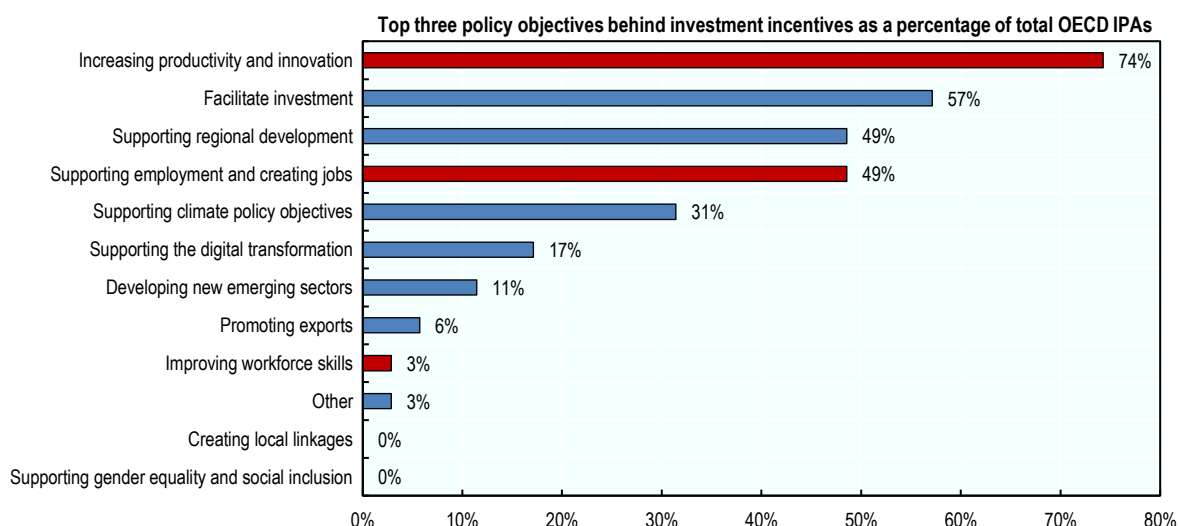
Sourcing Service: BUILD offers a sourcing service to aid both Thai and foreign buyers in locating parts and components in Thailand. Upon receiving inquiries, BUILD identifies potential suppliers based on buyers' requirements. The supplier information is then submitted to buyers for screening and approval. Additionally, one-on-one meetings can be arranged for buyers to individually discuss their needs with potential suppliers, enhancing the efficiency of the sourcing process.

Source : BOI, (2025^[126]), BUILD programme, <https://build.boi.go.th>.

2.4.9. Viet Nam provides investment incentives targeting productive and knowledge intensive FDI, but their design can be improved to increase their effectiveness

Within Viet Nam's generous tax incentive framework, some incentives target investments in knowledge-intensive activities. Similarly to the OECD countries (see Figure 2.21), increasing productivity and innovation is among the top three policy objectives underlying Viet Nam's investment incentive framework. Incentives targeted at this goal are provided mainly by the 2020 Law on Investment, its accompanying decision prescribing special investment incentives, and the amended Corporate Income Tax Law of 2025 (National Assembly, 2020^[69]; Prime Minister, 2021^[127]). However, investment incentives for high-technology activities and R&D are only one part of the wide incentive framework that also supports textile industry, steel products and processing of agricultural products among other sectors (FIA, 2020^[128]). Viet Nam should ensure that the incentives provided in these sectors support productivity increases within them. This could be done by targeting investments in higher value-added segments within these value chains. Considering the wide array of sectors where incentives are provided, Viet Nam should remain mindful of potential government revenue losses linked to overly broad and inefficient frameworks and thus keep its investment incentive framework aligned with its strategic goals (OECD, 2018^[129]; IMF, 2023^[130]).

Figure 2.21. Top 3 policy objectives of investment incentives in Viet Nam in relation to OECD IPAs



Note: Viet Nam's top three policy objectives are in dark red.

Source: OECD based on OECD (2024^[131]), The Role of Incentives in Investment Promotion: Trends and Practices in OECD Member Countries, <https://doi.org/10.1787/e3338264-en>

Reducing the reliance on tax incentive framework could contribute to attracting more investment in knowledge-intensive activities. Evidence from developing countries shows 58-98% of firms receiving incentives would have invested in the respective countries regardless (James, 2013^[132]). Tax incentives are not among the top factors driving investment decisions. Instead, skilled labour availability, market size, and growth prospects matter more (Johnson and Toledano, 2022^[133]). Viet Nam would therefore benefit from reducing reliance on its complex tax incentive scheme to attract and retain quality FDI. Instead, it could also explore the potential of non-financial incentives. The 2024 adoption of the Law on Investment introduces a special investment procedure that reduces the project commencement timeline for investments in R&D centres, semiconductor industry and other high-technology fields is one example of welcomed developments in this direction (National Assembly, 2024^[134]).

FIA could play an instrumental role in increasing the transparency and clarity of investment incentives available in Viet Nam. Another reason why complex tax incentive schemes are less likely to achieve their intended objectives, is the unclear administrative procedures investors must navigate. This is particularly challenging for smaller innovative firms and startups lacking legal capacity to identify incentives dispersed across various ministry and agency websites. According to the OECD IPA survey, FIA does not appear to have a complete overview of the full scope of investment incentives provided in Viet Nam. This contrasts with 80% of OECD IPA's, who report an extensive awareness of the full spectrum of incentives available in their countries (OECD, 2024^[131]). The three key principles FIA can follow to improve transparency of available incentives are: ensuring information availability, providing access to the relevant legal basis, and presenting it in a clear manner (OECD, 2023^[135]; World Bank, 2022^[136]). For example, FIA may envisage creating an online platform which consolidates information on the various incentives provided by different agencies and ministries to support investments in the knowledge economy.

Box 2.9. Policies to improve transparency of investment incentives

Invest Bulgaria Agency (IBA) Incentive Calculator

The Investment Incentive Calculator is an online portal providing incentive assessments to prospective foreign investors based on the provisions of the Investment Promotion Act. By filling an electronic information form with the main characteristics of the investment project (size, economic sector, expected jobs creation, location) potential investors receive information on available incentives in Bulgaria and administrative procedures for application.

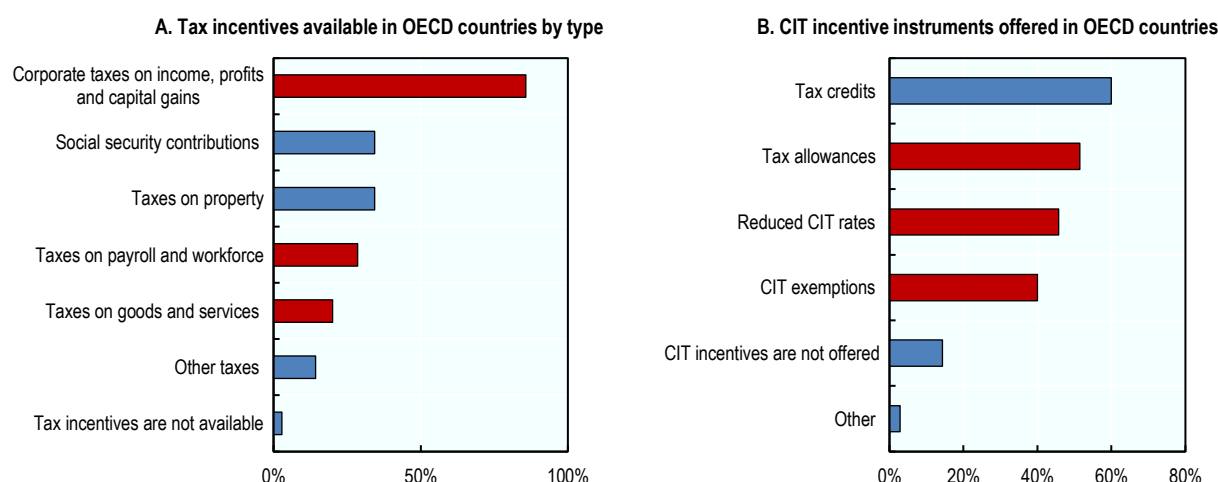
Czech Invest digital interface on incentive availability and effectiveness

In Czechia, the IPA homepage includes detailed information on all available incentives by category that allows investors easily identify what they could qualify for. The website also features a tool that highlights in which regions and to what extent incentives are used, including information on the business sector, the origin country of investors and number of new jobs created. This feature not only supports Czechia in ensuring incentive transparency, but it also ensures prudent spending of public funds since information of effectiveness of incentives is publicly available.

Source: OECD based on IBA (2024^[137]), Investment Calculator, <https://investbulgaria-virtualoffice.com/services/calculator>, Czech Invest (2025^[138]), Investment Incentives, <https://czechinvest.gov.cz/en/For-Investors/Investment-Incentives>.

Viet Nam should continue its shift towards expenditure-based R&D incentives. In OECD countries, expenditure-based incentives (tax credits and allowances) are more commonly employed than income-based incentives (CIT exemptions and reduced CIT rates), with 60% of OECD economies using tax credits and 51% using tax allowances (see Figure 2.22, Panel B). Conversely, Viet Nam continues to rely on income-based incentives to stimulate investment. While concessions on CIT have supported Viet Nam's position as a favourable FDI destination, a shift towards expenditure-based incentives will be key to support long-term knowledge diffusion, particularly as Viet Nam aims to move to higher value-added investments. While reductions in CIT for innovative companies can still lead to increased R&D, more targeted R&D support tends to have a greater effect (OECD, 2020^[139]). It is also more likely to ensure incentive contribution towards long term infrastructure and productivity enhancement rather than short term profits of companies. A notable shift in Viet Nam's policy towards directly supporting R&D is the establishment of Investment Support Fund (National Assembly, 2024^[134]; Government of Viet Nam, 2024^[140]). While the effectiveness of the fund remains to be seen, including in its design direct support for R&D expenses as well as expenses of training Vietnamese employees and establishing social infrastructure is a welcome shift towards directly supporting productive investments. Ensuring that support is only provided for enterprises explicitly applying for it and limiting the support period to five years are also welcomed design features. The inclusion of initial investment support for projects in sectors strategically important for Viet Nam, such as AI and semiconductors, is a good example of incentive targeting.

Figure 2.22. Types of tax incentives available in OECD countries and Viet Nam



Note: Tax incentives offered in Viet Nam are in dark red.

Source: OECD based on OECD (2024^[131]), The Role of Incentives in Investment Promotion: Trends and Practices in OECD Member Countries, <https://doi.org/10.1787/e3338264-en>.

While investment incentives exist to promote technology transfer, without strengthening the domestic enterprise absorptive capacity, the efficiency of such incentives will remain limited. The tax framework provides incentives to include Vietnamese enterprises in the value chain, as well as conduct technology transfer projects to them. However, consultations with stakeholders indicate that these incentives have had limited effectiveness, since within the first year of provision, not a single company had applied to receive them. Similarly, foreign enterprises also are rewarded for establishing R&D centres in the country and employing university level researchers. Yet, for these incentives to be effective, Viet Nam must ensure that the foreign companies who wish to establish these R&D centres can then easily access domestic firms and skilled local employees to be employed at these centres. Incentives can only be as attractive as the broader investment climate is. Based on international experience, the incentive schemes that have been most successful to promote linkages and technology transfer were those that were coupled with other policy tools, such as support for domestic suppliers in targeted sectors and matchmaking with foreign firms (Sabha, Liu and Douw, 2020^[141]).

Viet Nam should monitor the use of incentives and regularly evaluate if they reach the desired outcome. Given the costs and risks associated with tax incentives, the instruments should be monitored to ensure they are adequate for addressing their target objectives. This extends to non-fiscal incentives, for example by incorporating a cost monitoring mechanism in the Investment Support Fund to ensure its success. The broader impact of incentives should also be taken on board and evaluated, extending beyond the associated costs. Understanding the effects investment incentives have on the productivity and innovation of specific firms and provinces as a whole is important to be able to adjust the framework if it is not reaching its desired benefits.

Box 2.10. Evaluating the effectiveness of incentives for R&D investment

Ex ante and ex post evaluations of R&D funding programmes in Czechia

The Technology Agency of the Czech Republic (TACR) provides a virtuous example of evaluation culture as part of the government's innovation policy. TACR's R&D and innovation funding programmes are evaluated *ex ante*, interim and *ex post*. Interim evaluation – e.g. evaluation performed in the middle-life of a programme, to assess if it is working towards its aims – is voluntary, while *ex ante* and *ex post* evaluations are mandatory. Outcome evaluations to be performed 5 years after the closure of programmes are also scheduled to be implemented soon. All the evaluation reports are publicly available online. The evaluation methodology is based on a combination of desk research, data analysis and consultation of the programmers' beneficiaries via voluntary questionnaires and surveys. Visits to unsuccessful applicants are also regularly performed. Evaluations are performed both in-house by a dedicated evaluation department and externally by contracted specialists.

Source: OECD (2024^[142]), Strengthening FDI and SME Linkages in Czechia, <https://doi.org/10.1787/4c97d104-en>.

2.4.10. Strengthening the productive capacities and innovation potential of Vietnamese firms can enhance their integration into the supply chains of foreign multinationals

It is necessary to increase the absorptive capacity of Vietnamese firms to benefit from productivity and innovation spillovers arising from supplier linkages and partnerships with foreign multinationals. Newman et al. (2015^[143]) found that Vietnamese manufacturing firms that served as suppliers for MNEs between 2009 and 2012 experienced greater gains in productivity and innovation than those that did not. Yet, domestic firms, in particular SMEs, must first develop sufficient productive capacities to acquire, assimilate and apply external knowledge and technology effectively (OECD, 2023^[144]). A case study on Samsung's mobile phone production in Viet Nam found that domestic firms must first reach a minimum capability level before being considered as suppliers (Tong, Kokko and Seric, 2019^[145]). Empirical evidence from transition economies in Europe and Southeast Asia confirms that absorptive capacity is a critical determinant of the extent to which domestic firms can capture the benefits of FDI spillovers (Sugiharti et al., 2022^[146]; Orlic, Hashi and Hisarciklilar, 2018^[147]).

Strengthening R&D efforts in domestic enterprises is instrumental to enhance their absorptive capacity – an essential condition for Viet Nam to move up the value chain by leveraging technology transfer from MNEs. Low levels of domestic firm investments in R&D limit their potential to benefit from technology transfer (Phi et al., 2024^[148]). In 2023 only 5.1% of all firms operating in Viet Nam reported R&D spending, in contrast to 13.8% in East Asia & the Pacific and 25.6% in OECD economies (World Bank, 2024^[10]). Boosting absorptive capacity requires both a shift in domestic firms' orientation towards innovation and more targeted government support. Viet Nam's public spending on R&D remains low at 0.4% of GDP – below most peer countries – with a quarter of this allocated to public research institutions such as the Academies of Sciences (OECD, 2025^[12]) (see Figure 2.4). The range of support Viet Nam could provide to incentivise R&D in SMEs is wide and can involve financing, technical assistance, training, capacity building and infrastructure provision (OECD, 2022^[149]; 2023^[144]). Viet Nam could also introduce vouchers to allow SMEs to work with Academies of Sciences in addressing their R&D challenges.

Despite the availability of multiple financial instruments to support innovation in SMEs, capital and resource constraints continue being among key challenges faced by Vietnamese firms. The SME Development Fund, operational since 2016, was created to improve access to finance for R&D and business expansion, and has since refocused to better target innovative SMEs and those operating in clusters (Prime Minister of Viet Nam, 2013^[150]; Government of Viet Nam, 2024^[151]). Similarly, the National

Technology Innovation Fund provides lower-interest loans to support innovation among SMEs. In addition, Resolution 68-NQ/TW, adopted in 2025, introduced new policies to stimulate innovative start-ups and R&D activities, including a 200% “super deduction” on R&D expenses when calculating taxable income, as well as corporate income tax deductions and funding support from science and technology funds for investments in machinery, technological innovation, and digital and green transformation. Resolution 68-NQ/TW also allows enterprises to establish their own Innovation Development Funds by deducting up to 20% of taxable income. These funds can be used by firms to conduct in-house research or to contract external research providers, creating an additional instrument to strengthen absorptive capacity and innovation activity at the firm level.

These initiatives align with Viet Nam’s broader goal of enhancing SME absorptive capacity and enabling their shift toward higher value-added activities. Recent government strategies, as discussed in Section 2.4.3, also introduce new financing mechanisms such as the Strategic Industry Development Investment Fund established under the Strategy for Breakthrough in Science and Innovation (Central Executive Committee, 2024^[66]). Although the impact of this new fund remains to be seen, 21.9% of domestic firms still cite access to finance as the most significant obstacle in doing business – matched only by concerns over informal sector practices (World Bank, 2024^[10]). Improving access to finance is crucial for small domestic firms to invest in productivity-enhancing equipment and R&D, helping them compete more effectively with foreign suppliers retained by MNEs relocating to Viet Nam.

Viet Nam could increase the uptake of financing available for SMEs by addressing challenges arising from stringent access conditions or limited awareness. While the conditions of the SME Development Fund appear to be suitable to increase innovation among domestic firms, 76% of the available funding had been provided to 56 SMEs as of mid-2025, highlighting the limited number of beneficiaries and the need to mobilise additional financing to broaden coverage and deepen support for firm-level innovation. Uptake challenges included low bank participation – due to capped interest rates that limited profitability – and low SME demand, partly because firms were still required to cover 20% of project costs (OECD, 2021^[152]). Further uptake issues included lack of awareness of the fund among Vietnamese firms and potential reporting and other compliance constraints that Vietnamese firms face during the application process. These requirements may be burdensome for less competitive and internationally exposed enterprises that do not have the internal capacities to comply with the necessary procedures. To increase uptake, certain countries offer financing with preferential provisions for SMEs and loss-making firms and organise information campaigns in collaboration with regional and municipal authorities and local chambers of commerce. Viet Nam could consider adopting similar approaches by offering more flexible financing terms for SMEs with limited collateral or lower credit ratings, and by launching co-ordinated outreach campaigns through provincial departments, business associations, and industry clusters to raise awareness of available support instruments. Tailoring application procedures to the capacities of smaller firms and providing advisory services to guide them through the process could further help ensure that public support reaches a broader and more diverse base of domestic enterprises.

Viet Nam would benefit from carefully monitoring whether its financial instruments for SME innovation are achieving their intended impact. Joint programming and the establishment of formal communication channels among ministry departments and agencies supporting SME innovation (e.g. shared customer relationship management system) to track the number of unique firms that benefit from public support could facilitate measurement of the impact of these policies. The recently established National Council for Science, Technology and Innovation could be tasked with producing an annual report that presents the actual uptake, outcomes and policy lessons from existing SME innovation support instruments. This annual report could consolidate data from various implementing agencies, identify gaps in support coverage and provide recommendations to improve the effectiveness of public programmes. Over time, such monitoring could ensure that resources are directed towards Vietnamese firms with the greatest potential for productivity gains and technology absorption.

Beyond financing, it is equally important to support SMEs that lack the technical capacity and human capital to innovate and become successful partners of global R&D firms. While the SME Support Law includes provisions for training (National Assembly, 2017^[153]) and its 2021 revision expanded support for innovative SMEs and those operating in clusters (Government of Viet Nam, 2021^[154]), a misalignment remains between policy ambitions to promote high-tech production and the limited innovation capabilities of most Vietnamese firms (OECD, 2021^[152]). Complementing financial support with technical assistance programmes that aim to improve innovation capacity through skills upgrading and ICT adoption could help close this gap. Technical assistance should be tailored to address the specific weaknesses that MNEs report when engaging with domestic suppliers. Common barriers include difficulties in meeting international technical standards, lack of scale, and limited understanding of intellectual property rights (IPR). Training in these areas could directly address capability gaps and raise awareness of key enablers of technology transfer, such as IPR. For example, in Lithuania and Estonia, innovation agencies provide firms with consulting on patenting and IPR protection (OECD, 2023^[144]). Collaborating with MNEs to deliver sector-specific training – such as the practices of NIC and VIA – can further support SME integration into global value chains and enhance their capacity to absorb FDI spillovers. In addition, Viet Nam’s technical and vocational education and training (TVET) system currently is largely geared towards providing basic labour market skills for the unemployed (OECD, 2021^[152]), but could be adapted to support workplace-based training that improves the technical skills of the local workforce.

Viet Nam would benefit from better co-ordination between financial and technical support programmes targeting innovative and scaling SMEs. While institutions like the National Technology Innovation Fund and the National Productivity Institute (both under MoST) offer subsidised loans and technical assistance for SMEs aiming to raise their innovative capacities respectively, their efforts are not aligned. Similarly, the SME Development Fund specifically targets SME participation in clusters. In parallel the APED has technical assistance projects to support SMEs in joining clusters and value chains, yet no funding to realise the program. Aligning these complementary programmes would improve SME absorptive capacity and maximise the impact of public support.

The geographical reach of business support services should be carefully monitored to avoid negative distributional effects of FDI. The APED support for businesses currently is provided through the Assistance Centres for SMEs (commonly known as TAC) established with support of Japan’s government and the goal to strengthen enterprise productivity. They are located only in Ha Noi, Da Nang and Ho Chi Minh City (OECD, 2021^[152]). Ensuring that services aimed at strengthening SME absorptive capacity have wider geographical reach could also mitigate the negative distributional consequences of FDI effects on economy across provinces (McLaren and Yoo, 2017^[155]). Creating the National Business Portal, managed by APED, as a one-stop-shop for SMEs is a welcomed step towards ensuring access to information and technical support for SMEs across the country. The APED SME Consulting Network that connects SMEs with management, digitalisation and research commercialisation training providers could be expanded by including training providers also beyond major industrial hubs.

Recent targeted programmes to strengthen supplier capacity could be expanded. The Supplier Development Programme –initially piloted by the World Bank (2020^[156]) and later adopted by VIA– is a good example of facilitating connections between Vietnamese firms and foreign MNEs. Its advisory board, which included representatives from several ministries as well as MNEs and SMEs, helped ensure that the technical assistance provided by the programme was responsive to the needs of foreign investors. Expanding Viet Nam’s “Supporting Industry” initiatives to include upstream service suppliers and second-tier suppliers could further broaden domestic linkages and increase opportunities for knowledge and technology transfer from FDI (OECD, 2021^[152]). Combining financial support with dedicated trainings for SMEs could enhance the programme’s effectiveness. In addition, the Ministry of Industry and Trade could play an important role by establishing Industrial Development Technical Support Centres and implementing supplier development programmes that would help Vietnamese firms obtain international industrial certifications and integrate into supply chains for electronics, precision engineering and other high-tech

industries. Involving industry associations with foreign firm representation in programme design can help align support with the practical challenges MNEs face in sourcing locally. Providing targeted support to Vietnamese firms that have recently formed partnerships with FDI companies may also help deepen and diversify these linkages over time.

Box 2.11. Improving the supplier capacities of domestic firms in line with foreign MNE standards

Egypt

Egypt's Industrial Modernisation Centre (IMC) plays a pivotal role in fostering supply chain development through targeted programmes aimed at strengthening local manufacturing and integrating domestic suppliers into global and national value chains. A key initiative is the National Industrial Localisation Programme, which encourages local production of imported goods, thereby increasing domestic value-added, reducing trade deficit, and supporting the export of industrial components. IMC's National Supplier Development Programme builds on these efforts by identifying large anchor multinational enterprises, mapping their import needs, and matching them with capable local suppliers. Through gap analyses and tailored support services – including consultancy, technical assistance, and certification – IMC enables local suppliers to meet the performance standards of foreign investors, fostering supplier-MNE relationships. IMC also implements matchmaking initiatives aimed at import substitution by showcasing imported items that foreign multinationals currently rely on but could potentially source locally. IMC organises exhibitions where they display imported goods and components that are used by foreign MNEs, emphasising details about each product – such as the demand volume, product specifications, and quantities required, and attracting local suppliers, particularly Egyptian SMEs, who may have the capacity to manufacture or provide these components. The programme allows local suppliers to express interest in producing these items and creates a direct link between the demand (from companies currently importing these goods) and potential domestic suppliers.

Portugal

In Portugal, the national investment promotion agency, AICEP, and the SME Competitiveness and Innovation Agency, IAPMEI, jointly implement the Supplier Clubs programme, which is a good example of how public policy can mobilise actors across the business ecosystem to help local SMEs collaborate with foreign affiliates. The programme combines matchmaking services to help foreign and domestic firms identify collaboration opportunities and agree on jointly implemented projects; business consulting and training programmes provided by foreign affiliates to their suppliers based on an assessment of their performance; and financial support through EU-funded incentive schemes to help SMEs upgrade their technological capabilities for the implementation of the agreed joint projects.

Source: OECD (2022^[46]), Strengthening FDI and SME Linkages in Portugal, <https://doi.org/10.1787/d718823d-en>; and OECD (2026^[157]), FDI Qualities Review of Egypt: Connecting Foreign and Domestic Firms for Productivity and Better Jobs, <https://doi.org/10.1787/04ed341a-en>.

While Viet Nam has made progress in aligning its national standardisation system with international norms, further efforts are needed to help Vietnamese manufacturing firms certify the quality and safety of their products. Empirical evidence shows that Vietnamese SMEs with international quality certifications, such as ISO 9000 or ISO 9001, are more likely to export, innovate, and adopt formal business practices (Duy and Tran, 2021^[158]). Such certifications are also associated with improved financial performance, including higher return on assets and sales, particularly among firms that invest in new technologies or quality management systems. Recent analysis confirms that compliance with international standards significantly increases the participation of Vietnamese SMEs in GVCs and raises labour value-added, particularly through subcontracting relationships with foreign multinationals (Le and Chu, 2023^[159]). Currently, around 60% of standards in the national TCVN system are harmonised with international standards (MoST, 2020^[160]) and the alignment of Viet Nam's Accounting Standards (VAS)

with the International Financial Reporting Standards (IFRS) has improved financial transparency for foreign investors (Ministry of Finance, 2020^[161]). However, remaining divergences continue to pose challenges for domestic enterprises seeking to supply their goods and services to foreign multinationals operating in Viet Nam and abroad (ITA, 2024^[162]). For instance, at the government-supported “Samsung Sourcing Fair”, none of the 200 participating domestic suppliers met Samsung’s product quality requirements (OECD, 2025^[12]).

To strengthen Viet Nam’s standardisation system and increase SME adherence to international standards, targeted policy measures should be adopted across financial, technical, and institutional dimensions. First, the government could introduce a dedicated certification support scheme that provides co-financing for SMEs to obtain internationally recognised certifications (e.g. ISO 9001, ISO 14001, ISO 22000). This would help address cost-related barriers that often prevent smaller firms from pursuing certification. Second, technical assistance efforts could be scaled up by equipping agencies such as the National Productivity Institute, APED and Vietrade with a clearer mandate and additional resources to deliver sector-specific training, on-site mentoring, and advisory services related to standards implementation and compliance. Third, strengthening national quality infrastructure – including testing, metrology, and conformity assessment services – would reduce reliance on international certifiers and improve the accessibility of accredited local certification. In parallel, Viet Nam could explore mutual recognition agreements (MRAs) with key export markets to enhance the international acceptance of domestic certifications. These efforts would benefit from being integrated into a national action plan on standardisation and supplier readiness, with clear institutional responsibilities and co-ordination mechanisms across MoST, the Directorate of Standards, Metrology and Quality (STAMEQ), industry associations, and provincial governments.

Box 2.12. Ho Chi Minh City Centre for Supporting Industries Development (CSID)

The CSID operations in Ho Chi Minh City are a good example of how SME support can be leveraged in forming the linkages between MNEs and domestic enterprises. The CSID works directly with the MNEs which have decided to base their factories in Ho Chi Minh City to explore what inputs are they supplying from elsewhere and in which areas they could benefit from a domestic supplier. They then, leveraging their local market knowledge identify potential suppliers and support them both technically and financially to meet the standards required by the MNE. The CSID also co-ordinates its operations with the local industrial Ho Chi Minh City High-Tech Park and Ho Chi Minh City Export Processing and Industrial Zones Authority (HEPZA), where the MNEs tend to locate to benefit from the tax incentives discussed in Section 2.4.9 as well as further provincial incentives. Furthermore, together with these parks they also annually organise fairs to connect supporting industry representatives with foreign MNEs as well as sectoral conferences to inform local suppliers of international trends. The CSID operations are a great example that integrates combination of networking events, financial support and technical trainings with the purpose of strengthening domestic supplier capacities precisely in those areas MNEs report as necessary.

However, the financial support provided for SMEs to obtain necessary equipment, the interest rate subsidies for loans to suppliers in priority sectors, as well as the operations of the CSID itself are funded through the Ho Chi Minh City budget. While these initiatives are all welcomed and in line with the recommendations of this section, MOIT should consider the funding of such centres across the country. The centres could further specialise their support in the relevant supply chains present regionally.

Source: CSID (2025^[163]), Introduction to Ho Chi Minh City Center for Supporting Industries Development (CSID), <https://congthuonghcm.vn/gioi-thieu/>, CSID (2024^[164]), Invitation to participate in training courses to improve capacity for supporting industry enterprises in Ho Chi Minh City in 2024, <https://congthuonghcm.vn/moi-tham-gia-cac-khoa-dao-tao-tap-huan-nang-cao-nang-luc-cho-doanh-nghiep-cong-nghiep-ho-tro-tren-dia-ban-thanh-pho-ho-chi-minh-nam-2024/>.

2.4.11. Viet Nam has prioritised cluster development and technology parks; yet further investment in knowledge transfer infrastructure would enhance their effectiveness

The potential for FDI-SME linkages can be influenced by the quality of the knowledge transfer infrastructure, which may include industrial and technology parks, cluster organisations, collaborative laboratories, universities and other facilities that contribute to the creation and diffusion of knowledge through synergies. These facilities provide a physical environment for foreign firms to collaborate with domestic actors, and for local SMEs to access technological premises, equipment, manpower and activities provided by universities and public research institutions that they could not afford independently. Firm-level studies show that geographic proximity is a key factor enabling FDI spillovers on the innovation of domestic firms (Huang and Zhang, 2020^[165]; Wang and Wu, 2016^[166]; OECD/UNIDO, 2019^[167]; Tong, Kokko and Seric, 2019^[145]).

Viet Nam has stepped up its policy efforts to support cluster development. Decree No. 32/2024/ND-CP, effective from 2024, provides a framework for the establishment, management, and development of industrial clusters across the country and in several sectors, including knowledge-intensive ones such as electronics, digital technology, and ICT (Government of Viet Nam, 2024^[168]). The Decree establishes a procedure for provinces to develop cluster development plans, offers investment incentives, and improves infrastructure within industrial clusters, particularly in socioeconomically challenged areas. Under this policy, the government supports up to 30% of the total investment capital required for technical infrastructure construction in industrial clusters, with a focus on environmental protection and the development of essential shared facilities. The decree also emphasises the importance of linking industries, specialisation, and the preservation of traditional crafts within these clusters. By encouraging the relocation of SMEs and co-operatives to designated industrial clusters, the policy seeks to foster synergies among businesses, and facilitate access to shared resources. In addition, SMEs that operate in clusters and are a part of GVC are also financially rewarded through the SME Development Fund.

Moving forward, financial and technical support for cluster development will need to be complemented by public-private dialogue, regular consultations and regulatory reform plans that address market failures in clustered industries. Viet Nam should closely monitor how the new administrative procedures under Decree 32 impact the formation of clusters and aim to scale up support mechanisms for SMEs seeking to access clusters and collaborate with FDI firms. For instance, matchmaking events and capacity-building to help SMEs meet the operational standards and demands of foreign companies should be among the cluster activities supported by the new government support schemes. Challenges may also arise in the effective implementation of these policies, including the need for improved co-ordination among local authorities, adequate funding, and the development of skilled labour to meet the demands of clustered industries. Portugal's Sectoral Pacts for Competitiveness and Internationalisation represent a good example of how such collaboration among various sectoral stakeholders could take place, by integrating clear-cut targets, a diverse range of support instruments – including reforms to the regulatory environment – and a robust monitoring and evaluation framework to ensure the alignment of government initiatives with regional and sectoral needs (see Box 2.13).

Viet Nam has made significant efforts to leverage industrial and technology parks as tools to attract productivity-enhancing and knowledge-intensive FDI. By the end of 2024, the country had 447 established industrial parks with a total natural land area of about 134.6 thousand hectares, playing a particularly important role in boosting Viet Nam's industrial capacity (Oqubay, 2025^[169]). Of these, 304 industrial parks were in operation and 143 industrial parks were under construction. In addition, 19 coastal economic zones covering 877 600 hectares had been set up nationwide. These facilities have attracted more than 11 200 foreign and 10 600 domestic investment projects, with total registered capital of USD 292.9 billion and 126.1 billion respectively. Realised investment reached around 59% of registered foreign capital and 45% of domestic capital, highlighting both the scale of mobilisation and the scope for further deepening implementation. Empirical evidence shows that sectoral innovation and knowledge spillovers

within Viet Nam's industrial clusters are strongest when companies operate inside the industrial parks (Nguyen and Nguyen, 2024^[170]). Looking ahead, the government has signalled its intention to diversify the model of industrial park development. New types of parks – including high-tech, supporting-industry, specialised and eco-industrial parks – are encouraged to attract investment in high-tech and strategic sectors, and to accelerate the application of science, technology and digital transformation within industrial and economic zones (Resolution No. 57-NQ/TW; Resolution No. 71/NQ-CP; Decree No. 35/2022/ND-CP) (National Assembly, 2024^[134]).

As Viet Nam seeks to leverage industrial parks as enablers of knowledge exchange and technology transfer, further investments in infrastructure may support this goal. While most industrial parks are developed by Vietnamese developers, those built by foreign developers and under joint ventures tend to be larger in scale and better equipped with infrastructure and research facilities (Oqubay, 2025^[169]). The government's renewed focus on strengthening R&D infrastructure within parks is encouraging and could potentially address these infrastructure disparities. The 2024 amendment to Article 36 of the 2020 Law on Investment simplifies registration procedures for companies investing in innovation and R&D centres located within industrial parks, export-processing zones, high-tech zones, centralised IT zones, free trade zones, and functional areas of economic zones (National Assembly, 2024^[134]). Furthermore, the government of Viet Nam has undertaken targeted infrastructure investments to facilitate operations of high technology enterprises. The specialised focus of the Ho Chi Minh City High-Tech Park and the establishment of training centres and research laboratories within it, supported not only the capacity building on domestic firms, but also established linkages between them and FDI enterprises (OECD, 2018^[129]). Further making public investments in industrial park infrastructure and encouraging private investment in R&D facilities should be continued. For instance, in the Suzhou Industrial Park of China, the establishment of a testing laboratory for the endurance of electronic products, helped to transform the industrial park into a high-tech hub where thousands of innovative start-ups invest in R&D and develop their products using the parks facilities (UNIDO, 2019^[171]).

Viet Nam could further encourage linkage formation between foreign and domestic firms within industrial parks by prioritising information services and capacity building. As the number of industrial parks continues to increase to attract FDI, policymakers should ensure that their operations are aligned with Viet Nam's strategic ambitions and that domestic companies operating inside and in proximity to the parks benefit from technology transfer opportunities (ERIA/OECD, 2024^[172]). While tax incentives are offered to companies operating in IT and high-tech parks, information services, networking platforms and capacity-building may be more suitable to support domestic SME operations in these parks. In a case study on Quang Trung Software City industrial park Nguyen et al. (Nguyen et al., 2022^[173]) found that only 10 out of 165 IT companies operating in the park were engaging in informal networking activities. In addition, industrial parks and zones process important data on the type of FDI they receive. Sharing this information with the provincial IPAs and ensuring that it is also available to provincial departments of Industry and Trade responsible for SME and industrial policy development would allow these agencies to better react and connect FDI firms with domestic suppliers. Since the industrial parks are focused on attracting large enterprises, emphasis could be also placed on creating space for small domestic enterprises and innovative startups which could benefit from collaborations with foreign multinationals (CSID, 2025^[174]).

Box 2.13. Cluster development policies in selected OECD economies

Ireland's Regional Technology Cluster Fund

Enterprise Ireland established a Regional Technology Cluster Fund to increase the number of companies engaged in clustering and expand SME participation. The programme aimed to strengthen collaboration between enterprises and regionally based knowledge providers, such as institutes of technology and technical universities. Twelve education outreach managers were appointed to these institutions to engage with MNEs, SMEs, and start-ups in their assigned sectors. By fostering collaboration, the fund supported enterprises in developing marketable technologies, products, and services. Financial support was directed toward R&D projects, helping SMEs become cluster members, and funding networking events. In addition, the programme provided technical assistance to build hard and soft skills, including knowledge transfer, intellectual property management, and leadership training.

Slovakia's cluster certification programme and working group on cluster development

The Slovak Republic currently has 16 certified cluster organisations, spanning several industries (e.g. IT, automotive, engineering, plastic products, and tourism). In recent years, the Slovak Innovation and Energy Agency (SIEA) and the Ministry of Economy have increased the resources dedicated to support business networks. There has been also greater involvement of cluster organisations and their representatives – such as the Union of Slovak Clusters – in the design of public support programmes. In 2020, a working group consisting of the SIEA and representatives of industrial clusters was involved in the preparation of a Business Networking Support Scheme. In 2018-2020, more than 23 Slovak clusters were awarded a certificate of excellence by the European Secretariat for Cluster Analysis (ESCA). This was possible through a SIEA certification programme that helps clusters improve their organisational capacities and join international networks. The SIEA also operates a monitoring platform, which includes presentations of clusters, data on their contribution to the socio-economic development of Slovak regions as well as information on national and international support programmes.

Support for competitiveness and internationalisation of Portugal's clusters

Since 2017, the Portuguese SME Competitiveness and Innovation Agency, IAPMEI, has recognised 18 industrial clusters to enhance collaboration among companies, academia, and research institutions, helping SMEs pursue smart specialisation, overcome performance bottlenecks, and provide feedback to government agencies on the implementation of effective SME policies. The clusters were also eligible for financial support through the Portugal 2020 Incentives Scheme, which provided financial incentives for collective actions, networks and other forms of business-to-business and science-to-business partnerships. In 2019, "Sectoral Pacts for Competitiveness and Internationalisation" were signed between the Ministry of Economy and Digital Transition and some of the recognised clusters. The Pacts take the form of a mutual agreement between the government and the clustered industries and provide a framework to strengthen their innovation and internationalisation, including: measures that promote industry 4.0; training and skills development programmes; innovation activities; actions to promote the brand and strengthen the attractiveness of Portuguese clusters; and targeted reforms in the regulatory environment to address barriers to innovation and internationalisation in specific sectors and value chains. A Monitoring Committee was also set up to ensure the implementation of the agreements.

Source: OECD (2022^[175]), Strengthening FDI and SME Linkages in the Slovak Republic, <https://doi.org/10.1787/972046f5-en>, Enterprise Ireland (2024^[176]), Regional Technology Clusters, <https://www.enterprise-ireland.com/en/supports/regional-development/regional-technology-clusters>, IAPMEI (2021^[177]), Clusters de Competitividade: Pactos para a Competitividade e Internacionalização, <https://www.iapmei.pt/getattachment/PRODUTOS-E-SERVICOS/Empreendedorismo-Inovacao/Eficiencia-Coletiva-e-Clusters/BrochuraClusters04052021.pdf.aspx>.

Viet Nam could better leverage its universities to attract R&D investments and promote industry-science partnerships. The presence of specialised universities in sectoral and regional cluster organisations can support the transition from lower value added activities to a technology-driven economy by supporting regional specialisation (Lee, 2021^[178]). Ensuring the presence of universities and R&D centres within clusters can also support research commercialisation and bring Vietnamese innovators and researchers closer to foreign investors. Certain universities and research centres have established co-operation agreements with foreign multinationals. Samsung R&D centres have co-operated with the Posts and Telecommunications Institute of Technology (2023^[179]), the Ho Chi Minh City University of Technical Education to organise workshops on talent development and deliver technology-focused courses (Samsung Viet Nam, 2025^[180]). Recent policy efforts have set ambitious targets with the aim to increase the number of researchers in science, technology and innovation to 12 per 10 000 people by 2030 (Central Executive Committee, 2024^[66]). The programmes implemented by the National Agency for Technology Entrepreneurship and Commercialisation Development (NATEC) in partnership with universities, are welcomed and could be expanded (ULIS, 2022^[181]). However, stakeholder consultations suggest that heavy bureaucracy and lengthy contracting procedures often prevent universities from effectively using funds allocated for co-operation with the private sector. This can discourage private companies from engaging with universities and limits the commercialisation of research outcomes.

Future policy efforts should therefore focus not only on providing incentives to universities to engage with external stakeholders, in particular the private sector, but also on streamlining administrative processes and updating infrastructure and laboratories so that collaboration can take place more effectively. The government could consider establishing institutional contracts that tie a portion of higher education funding to specific performance criteria such as developing activities related to innovation promotion and entrepreneurship development, implementing R&D projects with foreign multinationals, and partnering with cluster organisations and technology parks.

Resolution No. 57-NQ/TW of 2024 and Resolution No. 68-NQ/TW of 2025 should further strengthen the role of public research infrastructure and innovation ecosystems in supporting private sector development. Private enterprises and organisations are now allowed to access state-owned laboratories, testing rooms and shared research equipment at reasonable fees, helping SMEs reduce costs while benefiting from high-quality facilities. At the same time, the State is prioritising public investment in innovation centres that provide incubation, research, testing and technology transfer services to support start-ups and private sector innovation. These initiatives, if combined with efforts to modernise university infrastructure and ease access to collaborative spaces, could play an important role in broadening access to innovation resources. By addressing both the regulatory and physical barriers to collaboration, Viet Nam can ensure that universities and public research institutions become more effective anchors of regional entrepreneurial ecosystems and stronger partners for domestic and foreign investors.

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3

Leveraging FDI in support of digital transformation

This chapter analyses opportunities and challenges associated with leveraging investment to support Viet Nam's digital transformation. It assesses the contribution of foreign direct investment (FDI) to the digital economy, examining its impact on digital technology adoption, communications infrastructure development, and job creation in digital sectors. The chapter also reviews Viet Nam's investment and digital policy frameworks, providing targeted recommendations on policy reforms to enhance investment attraction and bolster the development of the digital economy.

3.1. Summary and main policy recommendations

Foreign direct investment (FDI) has become an important driver of Viet Nam’s digital transformation, with digital FDI rising sharply in both absolute and relative terms over the past decade. Greenfield investment in digital sectors—particularly ICT goods and electrical components—now represents a substantial share of total FDI inflows and has contributed significantly to productivity growth, export expansion, and job creation. In 2023 alone, digital greenfield FDI accounted for 45% of total FDI inflows, up from 24% in the previous decade. However, digital FDI remains heavily concentrated in hardware-oriented sectors, while investment in telecommunications and digital services has declined, falling from 8% to just 1% of total digital FDI. Despite improvements in mobile connectivity, Viet Nam continues to underperform in attracting FDI in ICT infrastructure, which remains at just 1% of total inflows—well below the ASEAN average. Foreign firms are playing a disproportionately large role in Viet Nam’s digital economy, not only in terms of output and exports but also through relatively strong local sourcing practices that could support technology diffusion. While digital FDI has historically generated high levels of employment, job intensity is declining as investment shifts toward more capital-intensive activities.

Viet Nam has made notable progress in building an institutional and strategic framework to support digital transformation and attract investment in digital sectors. The 2024 government restructuring streamlined responsibilities by placing most digital policy agencies under the Ministry of Science and Technology (MoST), which now oversees both regulatory and promotional functions related to the digital economy. This centralised model reflects institutional arrangements found in nearly half of OECD and partner economies and offers potential for improved policy coherence. However, overlapping agency mandates and limited inter-ministerial co-ordination continue to hinder effective implementation. At the strategic level, Viet Nam has adopted multiple national strategies focused on digital transformation, innovation, and FDI attraction, each with defined objectives and measurable indicators. Despite this strong commitment, co-ordination challenges persist, with unclear linkages between key institutions such as the Foreign Investment Agency (FIA) and high-level digital policy bodies. As digital FDI continues to rise, it will be important for Viet Nam to further strengthen institutional co-ordination, clarify agency mandates, and ensure that investment promotion bodies are meaningfully engaged in digital policy dialogue to translate digital investments into broad-based technological upgrading and inclusive economic growth.

Viet Nam has made meaningful progress in liberalising foreign investment in manufacturing-related digital sectors, particularly electronics and ICT equipment, which has helped position the country as a key player in global value chains. However, restrictions in digital services remain relatively high, especially in telecommunications and media. Foreign ownership in telecom infrastructure is capped at 49%, and investment in broadcasting and press is largely prohibited. These barriers contribute to Viet Nam’s comparatively high FDI restrictiveness in digital services, limiting the country’s ability to attract investment in higher value-added digital activities. While new legislation such as the 2024 Telecommunications Law and Decree 163 has created more flexible conditions for cloud and OTT services, infrastructure licensing remains heavily centralised and skewed toward state-owned incumbents, limiting competition and slowing infrastructure deployment.

At the same time, Viet Nam’s evolving data governance framework –anchored in the Cybersecurity Law, the Personal Data Protection Decree (PDPD), and the forthcoming Data Law—has introduced important regulatory standards but also created compliance burdens for foreign digital firms. Data localisation requirements and unclear rules on cross-border transfers have increased operational uncertainty, particularly for cloud-based and platform-driven business models. Recent institutional reforms have centralised digital policy functions under the Ministry of Science and Technology (MoST), but overlapping mandates and limited regulatory independence continue to hamper policy coherence. Further liberalising market access in digital services, clarifying data regulations, and establishing an independent telecom regulator could strengthen Viet Nam’s position as a competitive destination for digital FDI and support the broader goals of its digital transformation strategy.

Viet Nam has made digital economy development a strategic priority in its investment promotion and facilitation efforts. The Foreign Investment Agency (FIA) and provincial investment promotion bodies have increasingly prioritised digital sectors –such as e-commerce, cloud services, and software development– with the share of staff and resources allocated to these areas rising significantly between 2018 and 2023. Promotional activities now include support for digital clusters, incubators, and innovation hubs, and rely on a growing, though still limited, use of digital tools such as webinars and virtual fairs. While key procedures for business establishment and investment authorisation are now available online, gaps remain in service integration and digital payment options. Viet Nam lacks a fully unified investor portal or single window, and digital platforms are not yet leveraged for broader policy consultation or aftercare. Addressing these gaps—particularly through improved co-ordination with FIA and more systematic stakeholder engagement—would strengthen ability to attract and retain digital-intensive FDI.

In parallel, Viet Nam has introduced one of the most generous digital investment incentive regimes in the region, aimed at positioning the country as a hub for high-tech and innovation-driven activities. Recent reforms to the Investment and Corporate Income Tax Laws, as well as the adoption of the Law on Digital Technology Industry, provide multi-year tax holidays, preferential tax rates, and reduced land rental fees for qualifying projects in strategic digital sectors such as AI, semiconductors, and cloud computing. Larger projects can benefit from CIT rates as low as 5% for up to 37 years and land rent exemptions for more than two decades. Complementary measures include fast-tracked licensing procedures, financial support from the forthcoming Viet Nam Fund for Investment Support, and extended residence permits for foreign digital experts. These incentives are reinforced by the expansion of high-tech parks offering automatic eligibility and administrative facilitation. However, the effectiveness of these incentives depends on transparent implementation, clear eligibility criteria, and performance-based conditions that ensure alignment with national development objectives.

Viet Nam has taken important steps to develop a digitally skilled workforce in support of its growing digital economy and efforts to attract higher-value FDI. A whole-of-government approach has led to the rollout of national platforms such as One Touch and the Digital Literacy Platform, which provide online and in-person training opportunities across sectors and geographies. Ambitious goals have been set—for example, for 80% of the working-age population to acquire basic digital skills by 2030—and targeted programmes have been launched for strategic sectors like semiconductors, where shortages of highly skilled labour remain a growing concern globally and in Viet Nam (OECD, forthcoming^[11]). Collaboration with multinational enterprises (MNEs), including training partnerships, further contributes to the development of digital skills aligned with global standards. Gaps remain in implementation, especially in ensuring regional access, reducing university–industry collaboration barriers, and promoting digital training within small and medium-sized enterprises (SMEs). Limited digital capabilities in domestic firms continue to constrain technology diffusion and reduce the potential for linkages with foreign investors. While the government has introduced support schemes to promote digital adoption among SMEs, awareness remains low and many firms lack access to the tools and guidance needed to navigate available programmes. Enhancing co-ordination between relevant ministries, improving outreach through a centralised digital platform, and facilitating greater engagement between MNEs and domestic firms—particularly in innovation and skills development—would help close these gaps and support a more inclusive and innovation-driven digital transformation.

Box 3.1. Policy recommendations

- **Strengthen institutional accountability and cross-sectoral co-ordination in digital policy** by considering the potential benefits of consolidating agencies with partly overlapping mandates, such as NATEC and SATI, and reducing fragmentation within MoST's digital policy apparatus. Consider establishing a dedicated working group on digital investment involving FIA, NIC, NSSC, NATIF, and other relevant agencies to align digital economy goals with investment promotion and regulatory implementation.
- **Focus on the effective implementation of existing digitalisation strategies** to ensure regulatory certainty for investors, including Resolution No. 57-NQ/TW of 2024, Resolution No. 68-NQ/TW of 2025, and the Digital Economy Strategy. Develop annual action plans under the co-ordination of a designated inter-ministerial body—such as the Committee for Science, Technology and Digital Transformation—and publish regular implementation reviews to improve transparency, coherence, and investor confidence.
- **Clarify and strengthen the role of FIA in both investment promotion and facilitation for the digital economy**, by mandating it to co-ordinate with VIETRADE, NIC, NSSC, and provincial IPAs, including on investor aftercare. This includes leading targeted promotion efforts in strategic digital sectors, streamlining facilitation services for digital investors, and improving internal capabilities to engage with fast-evolving technologies and firm needs.
- **Reduce regulatory barriers for FDI in digital sectors, particularly in telecommunications**, by eliminating remaining foreign ownership limits and structurally separating regulatory and commercial functions within MoST. Strengthening the independence and mandate of the Telecommunications Authority would enhance regulatory credibility and competitive neutrality in a concentrated market.
- **Clarify and streamline rules for data localisation, cybersecurity, and digital services** to reduce compliance burdens and legal uncertainty for foreign investors. Implementation guidance for the Digital Technology Law should prioritise policy coherence across ministries, particularly in domains overseen by MoPS, MoST, and Defence agencies.
- **Improve the design, targeting, and evaluation of investment incentives for digital sectors**, with a stronger orientation toward high-quality FDI, by introducing clearer eligibility criteria and linking incentives to measurable outcomes such as technology transfer, domestic supplier development, R&D and workforce development, and establishing mechanisms for periodic performance reviews. Incentives should be complemented by broader innovation and skills policies to ensure they translate into inclusive and sustainable digital upgrading.
- **Enhance the digital facilitation capacity of Viet Nam's investment climate** by expanding the use of integrated digital tools (e.g. one-stop portals, online application tracking, virtual consultations), and by addressing remaining gaps such as fragmented online payment systems. Full end-to-end digitalisation of investment processes would improve service quality and responsiveness, especially for digital sector investors.
- **Leverage digital FDI to support workforce upskilling and reskilling**, particularly in areas such as semiconductors, AI, and digital services. Promote co-investment models between MNEs and public agencies like NIC in training centres, and reduce administrative barriers that limit university–enterprise collaboration in workforce development initiatives.
- **Accelerate the digitalisation of domestic firms to foster linkages with foreign technology companies and enhance participation in FDI-led supply chains**, by creating a user-friendly centralised portal that consolidates access to financial and non-financial support. Improving awareness and uptake of government programmes would allow more SMEs to meet the digital capability thresholds required for international partnerships.

- **Leverage Viet Nam’s vibrant tech start-up ecosystem to attract FDI in digital sectors**, by institutionalising co-operation between FIA and NSSC to identify high-potential start-ups and promote them to international investors. Dedicated matchmaking platforms, investment showcases, or joint innovation challenges could help scale successful ventures and deepen FDI–start-up synergies.

3.2. The contribution of FDI to digital transformation

Foreign investment can play a pivotal role in accelerating digital transformation by introducing new technologies, fostering knowledge transfer, and building local digital capabilities. MNEs can play a central role in this process by investing in broadband networks, cloud computing, and data centres, which expand connectivity and provide the backbone for digital services (OECD, 2026^[2]). They can also contribute to digital adoption in traditional sectors, modernising industries such as manufacturing, finance, and logistics through automation, data-driven decision-making, and new business models. By collaborating with foreign MNEs, domestic firms can be exposed to new digital standards and technologies that they need to adopt to remain competitive (Box 3.2). As local firms become more digitally integrated, these partnerships boost productivity and foster broader digital innovation, driving the shift to a knowledge-based, tech-driven economy. In this chapter, digital services refer to activities such as telecommunications services, cloud computing, data centre services, digital platforms, e-commerce, fintech, and other ICT-enabled service activities, in contrast to ICT manufacturing activities such as computers, semiconductors, and electronic components.

3.2.1. FDI in Viet Nam’s digital economy is increasing and predominates in ICT manufacturing

Alongside Viet Nam’s broader openness to FDI, greenfield investment into digital sectors has increased significantly over the past two decades. As in many peer economies, the relative importance of digital sectors has accelerated over the last ten years (see Figure 3.1, Panel A). Greenfield FDI in Viet Nam’s digital sectors rose significantly, accounting for 24% of total inflows in 2014–2024, up from just 9% in 2003–2013. In 2023, greenfield FDI in digital sectors reached the highest point so far with influx of 14 779.1 USD million accounting for 45% of total FDI inflows during that year. This trend mirrors global developments, where investment in digital activities is growing increasingly fast partly driven by the digital acceleration associated with the COVID-19 pandemic. Globally, digital FDI has experienced 25% growth between 2019 and 2023, compared to a 16% increase during the 2014–2018 period (OECD, forthcoming^[3]). In Viet Nam, as in other ASEAN economies, the recent growth has been particularly pronounced. Most ASEAN countries have at least doubled the share of digital investment in their total greenfield FDI compared to the previous decade. In 2024, greenfield FDI in digital sectors accounted for 42% of total greenfield FDI in Viet Nam and 55% in ASEAN overall.

Digital transformation is increasingly important in shaping Viet Nam’s FDI landscape. The increase of digital FDI is evident both in absolute terms and as a share of total FDI, underscoring the growing strategic role of digital investment within Viet Nam’s FDI-led development model (see Figure 3.1, Panel B). Since 2021, improvements in several digital transformation indicators –including internet speed, data centre expansion and the technological skills of the labour force– have been increasingly associated with higher overall FDI inflows in Viet Nam (Tran et al., 2025^[4]). While this can be explained with the operations foreign MNEs undertake in digital sectors, it is also paramount to consider the effects of digital intensive activities in traditional sectors. For instance, 55% of foreign firms in Viet Nam have their own website relative to 44% of domestic firms (World Bank, 2023^[5]).

Box 3.2. The OECD FDI Qualities Indicators 2024: digital transformation in the spotlight

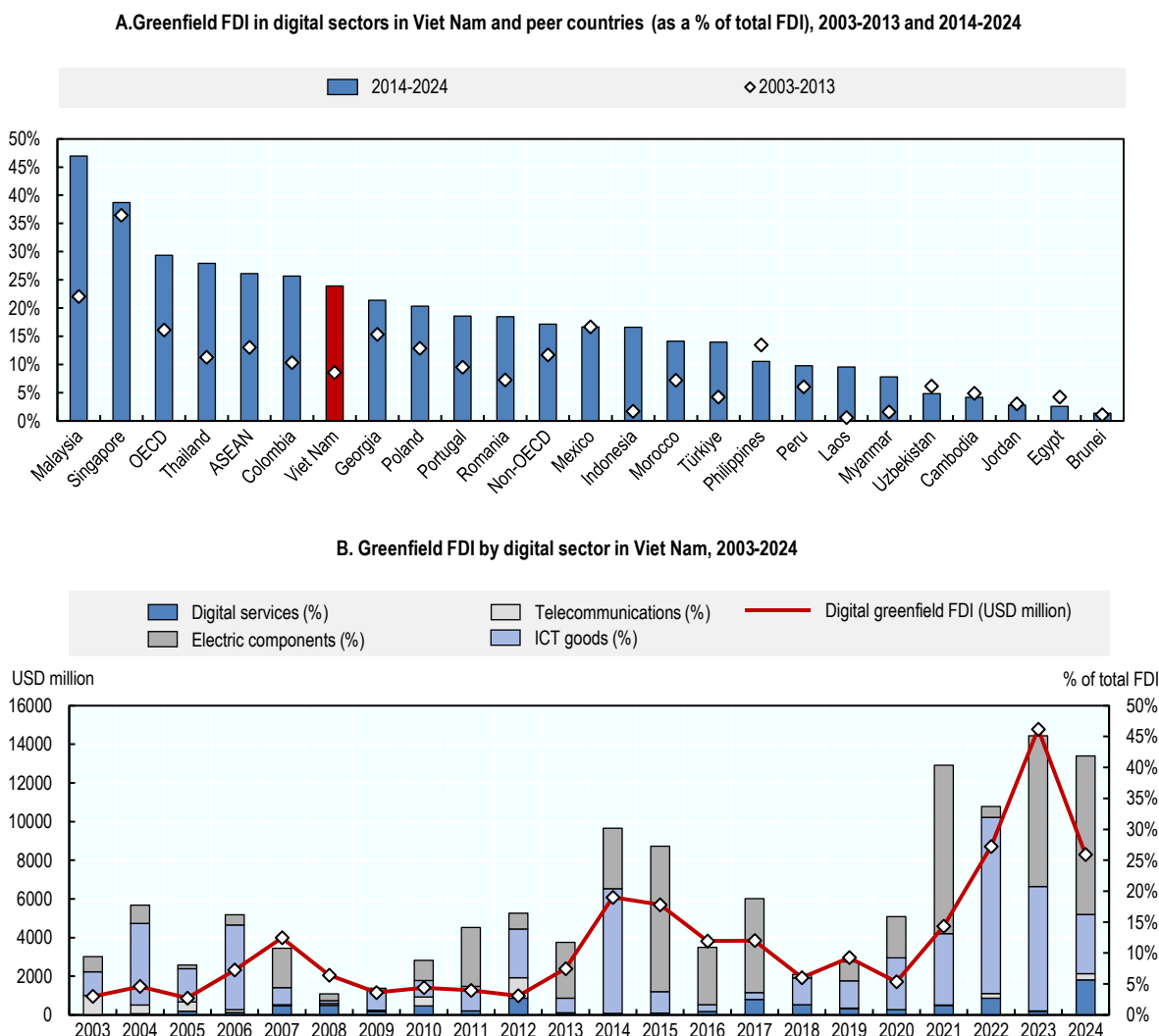
With a substantial increase in the financing gap to meet the SDGs, and the urgent need to accelerate investment to combat climate change and support the green and digital transition, FDI is even more important. The FDI Qualities Indicators provide governments with essential data to gauge FDI's impacts on the economy across four areas: decarbonisation, gender equality, job quality and upskilling, productivity and innovation. The first edition of the indicators was published in [2019](#) and the second in [2022](#). The 2025 edition includes a new impact area with indicators dedicated to the contribution of FDI to the digital transformation. The new indicators support and complement the policy framework on investment in digital transformation.

Covering a large number of OECD and non-OECD economies, the FDI Qualities Indicators on the digital transformation provide information on FDI flows into sectors that enable digital transformation, as well as into emerging digital technologies, including AI and data processing. They also assess the impact of FDI on the digitalisation of the broader economy, with a focus on the development of communication infrastructure and connectivity. Additionally, they allow investigating the varying levels of participation in the digital economy between foreign-owned and domestic firms, highlighting potential disparities.

Digital sectors are essential to digital transformation, involving the production of goods or services that form the backbone of digital ecosystems. These include computer, electronic and optical products; electrical equipment; publishing, audiovisual and broadcasting activities; telecommunications; and IT and other information services. Greenfield FDI in digital sectors has seen substantial growth, rising from 16% of greenfield FDI between 2014-2018 to 25% between 2019-2023, driven by ICT goods, including semiconductors, computers, and electronic/electrical components. Variations across countries are large, however. Economies like Japan, Ireland, or Malaysia, attract a large share of FDI in these industries, leveraging strong positioning in the digital-technology value chain. In contrast, some countries in Latin America and Sub-Saharan Africa have seen limited benefits from the surge in digital investments.

As digital technologies evolve, digital transformation extends beyond traditionally digital sectors, impacting all sectors of the economy. The extent to which sectors are exposed to digital technologies varies significantly. While digital sectors exhibit high adoption rates of digital technologies, more traditional sectors (e.g. automotive, finance, business services and retail trade), are increasingly incorporating digital technologies across various facets of their operations. Analysing FDI through the lens of sectoral digital intensity provides insights into its contribution to the broader digital economy. Digital-intensive sectors account for around 40% of total greenfield FDI. FDI in digital intensive sector varies significantly across countries, with some advanced markets like Singapore receiving over 50% of FDI in digital-intensive sectors. These disparities highlight the importance of host country's economic structure and digital readiness to leverage the benefits of FDI. Similarly, countries with a more skilled workforce are better positioned to attract and leverage FDI in digital intensive sectors, while those with weaker capabilities risk falling behind.

Figure 3.1. Digital FDI in Viet Nam grew strongly in the last decade

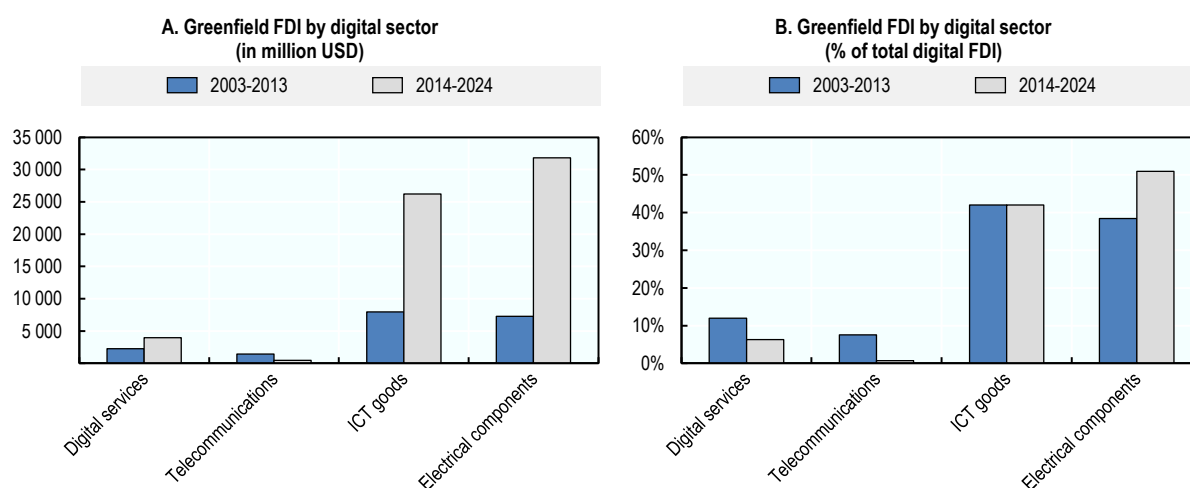


Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

The bulk of Viet Nam's digital FDI is concentrated in ICT goods and electrical components, two sectors that have been instrumental to broader economic growth. While ICT goods are a core part of the digital economy, electrical components, though not purely digital, play a critical enabling role in digital value chains and have become increasingly technology-intensive over time. Together, these two sectors accounted for 93% of Viet Nam's total digital greenfield FDI in 2014-2024, up from 80% in 2003-2013 (Figure 3.2). The shift reflects a growing emphasis on hardware-based digital infrastructure, with FDI in electrical components increasing from 38% to 51% of total digital greenfield FDI over the period, while ICT goods held steady at 42%. Both sectors attracted substantial investment over the past decade and were key drivers of Viet Nam's post-pandemic rebound in FDI inflows. Foreign investment in these sectors has contributed significantly to productivity gains and export expansion (Ha and Parsons, 2023^[7]; Vu, Tram and Tung, 2025^[8]). Within each, foreign-invested activities –such as ICT hardware manufacturing– also accounted for the highest value added (Vu and Nguyen, 2024^[9]).

In contrast to hardware-related sectors, FDI in telecommunications and digital services in Viet Nam remains limited and has declined over time. Between 2014 and 2024, greenfield FDI in telecommunications fell to USD 449 million, down from USD 1.4 billion in the previous decade, despite absolute increases in all other digital sectors. As a share of total digital FDI, telecommunications dropped from 8% to just 1%, while digital services declined from 12% to 6% (Figure 3.2, Panel B). While global shifts may partly explain this trend, various factors –including regulatory restrictions on foreign investment and structural characteristics of the sector– may have influenced investment patterns. Although Viet Nam's telecommunications market is characterised by strong competition among domestic operators, foreign participation in core telecom infrastructure remains limited, which may partly explain the relatively low levels of foreign investment. There also appears to be untapped potential in higher value-added segments of the digital economy, particularly in digital services. Although investment in this area remains relatively modest, Viet Nam's growing digital infrastructure and skilled workforce present opportunities to attract more FDI in areas such as cloud services, e-commerce platforms, digital content, and fintech, where global investor interest is increasing. A more targeted policy approach could help Viet Nam better position itself in these expanding service segments.

Figure 3.2. The increase in digital FDI has been driven by investments in ICT goods and electric components

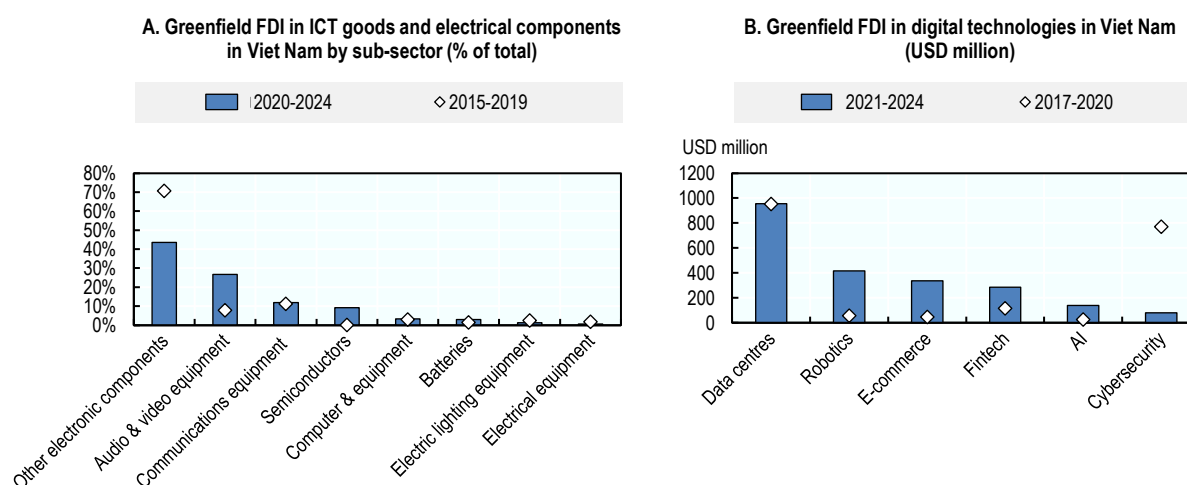


Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

Within ICT and electrical manufacturing, the composition of greenfield FDI has shifted markedly over time, pointing to a gradual move toward more technologically sophisticated activities. While “other electronic components” remain the single largest sub-sector, their share of greenfield FDI in ICT goods and electrical components declined sharply from 71% in 2015-2019 to 44% in 2020-2024 (Figure 3.3, Panel A). Over the same period, investment became more diversified across higher value-added segments. Audio and video equipment increased from 8% to 27% of total inflows, while communications equipment remained broadly stable at around 11–12%. Notably, semiconductors – virtually absent from greenfield FDI prior to 2020– accounted for 9% of inflows in 2020-2024, reflecting Viet Nam's growing integration into more advanced electronics and digital hardware value chains. Smaller but rising shares of investment in batteries and computer equipment further point to a broadening of Viet Nam's ICT manufacturing base beyond low- and mid-range component assembly.

At the same time, greenfield FDI in selected digital technologies has expanded rapidly, albeit from a lower base and with a more uneven sectoral profile. Investment in data centres remained high and stable across periods, reaching around USD 950 million in both 2017-2020 and 2021-2024, underlining the importance of physical digital infrastructure in supporting Viet Nam's digital economy (Figure 3.3, Panel B). In contrast, FDI in emerging digital technologies accelerated sharply in the most recent period. Greenfield investment in robotics increased more than seven-fold, while inflows into e-commerce, fintech and artificial intelligence also rose substantially between 2017-2020 and 2021-2024. These trends suggest growing investor interest in Viet Nam's digital capabilities beyond hardware manufacturing, particularly in technology-enabled services and automation. However, investment patterns remain uneven: cybersecurity-related FDI declined significantly over the period, and overall inflows into digital technologies continue to lag far behind ICT manufacturing in scale. This underscores both the continued dominance of manufacturing-led digital FDI in Viet Nam and the scope to further strengthen the policy and regulatory conditions needed to attract more consistent investment into higher value-added digital technology segments.

Figure 3.3. Investment in ICT manufacturing is gradually diversifying toward technologically sophisticated activities



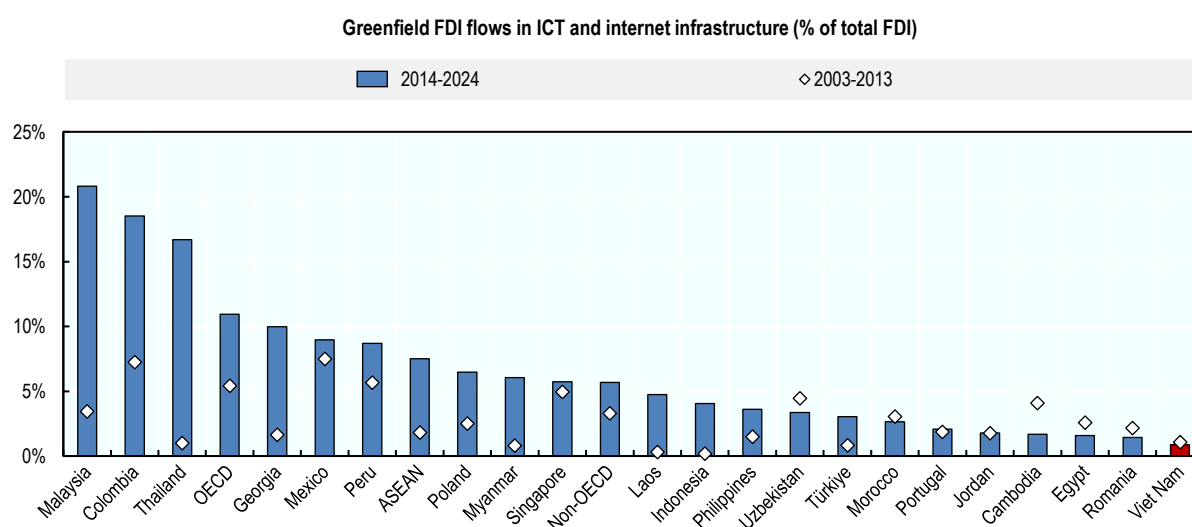
Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

3.2.2. Viet Nam would benefit from further promoting investments in ICT infrastructure

Strengthening ICT infrastructure remains essential to unlocking Viet Nam's digital economy potential and attracting further investment in high-value digital activities such as software development, cloud services, and high-tech manufacturing (OECD, forthcoming^[10]; OECD, 2018^[11]). Reliable, high-speed connectivity is particularly important for ensuring efficient data delivery and enabling the broader use of digital technologies. Although mobile broadband penetration is high –reaching 96.9 subscriptions per 100 inhabitants in 2022 –fixed broadband access remains limited, with only 21.7 subscriptions per 100 inhabitants, still below OECD and regional leaders such as Singapore (OECD, 2023^[12]; MIC, 2023^[13]). While 88% of households had internet access in 2022, 5G coverage remains in the trial phase and limited to urban areas, in contrast to countries like Singapore, Thailand, and the Philippines where nationwide deployment is underway (World Bank, 2020^[14]; MIC, 2023^[13]; World Bank, 2023^[15]).

Despite these connectivity improvements, greenfield FDI in ICT and internet infrastructure in Viet Nam remains relatively low compared with peer economies. Over the period 2014-2024, such investment accounted for just 1% of total FDI –unchanged from 2003-2013 –making it the lowest among all peer economies and significantly below the ASEAN average (8%) and the OECD average (11%) (Figure 3.4). In contrast, economies such as Malaysia (21%), Colombia (19%), and Thailand (17%) have attracted markedly higher shares of greenfield ICT infrastructure investment over the same period. This suggests there is substantial untapped potential for Viet Nam to position itself more competitively as a destination for digital infrastructure FDI, which could in turn reinforce domestic digital capabilities and foster wider economic benefits.

Figure 3.4. Viet Nam has attracted little FDI in ICT infrastructure over the past two decades



Note: The ASEAN average does not include Brunei.

Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

3.2.3. Foreign firms are important contributors to Viet Nam's digital economy

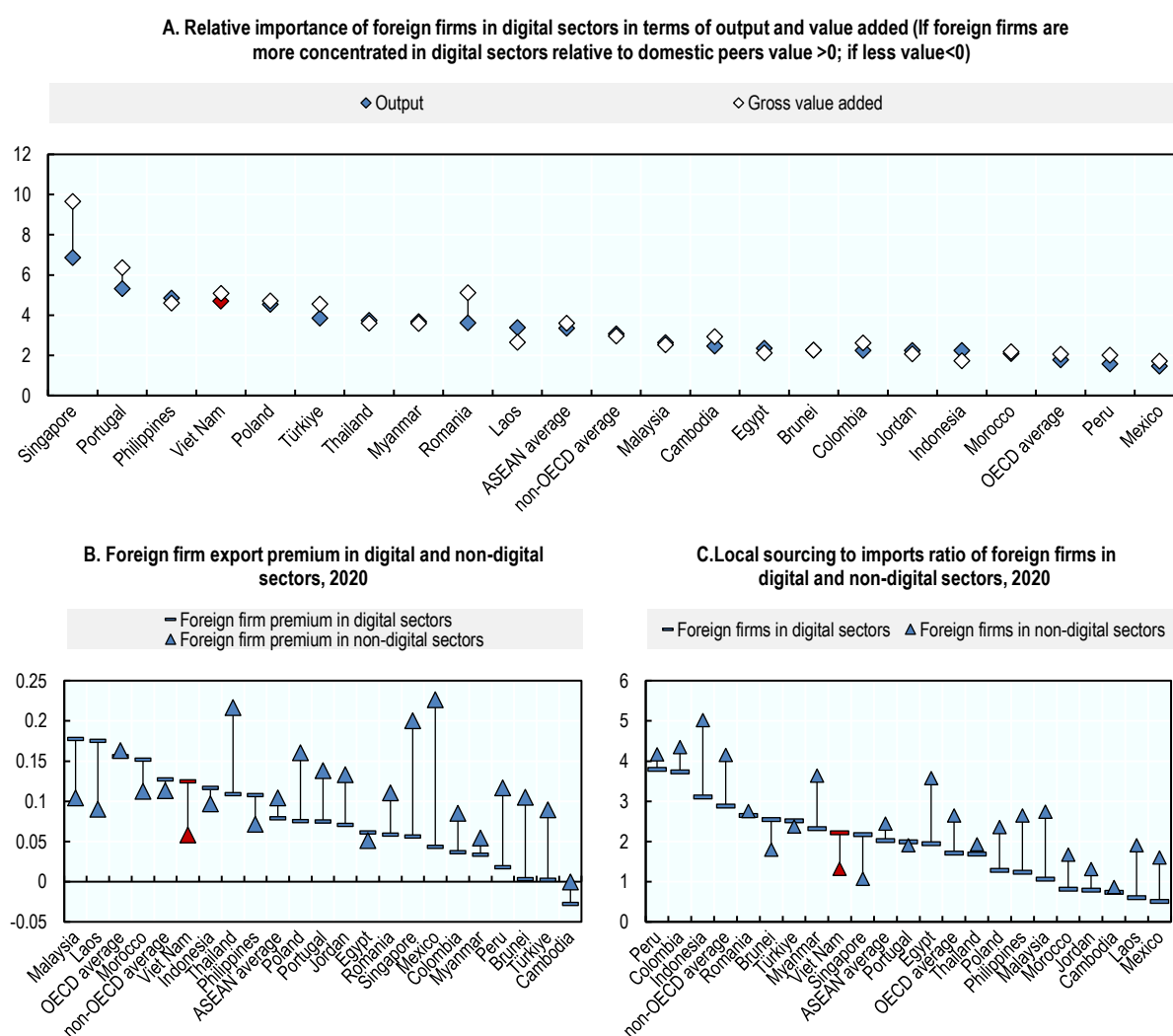
Foreign firms in Viet Nam are more concentrated in digital sectors than their domestic counterparts, both in terms of output and gross value added. This pattern is consistent with trends observed in peer economies: in OECD countries, the output share of foreign firms in digital sectors is nearly twice that of domestic firms, and in non-OECD economies, it is more than three times higher relative to their respective shares in the rest of the economy (Figure 3.5, Panel A). In Viet Nam, the foreign firm “premium” in digital sectors in terms of output is more than four times greater, with a similar pattern observed for gross value added. This suggests that foreign firms are playing a leading role in driving Viet Nam’s digital production and value creation –reflecting their greater specialisation in electronics, ICT equipment –while domestic firms remain less represented in these areas.

Unlike in many peer economies where foreign firms exhibit a stronger export premium in non-digital sectors, in Viet Nam this effect is more pronounced in digital sectors (Figure 3.5, Panels B and C). In many peer economies, especially amongst OECD countries, foreign digital firms tend to export less than those operating in traditional sectors. In these instances, FDI is often concentrated in less export intensive activities like digital services, consulting or R&D. In Viet Nam, however, where digital FDI is concentrated in ICT goods and electrical component production, the opposite is true since these elements are often a part of a supply chain of another end-product and thus are export oriented in their nature.

Consistent with the findings of Ha and Parsons (2023^[7]), this underscores the central role that foreign electronics firms play in driving Viet Nam's export performance.

Foreign firms in digital sectors are more prone to source locally than those operating in non-digital sectors. For every unit of imported input, foreign firms in digital sectors source 2.2 units in Viet Nam, compared to just 1.3 units in non-digital sectors (Figure 3.5, Panel C). This strongly contrasts all peer economies (apart from Brunei and Singapore), since in most non-OECD economies digital firms are usually less likely to source locally compared to firms operating in the digital sector. This highlights a substantial opportunity to leverage foreign investment in digital sectors to foster knowledge transfer and technology spillovers through strengthened supplier linkages.

Figure 3.5. Foreign firms are more concentrated in digital sectors and are more export-intensive



Note: A value of 1 in panel A indicates that the output and value-added share of foreign firms in digital sectors is double that of domestic firms compared to the respective shares of foreign firms in the rest of the economy. Box 1.2 in Chapter 1 provides additional details on the interpretation of the indicators related to output and value added. A value of 0.1 in panel B indicates that foreign firms are 10% more export-intensive than domestic firms.

Source: OECD calculations based on OECD (2025^[16]), Analytical AMNE database, <https://www.oecd.org/en/data/datasets/multinational-enterprises-and-global-value-chains.html>.

Box 3.3. Measuring foreign firms' relative importance in digital sectors

Understanding the extent of foreign firms' engagement in digital sectors requires analysing their contribution to production and value creation, not only in absolute terms but also relative to domestic firms, and in comparison, to their contribution in the rest of the economy. For this purpose, the Output Share Index (OSI) and Value-Added Share Index (VASI) are developed as comparative measures to assess whether foreign firms are more prominent and impactful in digital sectors compared to domestic firms and their role in non-digital sectors.

The **Output Share Index** measures the relative importance of foreign firms in the digital sectors compared to their importance in the rest of the economy, with respect to domestic firms. It provides insights into whether foreign firms are more concentrated and contribute more significantly to output in these industries—such as telecommunications, digital services, ICT and electrical manufacturing—than they do in other sectors.

$$\text{Output share index} = \frac{\left(\frac{\text{Output}_{\text{Digital, Foreign}}}{\text{Output}_{\text{Digital, Domestic}}} \right)}{\left(\frac{\text{Output}_{\text{Non-Digital, Foreign}}}{\text{Output}_{\text{Non-Digital, Domestic}}} \right)}$$

An OSI value greater than 1 indicates that foreign firms have a higher relative share of output in digital sectors compared to their presence in non-digital sectors, when benchmarked against the role of domestic firms. This suggests that foreign firms are more prominent in digital sectors relative to their overall presence in the economy.

Similarly, the **Value-Added Share Index** evaluates the relative contribution of foreign firms to value added in digital sectors compared to their contribution in the rest of the economy, with respect to domestic firms. Value added is a key measure of economic performance, as it reflects the net output of firms after accounting for intermediate inputs, thereby capturing the actual economic value generated by firms. The VASI helps assess whether foreign firms play a more significant role in creating value in digital sectors compared to other sectors, in relation to domestic firms' contributions.

$$\text{Value added share index} = \frac{\left(\frac{\text{Value added}_{\text{Digital, Foreign}}}{\text{Value added}_{\text{Digital, Domestic}}} \right)}{\left(\frac{\text{Value added}_{\text{Non-digital, Foreign}}}{\text{Value added}_{\text{Non-digital, Domestic}}} \right)}$$

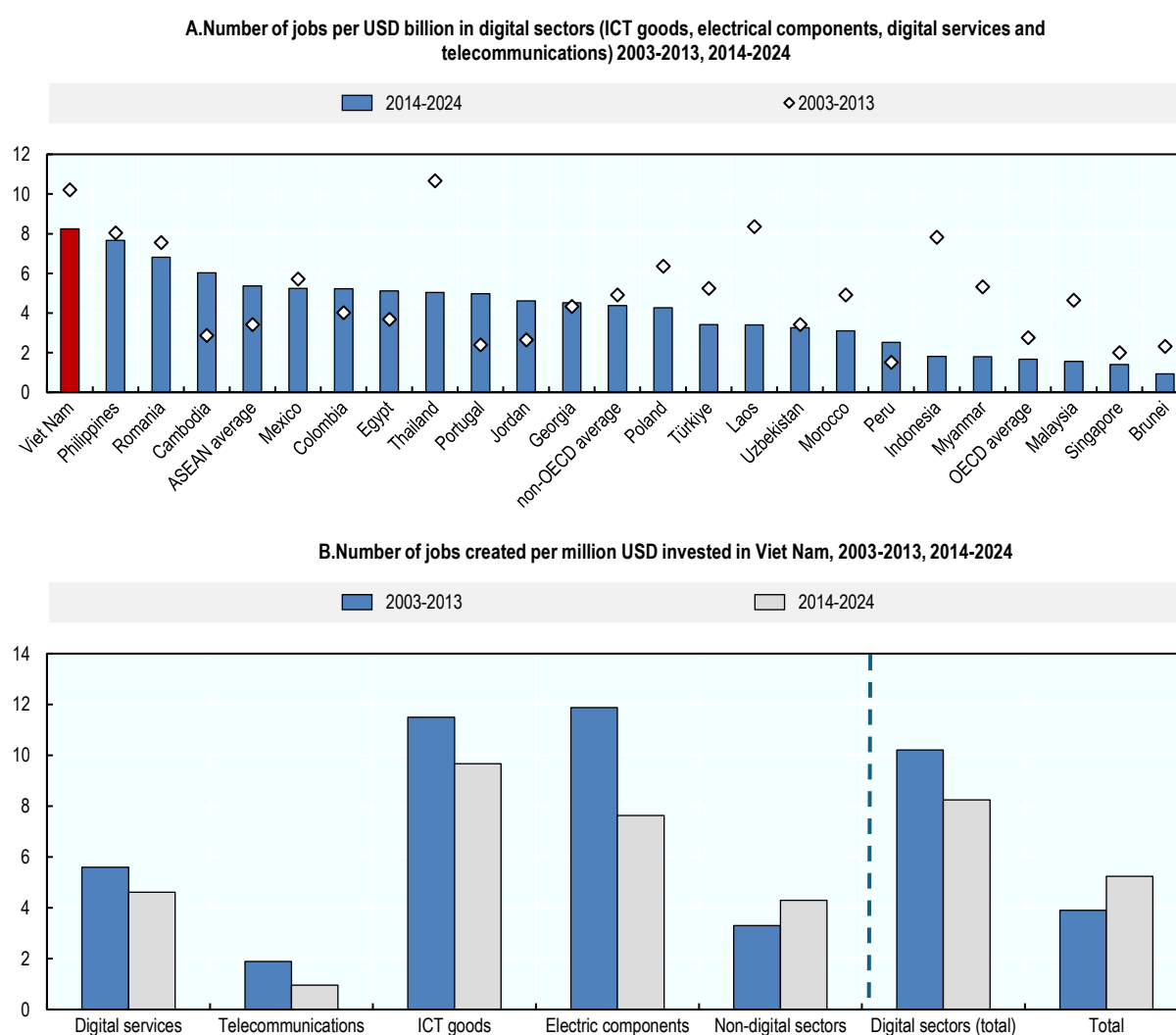
A VASI value greater than 1 indicates that foreign firms generate a higher relative share of value added in digital sectors compared to non-digital sectors, with respect to their domestic counterparts. This suggests that foreign firms are more influential and have a greater economic impact in digital sectors relative to their importance in the broader economy.

3.2.4. Digital FDI in Viet Nam has been instrumental for job creation

Digital FDI in Viet Nam has generated more jobs than in most peer economies; however, job creation intensity has declined over time. The strongest employment effects are observed in the digital sectors receiving the largest volumes of FDI such as ICT goods and electrical components. Between 2003 and 2024, greenfield FDI in electrical component manufacturing generated an average of 8.4 jobs per USD 1 million invested, while in the ICT industry the figure was even higher, at 10 jobs per USD 1 million. These figures stand in sharp contrast to non-digital sectors, where average job creation intensity over the same period was just 3.7 jobs per USD 1 million invested. Despite these strong outcomes, job creation intensity in digital sectors has declined over the past decade (2014-2024) compared to the earlier period (2003-2013), whereas it remained more stable in non-digital sectors (see Figure 3.6, Panel B). This trend reflects a broader global shift towards capital-intensive, higher productivity operations in digital industries.

As digital transformation automates some jobs while creating new ones in other sectors, upskilling and reskilling policies will be essential to sustain the positive employment effects traditionally associated with FDI. In peer economies such as Thailand, Indonesia, and Malaysia, the decline in job intensity from digital FDI over the past decade has been spread across multiple digital sectors. In Viet Nam, however, the decline has been more pronounced and consistent across all digital sectors – particularly in those where activity is concentrated in production and assembly. By contrast, economies that have seen an increase in digital job intensity often benefit from growth in digital services employment (OECD, forthcoming^[3]). In Viet Nam’s telecommunications sector, where greenfield FDI remains relatively low, the employment effects have also been limited. To attract FDI in higher value-added segments of the digital economy and ensure broader employment benefits, strengthening the digital skills base of the domestic workforce will be increasingly important.

Figure 3.6. Job intensity in digital sectors has declined but remains higher than in peer economies



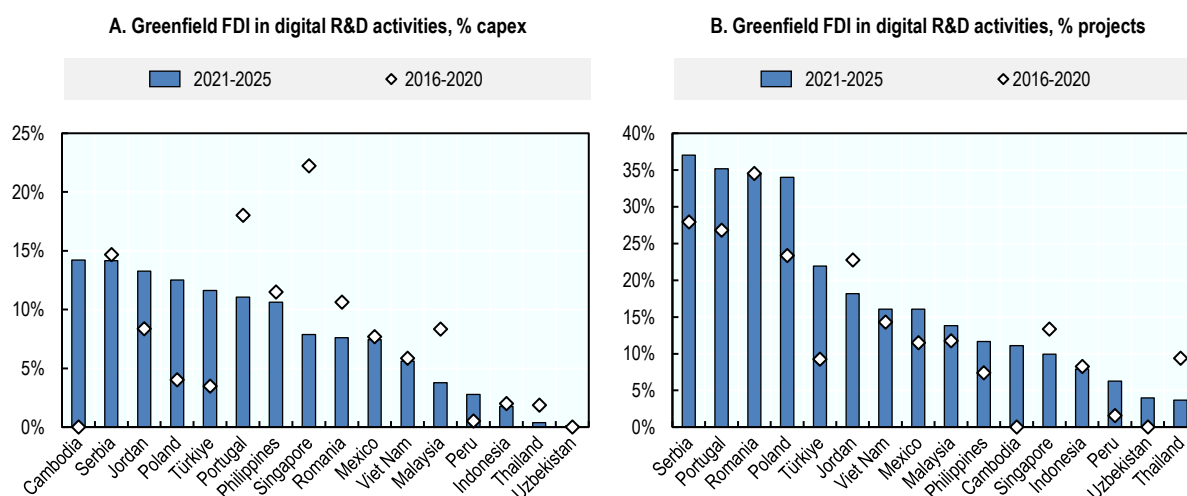
Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

3.2.5. Strengthening the scale of R&D investment remains key to upgrading digital FDI in Viet Nam

Digital FDI in Viet Nam is gradually incorporating R&D activities, but these remain limited in scale relative to total investment. Between 2021 and 2025, around 6% of digital-sector greenfield FDI capital expenditure in Viet Nam was directed to R&D activities, a share that has remained broadly stable compared to 2016-2020. While this is lower than in several comparator economies such as Serbia, Poland, Türkiye and Portugal, where a larger proportion of digital investment is oriented towards R&D, it is broadly in line with patterns observed in parts of Southeast Asia, including Malaysia and Indonesia. This suggests that digital FDI in the region, including Viet Nam, continues to play an important role in supporting production and operational activities, while gradually expanding into more knowledge-intensive functions.

R&D-related digital FDI in Viet Nam is relatively frequent but tends to be smaller in scale. Approximately 16% of digital FDI projects between 2021 and 2025 involve R&D activities, a slight increase from 14% in 2016-2020 and comparable to several peer economies such as Mexico and Malaysia. The higher share of projects relative to capital expenditure indicates that these investments are often more modest in size, for example involving engineering, design or applied development functions within multinational firms rather than large R&D centres. At the same time, the presence and gradual increase of such activities point to Viet Nam's growing integration into the innovation segments of digital value chains. Continued improvements in skills, research capabilities and linkages between foreign firms and the domestic innovation ecosystem could support a further expansion and deepening of these activities over time.

Figure 3.7. Greenfield investment in digital R&D activities in Viet Nam and peer economies



Source: OECD based on Financial Times (2024^[6]), fDi Markets database, <https://www.fdimarkets.com>.

3.3. The institutional and policy framework for attracting digital investments

The impact of FDI on digital transformation is shaped not only by the scale and nature of investment flows, but also by the host economy's capacity to absorb, adapt, and diffuse digital technologies. This capacity depends on several enabling factors, including widespread connectivity, targeted investments in digital skills development, and coherent policy and regulatory frameworks that foster innovation and competition (OECD, forthcoming^[10]). Without these foundations, the potential benefits of digital FDI –such as productivity gains, higher value-added activities, and enhanced service delivery– may remain concentrated in a few regions or sectors, exacerbating existing inequalities. Bridging these gaps is therefore critical to ensure that digitalisation contributes to more inclusive and sustainable growth across the entire economy.

3.3.1. The institutional framework for investment and digital policy has been streamlined, but agency mandates could be revised to ensure policy effectiveness and coherence

The Ministry of Science and Technology (MoST) serves as the central authority responsible for digital policy in Viet Nam. Most agencies directly involved in digitalisation activities operate under its supervision, positioning MoST as the lead ministry for setting regulatory standards, proposing investment incentives, and promoting the development of telecommunications, ICT manufacturing, and digital services and technologies. Within MoST, the Department of Digital Economy and Society is tasked with drafting legislation to support the growth of the digital economy. A similar mandate is held by the Department of Innovation, also known as the State Agency for Technology and Innovation (SATI), although its focus is more specifically geared towards advancing technological innovation, including market development and technology transfer. On the implementation side, key agencies supporting technology enterprises –such as the National Agency for Technology Entrepreneurship and Commercialization Development (NATEC) and the National Startup Support Centre (NSSC)– also operate under the authority of MoST.

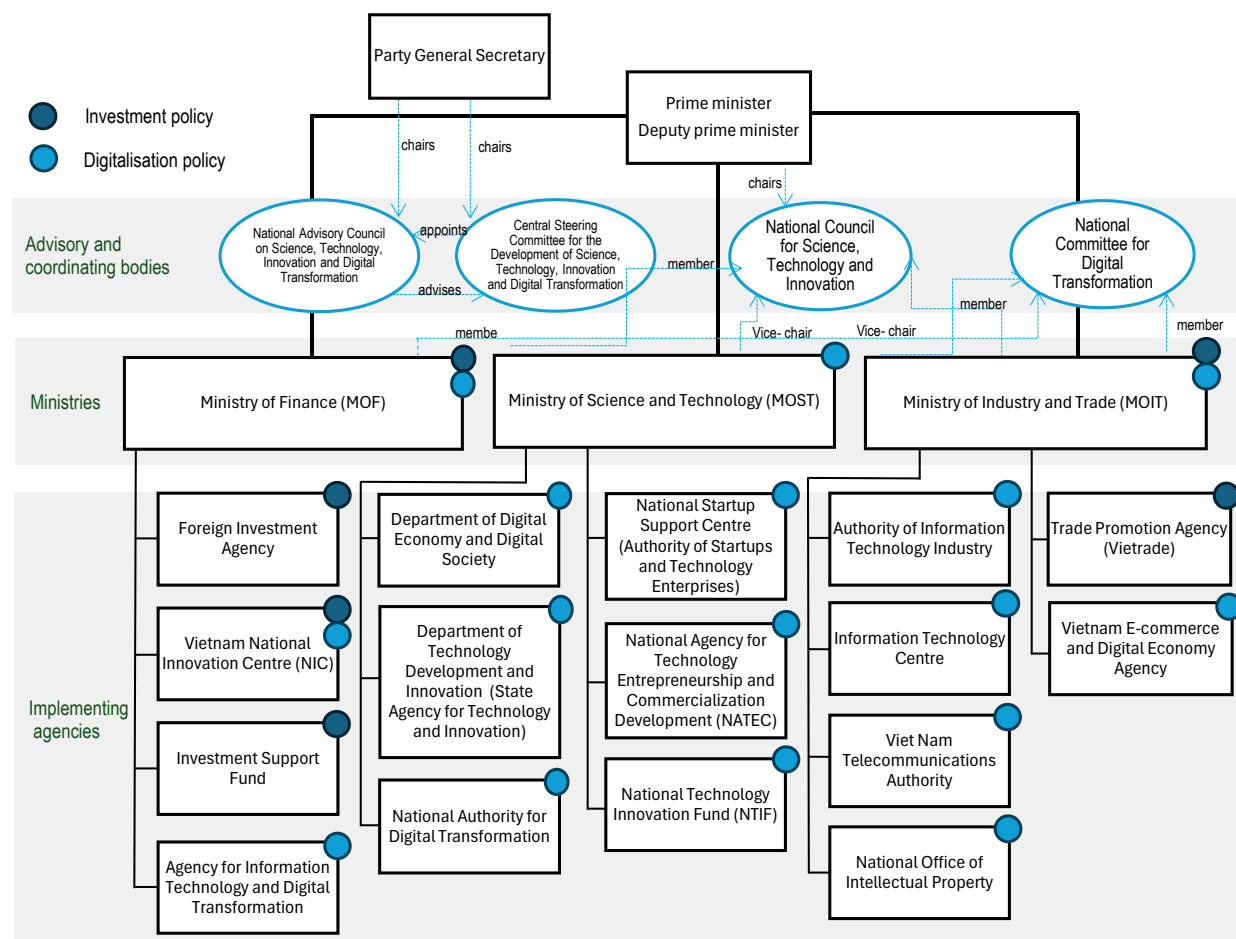
While the Ministry of Industry and Trade (MoIT) does not oversee the information and digital technology industries—which fall under the mandate of MoST—it plays an essential role in advancing Viet Nam's digital economy through its responsibilities in e-commerce policy, infrastructure, and regulation (Government of Viet Nam, 2025^[17]; 2025^[18]). MoIT is tasked with facilitating business linkages, supporting enterprise integration into global value chains, and strengthening the export capacity of Vietnamese firms –functions that are increasingly dependent on robust digital trade and e-commerce ecosystems (Government of Viet Nam, 2025^[18]). Through Vietrade, MoIT supports domestic firms by delivering training and promotional activities aimed at enhancing their competitiveness in digital markets. In parallel, the E-commerce and Digital Economy Agency, also under MoIT, leads the development and regulation of Viet Nam's e-commerce ecosystem. Its mandate includes promoting cross-border e-commerce, supporting the development of e-commerce platforms, and enabling SMEs to effectively access and benefit from online trade opportunities.

The Ministry of Finance (MoF) remains a key actor in investment promotion and facilitation but also contributes to Viet Nam's digital transformation agenda. The Foreign Investment Agency (FIA), which operates under MoF, is formally tasked with co-ordinating foreign investment promotion, advising on investment policies, and serving as a point of contact for foreign investors. While FIA's digital-specific activities appear limited in practice, its potential role in supporting the attraction of FDI in digital and high-tech sectors could be strengthened through closer co-ordination with line ministries and digital economy agencies. The National Innovation Centre (NIC), also under MoF, plays a more visible role in this regard, with a dedicated mandate to attract foreign investment across nine strategic high-tech sectors –such as artificial intelligence, smart manufacturing, digital media, health technology, cybersecurity, smart city development, environmental technologies, green hydrogen, and semiconductors– aimed at boosting Viet Nam's innovation ecosystem. MoF also oversees the Agency for Information Technology and Digital Transformation, although its specific responsibilities and activities remain unclear.

Co-ordination of digital policies takes place across multiple institutions. In 2021, the National Committee on Digital Transformation was established, evolving from the former National Committee on Electronic Government (Prime Minister of Viet Nam, 2021^[19]). The committee is chaired by the Prime Minister with the Deputy Prime Minister and the Minister responsible for Information and Communication serving as vice chairs (ITA, 2024^[20]; MIC, 2023^[13]). Following subsequent government reforms, the Ministry of Science and Technology (MoST) was designated as the standing agency of the committee, thereby assuming a central role in the implementation of digital policy. MoST is tasked with leading the development of strategies, action plans, and legal reforms to support the country's digital transformation agenda. The committee is also responsible for co-ordinating cross-sectoral implementation across line ministries, central agencies, and subnational governments (Government of Viet Nam, 2025^[17]).

In 2024, the Government established the National Council for Science, Technology and Innovation as an additional high-level co-ordinating body. While also chaired by the Prime Minister, the Council focuses more specifically on policy initiatives supporting the development of science, technology, and innovation. Complementing these structures, the Party has established the Central Steering Committee for the Development of Science, Technology, Innovation, and Digital Transformation (Socialist Republic of Viet Nam, 2025^[21]). This Steering Committee is supported by an advisory body composed of 18 representatives from the business and academic communities, providing strategic input to strengthen implementation and stakeholder engagement (Thuong, 2025^[22]).

Figure 3.8. The institutional framework for investment and digital policy in Viet Nam



Source: OECD elaboration.

The 2025 government restructuring has streamlined the institutional framework for digital policy by placing most agencies implementing digital policy under the MoST; yet, overlapping mandates of these agencies might cause implementation bottlenecks. Assigning a central role to the MoST reflects an institutional model adopted by nearly half of OECD and partner economies, where digital governance responsibilities are consolidated under a dedicated ministry (OECD, 2025^[23]; OECD, 2024^[24]). In Viet Nam, this approach has led to the relocation of most relevant agencies under MoST's oversight, but institutional fragmentation persists, with several agencies and departments operating in parallel without clearly delineated mandates. For example, the respective functions of the Department of Economy and Digital Society and the National Authority of Digital Transformation remain unclear. Similarly, the Authority for Information Technology Industry and the Information Technology Centre operate concurrently within the same policy domain, without a clearly articulated division of responsibilities. In addition to the agencies under MoST, the Agency for Information Technology and Digital Transformation operates under MoF. While it is expected that multiple agencies contribute to digital transformation, given its cross-cutting nature, the absence of clearly defined mandates risks duplication of efforts, diminished accountability, and reduced policy coherence. Streamlining institutional responsibilities and enhancing inter-agency co-ordination would help to improve the overall efficiency and effectiveness of digital policy implementation.

To avoid inefficiencies and duplication of functions, Viet Nam would benefit from rationalising the institutional landscape for digital policy –particularly by reviewing the mandates of government agencies that separately draft legislation, provide technical support, and deliver financial assistance to digital industries. As part of the ongoing reform process, the government could consider either strengthening co-ordination mechanisms between relevant departments or, where feasible, consolidating agencies with overlapping functions. For example, merging the National Agency for Technology Entrepreneurship and Commercialization Development (NATEC) with the State Agency for Technology and Innovation (SATI) could streamline legislative and programmatic support for technology enterprises, reduce administrative redundancies, and improve policy coherence. Similarly, clarifying the respective roles of agencies involved in digital economy policymaking—such as the Department of Digital Economy and Society, the National Authority of Digital Transformation, and the Agency for Information Technology and Digital Transformation—would help ensure more efficient implementation and enhance accountability. A more coherent and well-aligned institutional framework would ultimately enable Viet Nam to more effectively mobilise investment in digital transformation and maximise the benefits of digitalisation across the economy.

Placing the majority of digital policy functions under the Ministry of Science and Technology (MoST) has the potential to enhance policy coherence, particularly following the 2024 government restructuring that transferred key agencies—such as the Department of Digital Economy and Society and the National Authority for Digital Transformation—from the Ministry of Information and Communications (MIC) to MoST. This institutional arrangement makes the digital economy one of the few sectors in Viet Nam where both industry development and some investment-related responsibilities are overseen by the same ministry. While this creates a more consolidated governance structure, it also places increased responsibility on MoST to co-ordinate effectively with other ministries and agencies. Functions such as digital investment and trade promotion, skills development, and technology certification remain within the remit of other entities—such as the Ministry of Industry and Trade (MoIT), the Ministry of Finance (MoF), the Foreign Investment Agency (FIA), and Vietrade—whose expertise and mandates are essential to a comprehensive digital transformation agenda. Ensuring close co-ordination between MoST and these agencies is critical to avoid fragmentation and to align digital economy strategies with broader national objectives. Similarly, given the strategic role of the National Innovation Centre (NIC) in strengthening the innovation capacity of Vietnamese enterprises, aligning its activities with the work of MoST agencies involved in digitalisation would help maximise synergies and impact.

The establishment of high-level advisory and co-ordination bodies in the digital policy space is a positive development, with the potential to strengthen the strategic coherence and quality of policymaking. Several of these bodies include mechanisms for stakeholder consultation, involving representatives from the private sector and academia. This inclusive approach can enhance policy relevance and effectiveness and is therefore strongly encouraged. In the case of the Central Steering Committee for the Development of Science, Technology, Innovation and Digital Transformation, established in December 2024 and chaired by the Party General Secretary, stakeholder engagement is institutionalised through a dedicated advisory council. Similarly, the National Council for Science, Technology and Innovation includes a broad range of members alongside ministry representatives, reinforcing a multi-actor approach to policy development. The practice of linking the strategic co-ordination body directly with the highest political authority is also common in peer economies and is a good practise that can overcome ministerial biases and intra-governmental competition for resources (ITU, World Bank, 2023^[25]).

While several high-level bodies provide strategic direction on digital transformation –such as the Central Steering Committee for Science, Technology, Innovation and Digital Transformation, the National Council for Science, Technology and Innovation, and the National Committee on Digital Transformation– the extent of co-ordination among them remains unclear. Notably, it is also not evident whether the Foreign Investment Agency (FIA), or representatives of foreign-invested enterprises more broadly, participate in these advisory and co-ordinating bodies. This presents a missed opportunity, given the important role of foreign direct investment in driving digital transformation in Viet Nam, particularly in the electronics and ICT sectors. FDI plays a central role in technology diffusion, global value chain integration, and innovation capacity building. Ensuring that institutions responsible for investment promotion and facilitation –such as FIA– are meaningfully engaged in digital policy dialogue would strengthen the coherence of strategic guidance and help align innovation and digitalisation policies with investor needs and global industry trends. Greater inclusion of investment-related agencies and foreign-invested firms could also support a more responsive and integrated approach to shaping Viet Nam's digital future.

3.3.2. Viet Nam has a comprehensive strategic framework to support digital transformation

Viet Nam's strategic framework related to investment in the digital economy, as summarised in Box 3.4, demonstrates progress in clarifying institutional responsibilities and setting measurable targets. The National Strategy for the Development of the Digital Economy and Digital Society, along with the Programme for National Digital Transformation, exemplify good practice in this regard. Both strategies delineate the specific roles and responsibilities of line ministries for each component of implementation, while also identifying the key actors with whom ministries should co-ordinate. This structured allocation of responsibilities supports more effective policy execution and inter-agency collaboration. In addition to clarifying mandates, these strategies establish concrete policy objectives—for example, the delivery of specific public services through digital channels, publication of reports online, and the availability of publicly accessible national databases. Furthermore, both strategies incorporate mechanisms for monitoring and evaluation. Performance is tracked using established indices such as the Provincial Competitiveness Index, the Public Administration Reform Index, and the Information and Communications Technology Index, enabling regular assessment of progress and facilitating evidence-based policy adjustments.

Box 3.4. National strategies governing investment and digital policy

Strategy for foreign investment co-operation for the period 2021-2030 aims to attract FDI projects with high added value that expand technology usage in the domestic market. It also aims to increase Vietnamese domestic enterprise involvement in GVC and emphasises promotion of technology transfer between foreign and domestic firms. It also outlines the need to build domestic enterprise digital technology skills to do that (Prime Minister of Viet Nam, 2022^[26]).

Project for encouraging Vietnamese enterprises in directly participating in foreign distribution networks by 2030 was adopted in 2022 with the objective to develop and expand Viet Nam's import and export markets. The strategy focuses on supporting Vietnamese enterprises to become active participants in GVC by providing market information, training and consultation services and matchmaking opportunities. One of the strategies tasks includes a support for enterprises to participate in cross border e-commerce (Prime Minister of Viet Nam, 2022^[27]).

National strategy for the Fourth Industrial Revolution was adopted in 2020 to encourage economy wide adaptation to new technologies. Its primary objectives are to improve the business environment for adaption of new technologies. It also sets objectives for increasing Viet Nam's innovation capacity, developing an e-government and growing the digital economy (Prime Minister of Viet Nam, 2020^[28]).

National Strategy for Development of Digital Economy and Digital Society by 2025, Orientation Towards 2030 calls for the need for advancing R&D in the digital economy and in doing so outlines both public and private sources as necessary. In the field specific sections, it calls for the need to attract investment from technology enterprises in the fields of agriculture, health, education and training, tourism (Prime Minister of Viet Nam, 2022^[29]).

Program for National Digital Transformation by 2025 with orientations towards 2030 sets broad objectives for digitalisation of public services, enhancing the economy's competitiveness through developing the digital economy, and developing a digital society. It also includes provisions to amend investment regulations to achieve this goal (Prime Minister, 2020^[30]).

Strategy for breakthrough in the development of science, technology, innovation and national digital transformation (Resolution No. 57-NQ/TW) focuses on strengthening Viet Nam's technological potential with the aim to restructure the economy. Its key objectives are strengthening technological innovation in universities, research centres and enterprises, by providing the necessary infrastructure and conducting institutional, policy and regulatory reforms. It aims to facilitate knowledge transfer from FDI enterprises to the domestic economy (Central Executive Committee, 2024^[31]).

Strategy for Development of Viet Nam's Semiconductor Industry to 2030 and vision to 2050 sets out ambitious objectives to develop Viet Nam's semiconductor industry. It outlines the need to develop human resources and talents, create an attractive investment environment and support the technology business environment to do so (Prime Minister of Viet Nam, 2024^[32]).

Several strategies relevant to FDI attraction and the internationalisation of Vietnamese enterprises incorporate provisions supporting the development of the digital economy. The Strategy for Foreign Investment Cooperation 2021-2030, for example, identifies digital sectors as a key element within broader efforts to build science, technology, and innovation ecosystems in Viet Nam. It also prioritises infrastructure investments in telecommunications and information. In addition, the strategy calls for digital skills development among domestic enterprises, with the aim of strengthening their absorptive capacity and enabling them to derive greater benefits from FDI. Similarly, the strategy aimed at encouraging Vietnamese enterprises to engage directly in foreign distribution networks by 2030 highlights the need to support e-commerce adoption among domestic firms. These initiatives can help generate synergies between FDI policy and digital industry development.

Nonetheless, strategies for digital economy development could more explicitly recognise and integrate the role of foreign-invested enterprises, particularly given their central position in Viet Nam's ICT manufacturing sector. While the Strategy for the Fourth Industrial Revolution refers broadly to the need for policies encouraging both domestic and foreign enterprises to establish innovation centres in Viet Nam, it does not assign a specific role or define enabling conditions for FDI actors. The Strategy for the Development of the Digital Economy and Digital Society acknowledges the importance of engaging with foreign enterprises to facilitate technology transfer but lacks detail on the mechanisms through which this co-operation is to be achieved. More targeted provisions in this respect are found in the Strategy for Breakthrough in the Development of Science, Technology, Innovation and National Digital Transformation (Resolution No. 57-NQ/TW), which includes measures to adapt technologies from foreign companies, incentivise the establishment of data centres, and build digital skills by leveraging international expertise. Sector-specific strategies –such as the national semiconductor strategy– also present opportunities to more clearly define how FDI can contribute to achieving sectoral digital transformation objectives.

These strategies would be further strengthened by explicitly recognising the role of institutions responsible for investment promotion and facilitation –such as the Foreign Investment Agency (FIA) and provincial investment promotion agencies (IPAs). Clarifying how these bodies can support the attraction, retention, and strategic engagement of digital FDI –through tailored promotion efforts, policy advocacy, or co-ordination with line ministries–would help bridge the gap between high-level digital transformation goals and practical investment facilitation on the ground. More integrated approaches could also ensure that digital economy strategies are aligned with Viet Nam's broader investment policy and promotion framework.

To increase regulatory certainty and better attract and retain FDI in digital sectors, Viet Nam should prioritise the effective implementation of its existing digital strategies. Since 2020, the government has adopted multiple strategies and action plans demonstrating strong political commitment to the Fourth Industrial Revolution. However, the proliferation of strategic documents has not always been matched by clear implementation pathways, creating uncertainty for investors. Rather than issuing additional strategies that reaffirm long-term ambitions, efforts should focus on clarifying responsibilities, monitoring progress, and ensuring the timely execution of existing plans. One practical option to enhance transparency and accountability is to establish a publicly accessible online platform that consolidates information on current strategies, accompanying action plans, and implementation progress. Switzerland, for example, maintains a regularly updated platform detailing actions taken by each responsible agency and the results achieved (Confederation Suisse, 2025^[33]).

As the government focuses on implementing Resolution No. 57-NQ/TW, accompanying short-term implementation plans could support this process. Outlining concrete actions and linking them to necessary departmental goals can make the strategy more viable and implementable. For instance Germany's digital strategy included 134 tasks allocated to individual governmental departments, while the Netherlands makes its digital strategy implementable by issuing annual action plans (ITU, World Bank, 2023^[25]; Ministry of Economic Affairs and Climate Policy, 2019^[34]). These action plans would also improve the ability for the government to monitor the strategies implementation. The Action Plan to implement Resolution has potential to serve as a guide through implementation (Government of Viet Nam, 2025^[35]). In particular, the practice of creating a list with measurable targets to be achieved in five years' and twenty year's time and indicating the responsible ministry is welcomed. However, to further facilitate impermeability setting out yearly action plans and ensuring a monitoring mechanism can help Viet Nam to stay on track.

3.3.3. Market access restrictions for foreign investors are concentrated in telecommunications and media activities

To fully harness the potential of foreign investment in the digital economy, governments need to periodically evaluate the impact of FDI regulatory restrictions on digital sectors. Policies that restrict foreign equity ownership, implement screening requirements, or limit the operations of foreign investors in key digital activities may deter investment. Additionally, restrictions in non-digital sectors can create broader economic inefficiencies, such as misallocation of capital and reduced competitive pressures, which can indirectly hinder the growth and competitiveness of the digital economy. This, in turn, could constrain opportunities for countries to benefit from the technological innovation, advanced expertise, and productivity gains that multinational technology companies can bring. OECD analysis indicates that countries with fewer restrictions on investments in core digital sectors tend to attract a higher share of greenfield FDI in these sectors (OECD, forthcoming^[10]; OECD, forthcoming^[3]). Market openness can support digitalisation by fostering a competitive environment where foreign and domestic firms operate on an equal footing on the basis of innovative and digitally enabled business models.

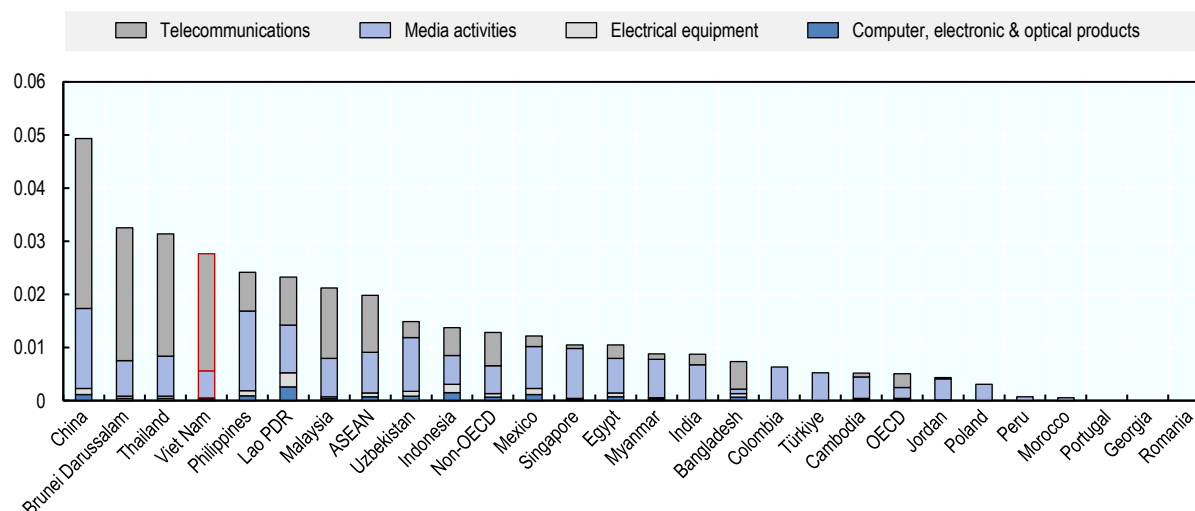
Viet Nam has made steady progress over the past two decades in reducing restrictions on FDI, particularly in ICT manufacturing. The overall FDI Regulatory Restrictiveness Index (FDIRR) for Viet Nam has declined substantially since the late 1990s, reflecting reforms across multiple sectors. Within digital sectors, however, progress has been uneven. While Viet Nam significantly liberalised entry conditions in electrical and electronic equipment manufacturing in the early 2000s, regulatory restrictiveness in media and telecommunications has generally remained high, despite some recent liberalisation in selected digital infrastructure services (Figure 3.9). Compared to the OECD average and most ASEAN peers, Viet Nam maintains more stringent restrictions on FDI in digital services, notably in media and telecommunications. A cross-country comparison shows Viet Nam's cumulative restrictiveness score across digital sectors to be significantly higher than the ASEAN and non-OECD averages, and closer to levels observed in countries like Brunei and Thailand. While manufacturing-related digital sectors (such as computers and electronics) are largely open, barriers persist in digital infrastructure and content services.

The restrictiveness of digital services reflects both horizontal and sector-specific constraints. In the telecommunications sector, foreign ownership remains limited in traditional telecom services, including 49% in facilities-based services and up to 65–70% in certain non-facilities-based segments. Investments in telecoms with network infrastructure additionally require prior approval from the Prime Minister. At the same time, the Telecommunications Law 2023 introduced new categories of services –including basic telecommunications services on the Internet as well as data centre and cloud computing services– which may be provided without limitation on foreign ownership. Despite these reforms, foreign majority ownership remains restricted in facilities-based telecommunications services (National Assembly, 2023^[36]). In media services, foreign investment in free-to-air broadcasting, press, and publishing is effectively prohibited, with only partial openings in paid broadcasting subject to stringent screening and content localisation rules. Foreign participation in press agencies or as senior editorial personnel is not allowed, and foreign channels on paid services are capped and must be translated and distributed by licensed Vietnamese entities. These constraints continue to weigh on Viet Nam's overall FDI openness in digital sectors.

Despite these limitations, Viet Nam's overall reform trajectory has been positive. The rapid reduction in FDI restrictions in manufacturing-related digital sectors positions the country well to attract investment in electronics and semiconductors, which are already strong export drivers. However, maintaining momentum in broader digital transformation will require continued efforts to liberalise and clarify market access conditions in digital services, particularly to enable cross-border partnerships in telecom and media and to improve the business environment for global digital firms. Reducing market access barriers and ensuring transparent, non-discriminatory regulatory frameworks in these areas could unlock new sources of innovation and investment in support of Viet Nam's digital economy objectives.

Figure 3.9. FDI restrictions in Viet Nam's digital economy are concentrated in telecommunications and media

OECD FDI Regulatory Restrictiveness Index, 2023



Note: The OECD FDI Regulatory Restrictiveness Index only covers statutory measures discriminating against foreign investors, which are evaluated on a scale from 0 (fully open to FDI) to 1 (fully closed to FDI).

Source: OECD (2026^[37]), FDI Regulatory Restrictiveness Index,

www.oecd.org/en/topics/sub-issues/sustainable-investment/fdi-regulatory-restrictiveness-index.html.

3.3.4. Viet Nam has developed a comprehensive legal framework for the digital economy; yet, data localisation requirements may affect investment decisions of foreign tech firms

Viet Nam's legal framework for the digital economy has evolved significantly in recent years, aiming to balance cybersecurity, data sovereignty, and digital innovation. Under the 2018 Cybersecurity Law and its implementing Decree 53, introduced in 2022, both domestic and foreign companies offering specific digital services, including telecommunications, cloud computing, social media, e-commerce, and payment services, are required to store personal data, user-generated content, and user relationship data locally. While domestic providers are broadly obligated, foreign firms trigger localisation requirements upon specific circumstances, such as violations of cybersecurity provisions and subsequent failure to comply with formal requests from the Ministry of Public Security. The localisation mandates outlined in Decree 53 stipulate that covered data must be stored within Viet Nam for a minimum of 24 months. Furthermore, foreign entities impacted by these regulations must establish a physical presence, either through a local branch or representative office, within 12 months following official notification. These obligations aim primarily at ensuring governmental oversight and ease of access to critical data for law enforcement and national security purposes.

Complementing this framework, the Personal Data Protection Decree (PDPD), effective from July 2023, aligns closely with international standards such as the European Union's GDPR by defining explicit roles for data controllers and processors and applying rules extraterritorially. The PDPD can enhance transparency and accountability in data processing, contributing positively to consumer trust and aligning Viet Nam with global best practices. Nonetheless, the PDPD also introduces complexities, particularly around cross-border data transfers. Organisations handling personal data must undertake comprehensive transfer impact assessments, with criteria that remain partially unclear. These assessment obligations, while not explicitly mandating data localisation, create significant procedural and compliance hurdles that encourage firms to retain data domestically to avoid regulatory uncertainty. The upcoming Data Law, effective July 2025, further expands the data governance framework by introducing the concepts

of "important data" and "core data," which explicitly prioritise national security, public order, and public interest considerations. Under this law, data categorised within these classifications may face additional transfer restrictions and prior governmental approval requirements. The precise definitions and the operational details of these categories await clarification through supplementary implementing regulations, thus currently leaving businesses with substantial uncertainty regarding compliance strategies.

From an investment perspective, Viet Nam's data localisation policies impose considerable compliance costs, particularly for smaller or mid-sized enterprises and foreign tech firms reliant on cloud-based solutions or cross-border digital operations. The required physical presence and local data infrastructure create significant entry and operational barriers, potentially limiting market competition and innovation. Stringent and ambiguous rules could discourage investment, particularly affecting sectors such as data centres and digital platforms reliant on efficient cross-border data flows. To mitigate the adverse impacts of these policies and improve the investment climate, it is crucial for Vietnamese policymakers to introduce clear, transparent, and predictable guidelines, particularly regarding the categorisation of data types and specific transfer approval procedures. Ensuring a balanced approach—one that maintains necessary oversight and security without disproportionately burdening enterprises—will be essential in fostering a competitive and innovative digital economy environment in Viet Nam.

Viet Nam's Digital Technology Law, effective from January 2026, introduces comprehensive regulation aimed at fostering innovation and enhancing the regulatory clarity surrounding digital technologies. By formally recognising digital assets, including cryptocurrencies, as property under civil law, the legislation provides a foundational legal certainty crucial for businesses operating in emerging sectors. Moreover, the law institutes a structured licensing regime aligned with international anti-money laundering and cybersecurity standards, enhancing the credibility and stability of Viet Nam's digital markets while addressing compliance expectations from international bodies like the Financial Action Task Force (FATF). From an investment perspective, these provisions represent significant progress. They offer clear incentives—including support for R&D and streamlined procedures for attracting foreign digital specialists—that could significantly boost Viet Nam's attractiveness as a regional digital hub. The regulatory sandbox mechanism and differentiated AI risk classifications provide flexibility for innovation, allowing controlled experimentation while managing potential risks effectively. Nevertheless, the specific compliance details, such as licensing criteria, capital adequacy thresholds, and operational requirements, have yet to be fully detailed and clarified, potentially introducing uncertainties and compliance burdens, especially for smaller enterprises or new market entrants.

To maximise investment inflows and innovation outcomes, further policy reform efforts should focus on rapidly clarifying the detailed implementation decrees, particularly around licensing, reporting obligations, and the scope of digital asset transactions. Ensuring transparency and predictability in these regulatory specifics, combined with active stakeholder engagement—including both domestic firms and foreign investors—will be critical. Aligning these detailed regulatory frameworks closely with international best practices while maintaining flexibility for market responsiveness will further enhance Viet Nam's competitiveness in the digital economy landscape.

3.3.5. Competition rules for the telecommunications sector could be strengthened to attract investment in ICT infrastructure

The limited investments in Viet Nam's ICT infrastructure could be explained by regulatory barriers and limited competitive neutrality in the telecommunications market. The current regulator, the Authority of Telecommunications, is embedded within the Ministry of Science and Technology (MoST), shortly after the former Ministry of Information and Communications was merged into MoST in early 2025. This arrangement creates conflicts of interest, as most leading operators –Viettel, MobiFone, VNPT, and now FPT Telecom– are also state-controlled via the Ministry of Defence, Public Security or the State Capital Investment Corporation. Such vertical integration between policymaking, regulation, and ownership

impedes competitive neutrality –understood here as the principle that public and private enterprises should operate under equal, fair and non-discriminatory competitive conditions, consistent with the principles set out in Viet Nam’s 2018 Law on Competition– and limits new entrant potential. In November 2023, Viet Nam passed a new Telecommunications Law, effective in mid-2024, with specific provisions coming into force by early 2025. Decree 163/2024-ND-CP, issued in December 2024, implements the law, including streamlined registration for offshore OTT, cloud and data centre services. For instance, foreign providers no longer need local partnerships to provide services, only a notification to the regulator is required. This opens new channels for digital FDI, though infrastructure-based services remain tightly regulated.

Viet Nam has established a comprehensive legal framework to promote competition and ensure a fair and non-discriminatory business environment. The 2018 Law on Competition guarantees enterprises the right to freely compete and sets out principles of honesty, fairness and transparency in market conduct. It also affirms the State’s role in establishing and maintaining a healthy, equal and competitive market environment, enhancing market access, improving economic efficiency and protecting consumer interests. These principles apply economy-wide, including to state-owned and private enterprises, and provide an important legal basis for competition policy enforcement across sectors.

State policy frameworks such as the Information and Communications Infrastructure Plan 2021-2030 and the Digital Infrastructure Strategy up to 2030 set ambitious targets (e.g. universal 1 Gb/s fixed broadband, 99 % population access to 5G) (Prime Minister of Viet Nam, 2024^[38]; Prime Minister of Viet Nam, 2024^[39]). Subsidy schemes reward providers deploying at least 20 000 5G sites with 15 % of deployment costs reimbursed, yet the strategy relies principally on existing SOEs rather than consciously opening the market to new players. This reinforces entrenched market concentration despite growing capacity. Viet Nam’s digital divide remains pronounced: internet access and quality lag in rural and remote areas, despite widespread population coverage. The dominance of SOEs and insufficient competitive pressure may result in uneven geographic roll-out, slower uptake of emerging infrastructure, and higher pricing, all of which may depress broader adoption and cloud or platform-based investment.

Strengthening the independence and effectiveness of Viet Nam’s telecommunications regulatory framework would be a critical step toward enhancing investor confidence and attracting higher levels of FDI in digital infrastructure. The current institutional arrangement, in which the Authority of Telecommunications operates under the Ministry of Science and Technology (MoST), while major telecommunications providers remain state-owned, raises concerns about conflicts of interest and limited competitive neutrality. Establishing an independent regulatory authority –functionally and institutionally separate from ministerial control and insulated from state ownership– would help align Viet Nam’s governance framework with international good practices, contributing to a more transparent and predictable investment environment.

Experience from regional peers suggests that independent regulators, supported by transparent licensing regimes and well-designed universal service mechanisms, can accelerate infrastructure deployment, promote competition, and reduce end-user costs. Viet Nam’s current approach, which continues to vest infrastructure licensing and oversight within executive ministries, may limit market openness and flexibility, particularly for new entrants. Although recent reforms, including the 2024 Telecommunications Law and Decree 163, have expanded opportunities for foreign participation – particularly in over-the-top (OTT), cloud, and data centre services– regulatory burdens remain substantial. Investors continue to face complex and often overlapping obligations related to data localisation, cybersecurity, and privacy protection, with compliance frameworks administered by multiple authorities, including the Ministry of Public Security and MoST. These requirements can generate legal uncertainty, elevate operational risks, and ultimately deter investment in the broader digital ecosystem.

Further progress could be achieved by reinforcing the functional independence of the telecommunications regulator, liberalising infrastructure licensing procedures, and aligning regulatory practices with Viet Nam’s international commitments under agreements such as the CPTPP and ASEAN frameworks. In parallel, expanding the use of targeted investment support mechanisms –such as universal service funds or performance-based incentives– could facilitate the deployment of high-quality digital infrastructure in underserved regions without reinforcing market concentration. Clarifying and harmonising data governance provisions, including on localisation and cybersecurity, in line with international standards, would further contribute to a more enabling and investment-friendly digital policy environment.

Box 3.5. ICT governance and regulatory independence: the case of selected ASEAN economies

Singapore

Singapore’s telecommunications reform began in the early 1990s with the creation of the Telecommunication Authority of Singapore (TAS), which separated regulatory functions from the operational roles formerly embedded in the national incumbent operator (ITU, 2001^[40]). This regulatory body, later formalised under the Info-communications Development Authority (IDA) and now the Infocomm Media Development Authority (IMDA), is structurally and financially independent from both government ministries and commercial operators. It operates on transparent, publicly codified licensing procedures, with appeal mechanisms and clear criteria, following ITU best practice models (MANOA, 2011^[41]). Over time, this governance set-up boosted investor confidence, permitted foreign participation in telecom and digital services, and facilitated the emergence of competitive new entrants alongside the national operator.

Malaysia

Malaysia established the Malaysian Communications and Multimedia Commission (MCMC) under the Communications and Multimedia Act 1998 to oversee the converged telecommunications, broadcasting and postal sectors (ASEAN, 2022^[42]). MCMC is operationally separate from the Ministry of Communications and functions under a clear legal mandate, allowing it to regulate licensing, spectrum allocation, and consumer protection. It also oversees universal service initiatives and infrastructure deployment planning through guidelines such as the Infrastructure Communications Development Plan, which enhances both service coverage and platform choice for consumers. While the regulatory regime retains government oversight, MCMC’s autonomy –even in budget and enforcement– has been important in moderating market concentration and supporting investor entry.

Philippines

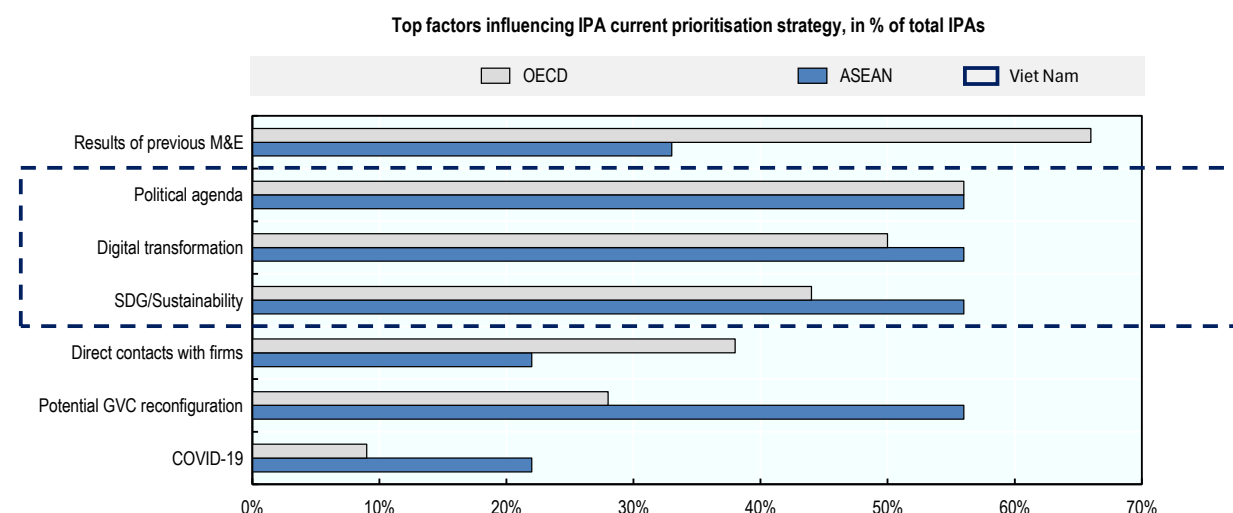
The National Telecommunications Commission (NTC) in the Philippines was originally created under the State regulatory framework in 1979 and functions under the Department of Information and Communications Technology (DICT), yet retains quasi-judicial authority on licensing and spectrum. Major reform arrived in the mid-1990s with Republic Act 7925, which removed most direct state participation in telecom operations and introduced deregulation, though keeping long, politicised franchise requirements (World Bank, 2024^[43]). More recently, in 2018–19, the government broke the PLDT–Globe duopoly by competitively awarding a third major telecom license to DITO Telecommunity via transparent bidding, imposing coverage, speed and investment conditions. Proposed legislative reforms under the Konektadong Pinoy Act (Open Access in Data Transmission) aim to simplify licensing, remove barriers to market entry, and promote competition in underserved areas.

3.3.6. Investment promotion and facilitation could be better co-ordinated and targeted to attract digital-intensive investments

Viet Nam has made digital economy development a centrepiece of its FDI attraction strategy. The government launched a National Digital Transformation Programme toward 2030, aiming to have the digital economy contribute 30% of GDP by that year (Bao, 2024^[44]). In October 2024, the Prime Minister approved a comprehensive Digital Infrastructure Strategy to 2025, with vision to 2030, outlining priority investments in ICT infrastructure (Nguyen Hanh, 2024^[45]). By creating a world-class digital infrastructure backbone, Viet Nam signals to foreign tech companies that the country is ready for investments in 5G, data centres, cloud services, and IoT. The ultimate goal is to position Viet Nam among the top 50 countries in e-government and digital economy readiness, which in turn makes it an attractive destination for FDI in digital industries (ibid.).

The IPA aligns with the government's strategy by prioritising digital transformation and directing resources toward attracting FDI in digital sectors. The digital transformation is one of the three main drivers guiding the prioritisation of sectors in Viet Nam's IPA reform efforts, aligning with the growing emphasis placed on digitalisation in approximately 50% of OECD countries and 56% of ASEAN countries (Figure 3.10) (Sztajerowska and Martincus, 2021^[46]; OECD, 2023^[47]). In particular, the IPA actively promotes and targets sectors within the digital economy such as e-commerce and software development. In recent years, the allocation of resources toward attracting FDI in digital sectors has risen notably. While the share of time and staff dedicated to digital sector promotion was estimated at 10–25% during 2018–2019, this figure increased significantly to 50–75% during 2022–2023. This shift reflects the IPA's growing recognition of digital sectors as strategic priorities for the country's economic development.

Figure 3.10. Drivers influencing Viet Nam's IPA matches ones in OECD and ASEAN countries



Source: OECD based on OECD (2022^[48]), Survey on Investment Promotion and Digitalisation.

To attract digital FDI, Viet Nam's IPA primarily employs non-fiscal incentives, including grants, loans, and subsidies. These incentives are targeted at specific sectors, particularly high-tech industries, as well as others like agriculture and rural development. The recently passed Law on the Digital Technology Industry reflects the government's commitment to developing the digital sector. Viet Nam will offer multi-year corporate tax reductions and generous incentives – similar to those provided in disadvantaged zones – for foreign investors that transfer technology or establish digital production in dedicated tech zones. Additionally, personal income tax exemptions are available for high-quality tech professionals during their first five years in the country (Dung, 2025^[49]; Vietnam Investment Review, 2025^[50]).

In its promotional efforts, the IPA also promotes the development of digital clusters, incubators, and hubs, aiming to foster an ecosystem conducive to innovation and entrepreneurship. According to survey responses, Viet Nam's IPA perceives the country as an attractive destination for digital investment. This perception is primarily based on a strong legal framework, featuring comprehensive laws and regulations on cybersecurity, data protection, intellectual property rights, consumer protection, and competition. The presence of a favourable innovation ecosystem, comprising R&D centres, universities, and technology clusters, is seen as a secondary but complementary strength. Additionally, the IPA makes active use of digital tools in a basic and limited manner, such as videoconferencing, e-meetings, webinars, virtual fairs, and social media campaigns. Looking ahead, the agency plans to expand the use of digital technologies and processes further to enhance investment generation, targeting, and attraction.

In parallel, Viet Nam's investment promotion efforts are increasingly supported by digital platforms that enhance the visibility and accessibility of investment opportunities. In particular, VIETRADE operates the Viet Nam Industrial Investment Promotion Portal (investvietnam.gov.vn), which provides regularly updated information on industrial parks, clusters and production zones across the country. The platform is designed to support both domestic and foreign investors in identifying suitable locations, sectoral specialisations and potential partners, thereby complementing traditional promotion activities. As digital-intensive investors increasingly rely on online channels for location screening and partner search, such platforms can play an important role in strengthening Viet Nam's digital investment promotion toolkit. Further integration of this portal with broader investment facilitation services –such as investor guidance, aftercare support and linkages to innovation or supplier databases– could enhance its effectiveness in attracting and anchoring digital-intensive investments.

Viet Nam's IPA has made notable progress in the digitalisation of investment facilitation processes. The procedures to establish a business and obtain investment authorisation, where required, are fully available online, reflecting an important step toward improving investor experience and reducing administrative burdens. Nevertheless, important gaps remain. Only part of the payments required during the investment process can currently be completed electronically, limiting the seamlessness of the overall digital experience. Furthermore, while the IPA has digitalised certain services, it does not yet host a fully integrated investor portal or single window for the digital delivery of services. As a result, investors still face some fragmentation when navigating administrative procedures, in contrast to international good practices.

The IPA is considering expanding its use of digital tools for investment facilitation and investor servicing. However, there are no current plans to leverage digital platforms for policy advocacy or consultations with government, which could further strengthen Viet Nam's investment climate, particularly for fast-moving digital sectors. According to the IPA, the key challenges hindering greater digital integration are high technology costs, a lack of resources, insufficient experience, and a shortage of adequate skills and training. Addressing these barriers could open the door to a more comprehensive digital facilitation strategy, better aligned with international good practices. To ensure that investment promotion activities address industry needs and challenges effectively, the IPA should establish regular consultations with digital sector stakeholders.

Addressing these challenges could benefit from a more active role from FIA in investment facilitation and aftercare, particularly in the specific needs of digital investors. Country examples such as Malaysia's Digital Investment Office, Estonia's e-Residency program, and Lithuania's regulatory sandboxes demonstrate how strong digital facilitation mechanisms – including integrated portals, streamlined services, and proactive digital engagement – can significantly enhance a country's attractiveness for digital FDI (see Box 3.6). These models offer valuable lessons as Viet Nam seeks to further digitalise its investment facilitation efforts.

Box 3.6. Investment facilitation to advance digital outcomes

Digital-focused initiatives in investment facilitation refer to strategies employed by IPAs to integrate digital transformation into the attraction and retention of FDI. By supporting investors in adopting digital technologies and promoting investment in digital sectors, IPAs can enhance innovation, accelerate economic modernisation, and foster more competitive, future-ready economies

Initiative	Country	Description
Digital Investment Office: the single-window platform	Malaysia	In 2021, Malaysia established the Digital Investment Office (DIO), a joint initiative between MIDA and the Malaysia Digital Economy Corporation, to better attract and facilitate digital economy FDI. Acting as a single-window platform, the DIO streamlines pre- and post-approval processes, co-ordinates investment incentives, and assists investors with expat and digital talent needs. This targeted approach helped Malaysia attract around RM66.2 billion in approved digital investments by 2022, particularly in sectors such as data centres, software development, and creative content. Malaysia's experience highlights how a specialised agency and digital platform can significantly enhance a country's competitiveness for tech-driven FDI.
Combining regulatory innovation with investment promotion	Lithuania	Lithuania's fintech boom illustrates how regulatory innovation can drive digital FDI. With support from Invest Lithuania, the Bank of Lithuania created a regulatory sandbox and streamlined licensing, making it easier for foreign fintechs to enter. Strong ICT talent and fast approval processes attracted major players like Revolut, making Lithuania the European Union's top fintech hub by number of licenses (ITA, 2024 ^[51]). By 2021, fintech FDI had generated thousands of high-skilled jobs, showing that smart regulation and proactive IPA promotion can be as important as traditional incentives (ITA, 2024 ^[51]).
E-Residency	Estonia	This is a government-issued digital identity which gives global entrepreneurs remote access to the country. Estonia's government pioneered the e-Residency programme which, while not a traditional FDI incentive, attracted over 95 000 foreign e-residents who have founded more than 10 000 companies remotely. This has helped inject capital and innovation into Estonia's digital economy. Combined with a startup-friendly tax system and strong promotion by Invest Estonia, the country has successfully attracted tech startups and digital nomads. The programme has contributed an estimated EUR 31 million to the state budget in the first half of 2024 alone – underscoring how digital facilitation measures can indirectly boost FDI and entrepreneurship (Invest in Estonia, 2020 ^[52]).

3.3.7. Viet Nam pursues a whole-of-government approach to digital skills development, yet there is further scope to leverage FDI for workforce upskilling

As digital FDI plays an increasingly important role in job creation in Viet Nam—particularly in high-value sectors such as electronics, ICT, and software development—investing in digital skills development is essential to ensure that the domestic workforce can fully benefit from these opportunities (see Figure 3.2 and Figure 3.6). Digital FDI jobs typically demand medium to advanced digital competencies, making the availability of skilled labour a key factor in both attracting and retaining investors. Firm-level surveys confirm that digital talent is among the top criteria influencing investor decisions in the digital economy (Stephenson, 2020^[53]). Strengthening digital capabilities within the local workforce would enable foreign-invested firms to hire locally rather than rely on expatriates, thereby supporting broader employment outcomes. At the same time, higher digital skills within domestic firms are closely linked to greater adoption of advanced technologies, including AI, cloud computing, and big data analytics (Minh et al., 2024^[54]; Nguyen and Nguyen, 2022^[55]). This, in turn, increases the likelihood of linkages between foreign and domestic firms, as foreign technology companies are more inclined to source locally when domestic suppliers demonstrate higher digital maturity. Investing in digital skills is therefore not only essential for employment but also for fostering deeper integration of domestic firms into digital value chains (OECD, forthcoming^[10]).

Given the cross-cutting nature of digital transformation, Viet Nam’s efforts to adopt a whole-of-government approach to reskilling and upskilling are encouraging. As in many OECD and partner economies, digital skills development is integrated into broader digitalisation strategies. The Strategy for the Development of the Digital Economy and Digital Society, for example, sets a target for 80% of the working-age population to have received basic digital skills training by 2030 (Prime Minister of Viet Nam, 2022^[29]). To support this objective, the One Touch platform was launched by the Ministry of Information and Communications (now under the Ministry of Science and Technology), in collaboration with private sector partners. This platform delivers digital training programmes to national and local government agencies, large corporations, state-owned enterprises, and media organisations either online or through in-person consultations (MIC, 2024^[56]). In March 2025, these policy efforts were further reinforced with the launch of the Digital Literacy Platform, which was developed by the Ministry of Public Security and offers a wide range of free courses, from basic programming for secondary school students to AI applications in product design for businesses (EdTech Centre, 2025^[57]).

Viet Nam’s targeted efforts to develop digital skills in the semiconductor industry are a welcome step toward building long-term competitiveness in this strategic sector. In 2024, the government launched the programme “Developing Human Resources for the Semiconductor Industry to 2030, with a Vision to 2050” (Prime Minister of Viet Nam, 2024^[58]), outlining a comprehensive plan to expand the domestic talent pool for semiconductor design, manufacturing, packaging, and testing. The programme sets out a range of co-ordinated actions to strengthen workforce capabilities, including upgrading university laboratory equipment, funding scholarships, expanding international academic collaboration, supporting on-the-job training, and establishing incubation opportunities for start-ups. It also promotes stronger engagement between training institutions and industry through workforce commitment agreements with both domestic and foreign companies. Given the programme’s ambitious scope, the next critical step is ensuring effective implementation. Clear accountability mechanisms and close monitoring of progress by responsible agencies will be essential to translate this strategy into tangible workforce outcomes and meet the growing demand for skilled talent in the semiconductor sector (OECD, forthcoming^[1]).

Strengthening co-operation with multinational enterprises (MNEs) to deliver digital skills training can generate long-term benefits for Viet Nam’s innovation ecosystem. As global technology firms often operate at the frontier of digital knowledge, addressing the skills gaps identified by these firms can help align domestic human capital with evolving industry needs (OECD, forthcoming^[10]). Several promising initiatives are already underway, including digital training programmes delivered by the National Innovation Centre (NIC) in partnership with Google, and the Innovation Campus launched in collaboration with Samsung. However, data from the National Employment Centre suggests that many foreign firms operating in digital sectors continue to prefer hiring pre-trained workers, and in some cases, rely on expatriates or intra-company transfers rather than invest in local training. Integrating digital skills development more systematically into Viet Nam’s investment promotion and policy framework could help close this gap.

Box 3.7. International policy examples of public sector co-operation with MNEs to encourage digital skill development

Costa Rica's IPA co-operation with foreign MNEs to support the development of skills

The Costa Rican Foreign Trade and Investment Promotion Agency (PROCOMER) has developed initiatives to support skills development and attract foreign direct investment (FDI) by ensuring a workforce aligned with the needs of multiple industries. In collaboration with FDI companies, training centres, and public and private organisations, PROCOMER has facilitated upskilling and reskilling programmes for over 4 500 individuals, delivering more than 2 000 training courses in high-demand areas related to technical skills, power skills, and language competencies. PROCOMER provided partial funding—covering up to 90% of costs—to companies that designed training programmes tailored to their business needs and learning and development plans. This approach has been critical in closing knowledge gaps. The benefits of these programmes include: i) Improvement of the technical and professional profile of beneficiaries (employees/job seekers); ii) Reduction in employee turnover rates; iii) Savings in rework and personnel training; iv) Increased specialisation of human talent; v) Support to workforce located outside Great Metropolitan Area of Costa Rica.

Domestic capacity building through Egypt's Industry 4.0 Innovation Centre

The Industry 4.0 Innovation Centre (IIC) in Egypt is a collaborative initiative established by ITIDA, the Industrial Modernisation Centre (IMC), and a German electronics manufacturer. Located in the Knowledge City at the New Administrative Capital, the IIC aims to promote the adoption of Fourth Industrial Revolution (4IR) technologies and practical applications in smart factories (ITIDA, 2022^[59]). ITIDA has contracted with 26 local and international companies specialised in designing electronics to establish their branches in the IIC. The centre focuses on 1) Training and Capacity Building: Providing training in automation and digitisation techniques to enhance the skills of the local workforce; 2) Technology Adoption: Encouraging the integration of advanced technologies in local manufacturing processes to improve efficiency and competitiveness; and 3) Industrial Innovation: Supporting the design and development of smart factories, fostering innovation within the industrial sector.

The IIC is part of the broader "Egypt Makes Electronics" initiative, which aims to transform traditional manufacturing practices into Industry 4.0 techniques, positioning Egypt as a leading regional hub for innovative electronic designs. The German electronics manufacturer contributes its extensive expertise in automation and digitisation to the IIC, providing advanced technologies and equipment such as 3D printers, robotics, and automation systems (ITIDA, 2021^[60]). These resources are integral to the centre's mission of training local manufacturers and facilitating the transition to smart factory practices. Beyond technological support, the manufacturer actively engages in educational initiatives, offering training programmes and technical workshops to enhance the skills of the local workforce. This commitment to knowledge transfer is designed to stimulate industrial innovation and support the development of smart factories.

Given the fast-evolving nature of digital technologies, it is important that the wider economy has access to continuous skill development opportunities. Vietnamese SMEs that adopt digital practices either in management or production processes, are associated with higher innovation capabilities (Hoang et al., 2024^[61]). Digital skill development in SMEs is rising in importance as a tool to seize market opportunities provided by the presence of FDI companies. Some initiatives to increase SME digital capabilities include the IT trainings for e-commerce opportunities provided by Vietrade or the Digital Transformation Centre operated by the Agency for Private Enterprise Development and Collective Economy (APED) with the support of GIZ, where SMEs can receive consultations on digitalisation as a tool to optimise their production processes (GIZ, 2024^[62]). Yet, consultations with stakeholders indicate

that remote areas are less likely to use basic digital technologies, including smart phone applications. Such regional disparities must be considered in policy design to avoid adverse effects of digital FDI. Ensuring free online training provision, or access to such trainings on a local level across provinces could support this objective.

Bureaucratic burden should be reduced for universities to seek collaborative projects with business enterprises, including foreign MNEs. Collaboration between foreign and domestic private firms, universities and training centres is an underlying feature of comprehensive digital skills strategies (OECD, forthcoming^[10]). There are good examples in Viet Nam of successful university collaboration with MNEs in the digital skill landscape, such as the R&D centre Samsung established in the Post and Telecommunications Institute of Technology. However, consultations with stakeholders indicate that despite the government allocating budget for university collaborations with private companies, these funds are often difficult to spend due to bureaucratic hurdles. Lengthy processing times and requirements to receive ministry approvals make these collaborations unattractive for universities and the private sector. The adoption of Resolution No. 57-NQ/TW is a step in the right direction to address these concerns since it suggests increasing autonomy of research institutions and allowing the use of state budget funds for collaboration with enterprises (Central Executive Committee, 2024^[31]). Viet Nam should focus on the resolutions implementation to reduce the bureaucratic burden associated with obtaining the funds necessary for collaborative activities.

3.3.8. Viet Nam offers generous incentives to attract digital investment, but effective implementation and performance-based conditions will be key to maximising impact.

Viet Nam has introduced an ambitious set of investment incentives to accelerate its digital transformation and position itself as a regional hub for emerging technologies. Recent reforms to the Law on Investment and the Corporate Income Tax Law, combined with the adoption of the Law on Digital Technology Industry in June 2025, signal a shift toward more targeted support for innovation-driven activities. These reforms aim to attract high-value investments in artificial intelligence (AI), semiconductors, cloud computing, digital platforms, and other core components of the digital economy, in line with the government's objective of nurturing 150 000 digital technology firms by 2035.

The new incentive framework offers a range of tax benefits tailored to digital and high-tech sectors. Qualifying projects benefit from a full corporate income tax (CIT) exemption for the first two years, followed by a 50% reduction over the subsequent four years. For more strategic sectors—such as software development, cybersecurity, data centre services, and AI-related R&D—a preferential CIT rate of 10% is granted for up to 15 years. Larger-scale investments meeting capital thresholds of VND 6 trillion (approximately USD 230 million) are eligible for even more generous terms, including a CIT rate of 5% for 37 years, a six-year tax holiday, and a 13-year 50% reduction. In addition, land and water surface rental fees may be waived for up to 22 years and significantly discounted thereafter. These measures are designed to attract both greenfield investment and technological upgrading by existing firms, and are among the most generous incentive packages currently offered in the ASEAN region.

The effectiveness of Viet Nam's incentive regime for digital investment may also be influenced by evolving international tax rules, notably the implementation of the Global Minimum Tax (GMT) under the OECD/G20 Inclusive Framework. The GMT introduces a minimum effective tax rate of 15% for large MNEs with consolidated revenues above EUR 750 million, which are likely to account for a substantial share of investment in capital-intensive digital activities such as semiconductors and data centres. In this context, generous income-based incentives—such as prolonged corporate income tax holidays and reduced statutory rates—may no longer significantly affect investment decisions for in-scope MNEs if any resulting tax savings are offset by top-up taxes applied in the investor's home jurisdiction or elsewhere. This raises the risk that foregone tax revenues do not translate into additional investment or technology upgrading domestically. At the same time, expenditure-based and non-tax incentives—such as grants,

co-financing, R&D support, skills development subsidies and infrastructure provision— are less affected by the GMT and may therefore play a more effective role in attracting and anchoring high-quality digital FDI. Viet Nam's recent move toward financial support instruments, including the planned Viet Nam Fund for Investment Support, could help mitigate potential GMT effects while aligning incentives more closely with policy objectives related to innovation and technology transfer. As implementation of the GMT advances globally, a systematic review of the incentive mix for digital sectors –taking into account investor profiles, fiscal costs and development outcomes– would help ensure that Viet Nam's incentive framework remains both competitive and fiscally sustainable.

Beyond tax-related measures, Viet Nam's digital investment incentives include non-fiscal support designed to improve the ease and attractiveness of investing in digital infrastructure and innovation. These include reduced or exempted land rental costs in designated high-tech zones, expedited customs procedures for importing specialised digital equipment, and simplified licensing pathways for digital and semiconductor enterprises. The government has also introduced special investment procedures for high-tech projects, allowing qualified investors to commence operations up to a year earlier than standard processes would permit. Such measures aim to reduce the administrative burden on investors, accelerate project implementation, and improve the predictability of investment outcomes. To complement these incentives, the government is preparing the launch of the Viet Nam Fund for Investment Support, a state-backed financing vehicle intended to channel financial assistance to large-scale innovation projects. The fund is expected to provide grants or co-financing for capital-intensive projects in key digital sectors such as semiconductors, R&D centres, and AI applications, particularly in cases where investment costs are affected by global minimum tax arrangements. These financial tools are further supported by recent efforts to attract digital talent through extended residence permits for foreign experts and their families, helping to address persistent skill shortages in the digital economy.

Digital economy investments are also being promoted through the expansion of dedicated high-tech zones. Investors locating in the Saigon Hi-Tech Park, Hoa Lac Hi-Tech Park, or the Da Nang Hi-Tech Park benefit from streamlined administrative procedures, access to shared infrastructure, and automatic eligibility for enhanced incentives. These zones are increasingly being positioned not only as manufacturing clusters but as full-service innovation ecosystems, supporting both domestic start-ups and foreign investors engaged in R&D, prototyping, and advanced digital services.

While these efforts represent a significant advancement in Viet Nam's investment policy, effective implementation will be essential to ensure their impact. International experience suggests that generous incentives alone are not sufficient to attract high-quality digital FDI if administrative procedures remain complex or if policy interpretation is inconsistent across agencies. In this regard, Viet Nam could further strengthen the transparency and accessibility of its incentive regime by publishing detailed eligibility guidelines and maintaining a centralised digital portal for investors. Coordination between the Foreign Investment Agency (FIA), the Ministry of Planning and Investment, and the Ministry of Science and Technology could also be enhanced to ensure that promotional efforts are aligned with sectoral priorities and that investors receive timely and coherent information. Moreover, to ensure that incentives contribute meaningfully to long-term development goals, Viet Nam could consider introducing performance-based criteria linked to technology transfer, skills development, or local R&D spending. Establishing periodic evaluations of incentive effectiveness would also support better policy learning and enable adjustments based on real-world outcomes. As global competition for digital investment intensifies, Viet Nam's ability to combine attractive incentives with transparent governance, skilled talent, and a reliable digital infrastructure will be a key determinant of its success in moving up the digital value chain.

3.3.9. Strengthening the digital capacities of Vietnamese enterprises to collaborate with foreign tech firms

While most foreign multinational enterprises (MNEs) in Viet Nam are active in ICT manufacturing, domestic enterprises have yet to fully embrace digital transformation. Despite near-universal internet access, a pre-COVID-19 survey by the General Statistics Office and the World Bank revealed that very few domestic firms had established a web or social media presence—particularly among small enterprises, where fewer than 30% reported having either (Cirera et al., 2021^[63]). Digital technologies also remain underutilised in core business operations and production processes. Key barriers include limited awareness of the benefits of digitalisation, high adoption costs, and a shortage of digital skills within the workforce (Thanh et al., 2025^[64]). In addition, the lack of adaptive managerial human capital further constrains technology uptake in many domestic firms (Cirera et al., 2021^[63]). These challenges are not unique to Viet Nam; SMEs in OECD economies also face similar constraints, particularly related to skills and affordability (OECD, 2024^[65]). In the Vietnamese context, these barriers are particularly concerning given the growing dominance of digital FDI (see Figure 3.1). The limited digital maturity of domestic firms undermines their ability to form linkages with foreign investors, who often require local partners to meet certain technological standards. Accelerating the digitalisation of domestic firms would not only improve production efficiency and scalability, but also enhance their suitability for collaboration with foreign firms. Empirical evidence confirms that Vietnamese SMEs that integrate digital tools into their operations are significantly more likely to participate in international trade (Thanh et al., 2025^[64]).

While the government has increasingly prioritised the digitalisation of the domestic economy, many support measures still fail to reach the majority of SMEs. Key programmes are delivered through the National Authority of Information Technology Industry, which assists firms in their digital transformation efforts and in aligning with the needs of FDI companies. Among its initiatives is a government-backed scheme that subsidises ICT service purchases and IT system upgrades for SMEs, covering up to 50% of outsourcing costs. Recent policy developments have further elevated ambitions. Resolution No. 57-NQ/TW outlines new mechanisms to encourage the scaling up of digital enterprises (Central Executive Committee, 2024^[31]), while the upcoming Digital Technology Industry Law, set to take effect in January 2026, provides both financial and non-financial incentives to accelerate digital adoption. These include corporate income tax (CIT) deductions for R&D spending, expanded access to skilled workforce training, and greater use of public digital infrastructure by private enterprises. However, low awareness among businesses significantly limits the impact of these initiatives. Empirical studies estimate that fewer than 10% of firms are aware of available government support for technology adoption, with awareness levels even lower among SMEs (Cirera et al., 2021^[63]). Bridging this information gap will be essential to ensure that digitalisation support programmes are accessible, inclusive, and effective in reaching the firms that need them most.

Creating a centralised digital platform that consolidates information on available government support for domestic technology firms—including eligibility criteria, application procedures, and contact points—could significantly improve outreach and uptake of support measures. Such a platform could be housed within the National Startup Support Centre (NSSC) or the Agency for Private Enterprise Development and Collective Economy (APED), and should include not only national-level programmes but also support schemes offered by provincial governments. To maximise accessibility and impact, the platform should be user-friendly, regularly updated, and integrated with other government portals used by SMEs and entrepreneurs. Several Southeast Asian countries have already adopted similar approaches. For example, Singapore's SME Portal, maintained by Enterprise Singapore, offers a centralised repository of tools, grants, training programmes, and step-by-step guides for firms at different stages of digitalisation. In Malaysia, the Malaysia Digital Economy Corporation (MDEC) operates a "Digital Investment Office" that consolidates information on incentives, facilitates applications, and connects firms to advisory services. Meanwhile, Thailand's Digital Economy Promotion Agency (DEPA) provides a dedicated platform offering digital maturity assessments, matching grants for SMEs, and a searchable database of accredited service providers. Drawing on these models, Viet Nam could develop a tailored,

centralised platform to serve as a one-stop shop for digital economy support—helping domestic firms, particularly SMEs, navigate complex support landscapes and better engage in digital transformation efforts.

Viet Nam would benefit from increasing MNE awareness of potential domestic suppliers operating in ICT sectors. MoST has created an online portal which publishes information on science, technology, innovation and digital transformation products that are created in Viet Nam. The portal was designed to serve as a bridge between the ministry, businesses and research organisations, creating a space for policy proposals and information exchange between stakeholders. It already includes some features useful to increase domestic company awareness of the services available to them, such as a link to the Intellectual Property Office of Viet Nam which provides information on how to receive consultations on IPR protection. MoST could consider further building on this tool and integrate foreign firms in this ecosystem. The portal could serve as an informative tool also to foreign tech firms looking for domestic partners. The platform could thus serve as a comprehensive technology exchange system involving all relevant actors.

Beyond broad-based digital adoption support, Viet Nam could adopt more targeted instruments to actively catalyse linkages between foreign digital MNEs and domestic firms, particularly in ICT services, software and emerging digital technologies. One option would be to promote structured co-innovation and supplier development programmes that bring together foreign tech investors, domestic SMEs and start-ups, and public agencies around clearly defined technology challenges or market opportunities. As illustrated by Egypt's ICT partnership initiatives (Box 3.8), government-facilitated programmes that incentivise MNEs to provide domestic firms with access to cloud infrastructure, technical training, mentoring and co-creation opportunities can accelerate capability upgrading while lowering entry barriers for local firms. In the Vietnamese context, such programmes could be implemented in priority digital domains— such as AI-enabled manufacturing, data services, fintech or smart logistics— and anchored in existing innovation institutions, industrial parks or digital hubs, with participation by foreign investors already active in the country.

Viet Nam could explore procurement-based mechanisms to encourage foreign investors to deepen local sourcing and partnerships in digital activities. Voluntary reporting, certification, or regulatory schemes that recognise and reward local digital sourcing, R&D collaboration and supplier development efforts could help align MNE incentives with domestic ecosystem development. The UAE's ICV Programme (Box 3.8) illustrates how procurement scoring and certification can encourage firms to embed local partnerships into their business models without prescribing specific technologies or suppliers. Adapted to the Vietnamese context, similar mechanisms could be piloted within public procurement or investment promotion frameworks, complemented by targeted support to help domestic digital firms meet international standards. Together, these measures would move beyond general digitalisation support towards active facilitation of technology transfer, co-innovation and sustained linkages between foreign investors and domestic digital enterprises.

Box 3.8. Leveraging the technology transfer potential of foreign MNEs

Supporting R&D and technology partnerships with startups

In August 2022, Egypt's Information Technology Industry Development Agency (ITIDA) and a technology multinational signed a memorandum of understanding (MoU) to launch a collaborative initiative in Egypt. This initiative aims to support deep-tech startups by providing them with opportunities to establish roots in new markets, expand their client reach, and engage in co-creation projects with the multinational. The programme focuses on startups operating in areas such as artificial intelligence (AI), data management, gaming, and e-commerce. Selected startups gain free access to the MNE's cloud resources and training programmes, including technical support in cloud and AI technologies. This support enables startups to develop their own applications, services, and appliances, thereby enhancing their technological capabilities and market competitiveness. By collaborating with the MNE, ITIDA aims to significantly impact Egypt's entrepreneurship ecosystem, boosting innovation and building the capacities of young talent on the latest ICT technologies.

Leveraging public procurement to encourage local sourcing by foreign investors: The UAE's ICV Programme

In the United Arab Emirates, the National In-Country Value (ICV) Programme is a government-led initiative designed to strengthen the domestic economy by encouraging companies operating in the UAE –including foreign multinational enterprises (MNEs)– to increase the economic value they retain within the country. Managed by the Ministry of Industry and Advanced Technology (MOIAT), the ICV Programme evaluates and certifies firms based on how much of their procurement, investment, employment and operational activity is conducted locally (MOIAT, 2025^[66]). Certified companies are issued an ICV certificate that reflects their contribution to the UAE economy through local sourcing of goods and services, capital investment, workforce development (including Emiratisation) and related value-add measures. This certificate has become an important competitive signal: major government and semi-government entities factor ICV scores into tender evaluations, giving preference or higher scoring to suppliers with higher local economic contribution.

ICV aims to redirect procurement spending and investment to domestic firms and industries, thereby localising supply chains, fostering the growth of local suppliers and services, and reducing dependence on imports. It also seeks to diversify the UAE's economic base beyond hydrocarbons by attracting investment, stimulating new industries and services, and boosting private-sector participation in the national GDP. The programme supports job creation for UAE nationals and encourages knowledge and technology transfer through local partnerships. While the ICV framework does not segregate a distinct “digital economy” stream, it explicitly rewards activities linked to R&D, advanced technology adoption and innovation, thereby incentivising firms –including foreign MNEs– to invest in local capabilities that align with broader digital transformation goals. By quantifying and scoring these local contributions, the ICV Programme creates tangible procurement incentives for MNEs to embed local supplier engagement and ecosystem development into their UAE operations.

Source: OECD (2026^[67]), Investment Policy Perspectives in the United Arab Emirates, <https://doi.org/10.1787/d83cbff3-en>, and OECD (2026^[2]), FDI Qualities Review of Egypt: Connecting Foreign and Domestic Firms for Productivity and Better Jobs, <https://doi.org/10.1787/04ed341a-en>.

3.3.10. Viet Nam could leverage its tech startup ecosystem to attract FDI in digital sectors

Viet Nam has a growing tech start-up ecosystem which it could leverage to attract digital FDI. Viet Nam's startup ecosystem is the third largest in Southeast Asia in terms of VC investments (2020-2022) and fourth largest in terms of number of start-ups (Crunchbase, 2024^[68]; OECD, 2025^[69]). Start-ups can play a crucial role in driving the technological growth and innovation of an economy, but often rely on well-developed government support schemes or access to funding in financial markets. Viet Nam could leverage its nascent start-up ecosystem to attract digital FDI. Already in the 2020-2022 period, 55% of all VC deals made in Viet Nam, came from foreign funds, largely based in Singapore or the United States (OECD, 2025^[69]). The share of VC deals involving foreign funds is the highest in the ASEAN region, followed by Thailand with 50% and Indonesia where 45% of all VC deals were made through foreign funds.

Viet Nam has taken several steps to support the development of its tech start-up ecosystem and should continue strengthening these efforts. The Law on Support for Small and Medium-sized Enterprises (SMEs) introduced a wide range of support mechanisms, both for SMEs more broadly and specifically targeted at start-ups (National Assembly, 2017^[70]). These include assistance for technological research and development (R&D) as well as support for developing and commercialising intellectual property. Implementation is led by institutions such as the National Technology Innovation Fund and the National Agency for Technology Entrepreneurship and Commercialisation Development, which also monitor the effectiveness of start-up support programmes (OECD, 2025^[69]). In addition, the National Start-up Support Centre (NSSC) implements initiatives to promote international co-operation. A major development was the adoption of Resolution 68-NQ/TW, which introduced a suite of financial and non-financial incentives for innovative start-ups. For example, it provides Corporate Income Tax (CIT) reductions and enables private enterprises to access publicly owned laboratories, testing facilities and research equipment (Central Committee, 2025^[71]). In line with this, Resolution 68-NQ/TW further specifies a set of tax exemptions and reductions for innovative start-ups and support organisations. These include CIT exemptions and reductions for start-up enterprises, venture capital fund management companies, and intermediary organisations supporting start-ups and innovation. As well as personal income tax exemptions for experts and scientists working in R&D centres, innovation centres, and intermediary organisations supporting innovation.

To maximise the impact of start-up support initiatives, improvements in service quality and access to information are needed. Despite the presence of over 1 400 incubators, accelerators and co-working spaces as of 2022, only 22% of start-ups report having received support from an accelerator (World Bank, 2023^[72]; Pham and Tan, 2022^[73]). This suggests a gap in the effectiveness and reach of these programmes. In particular, it is essential that shared equipment and facilities are aligned with the needs of high-tech and innovation-driven start-ups. Partnerships with private sector actors could help improve the quality of incubation and acceleration services. Moreover, a more systematic mechanism should be put in place to inform start-ups about available support programmes and facilitate their access. The NSSC could play a central role by strengthening its consultancy services and acting as a hub for information dissemination.

Viet Nam could consider operationalising a regulatory sandbox to facilitate innovation in high-tech sectors and enhance the country's attractiveness for digital FDI. The legal framework for a sandbox mechanism, introduced under Resolution 68-NQ/TW, provides a foundation to test new business models in areas such as artificial intelligence, blockchain, big data, fintech and smart healthcare (Central Committee, 2025^[71]). Regulatory sandboxes have been implemented in a number of OECD economies as a way to reduce regulatory uncertainty and allow for agile policy responses. For instance, Korea's ICT sandbox, launched in 2019, grants temporary exemptions from specific regulations to enable start-ups to test innovative products and services across sectors such as AI, robotics and 5G (OECD, 2023^[74]). In its first four years, the initiative resulted in 162 permits granted and nearly USD 130 million in private

investment (Tae-yeol, 2023^[75]). Importantly, it also enabled the government to assess which regulations were outdated or overly restrictive, providing a feedback loop for regulatory reform (OECD, 2023^[76]). Implementing a similar model in Viet Nam—starting, for instance, in fintech—could allow for experimentation in a controlled environment and, if successful, be scaled to other sectors.

Despite Viet Nam’s vibrant start-up ecosystem, synergies with foreign direct investment are not yet fully realised. While many start-ups operate in high-tech and service-based fields—such as IT and software (25% of all start-ups), fintech, and business services (12% each)—most FDI remains concentrated in the manufacturing of electronics and ICT hardware. This sectoral misalignment may explain the limited integration between start-ups and foreign investors. In addition, multinational enterprises often rely on internalised innovation models and may prefer wholly owned investment structures when operating in technology-intensive sectors. In such cases, firms may limit technology sharing with external partners due to concerns about intellectual property protection, the protection of trade secrets, or the enforceability of contractual arrangements. Nevertheless, Vietnamese start-ups have shown strong performance in digital services, particularly e-commerce and fintech, often building on internationally validated business models. These characteristics may help explain their relative success in attracting foreign venture capital (VC), especially from Singapore and the United States (World Bank, 2023^[72]).

Viet Nam could more actively leverage its high-tech start-up ecosystem to attract digital FDI, particularly by facilitating connections between foreign investors and local entrepreneurs. International investors can play a key role in scaling innovative start-ups or supporting exit strategies, which are often prerequisites for more mature VC ecosystems. While some foreign firms have already engaged in this space—for example, Samsung has supported start-up development activities, and others have launched incubation programmes and innovation challenges—a more co-ordinated and strategic effort is needed. In particular, the Foreign Investment Agency (FIA) could collaborate more closely with the National Start-up Support Centre (NSSC) to identify promising ventures and promote them to potential foreign investors. Establishing formal matchmaking mechanisms, innovation showcases, or public–private platforms could help unlock the untapped potential of start-ups as a channel for digital FDI. At the same time, strengthening the protection and enforcement of intellectual property rights, including trade secrets, would further support technology collaboration between foreign investors and domestic start-ups by increasing confidence in knowledge-sharing partnerships. Stronger IPR frameworks can help reduce incentives for multinational firms to rely exclusively on internalised innovation strategies and facilitate more effective technology transfer.

Box 3.9. International policy examples of IPAs promoting their tech start-up ecosystems for international investors

The Investment Office of Türkiye promoting foreign investments in start-ups

In its 2024-2028 FDI Strategy, Türkiye has included a pillar on high-quality financial FDI attraction in a form of investments in Türkiye’s start-up ecosystem, investments in seed funding, crowdfunding ecosystems and business angel networks. In its first Action Plan of 2024, Investment Office of Türkiye was assigned the task to actively promote the countries high-growth potential technology start-ups on an international scale. To implement this action, the Investment and Finance Office is now bringing start-ups to leading international technology and entrepreneurship conferences to connect them with international investors. On the other side, the Turkish IPA has also brought international VCs on visits to Türkiye to familiarise themselves with the Turkish start-up ecosystems. The IPA has also conducted policy advocacy campaigns to improve Türkiye’s start-ups legislation and make the foreign investments less burdensome.

Thailand's Start-up Platform

The Start-up Thailand was created in 2016 and is being co-ordinated by the country's National Innovation Agency. The platform includes a start-up directory which enables investors to search start-ups by industry (ranging across fields like AI Robotic, Telecommunications, Health Tech and Clean Tech) and by status. The status function allows investors to identify which start-ups are at the seed funding stage and which have already entered Series A, B and C. Creating the website in English has allowed Thailand to showcase its start-ups also to international investors. In addition, the platform organises annual events bringing together start-ups with potential investors.

Source: OECD (2025^[69]) Start-up Asia: Chasing the Innovation Frontier, <https://doi.org/10.1787/a9b71040-en>, Thai Startup (2024^[77]), Thai Startup Directory, <https://data.thaistartup.org/>, Türkiye Investment Office (2024^[78]), Türkiye Foreign Direct Investment Strategy 2024-2028, <https://www.invest.gov.tr/en/pages/fdi-strategy.aspx>, Türkiye Investment Office (2025^[79]), Action Plan 2024, Türkiye Foreign Direct Investment Strategy 2024-2028, <https://www.invest.gov.tr/en/Documents/turkiye-fdi-strategy-action-plans-2024.pdf?download>, Türkiye Investment Office (2025^[80]), FDI Agenda - July 2025, <https://www.invest.gov.tr/en/publications/investment-office-july-2025-newsletter.html>, Dağlıoğlu, A. Burak (2022^[81]), In the era of the global start-up, countries must step up their game to attract FDI, <https://www.weforum.org/stories/2022/07/globalized-startup-countries-attract-fdi/#:~:text=Start%20Dups%20%E2%80%94%20whether%20they%20work,sell%20them%20to%20the%20world>

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4

Mobilising FDI for job quality and skills development

This chapter assesses the potential of FDI to enhance job quality - both wage and non-wage working conditions - and skills development in Viet Nam. The chapter examines the governance framework and policy mix that support the impact of foreign investment on labour market outcomes, focusing on institutional arrangements and policies at the intersection of investment, employment and skills development.

4.1. Summary and main policy recommendations

An abundant and cost-effective labour market force has made Viet Nam an attractive destination for foreign direct investment (FDI), particularly in labour-intensive and low value-added sectors.

The rise of FDI to Viet Nam has led to substantial contributions to job creation, primarily in manufacturing activities such as textiles and garments, footwear, and most recently electronics. In 2023, foreign firms contributed to over a third of total formal employment in Viet Nam, rising significantly from 22% in 2010. Nearly 90% of those jobs are in the manufacturing sector, underscoring the sector's central role in Viet Nam's industrialisation and integration in global value chains (GVCs) in recent decades. Employment gains associated with greenfield FDI have not been evenly distributed across regions. Most new jobs are concentrated in major urban centres, particularly Ha Noi and Ho Chi Minh City, contributing to regional disparities in employment opportunities.

While FDI has contributed significantly to creating jobs in Viet Nam, its impact on job quality and skills transfer and development remains limited.

The bulk of FDI has been directed to the manufacturing sector, where wages in foreign firms are on average 23% higher than in domestic firms, but this difference remains relatively modest compared to other sectors. In addition, the specialisation on low-skilled activities has created little incentive for firms to invest in workforce development, with only 20% of foreign firms offering training opportunities. The share is nevertheless twice higher than domestic firms, representing an important channel for skills diffusion. Viet Nam has untapped potential to attract FDI in more skill-intensive sectors, including digital, financial services, education, and healthcare, which currently receive minimal FDI. However, regulatory restrictions to FDI persist in key sectors such as telecommunications and financial services.

As Viet Nam looks to attract investment in skills- and knowledge-intensive activities, skills development will become even more of a priority.

Enterprises are increasingly identifying shortages for specific skills, including managerial skills, language proficiencies, and technical skills to support high-tech and knowledge-intensive sectors, including digital and green sectors. Shifting demographics such as a rapidly ageing population underscores the need for proactive policy interventions, including reskilling and upskilling opportunities, to mitigate for labour market shifts. Viet Nam has embedded skills development prominently across high-level strategic documents, but implementation is spread across a complex interplay of government agencies, requiring efforts to consolidate objectives and establish institutional mechanisms for co-ordination between government bodies responsible for labour and skills policies. Linkages between businesses, training providers and educational establishments are likewise limited, constraining the responsiveness of the education system to evolving industry needs. Skills foresight exercises are also underway but only in few pilot sectors.

Investment incentives tie more benefits to job creation rather than skills development. Viet Nam's investment incentives primarily include income-based incentives (i.e. CIT exemptions and reduced rates) which offer generous benefits for lengthy periods of time to attract FDI to certain sectors. The newly established Investment Support Fund also offers financial incentives (i.e. cash grants) to high-tech industries, covering up to 50% of eligible costs on skills development. While eligible activities under Viet Nam's tax incentive framework include labour-intensive manufacturing projects, the instruments are more likely to lead to significant revenue losses, which in turn reduces the fiscal space to pursue broader investment climate improvements, including skills development. Broader tax system factors, such as limited transparency over the incentive framework, can also hinder take-up of incentives by businesses.

Viet Nam has increasingly incorporated labour provisions into international trade and investment agreements.

Agreements such as the EU-Viet Nam Free Trade Agreement (EVFTA), the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) include provisions on labour standards and skills development. These provisions range from reaffirming commitment to international labour standards to mandating more concrete actions, such as the non-derogation from labour laws for investment purposes. The inclusion of these provisions has led to important labour market reforms in Viet Nam, including the revised Labour Code (2019) and ratification of two ILO conventions: No. 98 on the Right to

Organise and Collective Bargaining and No. 105 on the Abolition of Forced Labour. Viet Nam also introduced provisions supporting the establishment of enterprise-level worker organisations independent of the Viet Nam General Confederation of Labour (VGCL). Ensuring workers' voice arrangements can help identify and address issues faced by foreign firms, including with respect to skills development. However, no independent worker organisation has been established to date, pending guidelines for firms on the establishment and operation of independent worker organisations. The investment community, including the Foreign Investment Agency, could also play a more active role in facilitating entry of foreign talent, an area that has been identified as an obstacle by foreign firms.

Key recommendations

- **Establish mechanisms to systemically involve the investment community in skills development**, either by expanding the National Council for Education and Human Resource Development to include larger private sector representation or by supporting the establishment of sector-specific skills councils. Renewed efforts to institutionalise such platforms, building on pilots and initiatives such as the Logistics Industry Reference Council, would help align skills development with industry needs, strengthen business–education linkages, and address emerging skills demands, including in digital and green sectors.
- **Prioritise expenditure-based investment incentives to support skills development.** Viet Nam relies on generous income-based incentives (i.e. CIT exemptions and reduced CIT rates) to attract FDI and stimulate job creation in certain sectors. However, these incentives are more likely to lead to revenue losses that could otherwise be allocated to support broader investment climate improvements, including skills development. Shifting to expenditure-based incentives (i.e. tax allowances and tax credits) could more effectively encourage foreign firms to invest in skills development while limiting fiscal costs.
- **Consider easing regulatory FDI restrictions in skills-intensive sectors.** Viet Nam features a relatively open FDI environment, but restrictions persist in sectors such as telecommunications and financial services, including foreign ownership caps and licensing requirements. These sectors benefit from a high-skilled workforce, and easing these key restrictions would help generate new skill-intensive jobs while enhancing opportunities for knowledge transfer and skills diffusion.
- **Expand and institutionalise skills assessment and anticipation systems** as integral components of a broader, well-equipped labour market information system, building on current forecasting initiatives in sectors such as garments and ports. Active engagement of the investment community (i.e. FIA and foreign firms) can improve the predictive value of skills forecasts, as FDI decisions act as forward-looking indicators of future skills demand. Strengthening co-ordination between MoHA, MoF and key stakeholders will be important to the success of such initiatives and ensuring they inform responsive and evidence-based policies.
- **Develop a data-driven approach to investment promotion that aligns FDI attraction with Viet Nam's skills and labour market priorities.** Develop an investment promotion strategy based on data-driven prioritisation models, which takes into account the domestic skills base and mitigates for potential job displacement effects. Strengthening co-ordination between national and provincial promotion bodies and reforming the governance and mandate of FIA would further reinforce implementation, efficiency, and investor trust.
- **Continue advancing domestic labour market reforms to maximise the contribution of FDI to quality job creation.** Viet Nam could strengthen collective bargaining and freedom of association rights, streamline the employment of foreign talent, and reduce informality. These measures would improve labour standards in foreign firms and support more inclusive labour

market outcomes, while building on recent progress, including the 2025 revisions to the Trade Union and Employment Laws and the ratification of two ILO Conventions.

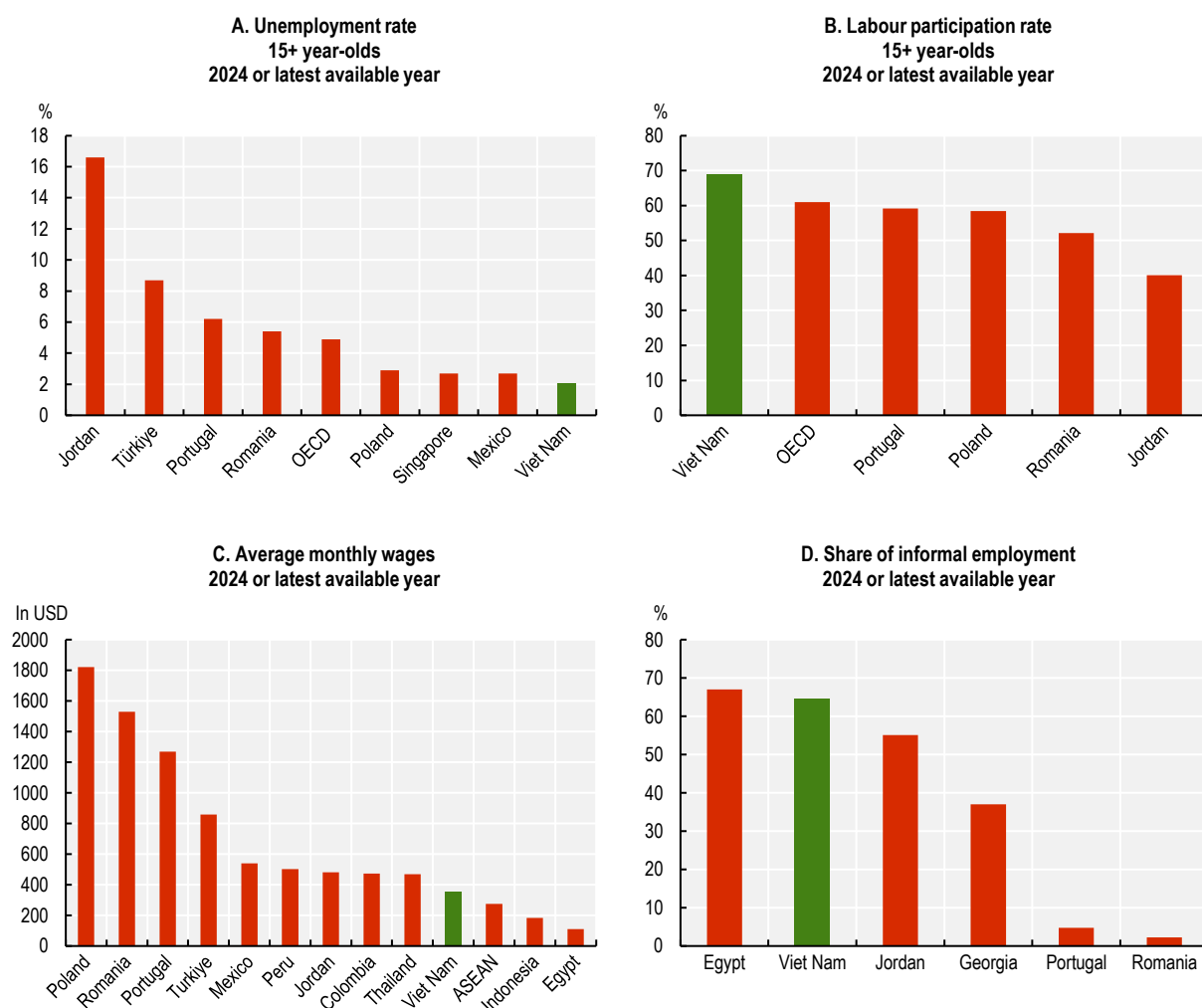
- **Strengthen industry-education linkages to better align skills development with skills needs.** Viet Nam could encourage foreign firms to take a more active role in skills development, including through public-private partnerships with technical and vocational education and training (TVET) institutions, and participation in co-ordination bodies with education providers (e.g. sector skills councils and industry advisory boards). Pursue broader TVET reforms to encourage industry engagement by expanding workplace-based training, upskilling teachers, advancing digital delivery, and promoting flexible, competency-based programmes.
- **Continue to incorporate labour considerations in international trade and investment agreements.** Viet Nam is a signatory of several international trade and investment agreements that include labour commitments, such as the EU-Viet Nam Free Trade Agreement. This has led to important labour market reforms in Viet Nam, which supports the generation of quality jobs, including by FDI. To this end, Viet Nam is encouraged to continue engaging in international trade and investment agreements that feature labour considerations and commitments.
- **Continue advancing the agenda for responsible business conduct (RBC) and implementing the National Action Plan on RBC** by strengthening labour enforcement mechanisms and promoting awareness of RBC among businesses and policymakers. Integrating labour-related criteria into public procurement criteria and embedding RBC principles in State-Owned Enterprises (SOEs) would further promote RBC across the economy.

4.2. Overview of Viet Nam's labour market

Viet Nam boasts an abundant, young and cost-effective workforce. Since the policy reforms of the *Doi Moi* in the late 1980s, Viet Nam has developed a conducive environment for investment, driven partly by the availability of a young and cost-effective workforce (OECD, 2018^[1]). Improvements in access to and the quality of education have expanded the pool of educated workers, reinforcing Viet Nam's appeal to foreign investors and helping sustain strong inflows of FDI (McGuinness et al., 2021^[2]). In 2024, Viet Nam's labour force participation rate stood at 68.9%, at a level higher than all other comparator economies selected for this study, including the average of 61% among OECD economies (Figure 4.1, Panel B). Unemployment has been historically low, reaching 2% in 2024, remaining the same level from a decade earlier. The unemployment rate in Viet Nam is only higher than in Thailand among comparator economies, and lower than the average for ASEAN of 2.5% and OECD of 5% (Figure 4.1, Panel A).

While the labour force participation rate is high, informality remains pervasive. The majority of workers in Viet Nam operate in the informal sector, at 64.6% of total employment in 2024, in a share that is higher than comparator economies such as Jordan, Georgia, Portugal and Romania (Figure 4.1, Panel D.). Many informal workers tend to be in the agriculture sector, occupying low-skilled jobs, and located mainly in rural areas. By definition, informal workers have limited access to job-related benefits, with limited access to social protection, lower wages, and uncertain job security. In addition, the transition of informal workers to formal employment is hindered by their lower access to upskilling opportunities than formal workers. As such, informal workers tend to find themselves in precarious employment conditions (ILO, 2021^[3]). Tackling informality becomes crucial to not only expand coverage to social protection and improve job quality overall, but also to stimulate entrepreneurship and business expansion. To that end, lowering the burden on small businesses to comply with government regulations (i.e. business registration, tax payments) has been recommended to help drive businesses towards formalisation and in turn stimulate further job creation (OECD, 2023^[4]). Public policies aimed at improving education can also contribute to reducing informality, as informal workers are often low-skilled and typically include young entrants to the labour market (OECD, 2025^[5]).

Figure 4.1. Viet Nam benefits from an abundant and large workforce



Note: Panel D presents comparator economies for which informality data is available according to the 19th ICLS definition.

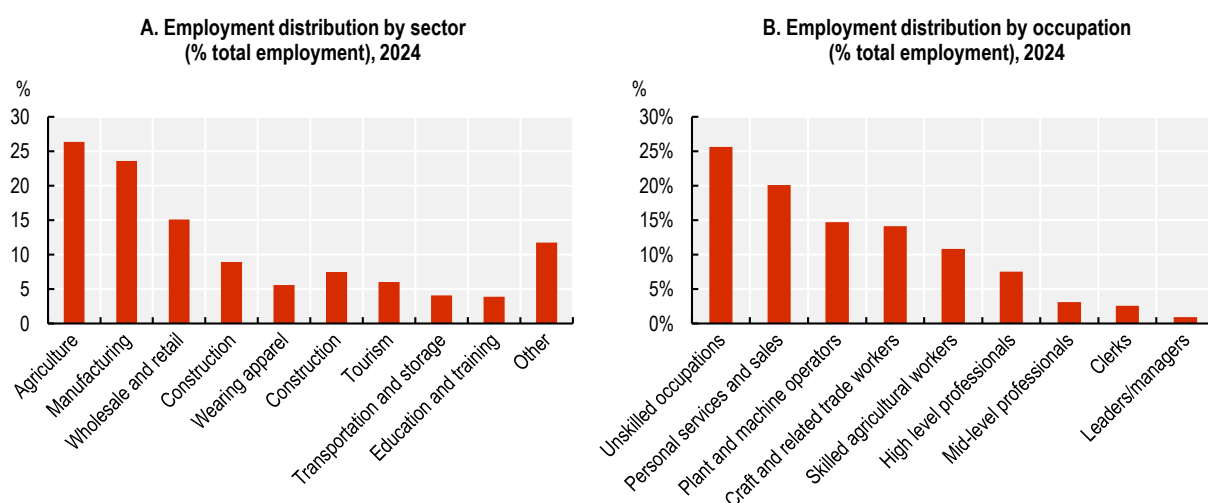
Source: OECD based on ILO (2026^[6]) ILOSTAT, <https://ilostat ilo.org/data/>.

Commitments to improving the access to education underpin the high participation of the workforce. Viet Nam's investment in basic education has culminated in high-quality outcomes, including near-universal enrolment in primary and lower secondary schools (OECD, 2025^[5]). According to the results of the OECD Programme for International Student Assessment (PISA), Vietnamese students score on-par with the OECD average on reading, mathematics and science (OECD, 2023^[7]). At the upper-secondary level, however, enrolment rates are marked by socioeconomic disparities, with higher education costs posing significant barriers for vulnerable populations. Enrolment in tertiary education also still lags behind peer economies and the OECD average. In 2022, Viet Nam's gross tertiary enrolment stood at 42%, which remains lower relative to Indonesia (45%), Thailand (46%), Colombia (59%), and the OECD average (78%) (UNESCO Institute for Statistics, 2022^[8]). Making upper-secondary school mandatory and increasing spending on tertiary education will be key to improving education outcomes and supporting long-term economic development (OECD, 2025^[5]).

Employment is concentrated in low-skilled occupations, although demand for high-skilled labour is gradually rising. As Viet Nam integrated into global trade networks, growing number of jobs were created in the export-oriented manufacturing sector, particularly in textiles, leather, wearing apparel, and,

more recently, electronics manufacturing. The growth of the manufacturing sector coincided with the reallocation of labour from agriculture to industry, although agriculture continues to employ a significant share of the workforce (Figure 4.2, Panel A). Given the labour-intensive and routine nature of production in these sectors, employment has been concentrated in low-skilled work (i.e. assembly work). In 2024, over a quarter of total employment was based in unskilled occupations, and a further 15% of workers were employed as machine operators or assemblers (Figure 4.2, Panel B). At the same time, Viet Nam is gradually shifting towards developing higher value-added and skill-intensive sectors, such as high-tech industries. This transition presents challenges in the form of persistent skills shortages, including for basic and advanced digital skills, which limits workers' ability to seize new opportunities in the digital economy, and holds back Viet Nam's digital transformation (OECD, 2023^[4]). Responding to these growing skills needs will likely be crucial for Viet Nam's future economic growth (Van Can and Dang, 2024^[9]), and will shape the capacity to absorb incoming FDI in skill-intensive activities.

Figure 4.2. Employment is concentrated in low-skilled sectors and occupations



Note: This Figure reflects preliminary 2024 data.

Source: OECD based on NSO (2026^[10]) Employment Statistics, <https://www.nso.gov.vn/en/employment/>.

Viet Nam is undergoing significant demographic shifts, which brings important implications for the labour market and longer-term economic trajectory. The Vietnamese population is rapidly ageing, driven by an increasing life expectancy and declining birth rates, a trend that is shared more broadly by Southeast Asian economies. The old-age dependency ratio¹ in Viet Nam will increase from 14% in 2025 to 32% by 2050 (UN, 2024^[11]). This follows a period of favourable demographics: between 1995 and 2020, the working-age population grew at more than twice the pace of the overall population, reaching 61% of the total population in 2020 and providing a substantial demographic dividend. Looking ahead, the share of working-age adults in the total population is projected to decline to around 59% by 2045 (OECD, 2025^[5]).

The consequences for the labour market and economic competitiveness are already beginning to materialise. For example, in textiles and garments, employers are facing increasing difficulty in recruiting younger workers (ILO/Viet Nam Textile and Apparel Association, 2025^[12]). Rising manufacturing wages, which nearly tripled between 2010 and 2022, combined with weaknesses in upper secondary and tertiary education, may further erode the cost and skills competitiveness that has underpinned Viet Nam's ability to attract FDI (OECD, 2025^[5]). To mitigate for these demographic trends, Viet Nam is recommended to upgrade education and training, particularly at the upper secondary and tertiary levels and in closer co-ordination with the business sector, to sustain productivity growth and maintain the skills base needed

to attract higher-value FDI. Expanding pension coverage, reducing labour informality, and strengthening the fiscal framework to meet rising social protection and healthcare spending needs are also identified as priorities (OECD, 2020^[13]; 2023^[4]).

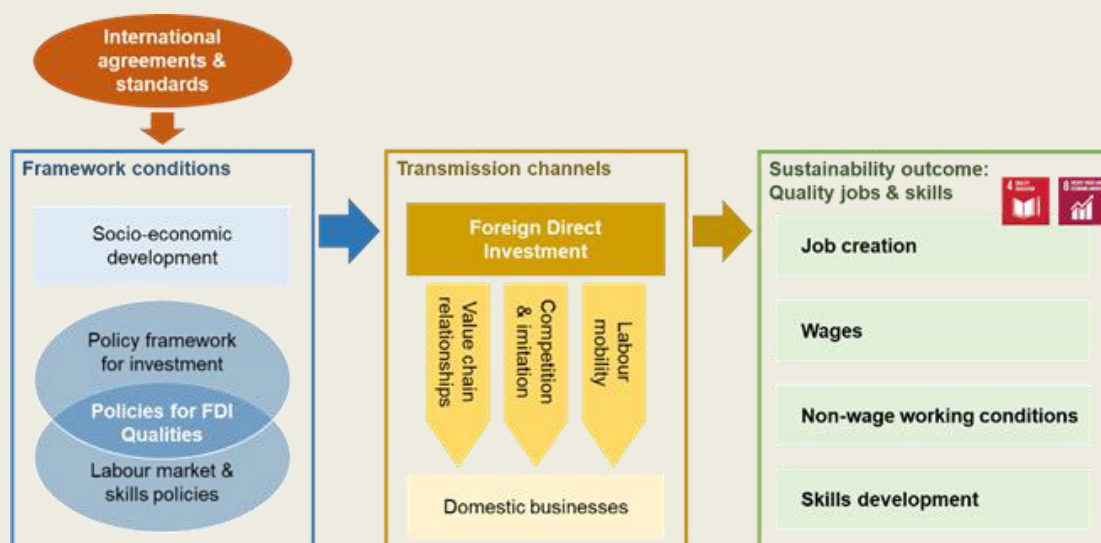
4.3. The contribution of FDI to job quality and skills

The contribution of FDI on job quality and skills occurs through various transmission channels. Foreign enterprises may have a direct impact in the labour market by generating jobs, providing better working conditions or contributing to upskilling (Box 4.1). Indirectly, foreign enterprises may create competition or imitation effects by incentivising domestic peers to provide higher wages or invest in skills development. For instance, evidence shows that a greater presence of foreign firms in Viet Nam is associated with higher average wages of domestic private firms (Hoi and Pomfret, 2010^[14]). One example is in a select Vietnamese service industry (i.e. professional, scientific and technical services), where the presence of foreign firms created wage spillovers by incentivising domestic firms to pay more competitive wages (Nguyen, 2020^[15]). Evidence also suggests that increases of FDI in services sectors is linked with increased numbers of VET graduates (Ibarra-Olivo et al., 2024^[16]), therefore contributing to the supply of skilled workers. Foreign firms can also have negative effects, for example when they engage in poor labour practices in their supply chains or when competition for talent drains skilled workers from domestic firms.

Box 4.1. Framework for assessing FDI impact on job quality and skills

The entry and operations of foreign firms affect the demand for skilled and unskilled labour in the host country, with concomitant effects on employment and wages (Figure 4.3). FDI can also affect non-wage working conditions, including job security and core labour standards. FDI effects on labour market outcomes involve several transmission channels (orange box). Outcomes can result from foreign firms' direct operations, such as hiring new workers or firing incumbents following a foreign takeover or offering better or worse working conditions than domestic firms. Foreign firms' direct operations have also spillover effects arising from: (1) their value chain relationships with domestic firms, whether buyers or suppliers; (2) market interactions through competition and imitation (or learning) effects; (3) and labour mobility of workers between foreign and domestic firms.

Figure 4.3. Factors influencing FDI impacts on job quality and skills



Source: (OECD, 2022^[17]).

The premise underlying the existence of FDI spillovers is that foreign firms are technologically superior and, in turn, benefits might spill over to domestic firms. Value chain relationships or labour mobility between foreign and domestic firms can create knowledge spillovers, and in turn raise productivity, wages and employment. FDI spillovers on labour market outcomes are often specific to certain segments of the workforce, industries, or locations. They are also not always positive if, for instance, foreign firms have irresponsible labour practices with their suppliers or if competition for talent leads to less skilled workers in domestic firms. The intensity of such adverse impacts depends on how fast the labour market adjusts to external shocks. For instance, FDI hardly increases the share of skilled workers and worsens wage disparities when skills shortages are severe and labour mobility is constrained.

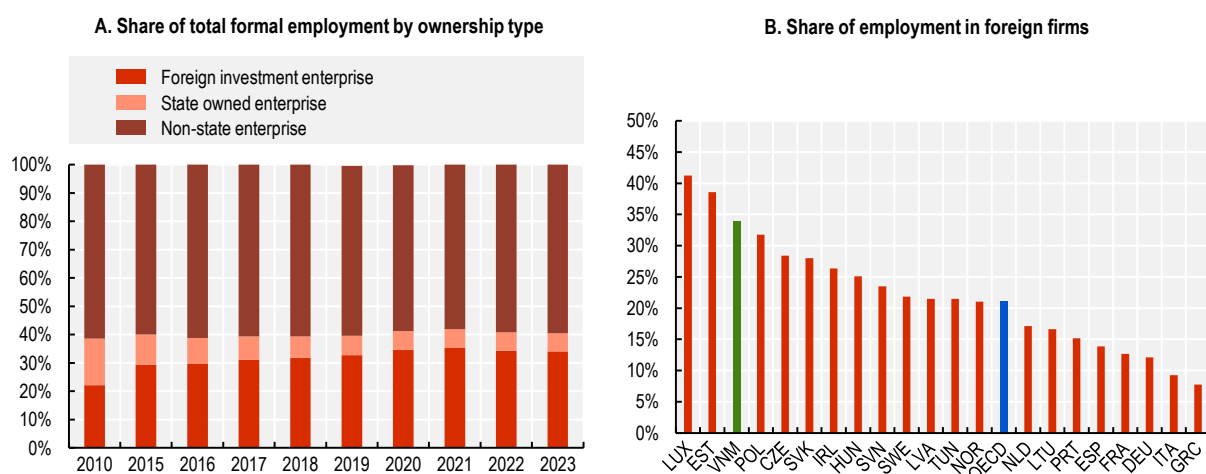
The direction and magnitude of the combined direct and spillover effects of FDI on labour market outcomes ultimately depends on the economic structure of the host country and domestic firms' characteristics (size, productivity level, skill-intensity, business and labour practices), labour market characteristics (employment levels, share of skilled labour, unionisation rates, etc.) and the policies and institutions in place (blue box). Whether FDI improves or undermines labour market outcomes depends also on the type of activity of foreign firms and the extent to which they export home country practices and norms or adopt instead those of the host country.

Source: OECD (2022^[17]) FDI Qualities Policy Toolkit, <https://doi.org/10.1787/7ba74100-en>.

4.3.1. FDI drives more than one third of formal employment in Viet Nam

Reforms introduced under the *Doi Moi* have resulted in a steady increase of FDI and its contribution to employment since the late 1980s. In the early stages, FDI had a relatively limited impact on employment as investment was directed to capital-intensive sectors such as oil and gas (Rhys Jenkins, 2006^[18]). Subsequent reforms to the legal framework for investment in the 1990s have allowed investors to play an important role in diversifying the economy and supporting Viet Nam's industrialisation (OECD, 2018^[11]). Viet Nam's accession to the WTO in 2007 and the ratification of numerous free trade agreements provided further scope for export-oriented investment in the manufacturing sector, which reinforced FDI's contribution to employment (Fukase, 2013^[19]). Viet Nam's investment climate, characterised by attractive tax incentives, an abundant workforce, and competitive wages provided a fertile environment for foreign presence in labour-intensive and low-skilled manufacturing activities, including electronics, textiles and garment industries. In turn, the share of employment generated by foreign firms amounted to 34% of total formal employment in 2023, rising from 22% in 2010 (Figure 4.4, Panel A). The share of employment by foreign firms in Viet Nam is higher than many peer economies, including the average for OECD of 21% (Figure 4.4, Panel B).

Figure 4.4. Foreign firms contribute to over one third of formal employment in Viet Nam



Note: Panel B country aggregates exclude agriculture, financial and insurance activities, education services, healthcare, arts, entertainment and recreation, other services, and public administration (corresponding to ISIC rev. 4 sectors B-N, excluding K). Data for Viet Nam refers to percentage of total employment. Other country aggregates refer to percentage of private sector employment

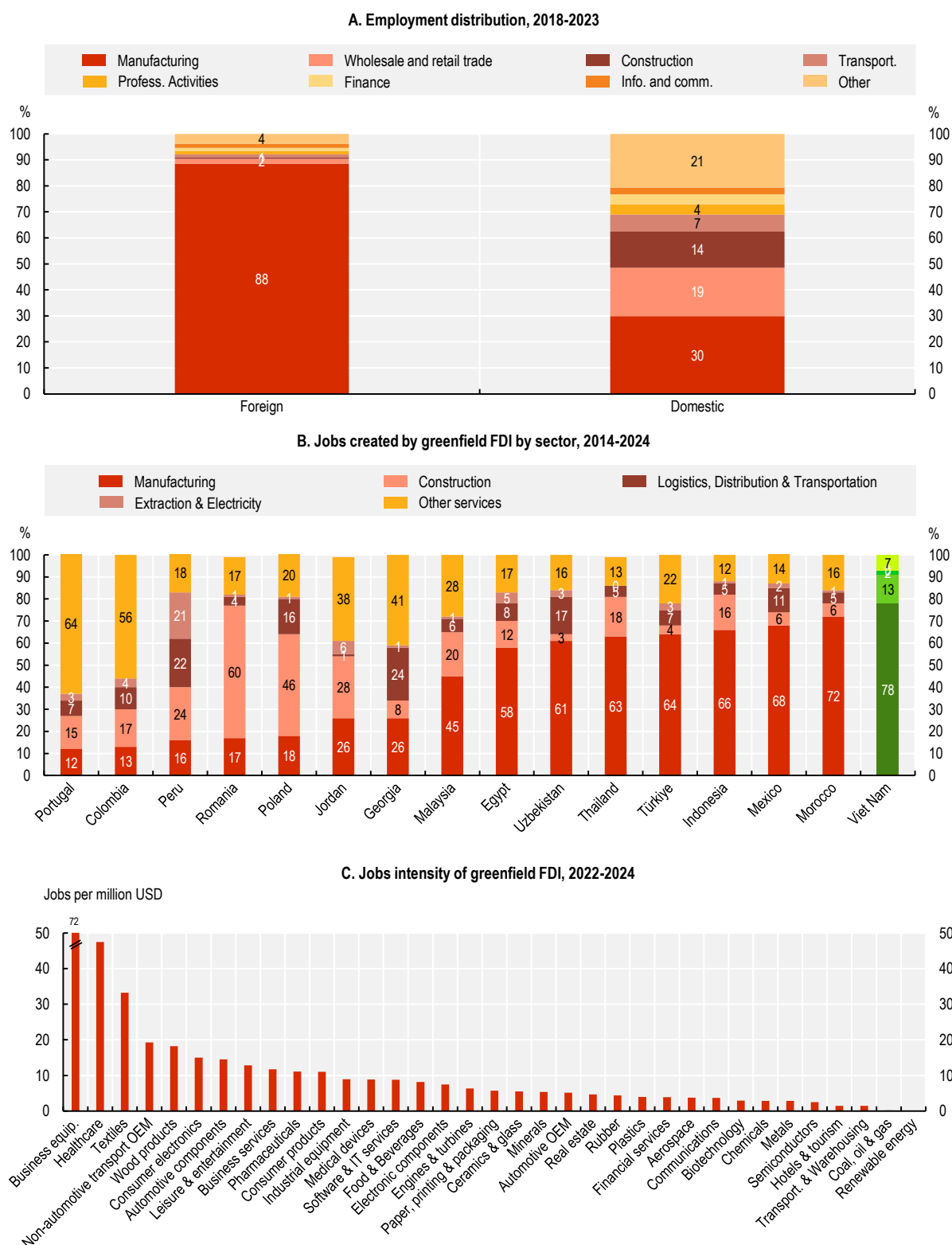
Source: OECD elaboration based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>; and OECD (2023^[21]) AMNE Database, <https://www.oecd.org/en/data/datasets/multinational-enterprises-and-global-value-chains.html>.

4.3.2. Jobs created by FDI are largely in manufacturing and around urban hubs

Nearly nine out of ten jobs created by FDI are in the manufacturing sector. Owing to the importance of the manufacturing sector in Viet Nam's economy, nearly 90% of jobs created by foreign enterprises are in the manufacturing sector, a share that is almost three times as much as domestic firms (Figure 4.5, Panel A). Greenfield FDI data further highlights Viet Nam's strong specialisation on manufacturing relative to other peer economies. Between 2014 and 2024, 78% of jobs generated by greenfield FDI in Viet Nam was in manufacturing—a higher share than all peer economies, including Indonesia (65%), Thailand (62%), or Malaysia (45%) (Figure 4.5, Panel B). On average, each million USD of greenfield FDI announced between 2022 and 2024 is expected to have created 9 direct jobs. The most job-intensive subsectors include business machinery and equipment, textiles, non-automotive transport OEM, and wood products (Financial Times, 2024^[22]) (Figure 4.5, Panel C). Importantly, women represent more than half of the manufacturing workforce, predominately in textiles and garments, leather and footwear, and the rapidly growing electronics sector. While FDI inflows to the manufacturing sector have created many job opportunities in the labour market, particularly for women, these jobs are concentrated in low-skilled and low value-added activities, with limited prospects for career advancement and at times precarious job conditions (Chapter 4).

Service sectors account for a negligible but growing share of employment driven by FDI. Since the economic reforms of the late 1980s, Viet Nam has undergone a steady shift in labour allocation from agricultural subsistence toward export-oriented manufacturing (OECD, 2018^[1]). FDI has accelerated this reallocation to manufacturing and, to a much lesser extent, service sectors. In 2023, foreign firms in service sectors accounted for nearly 12% of total employment, doubling earlier amounts in 2006. In service sectors, employment at foreign firms was spread near equally between transportation and storage, professional activities, finance and banking, and information and communication activities between 2019 and 2023 (Figure 4.5, Panel A). Lower shares of employment in these activities may be partly explained by persisting regulatory restrictions on FDI, particularly in transport and telecommunications, where Viet Nam had historically imposed above average restrictions in comparison to ASEAN and OECD levels (OECD, 2018^[1]) (Section 4.4.2).

Figure 4.5. The manufacturing sector accounts for the vast majority of jobs created by FDI

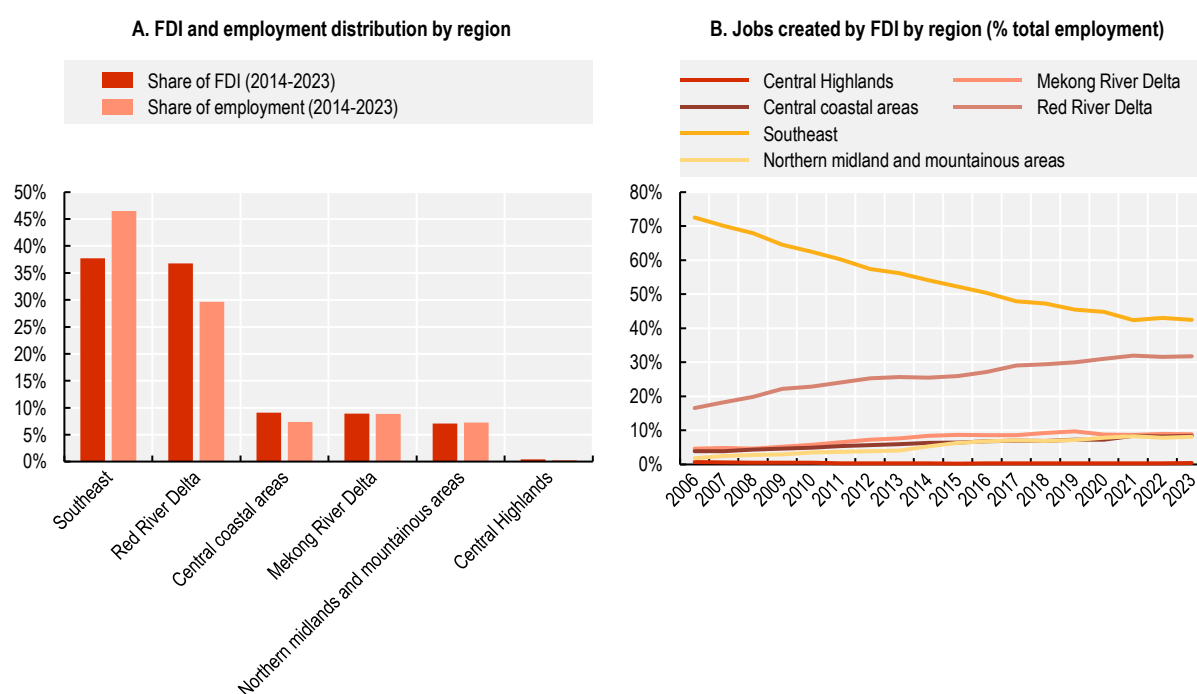


Source: OECD based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>; Financial Times (2024^[22]), fDi Markets (database), <https://www.fdimarkets.com/>.

Job opportunities created by FDI are concentrated in urban centres such as Ha Noi and Ho Chi Minh City, where investors tend to locate themselves to facilitate access to larger markets and better infrastructure, as is the case in other economies. Between 2014 and 2023, nearly three quarters of FDI inflows and associated job opportunities were concentrated in the Southeast and Red River Delta regions, where Ha Noi and Ho Chi Minh City are the primary beneficiaries (Figure 4.6, Panel A). However, FDI is creating jobs at a faster rate outside of urban centres, which may be a result of foreign investors increasingly locating themselves in rural areas to benefit from more competitive wages and low-skilled labour. In the northern midland and mountainous areas, for example, employment generated by FDI has been expanding by an average growth rate of 5% between 2014 and 2024, in part due to the higher concentration of industrial zones in northern areas of Viet Nam (Figure 4.6, Panel B). Conversely, FDI-driven job creation in the Southeast region has risen by an average annual growth rate of nearly 3%. Despite the overall increase in jobs generated by FDI in the Southeast region, which has doubled in nominal terms since 2006, the share of total employment has declined from 72% in 2006 to 42% in 2023, which signals a more balanced labour distribution across regions relative to previous decades.

Nonetheless, other regions benefit little from the impact of FDI on employment. The Central Highlands region accounted for less than 1% of jobs created by FDI in 2023, or around 21 000 jobs in total. The factors contributing to these regional disparities are complex, including geographic location, infrastructure, and the local business climate. The mountainous terrain and lack of access to the seaport have constrained FDI inflows, including in labour-intensive and export-oriented manufacturing projects (NSO, 2021^[23]). According to the Provincial Competitiveness Index (PCI), an annual survey that assesses the economic governance quality of provincial authorities since 2005, the Central Highlands region ranked in the bottom tier across several indices on the business climate in 2024, including the level of transparency in the business environment, length of bureaucratic procedures and inspections, and the extent of proactivity of provincial authorities in addressing business concerns (VCCI, 2025^[24]). At the core of this challenge is the decentralisation of certain government functions, such as investment promotion and facilitation, which fosters competition between provinces but disadvantages provinces with less resources and institutional capacity to do so, an issue that has become evident in recent years (OECD, 2018^[1]).

Figure 4.6. FDI-driven employment is concentrated around urban centres



Source: OECD elaboration based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>.

4.3.3. Foreign firm wages are on average 21% higher than Vietnamese firms

An abundant and cost-effective labour force has long been a key feature of Viet Nam's investment climate. The average monthly earnings for workers in Viet Nam, which stood at 330 USD in 2023, fall far below many peer economies, and is roughly half the average for ASEAN economies. Variations in wages exist across sectors, with the highest average monthly earnings in the information and communication sector at around 506 USD per month, while the lowest earnings are at nearly 223 USD in the agriculture sector (ILO, 2024^[25]). Viet Nam has taken important steps towards regulating the minimum wage which, since 2012, has been set according to the development level and living costs of each region (ILO, 2024^[26]). As of July 2024, the minimum wage varies from VND 3 450 000 million (around USD 135) to nearly VND 5 million (around USD 195) depending on the region (Government of Viet Nam, 2024^[27]).

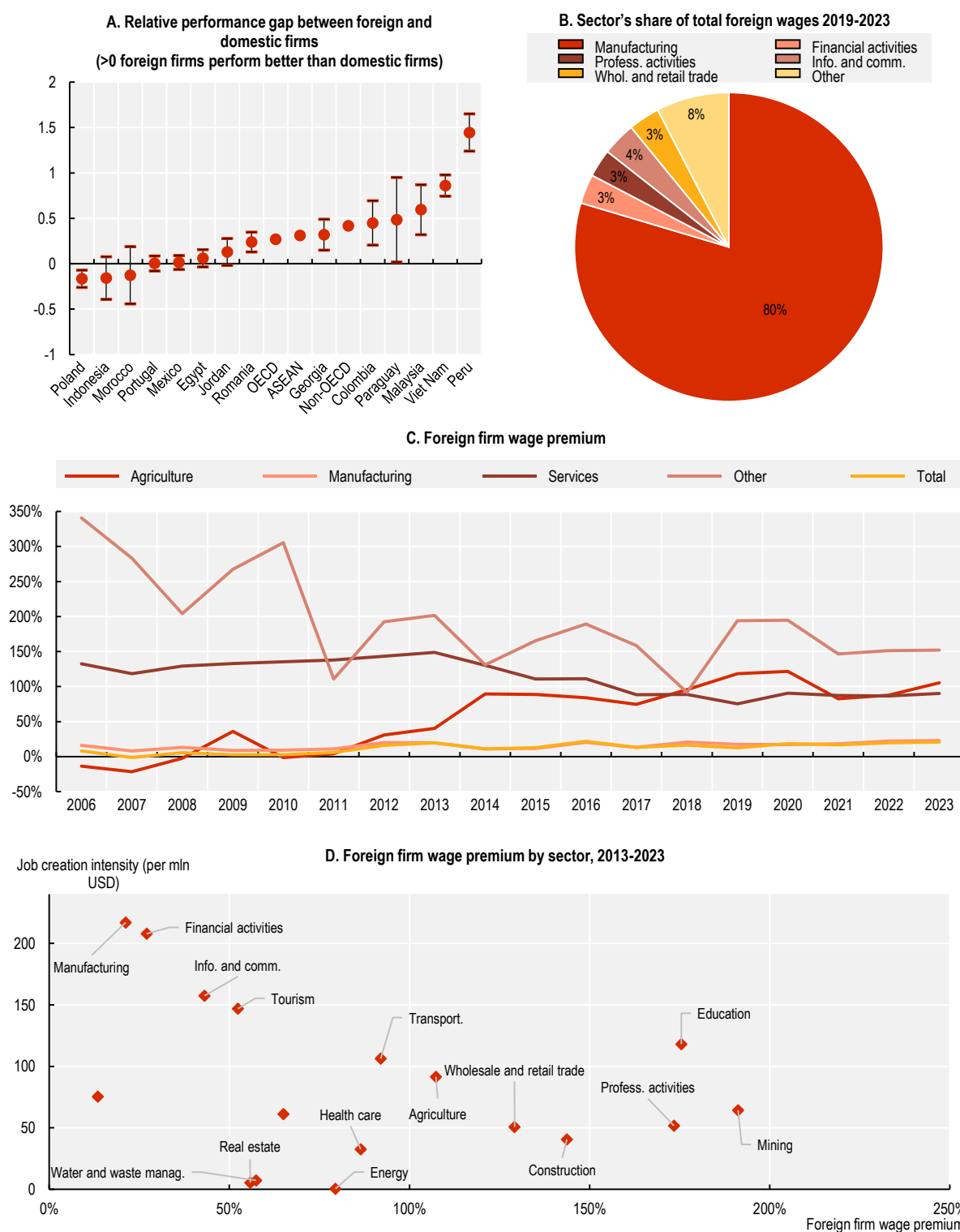
FDI to Viet Nam has contributed to higher wages across all economic sectors relative to domestic firms. According to the World Bank Enterprise Survey (WBES) of Viet Nam, the foreign firm wage premium in Viet Nam are on average higher than all peer economies chosen for this analysis except Peru, as well as higher relative to the average levels of OECD and ASEAN economies, where foreign firms tend to pay on average 26% and 31% higher wages, respectively (Figure 4.7, Panel A). However, the WBES is based on firm-reported surveys, and the sectoral coverage may differ from official data of the NSO. Data provided by the NSO show that overall, in 2023, foreign firms paid 21% higher wages on average than domestic peers, and this rate has more than doubled from 8% in 2006 (Figure 4.7, Panel C). This long-standing foreign firm wage premium is partly a result of government policy that, until 2011, mandated higher minimum wage requirements for foreign enterprises relative to domestic ones. Since 2012, uniform minimum wage requirements were applied to both domestic and foreign firms, according to a scale that accounts for the development level of each region (ILO, 2024^[26]). Despite the overall positive wage premia associated with foreign firms, the extent of these benefits varies significantly by sector.

Foreign firm wage premia are positive across all sectors but are lowest in manufacturing, which is also Viet Nam's most FDI-intensive sector. Viet Nam's large and cost-effective workforce has long attracted foreign investors to labour-intensive manufacturing industries, which received more than half of total FDI inflows since 2020. Because of the large presence of foreign firms and employment in manufacturing, the sector also accounts for the largest share of the total foreign wage bill, amounting to 80% in 2019-2023 (Figure 4.7, Panel B). Yet reliance on low-skilled labour reduces incentives for foreign manufacturers to offer competitive wages compared to domestic peers, resulting in a relatively modest 23% foreign firm wage premium in 2023, considerably lower than in services or agriculture. Given the outsized weight of manufacturing in FDI employment relative to other sectors, the overall foreign firm wage premium economy-wide averages around 21% in 2023.

Service sectors tend to offer better working conditions but attract smaller share of foreign investment. In 2023, foreign firms in service sectors paid on average 90% higher wages than domestic peers, a wage gap that has narrowed from 133% in 2006. The largest wage premia within services were recorded in professional and technical services (177%), education (162%), wholesale and retail (122%), transport (99%) and healthcare (60%). These subsectors collectively accounted for 21% of the total foreign firm wage bill in 2023, reflecting their relatively modest footprint in the foreign-invested economy despite their higher premiums. Given the markedly higher wage premia in services, policies that attract more FDI into service activities may positively influence job quality and skills development. This is especially relevant in subsectors such as healthcare and education, which not only exhibit high foreign firm wage premia but also contribute to more inclusive labour market outcomes (Chapter 4).

Foreign firm wage premia have risen rapidly in agriculture, but FDI inflows remained negligible. Foreign firms in agriculture offered on average 105% higher wages than domestic firms in 2023, which has risen significantly from a negative foreign firm wage premium of -14% in 2006. Despite the role of the agriculture sector in Viet Nam's economy, the sector tends to receive negligible amounts of FDI. Between 2020 and 2024, less than 1% of total FDI inflows were directed to the agriculture sector.

Figure 4.7. Foreign wage premia are positive but lower in sectors with significant FDI

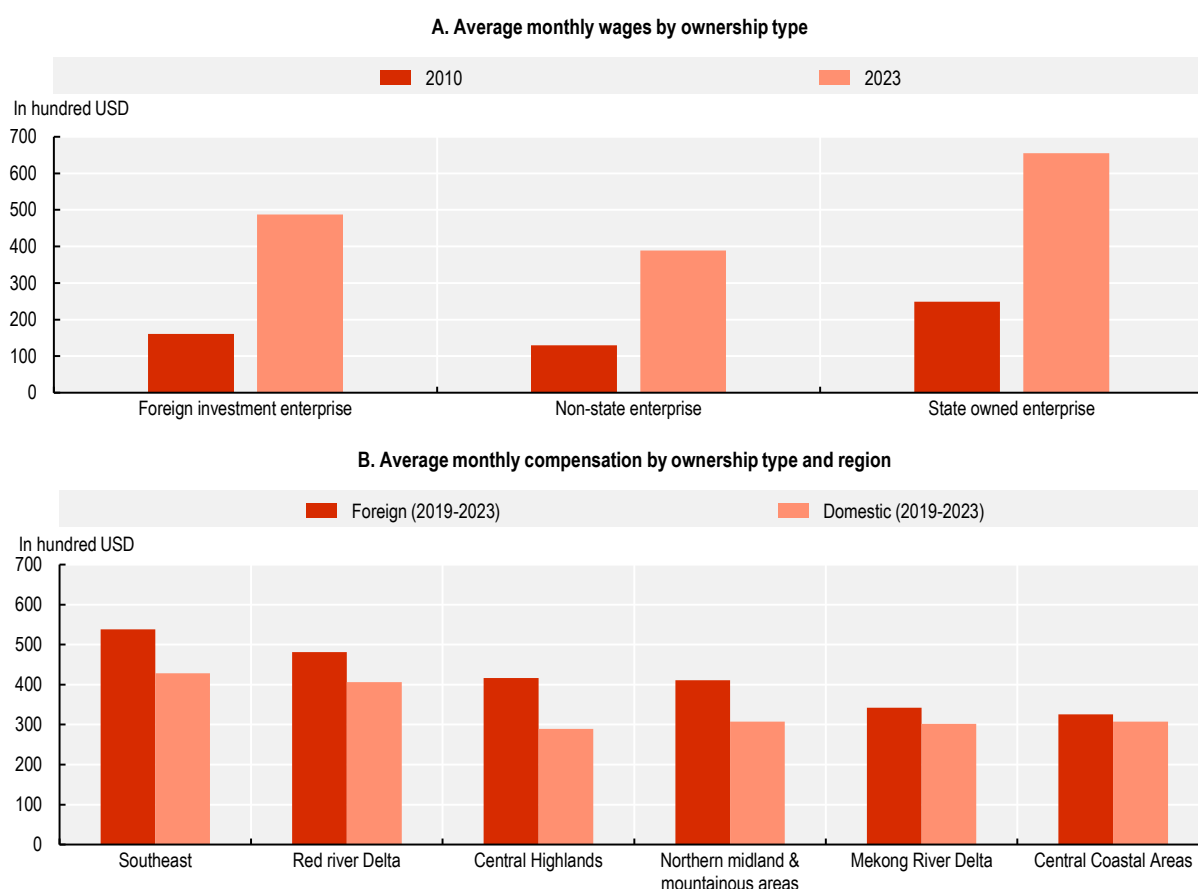


Note: Panel A: The indicator registers a positive value if foreign firms outperform domestic firms, and a negative value if foreign firms underperform on average. Confidence intervals are reported at the 95% confidence level. Panel C: Other sectors refer to mining and quarrying, construction, electricity generation and utilities.

Source: OECD calculations based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>; and World Bank (2025^[28]) Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

Foreign firms pay well above the minimum wage across all regions, including relative to domestic firms. Since 2012, Viet Nam has enforced a unified minimum wage applicable to both domestic and foreign firms, with differentiations based on region to account for disparities in living costs and development levels. In 2024, the lowest regional minimum wage stood at VND 3 450 000 million (around USD 135) for predominately rural and remote provinces, including Central Highlands, while the highest tier is equal to nearly VND 5 million (around USD 195), and includes urban centres such as Ha Noi and Ho Chi Minh City (Government of Viet Nam, 2024^[27]). In 2023, the average monthly wage at foreign firms was USD 161, compared to 130 USD at non-state enterprises (Figure 4.8, Panel A). Between 2013 and 2023, wages paid by foreign firms were well above the minimum wage for all regions. In the Southeast region, for example, foreign firms paid an average monthly wage of USD 410, compared to USD 333 among domestic firms and nearly double the minimum wage tier of USD 195 for urban centres (Figure 4.8, Panel B). Domestic labour market regulations, such as minimum wage legislation, help ensure that foreign firms do not offer less favourable working conditions than domestic peers, thereby safeguarding rather than undermining labour standards in the host economy (OECD, 2022^[17]). Evidence also suggests that Viet Nam's minimum wage legislation have led to reduced income inequality since 2012, particularly in the formal sector, by raising wages at the lower end of the distribution (Henrik Hansen, 2016^[29]).'

Figure 4.8. Foreign firms pay higher wages than domestic firms across all regions



Source: OECD elaboration based on NSO (2026^[20]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>.

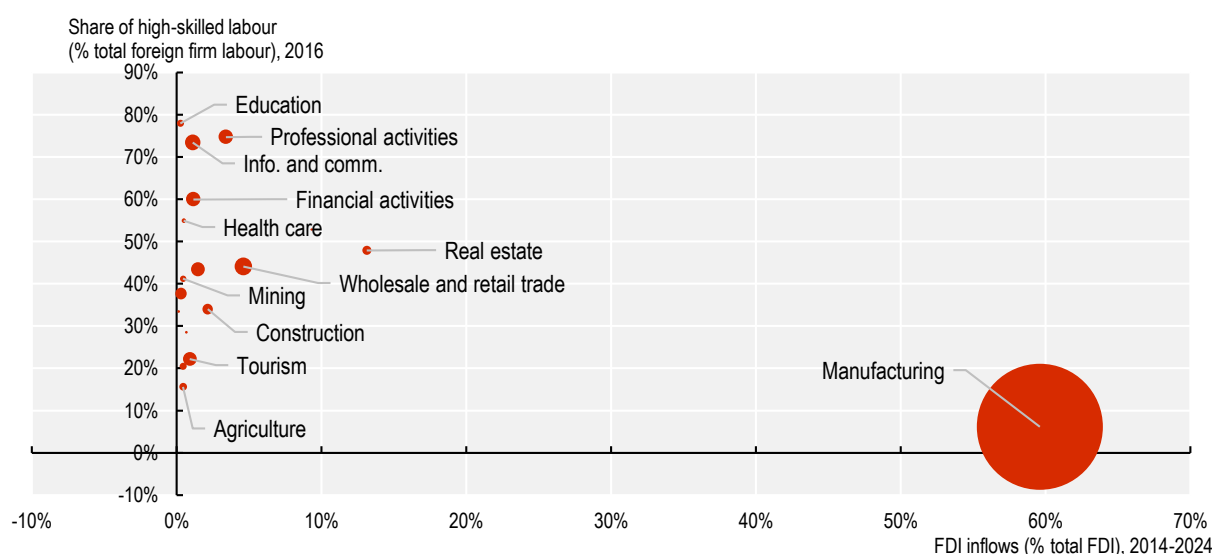
4.3.4. Foreign firms create more jobs in low-skilled activities

The supply of jobs by foreign firms are concentrated in low value-added and low-skilled activities.

The manufacturing sector accounts for an important share of FDI inflows to Viet Nam, attracting nearly 60% of FDI inflows between 2014 and 2024, and generating nearly 90% of employment in foreign firms between 2013 and 2023 (Figure 4.9). Within the manufacturing sector, foreign firms are primarily engaged in the production of electronics, basic metals, rubber and plastics, textiles, apparel and leather manufacturing (NSO, 2021^[23]). The bulk of these jobs require basic skills, such as manual assembly work. In turn, high-skilled workers represent only 6% of labour at foreign manufacturing firms, measured by the share of workers with university degrees or higher. This is consistent with broader labour market conditions, in which elementary occupations accounted for 30% of the labour force in 2022, in comparison to 14% who were employed as plant or machine operators and assemblers (NSO, 2025^[30]).

The concentration of FDI in low-skilled manufacturing activities may pose long-term risks to employment, particularly due to advances in automation, which may displace workers who lack the skills to transition to new job opportunities, or lead firms to relocate themselves in other economies in response to cost reductions (OECD, 2020^[13]). These shifts are also likely to disproportionately affect women who are overrepresented in the manufacturing workforce (Chapter 4), which provides more impetus to leverage the impact FDI to support skills development and spillovers and contribute to the growth of sectors offering greater opportunities for medium- to high-skilled employment.

Figure 4.9. FDI is directed to low skill intensity sectors such as manufacturing



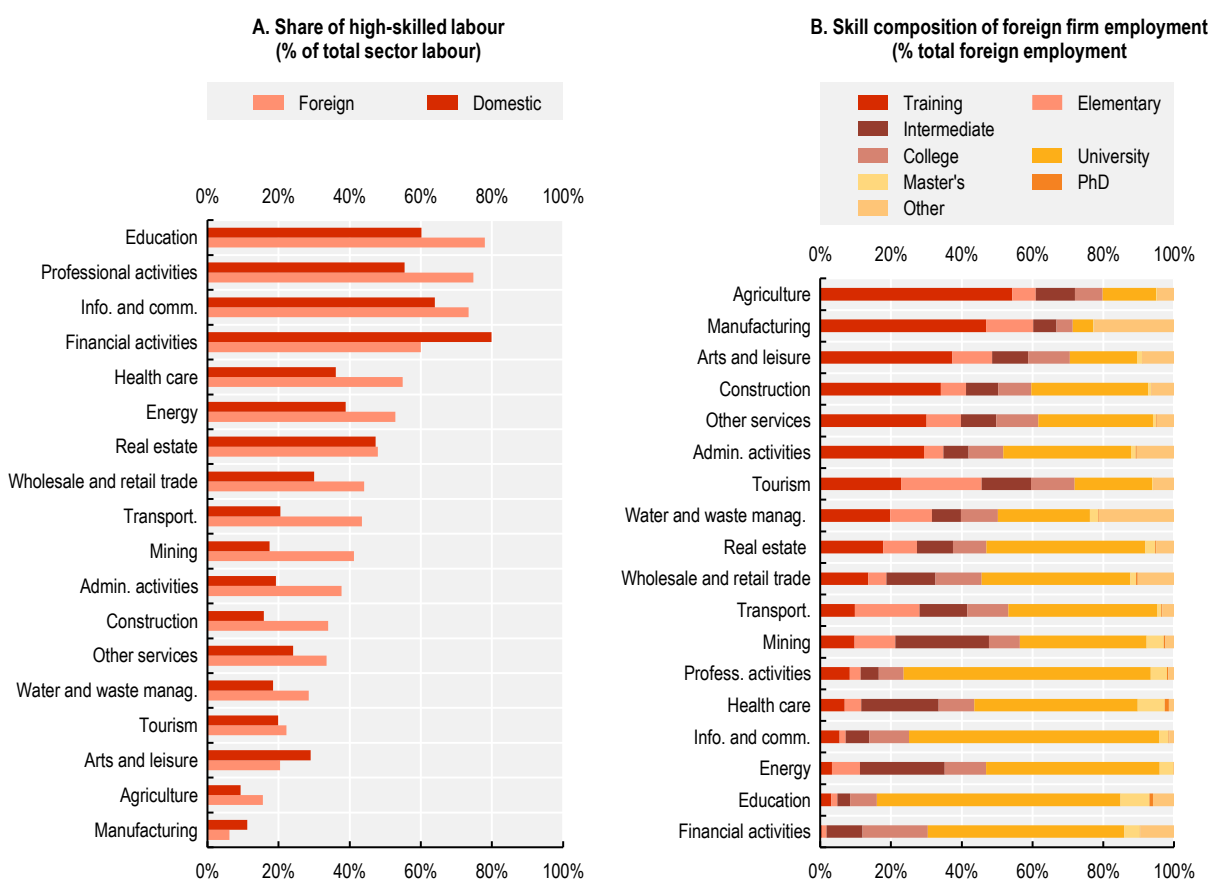
Note: The size of the bubbles reflects the share of total employment at foreign firms between 2013 and 2023.

Source: OECD elaboration based on NSO (2026^[20]), Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>.

In sectors other than manufacturing, foreign firms are more likely to rely on skilled labour than domestic peers. In 2016, foreign firms had higher shares of skilled labour in their workforce in almost all sectors of the economy relative to domestic firms, in the exception of the financial and banking services sector (Figure 4.10, Panel A). The share of skilled workers at foreign firms exceeds 50% in several sectors such as education (78%), professional and technical services (75%), information and communication (74%), financial and banking services (60%), and health care (55%). This is not surprising, as foreign firms tend to bring in new technologies that create demands for more skilled labour (OECD, 2022^[17]). However, the trend is less evident in manufacturing, where foreign firms tend to operate in lower skill-intensive activities, attracted by Viet Nam's competitive wages and abundant labour. The largest skills disparity between domestic and foreign firms is in the transportation and logistics sector, where the share of high-skilled workers represented 43% of labour at foreign firms, in comparison to 21% in domestic firms.

Many sectors have potential for skills spillovers but attract low levels of FDI. Since foreign firms are more skills intensive than their domestic peers in various sectors, increased FDI in these activities could contribute to skills spillovers to the domestic labour force. However, these sectors tend to receive smaller shares of FDI inflows. For example, sectors where high-skilled workers comprise more than half of the workforce have collectively accounted for 5% of total FDI inflows and less than 3% of foreign firm employment. This leaves scope to increase the presence of FDI in these activities to support skills spillovers and knowledge transfers to domestic workers.

Figure 4.10. Foreign firms are more skills-intensive in many sectors outside of manufacturing



Note: Panel A: Higher skilled labour comprises workers with bachelor's degrees or higher. Panel B: Short-term training category includes untrained workers.

Source: OECD elaboration based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/>.

4.3.5. Foreign firms are more likely to offer on-the-job training than Vietnamese peers, but less so than comparator economies

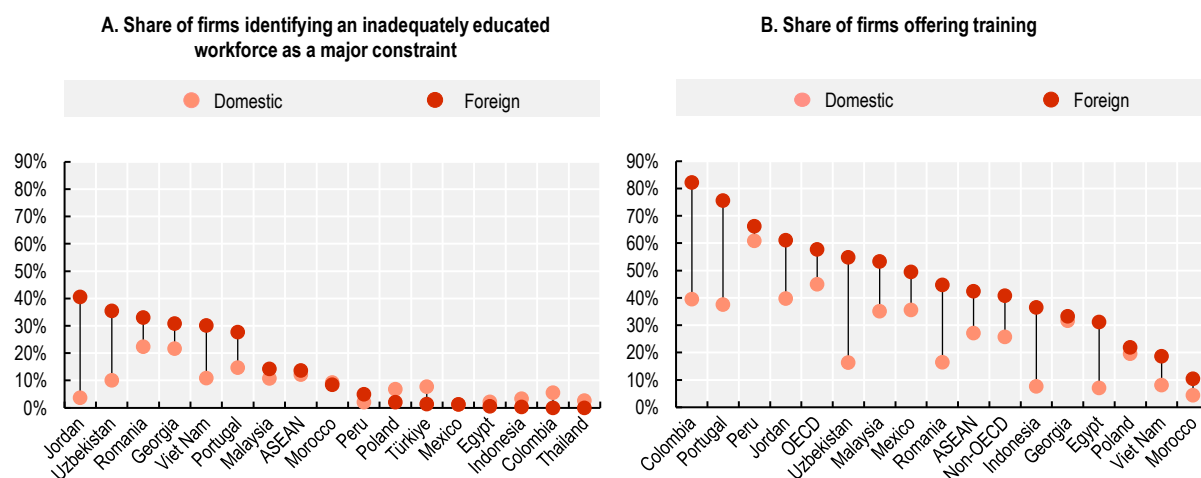
Firms are increasingly expressing difficulties recruiting workers with relevant skills. In 2023, around 30% of foreign firms in Viet Nam identified an inadequately educated workforce as a major constraint, nearly three times higher than domestic firms (Figure 4.11, Panel A). The lack of skilled labour is identified as a more pressing issue for foreign firms in Viet Nam than other comparator economies such as Malaysia, Thailand, and Indonesia, but lower than Romania and Uzbekistan. On the regional level, concerns of skills gaps are more pronounced in Viet Nam than the average for ASEAN economies of 14%. The skills that are in-demand include managerial and leadership skills, language proficiencies, and occupation-specific technical skills (World Bank, 2022^[31]). In 2023, less than 1% of Viet Nam's workforce were in management or leadership roles, in comparison to 26% in elementary occupations (NSO, 2025^[30]). Such skill shortages may also limit women's career advancements prospects, as they constitute a significant proportion of workers in the manufacturing sector yet remain underrepresented in managerial roles (Chapter 4). Consultations with stakeholders confirmed shortages for managerial skills but identified additional priorities, including marketing, employability or navigation skills, and certain occupation-specific skills (e.g. software programming, warehouse management).

Viet Nam is also facing a growing demand for talent relevant to the digital and green sectors. As Viet Nam is currently seeking to attract investment in more knowledge-intensive and high-tech industries, such as semiconductors, investors have increasingly raised concerns over shortages for specific talent, such as digital skills (Viet Nam Business Forum, 2024^[32]). According to the World Economic Forum's "Global Competitiveness Report" of 2019, digital skills (i.e. computer skills, basic coding, digital reading) among the Vietnamese population are relatively lower in comparison to peer economies such as Indonesia, Malaysia, Thailand, as well as below the regional and OECD averages (WEF, 2019^[33]). The supply of advanced skills is also insufficient, such as these required to support the semiconductor industry. The current workforce is estimated at around 15 000 technicians and engineers, significantly below the projected requirement of 50 000 by 2030 to meet market demand (Vietnam+, 2025^[34]). Skills shortages are also a concern among investors in green sectors such as renewable energies, where difficulties exist in recruiting engineers, renewable energy project managers and specialised technicians (Chapter 6).

Driven by their skills needs, foreign firms are more likely to offer in-house training opportunities than domestic firms. While FDI may raise the demand for skilled labour in the host economy, foreign firms may also simultaneously increase the supply of skills, including by offering training opportunities for employees to meet their own demands for skills (OECD, 2022^[17]). In Viet Nam, foreign firms are twice as likely to offer training opportunities than domestic firms (Figure 4.11, Panel B). This represents an important channel for skills development and upgrading, including in sectors with lower skills intensity such as manufacturing. Beyond providing direct training opportunities, FDI can contribute to skills development through various other transmission channels, including through labour mobility and competition or imitation effects (Box 4.1). The demand for skills by FDI firms may also lead to increases in the supply of skilled workers in the host economy. In Viet Nam, there is evidence showing that increased in FDI in service sectors are associated with a rise in the supply of technical and vocational education and training (TVET) graduates (Ibarra-Olivo et al., 2024^[16]), implying a growing incentive for prospective workers to acquire skills that align with new job opportunities created by FDI.

While positive, foreign firms based in Viet Nam remain far less likely to offer upskilling opportunities than peer economies. The performance premium of foreign companies in skills development of employees is lower than many other economies, including the average levels of ASEAN and OECD economies. Only nearly 20% of foreign firms offer training opportunities in Viet Nam, in comparison to 42% in ASEAN and 58% in OECD economies. This implies strong potential to improve such transmissions channels for skills development through effective policy interventions.

Figure 4.11. Firms identify skill shortages as a constraint in Viet Nam but don't invest enough in upskilling



Note: This Figure refers to data in 2025 or latest available year for each country. Data for Viet Nam refers to 2023.

Source: OECD calculations based on World Bank (2025^[28]), Enterprise Surveys, <https://www.enterprisesurveys.org/en/data>.

4.4. The policy and institutional framework influencing the impact of FDI on job quality and skills development

4.4.1. Labour market enhancements are part of Viet Nam's strategic outlook, but co-ordination could be strengthened

The improvement of labour market conditions is a priority that underpins many Viet Nam's high-level strategic documents (Table 4.1). The Socio-economic Development Plan (2021-2025) sets out priorities on wages, vocational education, digital skills, and business–training linkages, alongside measurable targets such as raising the share of workers with certifiable training to at least 28% (National Assembly of Viet Nam, 2021^[35]). The recent Resolution 71-NQ/TW of the Politburo places the education sector at the centre of Viet Nam's plans to achieve high-income status by 2045. Complementary sectoral strategies reinforce these priorities: the National Digital Transformation Programme emphasises digital skills; the Vocational Education Strategy (2021-2030, vision to 2045) seeks to expand enrolment and industry-relevant training, including through private and FDI-linked institutions. Most recently, Viet Nam approved the plan on Developing Human Resources for the Semiconductor Industry to 2030 (Prime Minister of Viet Nam, 2024^[36]). Other strategies and plans exist for various other economic activities, including on the industry level, such as chemicals, agriculture and fisheries, textile and garments, all of which reflect the importance of aligning workforce development.

Positively, Viet Nam's overarching strategy for investment also incorporates considerations for the labour market and skills development. The strategy emphasises the impact of FDI on skills development through various transmission channels, including by directly promoting FDI inflows to the education sector and encouraging the establishment of foreign vocational training institutions. The strategy also identifies the direct role of foreign enterprises in skills development by encouraging enterprises to train Vietnamese workers and enable them to take on higher-level roles. Recommendations include promoting diverse training modalities, such as certifiable online courses, to facilitate easier access to upskilling opportunities, and foster co-operation with investors to deliver demand-driven training programmes through order placements. To create an ecosystem that is conducive for the impact of FDI on skills development, the

strategy calls for aligning the education and training system more closely with labour market demands for certain skills, such as digital skills.

Table 4.1. Objectives on job quality and skills are reflected in many of Viet Nam's strategic documents

Select strategic documents for job quality and skills

Strategic document	Year adopted	Main targets and objectives related to job quality and skills	Institution responsible for implementation
Socio-Economic Development Plan (SEDS) 2021-2025	2021	Job quality: Enhance working conditions and boost productivity through wage reforms and implementation of labour law Skills development: Train 66% of the workforce (25.5% with degrees or certificates), enhance vocational education, and promote collaboration among universities, research institutes, Industrial Zones, and firms to build high-skilled workers and commercialise R&D.	Government, Supreme People's Court, Supreme People's Procuracy, State Audit
Strategy for Foreign Investment Cooperation for 2021-2030	2022	Skills development: Align the education sector with industry needs, expand online and enterprise-led training, attract FDI through training partnerships, and strengthen labour market information systems to support workforce development.	Ministry of Finance (formerly MPI)
Program on Developing Human Resources for the Semiconductor Industry to 2030 (vision to 2050)	2024	Skills Development: Train 50 000 semiconductor professionals by 2030 through expanded university programmes, lecturer training, new curricula, scholarships, and modernised labs	Ministry of Finance (formerly MPI)
Strategy for the Development of Vocational Education for 2021-2030	2021	Skills development: Targets include enrolling 50–55% of secondary graduates in vocational education, reskilling 50% of the workforce, and ensuring 90% have IT skills, alongside stronger business–training linkages, workplace-based learning, and skills certification aligned with labour market needs.	Ministry of Home Affairs (formerly MOLISA)
National Green Growth Strategy 2021-2030 (vision to 2050)	2022	Job creation: Create green jobs that contribute to environment preservation while ensuring equal access to opportunities from the green transition Skills development: Enhance the skills of workers, educators, and policymakers in green economy, sustainable production, management, and digital competencies, and advance labour market data and forecasting to anticipate green industry demands	National Steering Committee on Green Growth; Ministry of Finance (formerly MPI)
National Digital Transformation Programme by 2025, (vision to 2030)	2020	Skills development: Expand basic digital literacy, train 1 000 digital transformation experts, integrate advanced fields (AI, data science, cloud computing) into education, and provide targeted training for workers in Industrial Zones with plans to scale nationally	Ministry of Science and Technology (formerly Ministry of Information and Communications)
Industrial Development Strategy through 2025 (vision to 2035)	2014	Skills development: Strengthen vocational training–business co-operation, develop sector-specific training plans, and enhance job placement services.	Ministry of Industry and Trade
Strategy on Tourism Development until 2020; Chemical Industry Development by 2030	2011; 2022	Skills development: Encourage on-the-job training, develop managerial skills, align with international occupational standards in the tourism sector - Determine the demand for skills in subsectors of the chemical industry; tailor training programmes to meet market demands; attract relevant skilled talent	Ministry of Culture, Sports and Tourism; Ministry of Industry and Trade

Source: OECD based on (National Assembly of Viet Nam, 2021^[35]; Prime Minister of Viet Nam, 2022^[37]; Prime Minister of Viet Nam, 2022^[37]; Prime Minister of Viet Nam, 2014^[38]; Prime Minister of Viet Nam, 2021^[39]; Prime Minister of Viet Nam, 2020^[40]; Prime Minister of Viet Nam, 2022^[37]; Prime Minister of Viet Nam, 2024^[36]).

The impact of FDI on employment and skills is influenced by several policy domains, and therefore falls under the purview of a broad range of stakeholders, including several ministries, social partners, and private sector representatives, such as foreign firms themselves. Given the multitude of actors involved, employing a whole-of-government approach to skills policy is essential. This involves establishing co-ordination mechanisms among stakeholders to achieve consensus and ensure that investment policies are adapted to labour market conditions, and vice versa. It also becomes important that responsibilities are balanced, defined, sufficiently funded, and mutually understood by all actors (OECD, 2022^[17]). To support horizontal co-ordination at the intersection of FDI, employment and skills, governments adopt varying modalities depending on their national context, such as interministerial committees or councils that include the investment community, or boards of investment promotion agencies (IPAs) that involve the labour and skills communities.

Although skills development is embedded in Viet Nam's outlook, co-ordination between government agencies could be strengthened. In Viet Nam, a plethora of government actors are responsible for policies relevant to investment, employment and skills development (Figure 4.12). Government bodies mandated with the formulation of investment policy include the Ministry of Finance (MoF). Its designated implementing body, the Foreign Investment Agency (FIA), acts as Viet Nam's main investment promotion agency (IPA), and is responsible for investment promotion and facilitation activities at the national level. Viet Nam has a decentralised system for investment promotion and facilitation, devolving certain responsibilities to provinces, which constitute the entry point for investors. At the subnational level, each province has a Department of Finance responsible for promoting investment, supporting investor entry, and enforcing investment-related regulations within the respective jurisdictions. For the investment portfolio alone, several national and subnational actors are involved in driving policy formulation and implementation, which has its strengths and drawbacks (Section 4.4.4).

Similarly, decision-making in skills policy is shared among different governmental departments and agencies in Viet Nam. Formerly, the Ministry of Labour, War Invalids and Social Affairs assumed the responsibilities of setting labour policies, including wages, social insurance, occupational health and safety, vocational education, and horizontal policy areas such as gender equality. Following the government restructuring efforts in 2025, aimed at increasing the efficiency of public administration, the functions of MOLISA were redistributed across several ministries, of which many functions fell under the Ministry of Home Affairs (MoHA). Currently, the policy domains of employment and skills development involve an interplay of public and private stakeholders, and these include:

- **MOHA** performs state functions relevant to employment, including wages, social insurance, and occupational safety and health; the regulation of associations, social and charitable funds, and NGOs; as well as youth and gender affairs. MoHA is also responsible for collecting and forecasting labour market information and managing the National Wage Council (Government of Viet Nam, 2025^[41]).
- **Ministry of Education and Training** is mandated to regulate and oversee education and vocational training establishments, which includes setting the national standards for skills vocational skills and issuing national vocational skill certificates (Government of Viet Nam, 2025^[42]).
- **Viet Nam Chamber of Commerce and Industry (VCCI)** serves as the national representative body of the Vietnamese business community. Its mandate is to support and advocate for business development, promote sound industrial relations, and contribute to Viet Nam's socio-economic development. VCCI is an independent body that engages closely in policy dialogue with the government of Viet Nam.
- **Viet Nam General Confederation of Labour (VGCL)** was established in 1929 as the national trade union organisation. It operates as a socio-political organisation under the Viet Nam Fatherland Front and is designated the national representative of employees in labour relations.

VGCL participates in tripartite consultations on labour policy, such as minimum wage discussions through the National Wage Council.

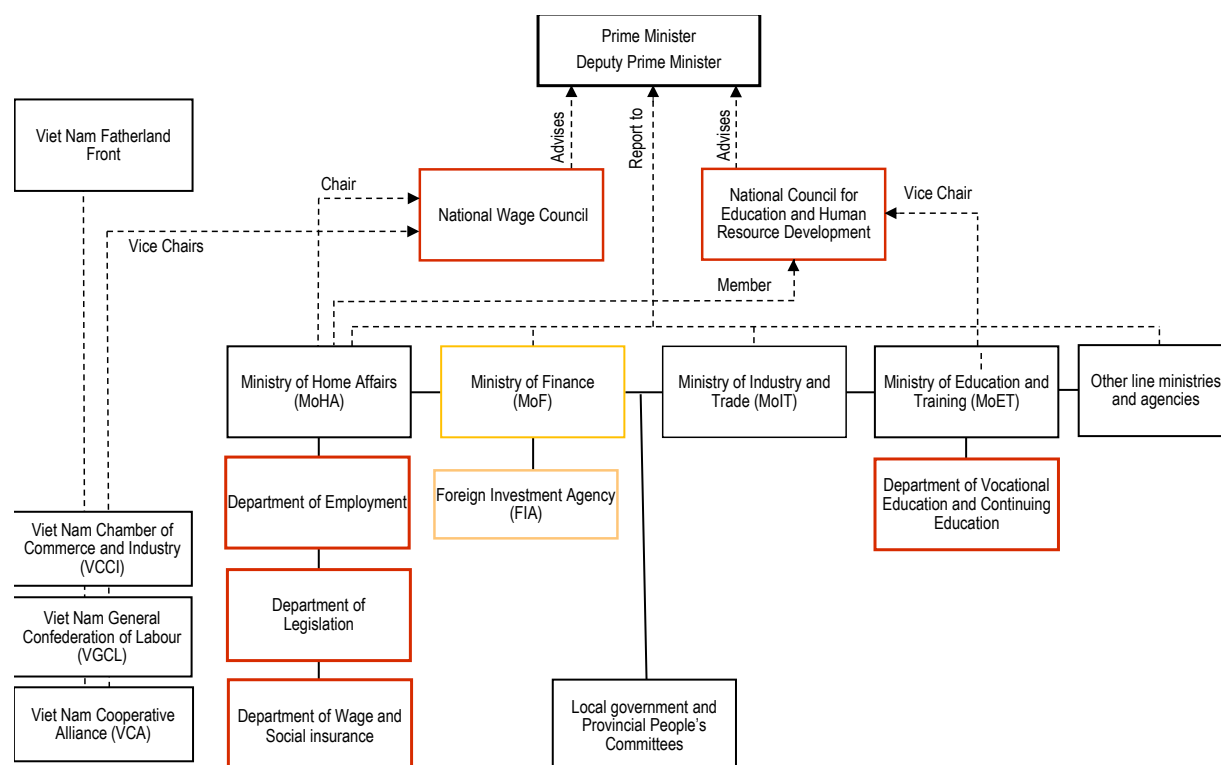
- **Other public and private stakeholders** play a role in shaping policy on employment and skills. For example, the Ministry of Industry and Trade develops policies and strategies for sectoral development, in which skills development plays a key role. Provincial-level departments under the ministries oversee the implementation of labour policy in their respective localities. Viet Nam benefits from the input of business associations and international partners, such as the ILO, GIZ, and the Viet Nam Business Forum. The latter provides a platform for enterprises and public sector stakeholders to identify needs related to skills and employment in its Working Group on Human Resources (Viet Nam Business Forum, 2024^[32]).

The extent of the investment community's involvement in the Vietnamese skills system remains limited. Currently, Viet Nam lacks mechanisms that institutionalise the involvement of the investment community, such as the IPA and foreign firms, in shaping the direction of skills development. In Viet Nam's case, where foreign firms are responsible for over a third of total employment, such mechanisms would help reduce the gap between the information produced and the skills needs driven by FDI, as the investment community often has access to unique information on MNEs' operations and run surveys to identify their challenges and skills needs (OECD, 2022^[17]). In Viet Nam, mechanisms exist to foster collaboration among government agencies on skills policy, notably through the National Council for Education and Human Resource Development, which includes 27 representatives from key ministries and educational institutions. However, the MoF and FIA are not members of the Council, which leaves it unclear whether investment considerations figure into assessments of skills supply and demand or in the design of education programmes. Consultations with stakeholders equally indicate that the Council is represented primarily by academia with little participation and direct input of employers. Viet Nam also engages with the international business community vis-a-vis the Viet Nam Business Forum, but not in a systemic way.

Viet Nam can strengthen the role of foreign firms in shaping skills development policies. The mandate and membership of the existing National Council for Education and Human Resource Development to include representatives from the investment community and private sector. Alternatively, Viet Nam could envisage establishing dedicated sector-specific mechanisms to bring together business associations, trade unions, non-governmental organisations, educational and government institutions. Consultations with stakeholders indicated previous efforts to pilot sectoral skills councils in Viet Nam, including for the agriculture and tourism sectors, but these initiatives have not fully materialised due to lack of sustainable funding mechanisms among other factors. Reinvigorating these efforts and institutionalising mechanisms of co-ordination would help build consensus between stakeholders on what the priority skills needs are and how to address them. The Logistics Industry Reference Council, established in 2017, demonstrates the potential of such a platform to deliver benefits for employers and educational establishments within a specific sector. The experiences of other economies also illustrate other modalities for high-level co-ordination between investment and skills development (Box 4.2), although the design of such mechanisms will depend on policy priorities and institutional context.

Figure 4.12. Viet Nam's institutional landscape for investment, employment and skills involves many actors

Institutions with a mandate on investment policy, employment or skills development



Source: OECD elaboration.

Box 4.2. Examples of government co-ordination structures at the intersection of FDI, employment and skills development

Ireland's National Skills Council

The National Skills Council (NSC) was established in 2024 to provide advice on priority skills needs and secure delivery of the identified needs. The NSC brings together a broad range of actors, including representatives from the relevant government departments, academia, enterprises and social partners. As a member of the NSC, the CEO of IDA Ireland, the Irish IPA, is charged with providing regular updates on sectoral opportunities and potential target areas for increased FDI and advice on issues associated with the availability of skills to support employment. The 2021-2024 investment promotion strategy indicates that the IPA will collaborate with the Department of Education and Skills, the National Skills Council, or the Expert Group on Future Skills Needs. The National Skills Strategy 2025 sets the overall vision for skills policy and details the responsibilities and members of the National Skills Council.

Rwanda Development Board

Rwanda Development Board (RDB) is a government institution whose mandate is to accelerate Rwanda's economic development by enabling private sector growth. RDB is responsible for promoting domestic and foreign investment, but other key services include skills development and improving

workers' employability. The Chief Skills Office was established under the RDB in 2018 to align skills development with labour market demands. It is mandated to provide effective oversight and co-ordination in the skills development and employment promotion ecosystem. The goals of the Chief Skills Office include promoting and co-ordinating sectoral skills and capacity development strategies to meet private sector needs; conducting labour market assessments to identify current and future skills requirements in priority sectors and key investment projects; and facilitating labour market integration through innovative partnerships and targeted interventions.

Source: OECD (2022^[17]), FDI Qualities Policy Toolkit, https://www.oecd.org/en/publications/fdi-qualities-policy-toolkit_7ba74100-en.html.

4.4.2. Viet Nam features an open FDI environment, but regulatory restrictions persist in skill-intensive sectors

Viet Nam has a relatively open and non-discriminatory FDI environment, owing to the gradual liberalisation and active removal of restrictions to FDI since the *Doi Moi* economic reforms (OECD, 2018^[1]). According to the OECD FDI Restrictiveness Index² (FDI Index) in 2023, Viet Nam's FDI regulatory regime is more open than many peers, including Malaysia, the Philippines, Indonesia, and Thailand, but it remains more restrictive overall than Singapore, Brunei Darussalam, Cambodia, and Malaysia (OECD, 2024^[43]). Viet Nam's FDI restrictions vary across sectors, with several service sectors being subject to more stringent regulations, including when compared to the OECD average (Figure 4.13).

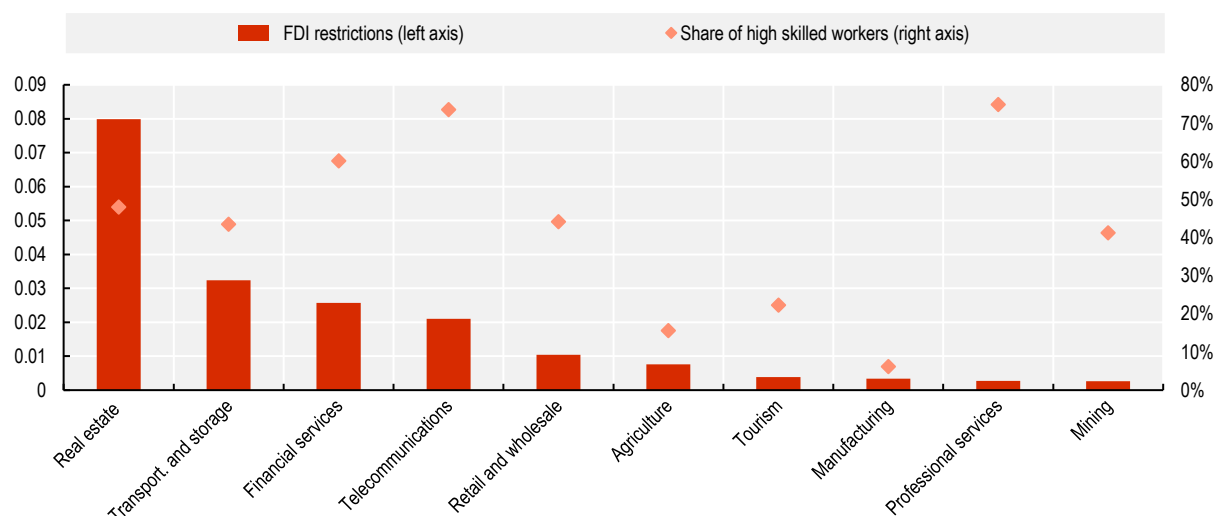
Skill-intensive sectors, such as telecommunications and financial services, remain relatively restrictive for foreign investment. While Viet Nam has actively liberalised the FDI regulatory environment over the past few decades, the easing of restrictions on telecommunications and financial services has been slower. In digital sectors, Viet Nam's restrictiveness to FDI remains above the average levels of both the ASEAN and non-OECD economies (Chapter 3). Stringent FDI regulations on the telecommunications and financial services sectors have important implications on skills development, as these sectors benefit from the highest shares of skilled workers, representing 74% and 60% of workers at foreign firms, respectively (Section 4.3.4).

In the telecoms sector, stringent requirements are applied to foreign ownership. Foreign investors may own up to 65% of companies providing services that do not involve network infrastructure, but cannot hold a majority stake in businesses that build or operate such infrastructure. High-level approval is also required for certain investment projects in the telecoms sector. Easing restrictions on the telecommunications sector could support skills diffusion through greater transfer of specialised expertise and broader digital skills adoption, while providing stronger incentives for domestic firms to invest in workforce training. However, benefits may not be evenly distributed, as increased foreign participation could bid up wages for high-skilled workers and intensify competitive pressure on domestic firms, with potential effects on workforce restructuring and wage inequality.

Ownership caps and licensing requirements are similarly applied to foreign investors in the financial services sector. Ownership in Vietnamese banks is limited to 30%, with the Prime Minister's authorisation required in specific cases above the mentioned threshold (e.g. restructuring weak credit institutions facing difficulties) (OECD, 2018^[1]). The government's large ownership shares in key commercial banks constitute an additional barrier to foreign participation. Lifting these restrictions could generate positive effects on competition, financial development, and skills spillovers (OECD, 2025^[5]), though liberalisation efforts of any sector would need to be carefully assessed and calibrated to Viet Nam's regulatory capacity and broader policy priorities.

Figure 4.13. Viet Nam's FDI restrictions are relatively higher in skills-intensive sectors

FDI regulatory restrictiveness index, ranging from 0 (not restrictive) to 1 (very restrictive), 2024



Note: The OECD FDI Regulatory Restrictiveness Index measures statutory restrictions on FDI across four policy categories: i) foreign equity limits; ii) screening and approval of foreign investment; iii) restrictions on key foreign personnel; and iv) other operational restrictions. Individual measures are evaluated on a 0 (fully open to FDI) to 1 (fully closed) scale based on a scoring framework that captures the varying degrees of restrictiveness of the covered FDI policies.

Source: OECD elaboration based on NSO (2026^[20]) Enterprise Statistics, <https://www.nso.gov.vn/en/enterprises/> and FDI Regulatory Restrictiveness Index (2026^[44]), <https://www.oecd.org/en/topics/sub-issues/sustainable-investment/fdi-regulatory-restrictiveness-index.html>.

4.4.3. Viet Nam has undertaken important labour market reforms, and continuing this momentum will be important

Viet Nam has taken important legal reforms to improve labour market conditions, evident by the number of labour regulations that have been revised in recent years. The Labour Code of 2012 was revised in 2019 to establish the right to form worker representative organisations (WROs) and engage in collective bargaining, alongside wage setting mechanisms and expansion of social protection coverage (Viet Nam Briefing, 2021^[45]). The reforms were partly incentivised by labour commitments under Viet Nam's stock of international trade and investment agreements (Section 4.4.4). In 2025, a revision of the Trade Union Law expanded union membership rights to foreign workers (Viet Nam Investment Review, 2024^[46]), while the Employment Law of 2025 introduced several changes, including a strengthened role for employment services, expanded unemployment benefits, and codification of a labour market information system. In 2025, a new Social Insurance Law came into effect that seeks to expand coverage and improve administration. The effectiveness of these reforms is reflected in business sentiment, as only 3.7% of foreign firms reported labour regulations as one of their biggest obstacles in 2023 (World Bank, 2025^[28]). These efforts to improve the domestic legal framework for labour ensures that FDI does not result in worsening work conditions but rather supports the generation of quality jobs (OECD, 2022^[17]).

Similarly, Viet Nam passed a series wage reforms aimed at adapting labour costs to the pace of economic development. The first statutory minimum wage rate was set in 1992, at the time applicable only for foreign enterprises. It was later extended to domestic private firms, albeit at a lower rate than their foreign counterparts (Schmillen and Packard, 2016^[47]). Efforts to improve wage setting mechanisms led to the establishment of the National Wage Council in 2013, with an advisory role on the minimum wage, and benefitting from tripartite representation from MOLISA (now MoHA), the VGCL, and central employer organisations. At the same time, Viet Nam unified the minimum wage for both domestic and foreign firms

in the private sector to eliminate discrimination between workers at domestic and foreign firms, while maintaining regional differentiation to reflect variations in living costs and development levels (ILO, 2024^[26]). A separate wage scale had long been retained for workers in the public sector, which was considered less competitive than wages in the private sector (Schmillen and Packard, 2016^[47]). Positively, wage reform continues to be a priority of Viet Nam, reflected as an objective under the SEDS plan for 2021-2025, and implementation efforts are supported by key development partners such as ILO.

Administrative barriers on the employment of foreign workers may limit diffusion of managerial or technical skills. Until recently, foreign firms cited difficulties in recruiting foreign labour, notably due to cumbersome visa and work permit application processes, including for personnel with technical or managerial experience (i.e. managers, executive directors, and technical workers) (Viet Nam Business Forum, 2024^[32]; EuroCham, 2025^[48]). Although these regulatory constraints would not necessarily dissuade investors' interests, they nonetheless prevent the effective diffusion of know-how and managerial expertise, an area where skills shortages persist in the domestic labour market. Streamlining procedures for work permits and improving transparency in recruitment regulations could help foreign firms meet their skills needs in the short- and medium-term, while at the same time supporting skills and knowledge transfer. In August 2025, the Government of Viet Nam introduced Decree 219/2025/ND-CP to set clearer procedures, new categories of exemptions, and decentralisation of work permit issuance to provincial authorities (2025^[49]). These are positive steps that help address important barriers to attracting foreign talent, but further streamlining and guidance is needed (EuroCham, 2025^[48]). Viet Nam may also envisage a greater role for investment promotion and facilitation bodies, such as the FIA and provincial subsidiaries, to assist firms in recruiting and facilitating entry of talent (Section 4.4.4).

There is further scope to improve labour market regulations and ensure that FDI does not lead to worsening labour conditions in Viet Nam. Domestic labour market regulations, such as collective bargaining and workers' voice arrangements, can contribute to the betterment of working conditions at MNEs (Box 4.3). In Viet Nam, collective bargaining coverage rate stood at 24.5% in 2018, higher than many comparator economies, but remains lower than the OECD rate of 33.5% in 2024 (ILO, 2026^[6]; OECD, 2025^[50]). Where collective bargaining mechanisms are in place, agreements remain predominately at the enterprise-level, and less so at the industry-level or between multiple employers. Strengthening collective bargaining rights and workers' voice arrangements in their various forms can benefit employees in foreign enterprises and is associated with higher wages, stronger productivity and greater job satisfaction (OECD, 2019^[51]; Blanchflower and Bryson, 2020^[52]).

Viet Nam is encouraged to maintain momentum in advancing collective bargaining and freedom of association rights. The 2019 Labour Code represents important progress by legally recognising the right to establish worker representative organisations (WROs) independent of the VGCL and granting them equal standing in collective bargaining. However, challenges persist in practice. Since the Labour Code came into effect in 2021, no independent WROs have been established, pending implementing regulations that enable the formation of such organisations (Cox and Le Queux, 2023^[53]). While revisions of the Trade Union Law of 2012 envisage rights for foreign workers to join trade unions, restrictions remain on the ability of those workers to form and organise their own unions. In addition, among the eight fundamental ILO Conventions, Viet Nam is yet to ratify ILO Convention No. 87 on Freedom of Association and Protection of the Right to Organise Convention. Nonetheless, Viet Nam has taken important steps to creating an enabling legal framework for freedom of association and collective bargaining in recent years, and sustaining this momentum will require concentrated efforts to translate these legal reforms into practice.

Reducing pervasive labour informality is also critical to improve the impact of FDI on job quality and skills. High levels of informal employment can limit the enforcement of labour standards, which in turn constrains the capacity of foreign firms to provide decent work. Viet Nam has taken recent efforts to support formalisation, including the introduction of voluntary social insurance schemes to extend coverage to informal workers and simplified business registration procedures to reduce barriers to formalisation. Awareness campaigns have also been launched to promote registration and compliance with labour and

tax obligations (ILO, 2025^[54]). These efforts are positive but there is further scope to advance formalisation by strengthening labour inspections, improving enforcement of labour regulations, and expanding legal protections for informal workers. There is also a need to better integrate informal workers into social insurance systems and improve co-ordination across relevant institutions to support implementation. Such measures can help ensure FDI contributes more effectively to decent work and inclusive growth (OECD, 2022^[17]). Evidence from Viet Nam also shows that higher FDI inflows is associated with a smaller informal economy, particularly when supported by a strong governance framework, as FDI encourages formal business practices and generates demand for formally employed labour (Huynh and Tran, 2025^[55]).

Box 4.3. Collective bargaining and workers' voice improve FDI impacts on working conditions

FDI, together with innovation, trade and migration transform the world of work. Collective bargaining and workers' voice can ensure that all workers and companies benefit from current transformations by helping formulate joint solutions to emerging challenges (e.g. technological advancements, work-life balance), and by complementing policies to anticipate skills needs or assist displaced workers. Sector-level collective bargaining is associated with lower wage inequality between workers while wages and other working conditions tend to be better in firms with employee representation (OECD, 2019^[51]).

Effective systems of collective bargaining are important in the context of large and profitable foreign firms: the FDI Qualities Indicators suggest that foreign firms' productivity-related rents translate poorly into wage benefits, particularly in less skill-intensive firms. Sharing rents is observed less among firms with lower-skilled workers because of workers' lower bargaining power. Collective bargaining could help achieve fairer sharing of benefits between firms and workers (Criscuolo et al., 2020^[56]).

In practice, even when there is a right to collectively bargain, foreign firms' negotiation power may still be stronger than that of domestic firms, possibly reflecting union fears that wage demands (or negative shocks) may lead to the relocation of production (OECD, 2008^[57]). One consequence of this bargaining imbalance has been the development of transnational workers' representations to better co-ordinate workers' bargaining policies. For instance, in the European Union, European Works Councils are consulted by MNE management on decisions at European level that affect workers' employment or working conditions.

4.4.4. International agreements are key to improving labour conditions in Viet Nam

International trade and investment agreements

Viet Nam's stock of international trade and investment agreements increasingly incorporates labour considerations. This reflects international practice more broadly, as labour standards are increasingly becoming a feature of such agreements, with provisions that seek to reinforce or improve the domestic legal framework by integrating explicit safeguards of labour standards, for example to prohibit lowering labour standards for the purposes of attracting FDI. Other provisions may seek to directly influence investor behaviour in relation to labour standards (OECD, 2022^[17]). However, incorporating provisions related to labour in international trade and investment agreements does not guarantee their implementation, as the provisions can be drafted narrowly or broadly, which affects their scope and prospects for implementation. Their enforceability also varies, depending on the legal nature and binding force of the provision. Some provisions seek to only reaffirm existing commitments under international labour standards (declaratory provision), while others set out parties' obligation to achieve a specific result through a specific conduct (provision of result). The legal nature of these provisions therefore influences greatly the scope in which FDI can have on sustainable development (OECD, 2024^[58]).

Viet Nam is a signatory to three international trade agreements that include provisions on labour standards and skills development. The EU-Viet Nam Free Trade Agreement (EVFTA), which came into force on 1 August 2020, contains several provisions that reinforce the labour market outcomes of FDI. For example, the EVFTA underscores existing commitments under international labour instruments (e.g. ILO Decent Work Agenda, OECD Guidelines for Multinational Enterprises on Responsible Business Conduct) and includes an obligation to take steps towards ratifying fundamental ILO conventions (Articles 13.1, 13.4 and 13.10). In the same vein of international co-operation, the EVFTA seeks to strengthen co-operation between parties on labour-related matters by implementing capacity building activities or sharing best practices (Articles 16.2 and Article 13.14). Several provisions entail binding obligations, for example to not derogate or fail to enforce relevant labour laws to promote investment (Article 13.3), take into consideration the necessary technical information and international standards to inform the implementation of labour policies (Article 13.11), ensure that measures aimed at protecting labour conditions are developed and implemented in a transparent manner (Article 13.12).

The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) free trade agreement features similar labour-related provisions. Viet Nam is among 11 signatories to the CPTPP free trade agreement, which entered into force on 14 January 2019 for Viet Nam. The agreement includes a stand-alone chapter on labour that has implications on investment. Similar to the EVFTA, the CPTPP includes a binding provision for parties to adopt and uphold labour rights under the ILO Declaration for Fundamental Principles and Rights at Work, which includes elimination of discrimination in employment, freedom of association and collective bargaining (Article 19.3). The provision also calls on parties to implement regulations and practices that ensure quality jobs in terms of minimum wages, work hours and occupational safety and health. In addition to the CPTPP and the EVFTA, the Eurasian Economic Union – Viet Nam free trade agreement includes few labour-related provisions, primarily to uphold existing commitments ILO core labour standards (Article 12.7), discourage the derogation of labour standards for investment promotion purposes (Article 12.4), and expand co-operation on labour issues (Article 12.5).

The adoption of international trade and investment agreements with labour commitments has led to tangible improvements of labour market conditions in Viet Nam. The ratification of treaties with labour provisions, such as the EVFTA and CPTPP, increased the momentum for important labour market reforms in Viet Nam, materialising in the adoption of a revised Labour Code in 2019, and the ratification of two ILO conventions: No. 98 on the Right to Organise and Collective Bargaining and No. 105 on the Abolition of Forced Labour (Corley-Coulibaly, Ebert and Richiardi, 2023^[59]). Viet Nam is encouraged to continue engaging in agreements that feature labour considerations as such provisions can lead to improved working conditions, therefore reinforcing the impact FDI may have on the labour market.

Responsible business conduct

Viet Nam has made important progress in advancing Responsible Business Conduct (RBC) in recent years, including with the adoption of its first “National Action Plan for Law and Policy Improvement to Promote Responsible Business Practices in Viet Nam” (2023-2027). In the area of labour, Viet Nam’s National Action Plan (NAP) on RBC seeks to align the domestic legal framework for labour with international commitments, including by reviewing and reforming laws on occupational safety, employment, and trade unions. The NAP also sets objectives related to job protection and retention in the context of digitalisation. To strengthen enforcement, the NAP includes measures to improve grievance mechanisms and establish dedicated databases on labour-related RBC. Viet Nam could continue to implement the NAP and build on these efforts by raising awareness of RBC among businesses and employers, strengthening implementation of the Labour Code, and ensuring meaningful participation of all stakeholders, including worker organisations, in the development of RBC policies. Viet Nam could also integrate labour-related criteria in public procurement frameworks and embed RBC considerations in the operations of State-Owned Enterprises (SOEs). Aligning SOE reforms with RBC expectations also offer opportunities for the government to lead by example.

4.4.5. Investment promotion and facilitation for FDI and its impact on employment and skills development

Financial and tax incentives for investment

Tax incentives in Viet Nam are primarily designed to encourage job creation rather than upskilling or reskilling of workers. This pattern is not unique to Viet Nam, as 44% of economies in 2024 offered at least one tax incentive tied to employment and job creation, compared to 36% with at least one incentive to improve job quality and skills (OECD, 2025^[60]). In Viet Nam, tax incentives predominately target job creation in the manufacturing sector. The Law on Corporate Income Tax of 2025 provides tax benefits to manufacturing projects that may be extended if projects employ a minimum of 6 000 workers on a regular basis. Under this scheme, investment projects are granted a full corporate income tax (CIT) exemption for a period of four years, followed by a partial exemption for nine years, once the project generates revenue. A reduced CIT rate of 10% is also applied when the project progresses to generate profit. Other tax benefits are provided to projects that employ many female workers, including in the manufacturing sector, but these incentives warrant an assessment to determine whether the design features (e.g. sector targeting) serve Viet Nam's national objectives of transitioning to higher value-added and knowledge-intensive activities. Vocational training establishments benefit from similar tax incentives, including CIT exemptions and reduced CIT rates. This reflects Viet Nam's broader priorities of promoting FDI to the vocational education sector. The aim is to expand foreign presence and establish greater business-education linkages to help meet industry skills needs (Section 4.4.1).

Financial support is provided to incentivise skills development in high-tech industries. In December 2024, Viet Nam established the Investment Support Fund (ISF) with the foremost objective of attracting and retaining investment in certain high-tech activities, including high-tech product manufacturing. The ISF provides financial incentives to support skills development and improve job quality, covering up to 50% of eligible expenditures on workforce development, including costs for training programmes as well as the salaries of Vietnamese engineers and managerial staff (Government of Viet Nam, 2024^[61]).

Viet Nam could consider shifting towards expenditure-based incentives to more effectively stimulate skills development. At present, Viet Nam offers generous tax incentives and often for lengthy periods of time, most commonly in the form of income-based incentives (i.e. partial to full CIT exemptions and reduced CIT rates), which are generally less effective in stimulating additional investment and more prone to result in forgone revenue than expenditure-based incentives (e.g. tax allowances and tax credits) (IMF et al., 2015^[62]). Reducing or phasing out generous income-based incentives will also create more fiscal space to pursue broader investment climate improvements, such as upgrading transport, digital and green infrastructure, or investing in education and skills development (OECD, 2023^[4]; 2025^[5]). International experience provides examples of expenditure-based tax incentives targeted towards raising the skills of workers in certain sectors, for example in Indonesia, Argentina, Mauritius and Costa Rica (Box 4.4). However, as is the case with all tax incentives, their impact depends on Viet Nam's framework for monitoring and evaluating the instruments for effectiveness.

Broader factors of with the tax system may hinder uptake of investment incentives by firms. Viet Nam's framework for tax incentives is widely considered complex, with information on the generosity and eligibility criteria of tax incentives generally spread across a number of laws, decrees, circulars and information notes (OECD, 2018^[1]). Stakeholder consultations suggest that this complexity in navigating and applying for tax incentives can act as a deterrent for potential investors. For instance, tax incentives introduced in 2013 to reimburse training costs have seen limited uptake due to administrative burdens and procedural complexity. Previous surveys show that only a few enterprises were aware of tax incentives related to vocational training establishments (NIVET, 2017^[63]). To address such barriers to transparency, Viet Nam is recommended to consolidate all tax incentives into the main body of the tax law (OECD, 2018^[1]). Viet Nam could also consider complementary efforts to raise awareness of tax incentives can

involve establishing a public inventory of investment incentives, or publishing incentive-specific guides to help investors navigate and access available incentives (OECD, 2023^[64]).

Box 4.4. Examples of expenditure-based tax incentives for skills development

Indonesia – Tax allowance (enhanced) for skills development activities

Companies that organise training programmes, internships, apprenticeships or other educational activities aimed at developing certain workforce competencies are eligible for an enhanced allowance of up to 200% of related expenditures from their gross taxable income.

Argentina – Tax credit for training and supplier development

Argentina provides a tax credit programme that covers up to 100% of eligible training expenses, usable against national taxes. The scheme is open to MSMEs, large firms, and co-operatives, with reimbursement levels ranging from 35-100% for staff training to 90-100% for supplier development and 100% for SME projects or training infrastructure. Recent calls have emphasised digitalisation, innovation, and technology upgrading, underscoring the programme's role in boosting competitiveness and value chains.

Costa Rica – Tax credit for skills and supplier development in select manufacturing activities

Manufacturing firms under the Free Zone Regime are eligible for a tax credit covering expenses on training and education of Costa Rican employees or SME suppliers, provided they are linked to the company's operations, as well as reinvestment of profits in new fixed assets. The credit is capped at 10% of taxable income per period, and applies only to firms meeting strategic sector criteria, such as operating in advanced industries, employing at least 200 workers, investing 0.5% of sales in R&D, or holding recognised environmental certifications.

Mauritius – Tax allowance (enhanced) for training costs

Companies with an annual turnover not exceeding Rs 100 million (or USD 2 195 000) in the Island of Rodrigues are eligible for an enhanced tax allowance of up to 200% of eligible expenditures, including training costs of employees.

Source: Mauritius Revenue Authority (2025^[65]), National budget 2025/26: Fiscal measures highlights, <https://mra.mu/download/BudgetHighlights2025.pdf>; Government of Argentina (2024^[66]), SME training tax credit, <https://argentina.gob.ar/produccion/credito-fiscal-para-capacitacion-pyme>; Costa Rican Foreign Trade Promoter (2025^[67]), Free trade zone guide: Special regimes, <https://procomer.com/wp-content/uploads/2025/07/Free-Zone-Regime-Guide-EN.pdf>; Republic of Indonesia (2019^[68]), Industries hope to improve labors' skills with tax deduction, <https://setkab.go.id/en/industries-hope-to-improve-labors-skills-with-tax-deduction/>.

Investment promotion and facilitation

Viet Nam could adopt an approach to investment promotion that better aligns with the domestic skills base. FDI is currently prioritised in more knowledge- and skill-intensive sectors, such as high-tech industries, based on the Strategy for Investment Co-operation for 2021 to 2030. However, growth in these sectors is already constrained by shortages of relevant skills, and additional FDI may intensify competition for scarce talent. Future investment promotion efforts could therefore be guided by dynamic, data driven prioritisation models (Chapter 1) that also account for the domestic skills base and realities of the labour market. In this context, Viet Nam could consider targeting medium- and high-technology industries, while also supporting higher value-added niches within traditional sectors such as manufacturing, which remains a critical source of employment for lower-skilled workers. Other promising sectors include telecommunications, as well as financial and professional services, which exhibit positive foreign firm premia and relatively higher skill intensity. These sectors are among the most productive and maintain

strong linkages with the broader economy (Madani, Davies and Nguyen, 2023^[69]), increasing the potential for FDI spillovers through labour mobility, competition and imitation.

Investment promotion and facilitation bodies could play a stronger intermediary role to support firms in recruiting talent. Foreign firms in Viet Nam report persistent difficulties in recruiting foreign labour, citing cumbersome visa and work permit application processes, particularly for technical or managerial foreign workers recruited to help address skills shortages (Viet Nam Business Forum, 2024^[32]; EuroCham, 2025^[48]). Viet Nam has taken recent steps to simplify procedures and clarify the roles of government agencies in issuing work permits but further streamlining and guidance is needed (EuroCham, 2025^[48]). Investment bodies could support this process by serving as intermediaries between firms and relevant labour authorities at the provincial and national levels. Providing specialised assistance for talent attraction is becoming an increasingly commonplace practice among IPAs, including in peer economies. For instance, Thailand established a Strategic Talent Centre to facilitate the admission of skilled foreign workers by providing mechanisms for validating their qualifications and collaborating with the national IPA to assist foreign job seekers with their work permit procedures (OECD, 2021^[70]).

The decentralisation of investment promotion and facilitation efforts contribute to an uneven contribution of FDI to job creation and skills. While delegating these functions to provinces can stimulate competition and improve the investment climate, excessive competition may favour provinces with greater resources and capacity, marginalising less-equipped regions (OECD, 2018^[1]; 2020^[13]). This disparity is reflected in the PCI, which shows wide variation in provincial governance on labour, including the time costs firms incur in complying with regulations. Urban centres such as Ha Noi and Ho Chi Minh City rank highest on labour policy indicators, including ease of recruitment and skilled labour availability (VCCI, 2025^[24]). Without stronger co-ordination, decentralisation may reinforce the concentration of FDI in urban centres offering greater ease of doing business and deeper talent pools, limiting employment and skills spillovers elsewhere. The consolidation of provinces from 63 to 34 in 2025 may help address resource and capacity imbalances, although its impact remains uncertain. The role of the MoF and FIA could be strengthened to co-ordinate provincial FDI promotion efforts and ensure consistent policy implementation across provinces, as recommended by the OECD in past reviews (2018^[1]). Viet Nam could also consider wider reforms to the governance and mandate of the FIA to maximise efficiency, accountability and investor trust (Chapter 1).

4.4.6. Viet Nam would benefit from greater involvement of the investment community to forecast skills and design skills programmes

As Viet Nam prioritises FDI to more knowledge- and skills-intensive activities, parallel efforts will be required to align the domestic skills base with the evolving needs of MNEs. Current FDI inflows are concentrated in low value-added and low-skill intensive activities (Section 4.3.4), but Viet Nam is actively increasing its efforts to promote FDI to more knowledge- and skills-intensive sectors, including high-tech industries and green activities, as reflected in the Strategy for Investment Co-operation for 2021-2030. Against this backdrop, firms are increasingly expressing shortages for certain skills, such as digital and green skills and managerial expertise (Viet Nam Business Forum, 2024^[32]). Increased FDI to high-tech sectors will also aggravate risks of job displacement unless accompanied by skills development programmes dedicated to adapting the workforce to new or alternative job opportunities. These trends increase the impetus for Viet Nam to support its skills system and policies, including in collaboration with MoF, FIA and MNEs, to be able absorb new FDI inflows and mitigate for displacement effects.

Skills anticipation systems

Expanding skills assessment and anticipation initiatives would help align the education system with the evolving needs of the private sector. Viet Nam is conducting several skills forecast exercises, with support from development partners, in specific industries such as garments and more recently the

port industry through the Logistics Industry Reference Council (ILO, 2025^[71]). These initiatives are key to providing policymakers with reliable data to craft effective skills strategies and therefore merit additional support to be expanded and institutionalised across key sectors. The active involvement of the investment community in such exercises is also crucial, as FDI decisions and trends can serve as a forward-looking indicator on what skills will be in demand in the future (OECD, 2022^[17]). Information on foreign firms' operations and skills needs could be used to design educational programmes, particularly in sectors where they play a significant role. More broadly, skills anticipation initiatives form part of a wider labour market information system, which in Viet Nam remains under development, although its legal basis was strengthened in the Employment Law of 2025. The strategic importance of an up-to-date labour market information system is already reflected in SEDS 2021-2030, which constitute important first steps towards integrating such systems and supporting evidence-based workforce planning. Going forward, Viet Nam could expand skills foresight exercises to additional sectors, leveraging insights of foreign firms, and maintaining close co-ordination between MoHA, MoF and other key stakeholders (e.g. employer organisations) to ensure that the information produced effectively informs policymaking on skills.

Education-industry linkages

Viet Nam could encourage skills development initiatives led by enterprises, including in the form of public-private partnerships with the TVET system. While some foreign firms have established in-house training centres to address their skills needs (Sheldon and Kwon, 2023^[72]), such initiatives remain limited and often focused on firm-specific, job-related skills (ADB, 2020^[73]). Samsung is a notable example of a foreign enterprise investing in skill upgrading in Viet Nam, implementing initiatives such as the Samsung Smart Schools or New Hope Schools in rural or impoverished areas. However, the case remains that Samsung's workforce consists largely of semi-skilled workers, and skills development initiatives are likely to have limited impact on higher skills upgrading (Sheldon and Kwon, 2023^[72]; OECD, 2025^[5]). It also remains unclear to what extent training centres led by foreign enterprises are established in partnership with the TVET system, or whether the programmes produce skills that are certifiable by Viet Nam. Stakeholder consultations have indicated that FDI enterprises start their own training centres but without formal recognition. Past studies highlight challenges facing foreign enterprises in establishing their own training centres, such as lengthy administrative procedures and limited perception of the effectiveness of the TVET system (ADB, 2020^[73]).

Foreign enterprises could more actively engage in curriculum design for education and TVET institutions. Lack of linkages between enterprises and educational institutions is often cited as a barrier to increasing the relevance of TVET education in Viet Nam (ADB, 2020^[73]; Viet Nam Business Forum, 2024^[32]; OECD, 2020^[13]). The TVET system could respond more effectively to business needs by systematically integrating their considerations into the design and delivery of training programmes, an issue that enterprises themselves have raised (Viet Nam Business Forum, 2024^[32]). When effectively supported, local sector skills councils that bring together TVET providers, government stakeholders, and private sector representatives could help tailor programmes more effectively to industry needs, alongside national-level co-ordination mechanisms that ensure overall direction of skills policy (Section 4.4.1). Indeed, participation in the pilot sector skills councils, for example, was associated with increased enrolment in TVET, better alignment of curricula with industry needs, and greater recognition among firms of the benefits of closer collaboration with education providers (GIZ, 2024^[74]). Development partners (e.g. GIZ, ILO) are working to create business-education linkages, such as the creation of a working group on skills development in the textile and garment sector, bringing together representatives from businesses and TVET institutions (ILO, 2024^[75]).

Industry advisory boards could help align educational offerings at universities with skills needs. Stakeholder consultations indicated that such mechanisms exist but remain rare within universities. Resolution No. 57-NQ/TW of the Politburo introduced in December 2024, reinforces this agenda by calling for stronger industry–education partnerships—encouraging enterprises and universities to collaborate in

research, innovation, and technology transfer, and promoting joint investment in advanced technology and digital skills training to better match workforce development with industrial needs. Viet Nam could further strengthen these linkages by formalising advisory mechanisms within universities, enabling industry representatives to provide regular input on curriculum design, research priorities, and workforce development initiatives.

Wider reforms to the TVET system are needed to encourage industry engagement with Vietnamese TVET establishments. Options for this include establishing vocational tracks in secondary education with workplace-based trainings, increasing investment towards upskilling TVET teachers and advancing the digital transformation of the TVET system more broadly, for instance to provide alternative modes of training online (OECD, 2025^[5]). Further efforts could also focus on enhancing the flexibility of the TVET system towards learners by developing modular, competency-based training programmes that allow learners to accumulate micro-credentials and move easily between courses and institutions, while harmonising frameworks for qualifications, changes to encourage learner participation and reduce confusion among employers (GIZ, 2025^[76]).

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Notes

¹ The old-age dependency ratio refers to the ratio of the population aged 65 and over to the number of persons of working age (i.e. 25-64 years old).

² The FDI Index measures foreign equity restrictions; discriminatory screening or approval mechanisms; restrictions on key foreign personnel and operational restrictions.

5 Improving FDI contribution to gender equality

This chapter discusses the challenges faced by Viet Nam in terms of women's economic inclusion and assesses the potential of FDI to close gender gaps in the labour market. It provides an analysis of the institutions and policies that support the positive impacts of FDI on gender equality and women's empowerment, focusing on institutional arrangements and policies at the intersection of gender mainstreaming, labour market, entrepreneurship and investment policies.

5.1. Summary and main policy recommendations

Viet Nam's economic transformation and rapid industrialisation has led to a surge of foreign direct investment (FDI) since the late 1980s. An abundant and low-cost labour force has positioned Viet Nam as an attractive destination for foreign investors (OECD, 2018^[1]). In addition, targeted policy initiatives to ensure equal access to education has helped supply a high-quality labour force of both men and women (IMF, 2018^[2]). Viet Nam now boasts one of the highest rates in the world for women's labour force participation. Against this background, foreign multinational enterprises (MNEs) played an increasingly significant role in generating female employment, with nearly one in two women in formal employment working for an MNE.

FDI has brought positive contributions to female employment, accounting to nearly one in two formal jobs for women. Growing FDI in the manufacturing sector has been a key driver of female employment, particularly in leather- and garment-making, and in the fast-growing electronics sector. Around 90% of female workers at foreign firms are engaged in manufacturing. Although services sectors represent a smaller share of female employment at foreign firms, their contribution is steadily growing. On average, foreign firms have higher shares of female employees than domestic peers in all sectors of the economy except mining and quarrying, electricity generation, and water and waste management.

While foreign firms serve as key employers of women, the quality of job opportunities they provide remains low, with limited career progression, particularly in male-dominated sectors. While women have a significant presence at foreign firms, and particularly in the manufacturing sector, they remain significantly underrepresented in management and ownership roles in comparison to domestic firms. Foreign firms are half as likely to have a female top manager or owner as domestic firms. On average, foreign firms pay higher wages than their domestic peers across all sectors, but such foreign wage premiums are highest in male-dominated sectors and tend to be lower in sectors with higher representation of women. In the manufacturing sector, foreign firms pay on average 20% higher wages than domestic firms, in comparison to around 155% higher in the male-dominated construction sector and 194% in mining and quarrying. The uneven geographical distribution of FDI may also aggravate gender disparities, as FDI enterprises tend to locate themselves in urban centres, leaving women in rural areas with fewer opportunities to benefit from FDI, while at the same time creating social costs to those choosing to migrate and seize those opportunities. There is room to channel FDI to sectors with untapped potential for increasing women's employment and job quality. This includes certain service sectors such as education and health and social work, financial, banking and insurance activities, information and communication, and accommodation and food services. Strengthening women's skills will enable them to meet industry needs in key FDI sectors, such as digital and high-tech technologies or green sectors.

Viet Nam is progressively integrating gender considerations into its policy and institutional framework, but challenges remain. Enhancing the impact of FDI on gender equality requires a conducive policy and institutional framework, particularly as Viet Nam seeks to attract investment in knowledge-intensive and higher value-added sectors, where women's potential remains untapped. Encouragingly, Viet Nam has shown commitment in incorporating women's economic empowerment in national strategies and plans, but the role of FDI in advancing gender equality could be more clearly defined. Similarly, gender considerations remain absent from certain horizontal strategies and plans, such as strategies documents addressing the digital transformation. In addition, co-ordination between bodies responsible for investment and gender equality, namely the Ministry of Finance (MoF) and the Ministry of Home Affairs (MoHA), could be strengthened to ensure that investment promotion and facilitation efforts seek to address, rather than exacerbate, gender disparities. Tax incentives aimed at increasing women's participation in certain sectors may disqualify many firms due to complex conditions, within a broader incentive framework that is already intricate for foreign investors to navigate.

Viet Nam has demonstrated strong commitment in creating a conducive legal framework for women's economic participation. For instance, the Law on Gender Equality of 2006 establishes the principle of gender equality across various domains, such as education, employment and family life. Women's economic participation is reflected in other key laws and regulations, including the Labour Code of 2019 and its subsequent revisions. While Viet Nam has a conducive legal framework for women's employment, compliance with domestic laws could be strengthened, including among foreign firms. In addition, social institutions (i.e. informal laws, social norms and practices) perpetuate traditional gender roles and continue to shape women's education and career decisions.

Viet Nam is a signatory to two international investment and trade agreements that include provisions encouraging a positive contribution of FDI on gender equality. The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) free trade agreement includes provisions to encourage parties to co-operate on the skills development programmes of women and adopt domestic regulations and practices towards the elimination of gender discrimination in employment. The EU-Viet Nam Free Trade Agreement (EVFTA) includes provisions that call on parties to fulfil their obligations under the ILO Declaration, including on the elimination of gender discrimination in employment. While positive, the provisions have little to no binding force. Moving forward, Viet Nam is encouraged to favour provisions that envisage, more clearly, the contribution of FDI in the advancement of gender equality, and allow for some degree of enforceability.

Key policy recommendations

- **Viet Nam could strengthen the link between investment and gender equality in national strategies and policies.** Women's economic empowerment is reflected in several national strategies of Viet Nam, including the National Strategy on Gender Equality for 2021-2030, but the role of FDI in supporting gender equality could be made more explicit. More broadly, all national strategies and plans, should incorporate a gender perspective to foster women's economic empowerment in all economic areas, including strategies relevant to the digital transformation, where gender considerations are currently limited.
- **Improve co-ordination between government institutions responsible for gender and investment policies.** Greater co-ordination between MOF and MOHA would help ensure that gender considerations are systemically integrated into investment-related laws, fiscal incentives, and promotion strategies. Viet Nam may also consider expanding financial and technical support to government personnel, including the Department of Youth and Gender, to mainstream gender considerations to programmes, policies and laws.
- **Expand on skills development programmes to enable women to support Viet Nam's economic transformation** and seize opportunities within foreign companies. Targeted programmes that develop women's digital and soft skills, including management capacities, will support women's career advancement prospects and allow them to take advantage of new employment opportunities created by FDI.
- **Reinforce the legal framework for women's economic empowerment** by strengthening anti-discrimination, expanding paternity leave, reducing barriers to formality, while at the same time improving compliance. Viet Nam could consider adopting targeted measures such as quotas to increase women's representation in senior positions at both domestic and foreign firms.
- **Consider easing regulatory FDI restrictions in female-intensive sectors such as financial services.** Viet Nam maintains regulatory FDI restrictions in the financial services sector, including banking, where women are strongly represented. Other restrictions are placed on the

telecommunications sector which features strong female representation. Easing FDI restrictions on these sectors would help create new employment opportunities for women and offer broader workforce benefits, such as increased skills diffusion.

- **Ensure co-ordination of investment promotion initiatives and consistent application of policies by provinces.** The concentration of FDI in urban centres may compound gender inequalities, in the form of fewer opportunities for women in rural areas, and increased social costs for those who migrate. The Foreign Investment Agency (FIA) could concentrate efforts on aligning investment promotion initiatives between provinces to support a more equitable distribution of FDI and reduce gender disparities.
- **Reassess current investment tax incentives tied to gender equality objectives.** Viet Nam is one of the few countries offering a tax incentive to advance women's job quality and skills, but current conditions attached to the tax incentives are complex and may disqualify many firms in the targeted sectors. Viet Nam may also re-assess if the tax incentives address current gender-based barriers in the labour market or align with priority sectors for investment. Existing tax incentives for high-tech industries may exacerbate gender disparities if gender targets are not embedded to advance women's participation in those industries.
- **Continue to incorporate gender equality provisions in international investment agreements.** Viet Nam would benefit from favouring provisions that envisage, more clearly, the contribution of FDI enterprises in supporting gender equality, while ensuring scope for enforceability. Viet Nam may also consider including responsible business conduct in efforts to promote linkages between MNEs and domestic enterprises, and provide industry-specific training programmes for supporting industries.

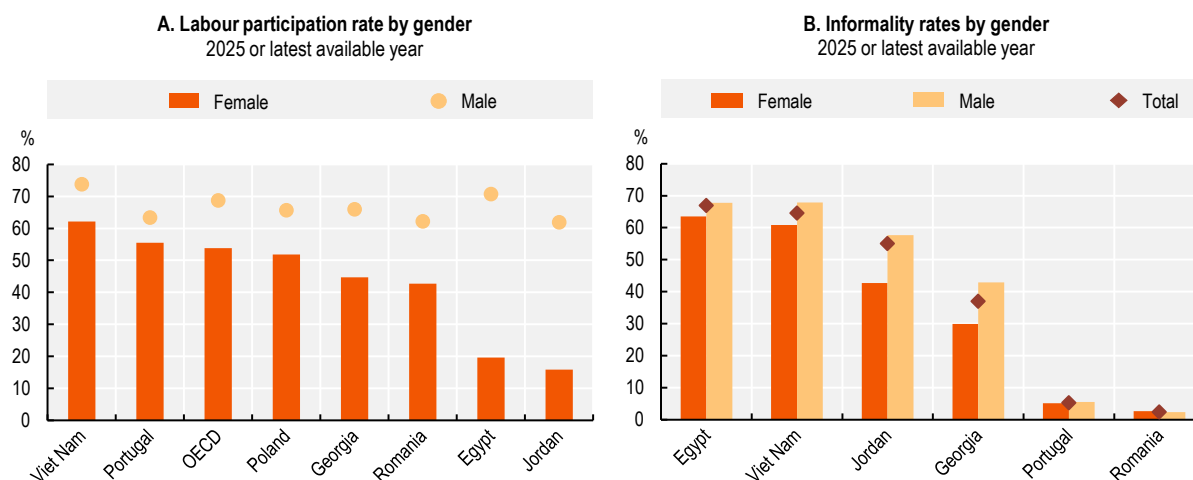
5.2. Overview of women's economic participation

The labour force participation rate for Vietnamese women is one of the highest in the world. Viet Nam ranked 25th out of 146 countries in terms of women's economic participation and opportunity in 2025 (WEF, 2025^[3]). According to the ILO data based on the 19th ICLS definition, close to two thirds of women or 62.1% in Viet Nam were employed in 2024, compared to 73.7% for men (Figure 5.1, Panel A). Encouragingly, the female labour participation rate surpasses all comparator economies selected for this study and the OECD average of 53.8%. Beyond their strong presence in the labour market, women's workforce participation is nearly on par with men. The gender gap in labour participation in Viet Nam, which reached 11.6% in 2024, lower than the OECD average of 14.9%. Against the backdrop of women's strong representation in the labour market is a conducive policy and legal framework for their economic participation, safeguarding equality and non-discrimination in the labour market.

Viet Nam's labour market is also characterised by high informality rates for both men and women.

In 2024, the overall informal employment rate was nearly 65%, and slightly higher for men at 68% than women at 61%, according to ILO data based on the 19th ICLS definition (2026^[4]). Viet Nam's informal employment rates for women remain higher than several comparator countries such as Georgia, Jordan, Türkiye and Portugal, but below Egypt (Figure 5.1, Panel B). This indicates that, while the labour force participation rates are high for both men and women, formal employment remains a small part of total employment (OECD, 2023^[5]). Although informality is more prevalent in men's employment, women in informal employment face more precarious working conditions, given their overrepresentation as contributing family workers in the agricultural sector (UN Women, 2021^[6]). Informality in Viet Nam also limits women's access to comprehensive social protection and reduces their opportunities for training and financial resources (UN Women, 2024^[7]).

Figure 5.1. Viet Nam's female labour participation rate is higher than OECD, but informality remains pervasive



Note: Panels A and B include data based on the 19th ICLS definition.

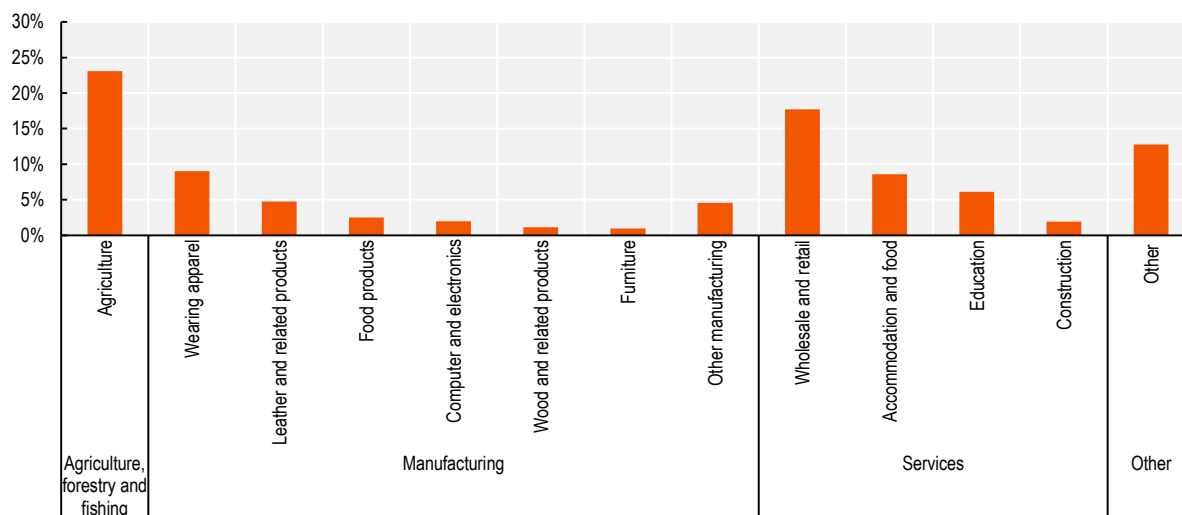
Source: OECD calculations based on ILO (2026_[4]) ILOSTAT, <https://ilostat.ilo.org/data>.

Women's employment is heavily concentrated in certain sectors, and often reflecting gendered patterns (Figure 5.2). In 2024, the manufacturing sector accounted for nearly a quarter of total female employment, making it the single largest employer for women. Within manufacturing, female employment is particularly concentrated in wearing apparel (9% of total female employment) and leather and related products (5%), together accounting for nearly half of all women working in manufacturing. Smaller but still significant shares of women are employed in computer and electronic manufacturing (2%), food manufacturing and textiles (3% each) (ILO, 2026_[4]). Beyond manufacturing, women's employment is also significant in select service sectors. Wholesale and retail trade accounts for around 18% of female employment, while accommodation and food service activities employ a further 9%. Employment in education represents approximately 6% of total female employment, reflecting the strong gender concentration in social services. Other sectors, such as construction and healthcare, account 2% of female employment each. Once the most significant employer for women, the agriculture sector now accounts for 23% of female employment as of 2024. Viet Nam's transition from central planning to a market-based economy has driven the reduction in female employment in the agriculture sector, and the corresponding shift towards industry and services, which remains a national priority reflected in strategic documents.

Gender imbalances are not only evident across sectors, but also in many occupations. In Viet Nam, women are more likely than men to work in elementary occupations, or as clerks, service and market sale workers, technicians and associate professionals (NSO, 2021_[8]). Underlining the occupational segregation is the fact that nearly 80% of women are classified low- or under-skilled (UN Viet Nam, 2023_[9]). Opportunities for career advancement are also more limited. In 2023, only 28% of middle- and senior-management positions were filled by women (ILO, 2023_[10]). When women do reach middle- or senior-management positions, their employment is disproportionately concentrated in support functions, such as human resources and finance and administration (ILO, 2020_[11]). Women's political representation in Viet Nam remains modest, with women making up 30% of parliamentary seats in 2023. This is higher than the global average of 27% and the Southeast Asian average of 22% (OECD, 2024_[12]). Ensuring women's full and equitable participation in the labour market is an essential condition to Viet Nam's economic transformation and path to high income status.

Figure 5.2. More than half of female employment is in the manufacturing and agriculture sectors

Female employment distribution by economic activity, 2024



Source: OECD calculations based on ILO (2026^[4]) ILOSTAT, <https://ilostat.ilo.org/data>.

Viet Nam has shown strong commitment to ensuring equal access to education, but women remain underrepresented in certain disciplines. The adult literacy rate for women reached 95.7% in 2023, compared to 97.5% for adult men (NSO, 2023^[13]). Gender gaps in basic education have been nearly eliminated (NSO, 2023^[13]), while at the tertiary level, the gender gap in enrolment is 2.7% in favour of women (World Bank, 2022^[14]). The enrolment rates of Vietnamese women in tertiary education are nearly equal to the ASEAN regional average. In terms of academic performance, the OECD Programme for International Student Assessment (PISA) results indicate that Vietnamese girls perform close to or slightly higher than boys in reading, mathematical and scientific literacies (Table 5.1). Girls' scores are higher than their peers in all comparator economies¹ except Portugal and Poland and exceed the average for ASEAN economies. However, women are less likely to pursue certain fields, including STEM, where only 36.5% of female tertiary education graduates specialised in STEM fields in 2016 (World Bank, 2025^[15]). Assessing more recent gender gaps in STEM education remains challenging due to lack of sex-disaggregated data on women's enrolment in these fields (UN Women, 2021^[6]). Similarly, gender disparities persist in vocational education enrolment, with studies indicating structural barriers hindering women's participation, and requiring gender-responsive policies in the vocational education system (ADB, 2017^[16]).

Table 5.1. PISA scores of Vietnamese girls are near equal or higher than boys

Performance on PISA tests, mean score by sex (2022)

	Average score on reading literacy		Average score on mathematical literacy		Average score on scientific literacy	
	Female	Male	Female	Male	Female	Male
Poland	486	492	503	475	500	498
OECD	488	464	468	477	485	485
Portugal	487	466	467	477	485	484
Viet Nam	471	453	464	475	470	475
Türkiye	468	444	450	456	478	473
Romania	442	415	425	430	428	427
ASEAN	417	391	420	416	427	421
Malaysia	404	373	414	403	423	410
Mexico	419	411	389	401	404	417
Thailand	391	365	397	391	414	404
Colombia	414	403	378	387	408	414
Indonesia	370	347	369	362	385	380
Jordan	364	318	368	353	390	358
Morocco	350	329	367	363	370	361
Uzbekistan	347	325	361	367	357	353

Note: A higher score corresponds to a better performance. The OECD's Programme for International Student Assessment (PISA) is a standardised assessment of reading, mathematics and science skills administered to 15-year-old students. ASEAN economies include Brunei Darussalam, Indonesia, Malaysia, Philippines, Singapore, Thailand, Cambodia, and Viet Nam.

Source: OECD (2023^[17]), PISA 2022 Results (Volume I): The State of Learning and Equity in Education, <https://doi.org/10.1787/53f23881-en>.

Societal norms and expectations continue to play a major role in shaping women's career choices.

While the domestic legal framework in Viet Nam ensures equal rights between men and women in almost all aspects of life, social institutions (i.e. informal laws, social norms and practices) perpetuate traditional gender roles. According to the OECD's Social Institutions and Gender Index (SIGI), 78% of the population think that children suffer when their mother works for pay, and 52% think that men should be given priority to jobs when those are scarce (OECD, 2024^[12]). Gender biases also impact demographic trends. Viet Nam ranks third to last of 146 countries on health and survival due to gender-biased sex selection and a sex ratio at birth of 113.6 boys for every 100 girls (WEF, 2025^[3]; UN Women, 2024^[7]). Women also shoulder a disproportionate share of unpaid care work, spending on average 2.3 hours per day, or 1.8 times, more than men on unpaid care and domestic work (UN Women, 2024^[7]). These societal norms and expectations influence women's educational and employment decisions, leading them to prioritise career opportunities offering greater flexibility over roles with better career advancement prospects and competitive wages (Coppola et al., 2024^[18]). Social perceptions materialise in patterns such as the concentration of women in low-value-added sectors (e.g. labour-intensive manufacturing, education, health, and social services) and part-time employment. As a result, societal barriers can limit women's ability to fully benefit from job opportunities generated by FDI.

While women enjoy a strong presence in the workforce, they do not benefit from work of equal quality or value, and this includes wages and non-wage working conditions (e.g. job security, occupational health). In 2023, the gender pay gap in average monthly wages in Viet Nam amounted to 13.9%, higher than the OECD average of 11.9%² (OECD, 2025^[19]; NSO, 2023^[13]). In nominal terms, women earned an average monthly earning of 6.9 million VND in 2022, in comparison to 7.9 million VND for men. This pay gap remains consistent across all sectors of the economy, and persists even when women's educational attainment or qualifications are on par to those of men (NSO, 2022^[20]). When it comes to gender equality in the workplace, the revised Labour Code of 2019 codified certain rights and guarantees for Vietnamese women, including the right to six months of paid maternity leave, stronger protection against sexual harassment in the workplace, and extended access to childcare facilities. However, only 35% of the population were covered by social insurance as of 2023 (NSO, 2023^[21]), and this coverage is effectively lower for women as they are less likely to be in the labour force (UN Women, 2021^[6]). The revised Social Insurance Law, effective July 2025, is expected to expand coverage by increasing legal coverage to new groups of workers and by extending maternity benefits to eligible voluntary participants (National Assembly of Viet Nam, 2024^[22]). Female employment is also concentrated in sectors and locations that create precarious working conditions for women. In industrial zones, where foreign investors tend to locate themselves, one study found that 80% of women over 35 either lose their jobs due to production restructuring or voluntarily leave due to difficult working conditions (NSO, 2022^[23]).

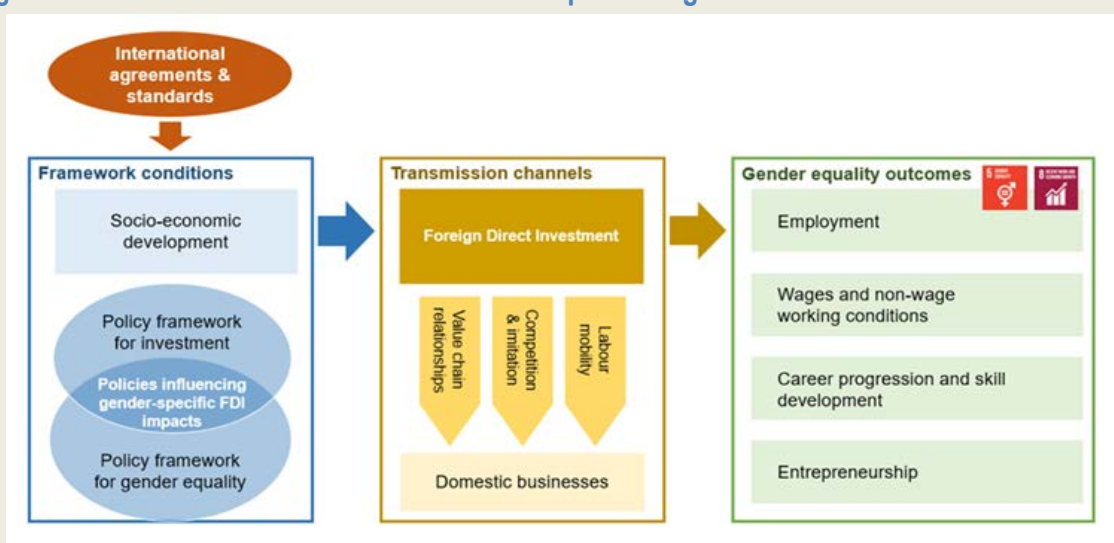
5.3. Contribution of FDI to women's economic empowerment and gender equality

Foreign investment can create distinct gender-based effects in the local labour market, with important outcomes on women's economic empowerment. The impact of FDI on gender equality occurs through several channels, of which the most direct is the hiring practices of affiliates of foreign multinational enterprises (MNEs), including recruitment, wages, promotion, and training (Box 5.1). Foreign firms can also induce domestic peers to adopt more gender-inclusive employment practices through competition and imitation effects. In Viet Nam, for example, the presence of foreign firms in traditionally male-dominated industries has been found to encourage the hiring of women by local firms (Nguyen, 2021^[24]). This section examines the key channels in which FDI contributes to gender equality and women's economic empowerment in Viet Nam, with a focus the employment practices of MNEs and the quality of job opportunities available for women.

Box 5.1. The transmission of FDI impacts on gender equality in the labour market

Direct investment by foreign MNEs generates multiple gender-specific effects in the labour market of host countries. FDI influences the relative demand and prices of factors of production, including labour. Since men and women have different preferences and skill sets due to policy and non-policy factors (taxation, social and cultural norms, etc.), and different industries employ different intensities of male and female labour, FDI generates shifts in the relative demand for labour by gender and changes the employment and wages of women and men differently. FDI can also influence other dimensions of gender equality and women's empowerment in the labour market, such as women's non-wage working conditions (e.g. job security, occupational health) and prospects for skills development and career advancement (e.g. training, promotion) The operations of affiliates of foreign MNEs can also have significant implications for local women entrepreneurs (green box in Figure 5.3).

Figure 5.3. The transmission channels of FDI impacts on gender outcomes



Source: OECD elaboration.

FDI can influence the above gender outcomes through the direct operations of foreign MNEs or indirectly through supply chain linkages and other market interactions with domestic firms. The literature identifies four main transmission channels of FDI impacts on gender outcomes (yellow box). These are:

- **MNE direct activities.** FDI affects women in host countries mainly through the direct employment activities and practices of foreign MNEs (recruitment, remuneration, training, promotion, etc.).
- **Value chain relationships.** FDI can create jobs for local women in domestic companies through business opportunities generated with local suppliers (i.e. vertical linkages) or through global value chains (e.g. through subcontracting or outsourcing). Through value chain relationships, FDI can also generate new business prospects for local women entrepreneurs.
- **Competition and imitation effects.** Foreign MNEs compete with local firms both in product markets (crowding-out) and in labour markets for local talent. Especially in female-dominated sectors, competitive pressures from foreign MNEs can lead to job losses for women if domestic firms downsize or close down. As women-owned firms are generally smaller and less productive than those owned by men, they are also more likely to be negatively affected by foreign competition. Imitation effects occur when domestic firms imitate the business practices of the MNE, including practices in relation to gender.
- **Labour mobility.** This involves movements of women workers from foreign MNEs to domestic enterprises or the start-up of enterprises by women previously employed by foreign MNEs. Women could also use the knowledge gained at the foreign MNE to set up their own company.

The direction and magnitude of gender-specific FDI impacts depend on several factors, including the types of FDI (e.g. efficiency-seeking FDI vs market-seeking FDI), the sector in which the investment takes place (e.g. female-dominated vs male-dominated), and the policy and non-policy framework conditions of the host country (blue box). Non-policy framework conditions refer to the level of socio-economic development of the host country, including prevailing gender norms and values. Policy framework conditions include a broad set of policies at the intersection of gender equality and investment promotion.

Source: OECD (2022^[25]), FDI Qualities Policy Toolkit, <https://doi.org/10.1787/7ba74100-en>.

5.3.1. Foreign firms account for nearly half of women's formal employment in Viet Nam

In Viet Nam, FDI contributes to nearly one in two jobs created for women in the formal economy. In 2023, foreign firms contribute with nearly 43% of all female employment, a substantial increase since Viet Nam's transition to a market-based economy. Nearly two decades earlier, FDI-supported employment for women was a third of total female employment (33% in 2006) (Figure 5.4, Panel A). While foreign companies have contributed to expanding employment opportunities for women, this growth has slowed in recent years. In addition, FDI-driven female employment remains heavily concentrated in one sector, manufacturing, which has significant implications for the quality of jobs within the sector. The impact of FDI on gender equality also varies across provinces and regions (Section 5.3.2).

Growing FDI flows in the manufacturing sector have been a key driver of women's employment. Since Viet Nam's reform momentum and economic transformation of the 1990s, the manufacturing sector has attracted significant FDI, particularly in the textile and garment industry and in the assembly of electronics (OECD, 2018^[11]). Increasing FDI flows to the manufacturing sector have contributed to growth in female employment and an overall labour market shift for women, coinciding with a decline or redistribution of female employment from the agricultural sector (UN Women, 2021^[6]). Between 2018 and 2024, the manufacturing sector accounted for just over half of total registered capital in FDI projects (Figure 5.4, Panel A). The sector has also remained the largest employer of women in both domestic and foreign firms. In foreign firms, the manufacturing sector was responsible for 91% of female employment generated by FDI between 2019 and 2023, compared to 37% in domestic firms (Figure 5.4, Panel C). In other words, nearly two thirds of female workers in the manufacturing sector are employed by foreign companies. While the manufacturing sector plays a crucial role in creating job opportunities for women, the job quality of opportunities in the sector is limited in comparison to other industries, including in terms of wages (Section 5.3.3).

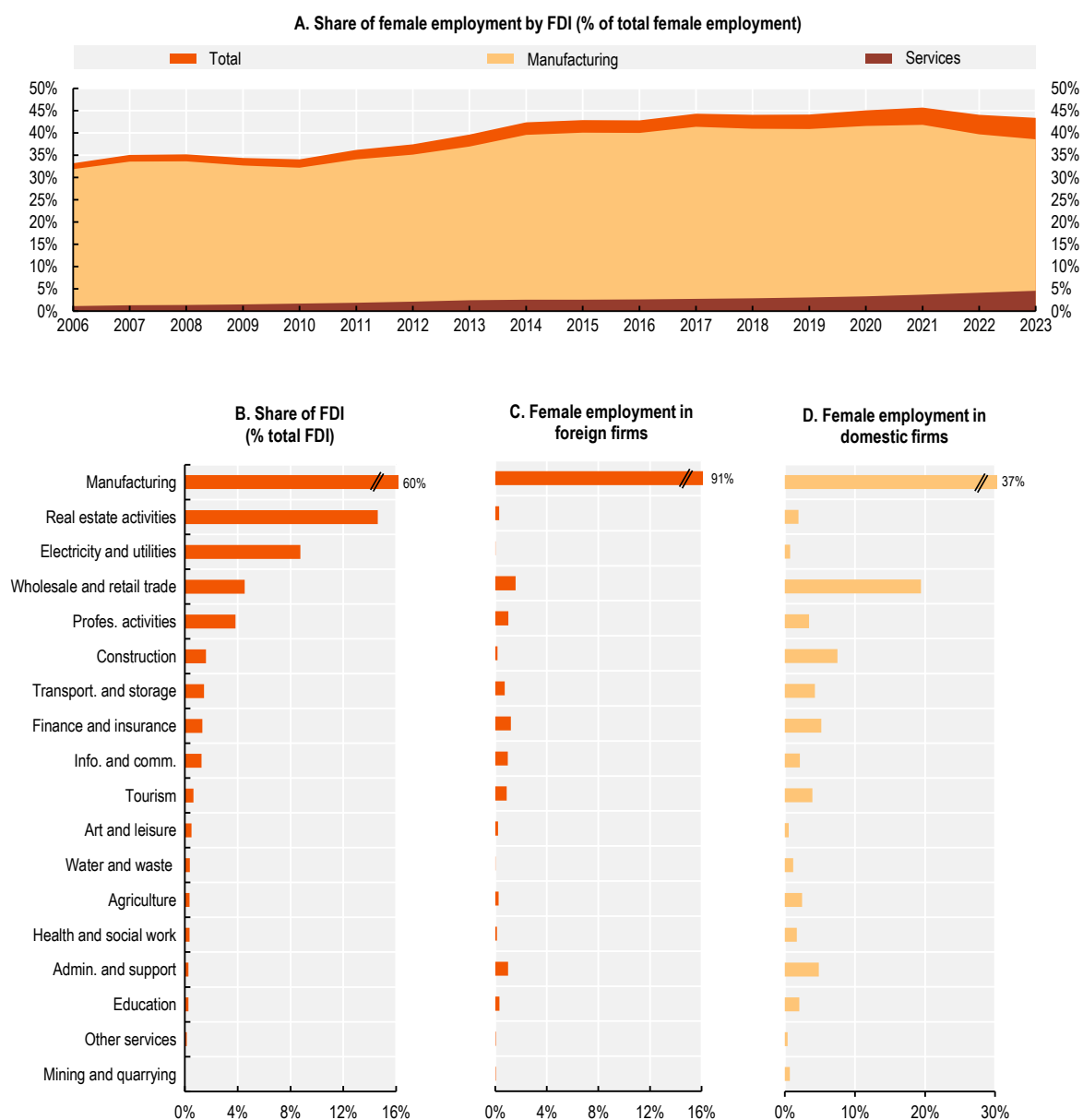
Around 26% of FDI has been directed to capital-intensive and male-dominated sectors between 2018 and 2024, most notably real estate, electricity generation, construction, and mining. Real estate and electricity generation are by far the largest recipients within this group, accounting for approximately 14% and 10% of total FDI inflows respectively in 2018-2024. Despite absorbing substantial investment, these sectors collectively generate less than 1% of female employment in foreign firms, reflecting their limited capacity to create direct jobs for women. Nevertheless, for as long as foreign firms adopt more gender-inclusive employment practices compared to domestic peers, there is evidence that the presence of foreign firms in male-dominated sectors encourages domestic peers to implement more inclusive hiring practices (Nguyen, 2021^[24]).

Conversely, several service sectors have strong potential to create direct employment opportunities and improve job quality for women, yet they receive minimal FDI. These sectors include financial, banking and insurance activities, information and communication, professional and technical services, and accommodation and food services. In recent years, they have attracted under 5% of total greenfield FDI flows but account for nearly 4% of total female employment at foreign firms, a modest share in absolute terms, but meaningful given that manufacturing alone absorbs more than 90% of female FDI employment. This indicates that even modest levels of FDI in these service activities can have a positive impact on job creation for women, highlighting their potential to support more inclusive FDI-driven growth (Figure 5.4, Panel D).

Foreign companies tend to create employment opportunities for women, but mostly in low-skill and low-value added activities, due partly to Viet Nam's comparative advantage in labour intensive and low-technology production (Daniele Coniglio and Hoxhaj, 2022^[26]). Data on greenfield FDI (i.e. new establishments of foreign companies) indicates that over a quarter of FDI has been directed towards the electronic components sector between 2022 and 2024 (fDi Markets, 2024^[27]), where women constitute a larger share of the workforce than men, particularly in assembly work (ILO, 2023^[28]). Similarly, around 3% of greenfield FDI has flowed towards textile and garment activities, where women represent over two thirds

of the workforce. However, women in these industries are less represented in management and ownership, particularly in foreign firms, suggesting limited career advancement prospects in these activities.

Figure 5.4. Nearly nine out of every ten women working at foreign firms are in manufacturing



Note: Values in Panel C refer to the share of total female employment by foreign firms, while Panel D reflect the share in domestic firms. Panel B is based on data of FDI inflows between 2018 and 2024. Panel C and D are based on data on female employment between 2019 and 2023. Source: OECD based on NSO (2026^[29]) Enterprise (data), <https://www.nso.gov.vn/en/enterprises/>; NSO (2026^[30]) Investment and Construction (data), <https://www.nso.gov.vn/en/investment-and-construction/>.

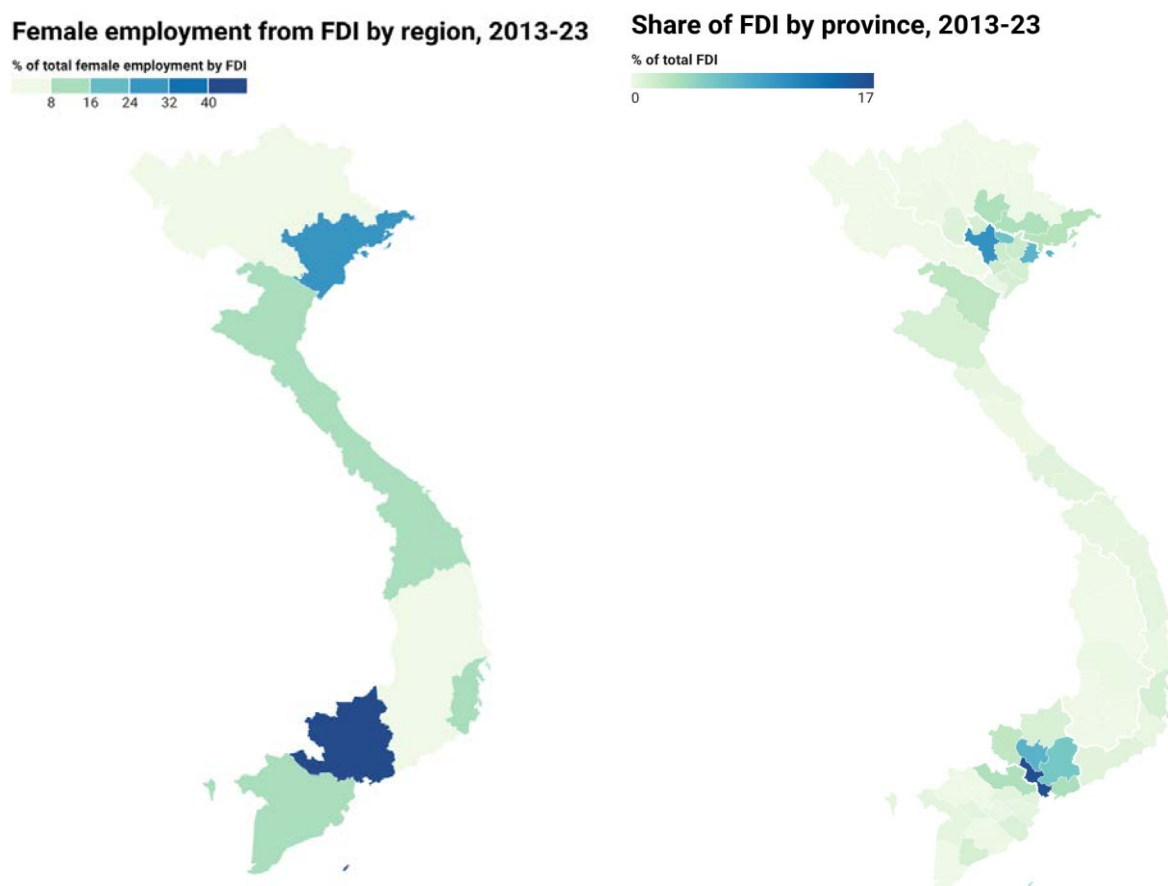
5.3.2. The uneven regional concentration of FDI risks compounding gender inequalities

FDI to Viet Nam does not benefit all provinces and regions equally. A large share of FDI is directed to two regions, Southeast and Red River Delta (Figure 5.5), which collectively received more than two thirds of total FDI in 2019-2023. Within these regions, Ho Chi Minh City and Ha Noi stand out as the main beneficiaries. This is not surprising, as investors tend to locate themselves in urban areas (i.e. Ho Chi Minh and Ha Noi) to allow for access to better infrastructure, skilled labour, and proximity to key markets.

The decentralisation of investment promotion is likely another contributing factor to the uneven distribution of FDI, as it leads to potentially harmful competition between provinces, and poor co-ordination between the central government and provincial authorities (OECD, 2018^[1]). In their effort to attract domestic and foreign investors, provinces tend to invest in the creation of economic zones, including Industrial Parks and export processing zones, which offer simplified administrative procedures and generous tax incentives to investors (World Bank, 2024^[31]; OECD, 2018^[1]). This disproportionately benefits provinces with more financial and land resources to attract foreign investors, while less developed provinces are left behind. To facilitate more equitable FDI distribution, MoF could ensure co-ordination of investment promotion initiatives and consistent application of policies by provinces (OECD, 2018^[1]). The recent consolidation of provinces from 63 to 34 presents an opportune moment to bolster the role of the FIA in co-ordinating between provinces and supporting their role for investment promotion and facilitation.

When unevenly distributed across regions, FDI can risk aggravating gender disparities, particularly in rural areas where women face more acute structural disadvantages in terms of health, education, and employment in comparison to urban areas. In 2021, the labour participation gap between women and men was 13.3% in rural areas, higher than the equivalent of 11.5% in urban areas (NSO, 2021^[8]). Women are also more likely to be engaged in informal or vulnerable employment or achieve lower educational attainment, in part due to social norms and expectations of traditional gender roles that are more entrenched in rural areas (UN Women, 2021^[6]; NSO, 2022^[23]). Out of all women engaged in vulnerable employment or unpaid family work in 2021, almost three quarters of those lived in rural areas, in comparison to 27% in urban areas (NSO, 2021^[8]). Access to Technical and Vocational Education and Training (TVET) programmes, either formal or informal, is also more limited for women in rural areas in comparison to urban (OECD, 2018^[32]), which prevents women from taking advantage of on opportunities generated by FDI, or venturing for new employment in other economic sectors.

Figure 5.5. Job opportunities by FDI for women are concentrated in few regions of Viet Nam

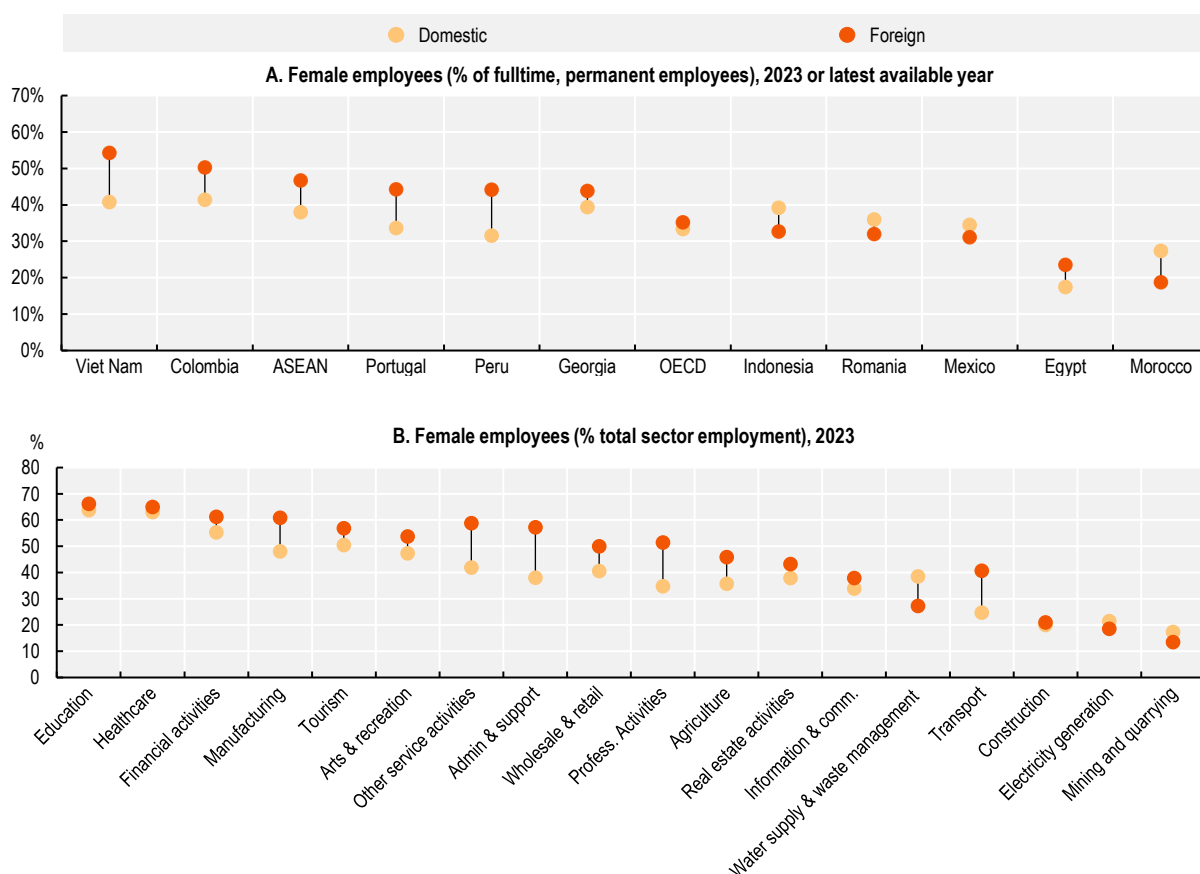


Source: OECD calculations based on NSO (2026^[29]) Enterprise (data), <https://www.nso.gov.vn/en/enterprises/>; NSO (2026^[30]) Investment and Construction (data), <https://www.nso.gov.vn/en/investment-and-construction/>.

5.3.3. Foreign firms employ more women than men, yet offer fewer career advancement prospects for women

In Viet Nam, foreign firms on average employ higher proportions of women than their domestic peers (Figure 5.6, Panel A), a pattern that is also observed in several comparator economies such as Portugal, Peru, Georgia and Egypt. The foreign firm employment premiums of Viet Nam are also higher than the average for OECD and ASEAN. The positive performance of foreign firms stems from Viet Nam's sectoral distribution, and follows a broader trend of economies that have higher shares of FDI channelled to female- and labour-intensive sectors, such as light manufacturing or tourism (OECD, 2019^[33]). Indeed, manufacturing has one of the highest proportions of female workers in both domestic and foreign firms compared to other sectors of Viet Nam's economy (Figure 5.6, Panel B). More generally, foreign firms have higher shares of women in their workforce than domestic firms across all sectors except mining and quarrying, electricity generation, and water and waste management. When female employment premiums are positive, research suggests that foreign firms in Viet Nam can generate imitation effects by incentivising domestic firms to adopt more gender-inclusive employment practices, particularly in male-dominated service sectors (Nguyen, 2021^[24]).

Figure 5.6. Foreign firms have higher proportions of female employees than Vietnamese peers



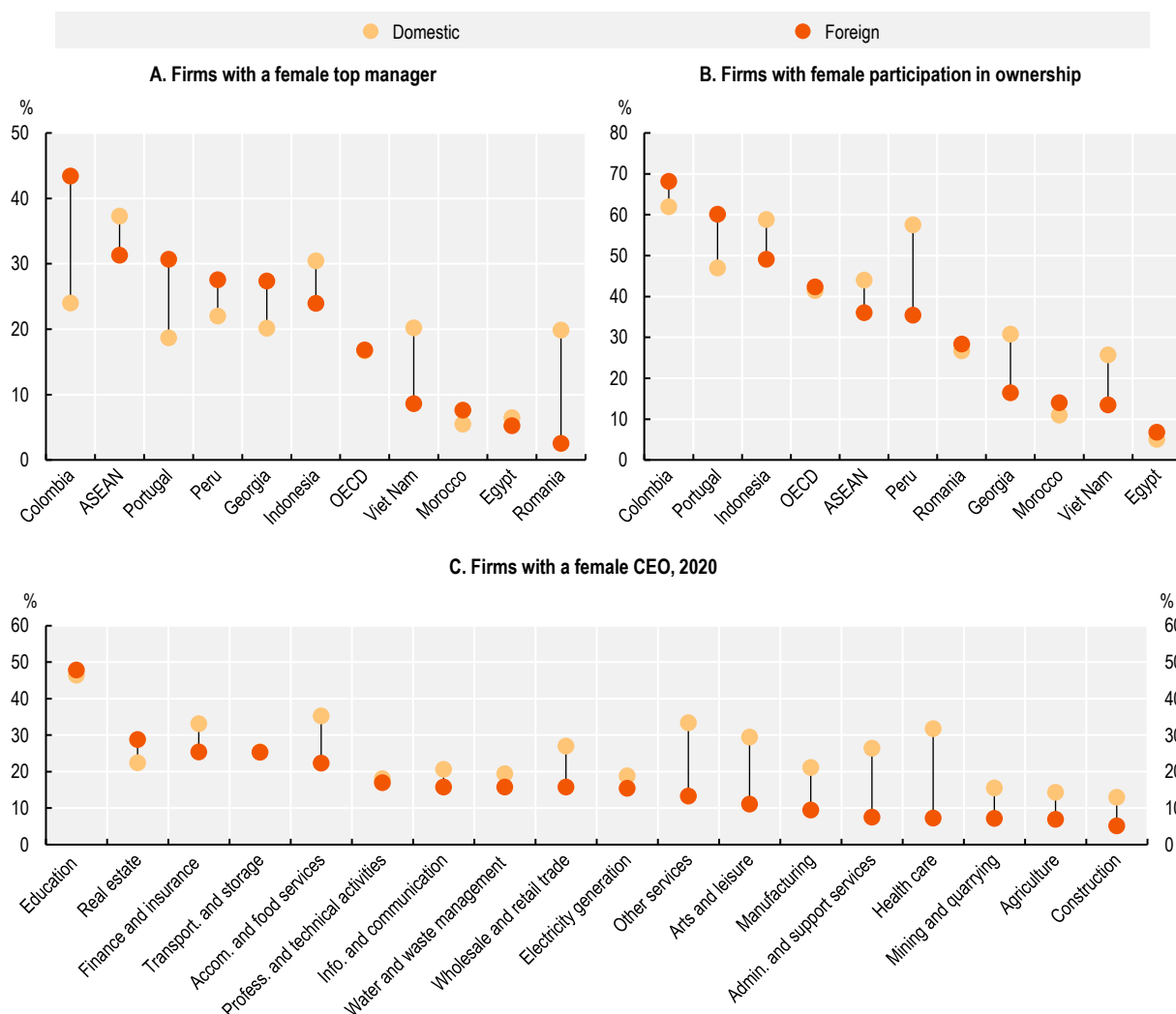
Source: OECD calculations based on NSO (2026^[29]) Enterprises (data), <https://www.nso.gov.vn/en/enterprises/>; and World Bank (2024^[34]) Enterprise Surveys, <https://www.enterprisesurveys.org/>.

Despite their significant representation, women are less likely to be in management and ownership roles at foreign firms than domestic ones. Foreign firms are half as likely as domestic peers to have a female top manager or principal owner (Figure 5.7). Although foreign firms in Viet Nam have higher shares of female employees than those in several other economies, including Colombia, Portugal, Peru, and Georgia, these same economies have a higher proportion of women in management and ownership roles at foreign firms than Viet Nam. At the regional level, both domestic and foreign firms in Viet Nam are less likely to have a female top manager compared to the ASEAN or OECD average. Domestic firms are nearly half as likely to appoint a female top manager relative to the ASEAN average but perform slightly better than OECD economies. In contrast, foreign firms in Viet Nam are nearly half as likely as those in OECD to place women in management positions.

Aside from firm ownership, the prospects of reaching top management or CEO roles vary by sector and region. Based on the latest data available from 2020, foreign firms are more likely to have a female CEO than domestic ones in only two sectors, real estate and education (Figure 5.7, Panel C). Domestic firms are more likely to have a female CEO in all other sectors of the economy, ranging from 13% of domestic firms in construction, 35% in accommodation and food services and 46% in education. Firms operating in sectors that benefit from a significant female workforce, such as health and social work, education, and manufacturing, are among the least likely to have a female CEO. The prospects for female leadership also vary across regions. Around a quarter of foreign companies located in the Mekong River

Delta region have a female CEO, likely linked to the presence of tourism firms in the region, compared to 12% of foreign firms in Red River Delta, where a third of all foreign manufacturing firms are located.

Figure 5.7. Foreign firms are half as likely as Vietnamese ones to have a female top manager or owner



Note: Panels A and B are based on data from 2023 or latest available year for each country.

Source: OECD calculations based on World Bank (2024^[34]) Enterprise Surveys, <https://www.enterprisesurveys.org/>.

5.3.4. Foreign firms in Viet Nam pay higher wages with variations across sectors

Foreign firms pay comparatively higher wages across all sectors of the economy, but less so where women have a stronger workforce presence. The foreign wage premium, which measures the average wage per worker in foreign firms in comparison to domestic ones, is highest in male-dominated sectors such as construction, mining and quarrying. Over the period 2019-2023, wages by foreign firms were on average 194% higher in mining and quarrying and 155% higher in construction, when compared to domestic firms (Figure 5.8, Panel A). Similar to other countries, women remain significantly underrepresented in capital-intensive industries, representing 13% of workers in mining and quarrying and 21% in construction in foreign firms. Current policy initiatives, such as tax incentives, aimed at increasing the share of female employment and improving the job quality for women in these activities, and in

particular construction, will face structural challenges due to comparatively low female representation in the workforce (Section 5.4.5).

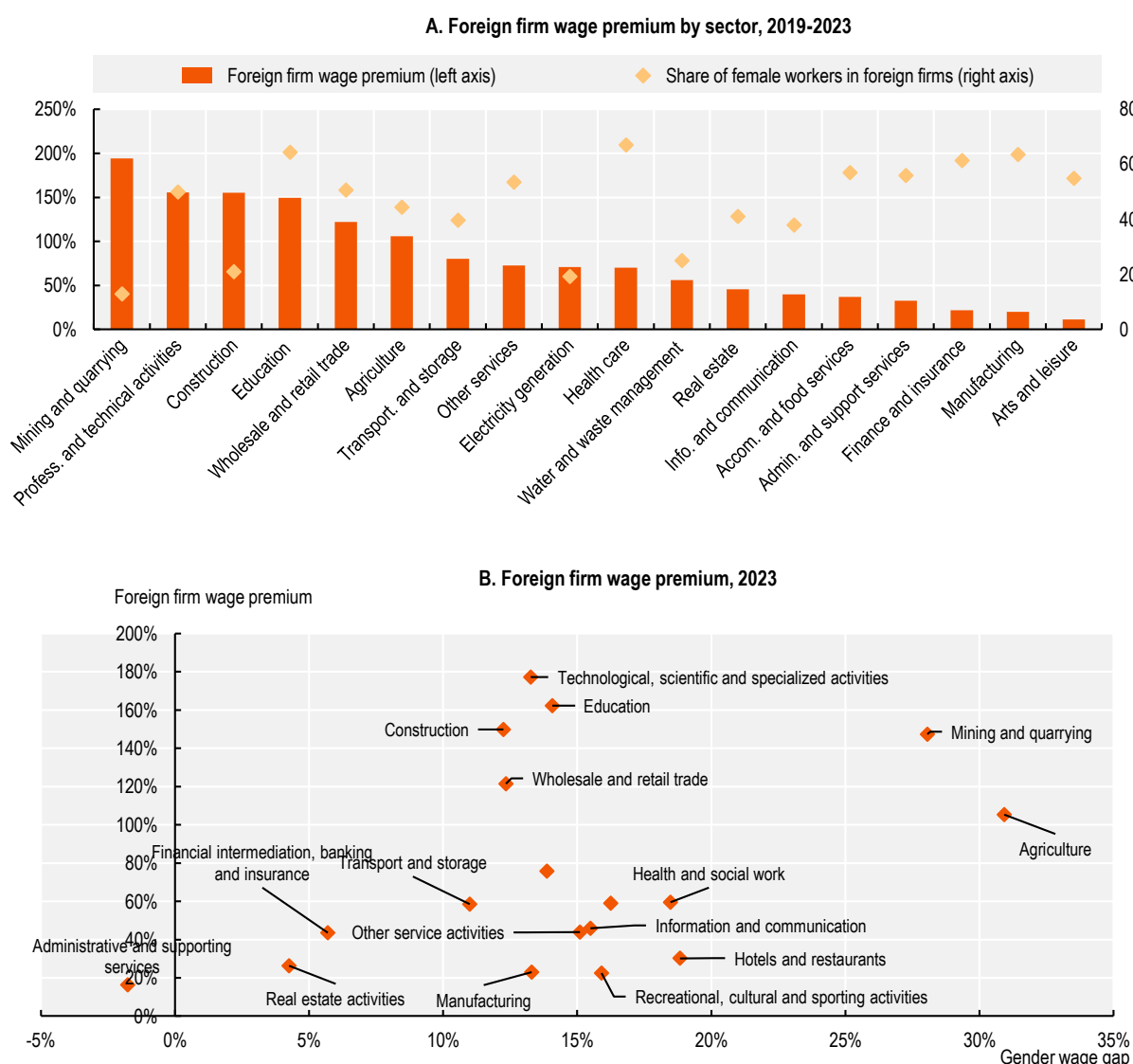
The manufacturing sector is a major recipient of FDI and employer of female workers, yet the foreign wage premium is lower than in most sectors. Between 2019 and 2023, manufacturing accounted for 91% of total female employment generated by foreign firms. While women have a strong presence in the manufacturing sector, wages in foreign-owned manufacturing firms were, on average, 20% higher than those in domestic firms between 2019 and 2023, one of the lowest premiums compared to other sectors of the economy. This limited wage advantage is likely driven by several factors, including the concentration of FDI in industries that rely on a young, cost-effective labour force, such as textile and garment manufacturing or electronics assembly (OECD, 2018^[11]). Foreign firms drawn to Viet Nam for its low-cost labour force may have little incentive to improve the wage conditions of their workers, which disproportionately impacts women given their high representation in the sector.

Foreign wage premiums are also lower in services sectors that employ higher shares of female workers. Women represent more than half of the workforce at foreign firms in certain service sectors, including financial, banking and insurance activities (61%), accommodation and food services (57%), and administrative and support service activities (56%). These sectors have the added advantage of a lower gender wage gap in comparison to other sectors, amounting to 6% in financial activities, while administrative and support service activities was the only industry to achieve gender parity in wages in 2022 (NSO, 2022^[20]). Foreign firms have a significant presence in these sectors, collectively accounting for 6% of firms outside of manufacturing. While the foreign wage premiums are positive, they tend to be lower in these activities than in other sectors of the economy, ranging from 21% average higher wages in financial activities, to 37% higher in accommodation and food services.

The potential for FDI is untapped for sectors that boast significant female workforce and much higher wage premiums, such as education, health and social work. In line with global trends, women make up a significant share of the workforce in sectors with traditionally female roles, such as education, health and social work. In foreign firms, female workers accounted for 64% of the workforce in education and 67% in health and social work between 2019 and 2023. Beyond the significant employment gains, foreign firms also offer comparatively higher wages than domestic firms, amounting on average 149% higher in education and 70% in health and social work. However, the two sectors accounted for less than 2% of foreign companies.

Various factors influence the foreign wage premium for female workers, leading to an overall mixed impact of FDI on women's wages. Positively, the gender wage gap is currently narrower in relation to a decade earlier, which translates to potentially better outcomes for women, although this varies across sectors (Figure 5.8, Panel B). The gender wage gap also fluctuates across occupations, reaching its highest level among skilled agricultural workers at 33% in 2023 (NSO, 2023^[13]). These variations in the gender wage gap across sectors, occupations, and over time are likely to influence foreign firms' labour practices, including in relation to wages. Studies focusing on FDI and labour market outcomes for women suggest that the availability of technology also impacts foreign wage premiums in Viet Nam. Specifically, FDI directed to high-technology areas of the country is linked to higher wages for both men and women, though the increase is more pronounced for male workers at the top of the wage distribution, thereby widening the gender wage gap. At the same time, FDI directed to low-technology areas translates to fewer employment opportunities and lower wages, particularly for men, due to the limited absorptive capacity of those areas (Anh Pham/Jennifer P. Poole/Amelia U. Santos-Paulino, 2021^[35]).

Figure 5.8. Foreign firms pay higher wages but in sectors with lower female representation



Note: The bubble plots in Panel B reflect the proportion of female workers at foreign firms out of total female employment generated by FDI
Source: OECD calculations based on NSO (2026_[29]) Enterprise (data), <https://www.nso.gov.vn/en/enterprises/>.

5.4. The institutional and policy framework affecting the impact of FDI on gender equality

5.4.1. Viet Nam's national strategies and promote women's economic participation, but the link with investment could be strengthened

Viet Nam has demonstrated strong commitment to incorporating women's economic participation in strategic policy documents, chief among them is the National Strategy on Gender Equality for 2021-2030 (Box 5.2). The strategy builds on a previous period of 2011-2020, and sets forth 6 objectives and 20 quantifiable targets for advancing gender equality across political, economic, social, and cultural fields. In the current period, the strategy focuses broadly on increasing women's labour force participation, supporting their entrepreneurship and leadership. Given the broad scope of these objectives, several

ministries are tasked with the implementation of the strategy, including MOHA, MOF and the Ministry of Education. Positively, the strategy delineates to action plans that provide a framework for agencies in implementing the strategy. For example, the Ministry of Education has a dedicated action plan to implement the National Strategy on Gender Equality for 2021-2030, including quantifiable objectives and timelines for advancing gender parity in education.

Other sectoral and horizontal strategies include a gender dimension, such as the National Action Plan to Implement the 2030 Agenda for Sustainable Development, which prioritises improvements in job quality for women, including by instituting equal pay and family-friendly workplace policies. Women's economic participation is also embedded in Viet Nam's long-term development vision, including in the Socio-economic Development Plan for 2021-2025, which cross-references the main national strategies on gender equality. The National Financial Inclusion Strategy until 2025, with a vision to 2030, includes targets related to ensuring women's access to credit (Prime Minister of Viet Nam, 2020^[36]). These strategies and plans reflect the priority Viet Nam has placed in facilitating women's economic empowerment and establish a coherent policy framework towards advancing gender equality.

The role of investment in supporting gender equality could be better defined in Viet Nam's strategic documents. The current period of the National Strategy on Gender Equality does not include a reference to the role and impact of FDI. Similarly, Viet Nam's primary strategy on FDI, the Strategy for Foreign Investment Cooperation for the Period 2021-2030, does not explicitly reference women's empowerment or gender equality. Instead, the strategy emphasises strengthening the skills of workers more broadly to meet the demands of FDI enterprises and attract additional investment. Viet Nam's policy framework would benefit from greater alignment between national priorities on investment and gender equality. Developing a comprehensive policy framework for investment promotion that explicitly aligns with national priorities on gender equality is crucial for increasing awareness of the impact of FDI on sustainable development and fostering targeted and well-co-ordinated policy actions (OECD, 2022^[25]).

National strategies and plans relevant to the digital transformation would benefit from incorporating gender considerations. Key documents that outline Viet Nam's priorities for the digital transformation include National Strategy on Industry 4.0 to 2030 and the National Digital Transformation Programme to 2025, with a vision to 2030. The strategies emphasise the benefits of the digital economy and delineate priorities to relevant government institutions, but the documents do not include gender-related targets or indicators (UN Viet Nam, 2023^[9]). Mainstreaming gender to national policy documents facilitating the digital transformation would contribute to mitigating the risks of digitalisation on women, whom are most at risk by the process, while maximising their overall contribution to the digital economy.

Box 5.2. National strategies and plans advancing women's economic participation

National Strategy on Gender Equality for 2021-2030 builds on a previous strategy (2011-2020) and advocates for narrowing the gender gap in various spheres. Three objectives are outlined in relation to women's political representation, labour market participation, and family life. In terms of the labour market, specific targets relate to increasing share of female workers to 50% in 2025 and 60% in 2030; reducing proportion of female workers in agricultural sector to below 30% by 2025 and 25% by 2030; increasing the rate of female directors or owners of businesses to at least 27 percent by 2025 and 30 percent by 2030. In family life, the strategy advocates for reducing unpaid household work to 1.7 times by 2025 and 1.4 times by 2030; and improving access to vocational training and general education.

National Action Plan to Implement the 2030 Agenda for Sustainable Development prioritises women's economic participation through several objectives, including improving women's access to financial resources, promoting entrepreneurship, ensuring equal pay and employment opportunities, and enhancing women's access to technology and innovation. The plan also focuses on supporting rural

women, providing family-friendly workplace policies, and integrating gender equality into national development plans. The plan also includes an emphasis on data collection to ensure women's economic empowerment is effectively tracked and supported.

Socio-economic Development Plan for 2021-2025 outlines objectives in key areas such as economic growth and structural transformation, skills development and human capital, investment and social development and inclusion. The plan cross-references strategic documents on gender equality, including the National Strategy on Gender Equality for 2021-2030. Key targets include reducing urban unemployment to below 4%, transitioning agricultural workers to 25%, and linking wage growth to productivity and business efficiency. While these goals could impact gender disparities—given women's overrepresentation in agriculture and informal sectors—the plan does not address the gendered aspects of these transitions. Similarly, its focus on digital skills development and private investment in high-tech industries misses opportunities to promote women's participation and leadership, highlighting the need for stronger gender integration.

Source: OECD based on (National Assembly of Viet Nam, 2021^[37]; Government of Viet Nam, 2021^[38]; Prime Minister of Viet Nam, 2017^[39]).

5.4.2. Viet Nam's institutional framework on investment and gender includes many actors

Viet Nam's institutional framework involves a complex interplay of actors governing the policy areas of investment and gender, including governmental, non-governmental, and socio-political institutions operating at both national and subnational levels (Figure 5.9). In Viet Nam, investment policy falls under the responsibility of the Ministry of Finance (MOF), having absorbed the functions of the former Ministry of Planning and Investment as of 2025. At the national level, MOF and its implementing agency, FIA, are responsible for formulating policy on investment and ensuring its implementation, including by co-ordinating with provincial bodies, who have a leading role in promoting investment and facilitating business establishment within the scope of their respective capacity and resources (OECD, 2018^[11]). To encourage investment, MOF formulates policy on investment incentives, granting concessions on corporate income tax to channel FDI to priority sectors or activities. MoF is also tasked with overseeing economic zones by designing policies and appraising proposals for their establishment, expansion, or adjustment, alongside provincial authorities.

Gender policy falls under the purview of several institutions, with important implications on investment. As of 2025, the main government agency responsible for gender policy is MOHA and its Department of Youth Affairs and Gender Equality. This office combines the former Department of Gender Equality of the Ministry of Labour, Invalids and Social Affairs (established in 2008) with MOHA's former Department of Youth Affairs. The Youth-Gender Department now advises MOHA and the National Assembly on the development of laws and policies related to gender equality, as well as monitoring the implementation of key national strategies on gender, along with other key functions (MOLISA, 2023^[40]; MOHA, 2025^[41]). To ensure horizontal co-ordination on gender, the National Committee for the Advancement of Women in Viet Nam (NCAFW), established in 1995, is an inter-ministerial body that advises the Prime Minister on gender equality and the advancement of women. The chairperson is the Minister of Home Affairs, supported by three vice chairs (the Deputy Ministers of Home Affairs and Foreign Affairs, and the chairperson of the Viet Nam Women's Union). Members include deputy ministers from 11 ministries and representatives from key agencies including the State Bank, the Supreme People's Court, the Supreme People's Procuracy, and the Viet Nam Fatherland Front (Prime Minister of Viet Nam, 2026^[42]). Other state agencies are involved in advising or formulating gender and investment policies and these include:

- **Viet Nam Women's Union (VWU)** is a socio-political organisation responsible for representing women's views and interests at the national and local levels. VWU acts as the vice chair of NCAFW and co-ordinates several training programmes supported by the government aimed at reskilling or upskilling women. VWU also partners with commercial banks to provide access to preferential credit in support of women's entrepreneurship (UN Women, 2021^[6]; 2024^[7]; VWU, 2025^[43]).

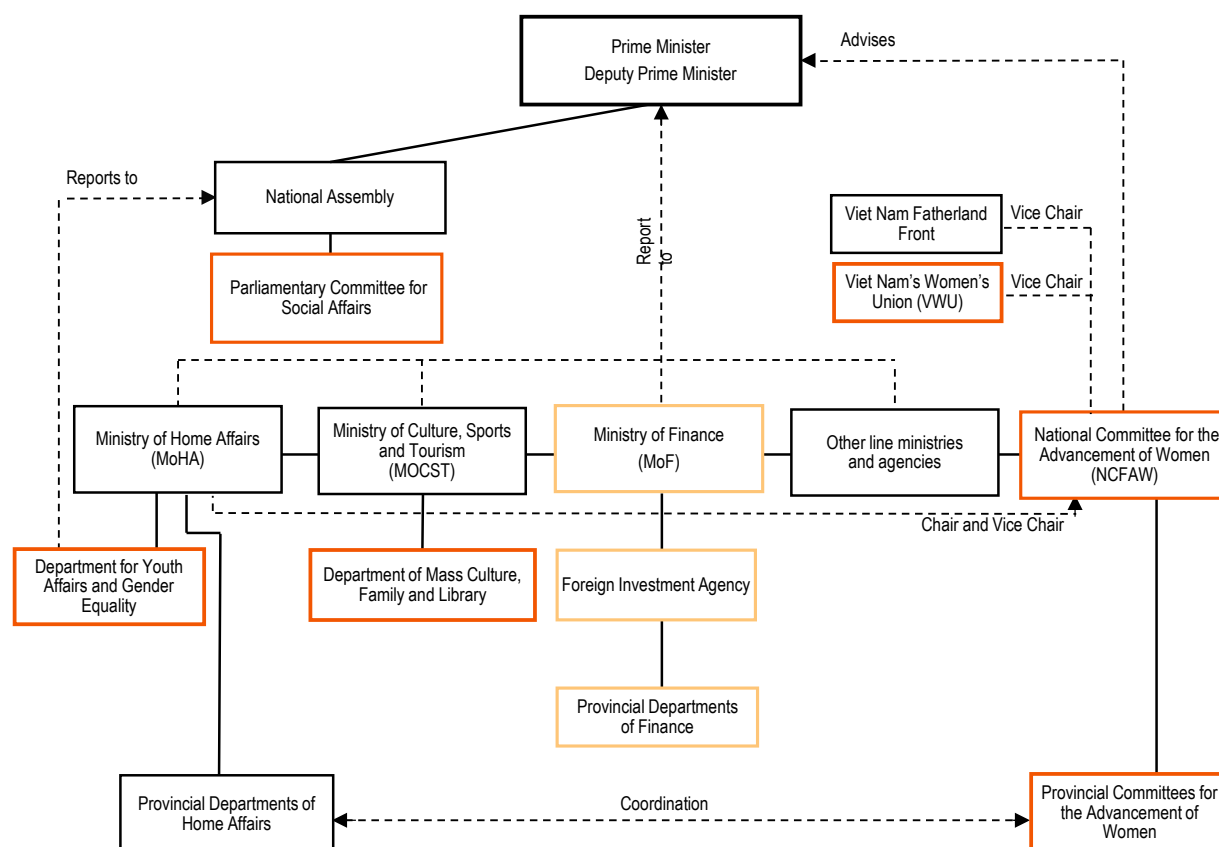
- **Ministry of Industry and Trade (MOIT)** performs state functions on certain sectors of industry and trade, including high-tech activities (Government of Viet Nam, 2022^[44]). MOIT provides guidance to SMEs, including women-led SMEs, on integrating in business clusters and value chains. MOIT also provides technical support to women's business associations (ADB, 2023^[45]).
- **National Statistics Office (NSO)** under MOF collects official statistical information, including sex-disaggregated data on education, labour and employment, leadership and management.
- **Other ministries have departments with a mandate on gender equality**, such as the Department of Family in the Ministry of Culture, Sports and Tourism.
- **Business associations, non-profit organisations, and international donors** also contribute significantly through their programmes and policy advocacy efforts. For example, the EuroCham Women in Business Sector Committee aims to address issues and needs related to gender equality in the workplace and includes stakeholders from the private and public sectors (EuroCham, 2025^[46]). The Viet Nam Business Forum and its Working Group on Human Resources include includes a focus on gender equality and provides a fora for enterprises and public sector stakeholders to identify needs related to skills and investment (Viet Nam Business Forum, 2025^[47]).

Co-ordination between institutions governing gender and investment policies could be strengthened. Viet Nam's institutional framework on gender has been increasingly streamlined, particularly with the establishment of the Youth-Gender Department and NFCAW, but it remains unclear to what extent MOF co-ordinates with MOHA or NFCAW on investment-related policies. Given the substantial presence and impact of foreign firms, which account to almost half of all female employment in the private sector, stronger co-ordination between the institutions responsible for investment and gender policies is needed to help align women's skills with emerging opportunities created by foreign firms. Effective co-ordination could also ensure that FDI is channelled towards activities with higher participation of women and better outcomes in terms of job quality for women. While NFCAW ensures strategic and high-level co-ordination between ministries on gender policy, it is challenging to assess the level of operational co-ordination that occurs between staff at key ministries. In Jordan, for instance, gender units are embedded within ministries to integrate gender considerations into policies and programmes, with direct oversight from an interministerial body (Box 5.6). Such mechanisms allow for effective collaboration at different levels of government.

The capacity of the Youth-Gender Department could be further supported. Co-ordination alone is insufficient to ensure gender considerations are integrated in the design of investment policies. Other persisting challenges hinder effective gender policy implementation, including shortages of staff on gender equality, lack of technical capacity for gender mainstreaming, and inadequate funding (UN Women, 2024^[7]; 2021^[6]). The government's restructuring efforts, which merged the youth and gender policy portfolios under a single department, may place further pressure on already constrained capacity. Viet Nam would benefit from ensuring that the Youth-Gender Department is equipped with sufficient staffing and adequate resources to effectively fulfil its mandate and drive forward gender-responsive policymaking.

Figure 5.9. Viet Nam's governance framework for gender and investment policy involves an interplay of national and subnational actors

Institutions with a mandate on gender or investment policy



Source: OECD elaboration.

Box 5.3. Jordan's institutional framework for FDI and gender equality

The governance framework in Jordan for investment and gender policies involves multiple governmental and non-governmental actors, requiring effective horizontal co-ordination. The Ministry of Investment (previously the Jordan Investment Commission) is responsible for promoting and facilitating foreign investment in the country and is part of the Investment Council chaired by the Prime Minister and the Minister of Defence. The Ministry of Investment also hosts the National Contact Point for Responsible Business Conduct, which is tasked with promoting the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct. The OECD Due Diligence Guidance on Responsible Business Conduct and other sector-specific guidance encourage businesses to apply a gender perspective to due diligence. The Jordanian National Commission for Women (JNCW) is the main co-ordinating for women's affairs in Jordan. The JNCW is a semi-governmental body that serves as a reference authority for women's affairs, women's empowerment and the promotion of gender equality in all spheres of life. The JNCW's board consists of 22 members from relevant ministries, national councils and institutions and civil society. Its mandate is to integrate gender into the political agenda, revise policies and laws, and eliminate gender-based discrimination. It also advocates for

various issues through consensus building and coalitions with civil society and produces studies and guidelines on particular topics. Through its mandate, the JNCW has established gender focal points within relevant ministries to mainstream and integrate gender perspectives in their policies and programmes.

Gender units are an important tool for mainstreaming gender in the activities of key ministries. The gender units are overseen directly by the JNCW and are tasked with advancing gender equality and women's empowerment within their respective areas of work. The Inter-Ministerial Committee on Women's Empowerment facilitates the co-ordination in government on gender actions in line with the Jordan Vision 2045. The IMC works at the ministerial level with a rotating chair and includes among its members the Secretary General of the JNCW. Several mechanisms exist to advance a whole-of-government approach on gender equality, ensuring co-ordination not only at the ministerial level, but also between government personnel across departments and institutions.

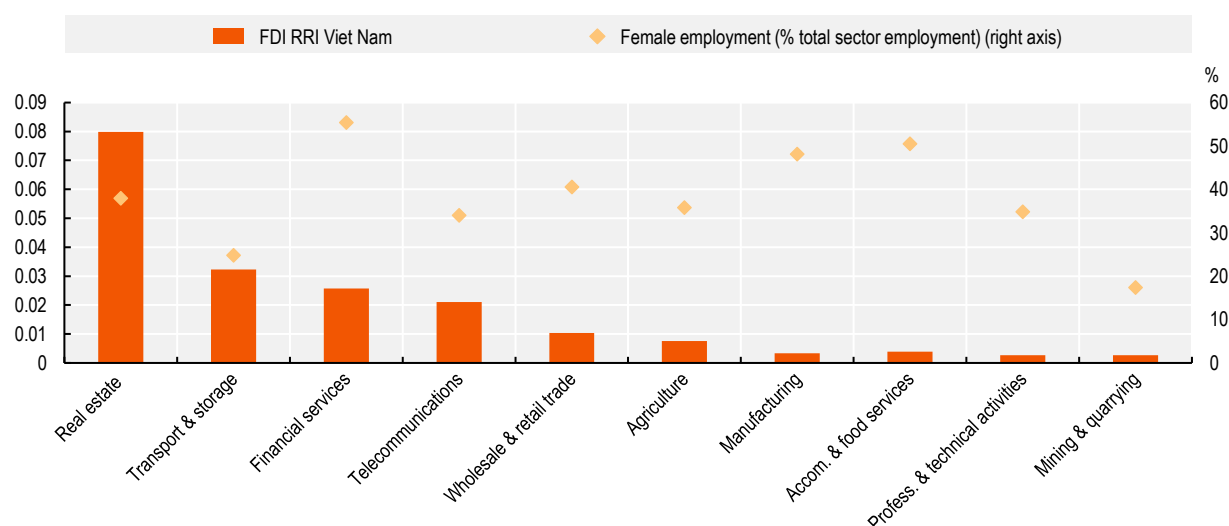
Source: OECD (2022^[48]), FDI Qualities Review of Jordan, <https://doi.org/10.1787/736c77d2-en>.

5.4.3. Regulatory restrictions to FDI continue to apply on few female-intensive sectors

Regulatory restrictions on FDI can undermine the impact of FDI on gender equality if these measures are applied to female-intensive sectors. While Viet Nam maintains a relatively open and non-discriminatory environment for FDI, restrictions are applied to sectors that are considered major employers of women, including financial services (Figure 5.10). Foreign ownership in Vietnamese banks is capped at 30%, and cases that exceed this threshold require the approval of the Prime Minister, particularly when involving the restructuring of distressed credit institutions (OECD, 2018^[1]). Additional barriers arise from the state's significant ownership stakes in major commercial banks, which limit foreign participation and competition. Easing FDI restrictions in the financial sector could not only strengthen women's employment opportunities but also generate broader benefits by enhancing competition and supporting financial sector development (OECD, 2025^[49]). These gains are especially relevant because financial services rely on a highly skilled workforce, and increased foreign investment could expand professional opportunities in a sector where women are already strongly represented (Chapter 4).

Women's participation in the telecommunications sector is far from marginal, but regulatory restrictions limit potential FDI inflows. Foreign ownership in non-facilities-based services is capped at 65%, while majority foreign stake is prohibited in facilities-based services. Certain projects are also subject to additional approval from the Prime Minister if investment projects involve network infrastructure services (OECD, 2026^[50]). These restrictions can undermine the sector's attractiveness to investors, despite its critical role in advancing digitalisation and demonstrated capacity to generate opportunities for women, who account for more than one third of the workforce at foreign telecommunication firms.

Figure 5.10. Viet Nam maintains restrictions to FDI in select female-intensive sectors



Note: Data for female employment in foreign firms refer to 2023. The OECD FDI Regulatory Restrictiveness Index measures statutory restrictions on FDI across four policy categories: i) foreign equity limits; ii) screening and approval of foreign investment; iii) restrictions on key foreign personnel; and iv) other operational restrictions. Individual measures are evaluated on a 0 (fully open to FDI) to 1 (fully closed) scale based on a scoring framework that captures the varying degrees of restrictiveness of the covered FDI policies.

Source: OECD elaboration based on NSO (2026^[29]) Enterprise (data), <https://www.nso.gov.vn/en/enterprises/>, and OECD (2026^[50]) FDI Regulatory Restrictiveness Index, <https://www.oecd.org/en/topics/sub-issues/sustainable-investment/fdi-regulatory-restrictiveness-index.html>.

5.4.4. Viet Nam has advanced gender equality in its legal framework, but compliance could be strengthened

Viet Nam has enacted significant legal reforms to advance female employment over the years.

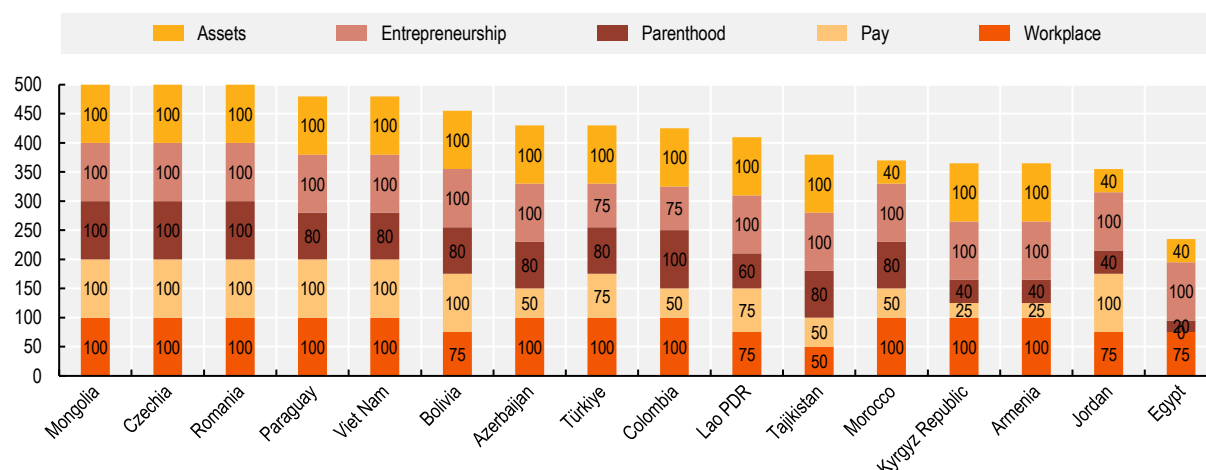
These legal reforms have resulted in a more inclusive legal framework for female employment compared to many comparator economies selected for this analysis (Figure 5.11). The Labour Code of 1994 introduced initial safeguards to women's employment and has since been amended several times to expand protections. In 2012, the Labour Code was amended to improve women's social protection by increasing maternity leave from four to six months. In 2019, protections against gender discrimination in the workplace were strengthened, including with respect to wages (UNFPA, 2020^[51]). Further reforms to the Labour Code in 2021 ("Amended Law") removed restrictions on women's ability to work in certain occupations and reduced the retirement age gap between men and women. The Law on Gender Equality of 2006 ("Gender Equality Law") establishes the principle of gender equality across various domains, such as education, employment and family life. The Gender Equality Law also delineates specific responsibilities to government institutions in order to safeguard and promote gender equality.

Women's economic participation is supported in various laws and regulations in addition to the Labour Code and Gender Equality Law.

The Law on Occupational Safety and Health of 2015 prohibits gender-based discrimination in occupational safety and health (National Assembly of Viet Nam, 2015^[52]). The new Law on Social Protection, which came into effect in 2025, expands coverage to household business owners and part-time workers, categories in which women are disproportionately represented (National Assembly of Viet Nam, 2024^[22]). The integration of gender considerations in Viet Nam's legal frameworks contributes, either directly or indirectly, to improved job quality and greater access to benefits for women in both domestic and foreign firms.

Figure 5.11. Viet Nam has fewer legal restrictions on female employment than peer economies

WBL index scores (0-100) in five selected areas of women's economic inclusion, 2024



Note: The 'workplace' indicator examines legal constraints on women's decision to join and remain in the labour force as well as protections against discrimination and sexual harassment in the workplace; the 'pay' indicator looks at laws and regulations that influence occupational segregation and the gender wage gap; the 'parenthood' indicator assesses laws that influence women's work after having children; the 'entrepreneurship' indicator analyses constraints on women's ability to start and run businesses; finally the 'assets' indicator looks at gender differences in property and inheritance rights. A score below 100 indicates that at least one legal constraint on women's economic participation into a specific area has been identified.

Source: OECD elaboration based on World Bank (2024^[53]), Women, Business and the Law, <https://wbl.worldbank.org/en/wbl>.

Viet Nam could further improve the gender-responsiveness of the legal framework for employment.

Gender equality is supported in various provisions of Viet Nam's domestic legal framework, but women continue to face challenges in employment such as gender wage gaps, occupational segregation, informality, and disproportionate care work responsibilities that limit women's engagement with the labour market and require targeted policy interventions. Expanding paternity leave, which is currently limited to 5-7 working days and falls short by international comparison, would help promote a more balanced distribution of care responsibilities (OECD, 2025^[49]). Improving the collection and use of sex-disaggregated data on employment would enable Viet Nam to more easily identify gender disparities in the labour market (e.g. wage gaps, occupational segregation). Among Viet Nam's other policy options for strengthening women's labour participation are expanding the legal provisions against discrimination, instituting mandatory quotas for women's representation in senior positions, or strengthening the capacities of employment service organisations to reduce occupational segregation and increase formality (ILO, 2025^[54]; OECD, 2025^[49]).

Strengthening labour law enforcement remains an important priority, including in sectors with higher presence of women workers. A decentralised labour inspection system, where inspection authorities such as MOHA and Industrial Zone management bodies hold overlapping mandates, can prevent effective enforcement even where regulatory reforms are in place (ILO, 2020^[55]).

5.4.5. Viet Nam could support investment promotion and facilitation for investment and gender equality

Tax incentives tied to women's job quality and skills

Viet Nam is one of the few economies that offer tax incentives in support of women's job quality and skills. Under the Law on Corporate Income Tax of 2025, enterprises employing female workers can qualify for a tax credit if they meet specific criteria. Enterprises must operate in manufacturing, construction or transport sectors, and employ 10 to 100 female workers and make up more than 50% of the workforce, or more than 100 female workers who constitute at least 30% of total employees. The tax credit equals certain qualifying expenditures, such as spending on vocational training, partial costs of operating on-site childcare facilities, expenditures on the provision of health check-ups in the year, and salaries and overtime allowances for women that forgo maternity leave.

Policymakers should assess the design features of the tax incentive against its intended objectives. The tax incentive regime targets firms in the construction and transportation sectors, where women represented 21% and 28% of the total workforce in 2023, respectively. The design features of the tax incentive, including conditions to meet at least 30% of female workforce representation, are considered complex and may disqualify many firms in those sectors. This may stem from women's underrepresentation or their high turnover rates that in turn render it difficult for firms to qualify for the above thresholds (UN Women, 2016^[56]). Viet Nam should assess whether these conditions contribute to addressing gender disparities in the labour market, particularly as women are overrepresented in low value-added industries, or significantly underrepresented in management roles. For example, Viet Nam may consider expanding the sector conditions of the tax incentive to cover higher value-added industries, thereby encouraging female participation in those activities. In all cases, tax benefits tied to outcome conditions require regular monitoring and evaluation to ensure that the instruments meet their intended objectives. However, it remains unclear whether Viet Nam is collecting sex-disaggregated data on the uptake of tax incentives (UN Women, 2021^[6]).

Tax incentives may not compensate for wider market failures, which may require alternative or complementary policy options. Tax incentives can have distorting effects by diverting resources from more efficient to less efficient activities, leading to costs in terms of expenditure and revenue forgone. This, in turn, can reduce the fiscal space for other policies that are potentially more effective in advancing gender equality (OECD, 2022^[25]). When considering various policy options, policymakers should evaluate the cost of implementing tax incentives against the potential benefits of alternative government investments in services, infrastructure, or improving the wider investment climate. In this case, Viet Nam may also weigh these costs against the effectiveness of other policy tools that could facilitate private sector solutions to improving women's welfare and workplace conditions.

Factors with the broader tax system may hinder uptake of incentives in support of women's employment and skills. Consultations with stakeholders suggest that issues related to the transparency and governance of tax incentives make it challenging for investors to assess the full extent of tax benefits available to them. In the absence of a consolidated tax law, information on the generosity and eligibility criteria of tax incentives is generally spread across a number of laws, decrees, circulars and information notes (OECD, 2018^[11]). For instance, firms seeking to benefit from the tax incentive mentioned above must navigate several legal documents, including the Labour Code, where additional eligibility conditions are set out for investors. Understanding how exactly incentives apply and who can benefit might require significant time and resources; a process that could discourage smaller investors or those less familiar with the jurisdiction to apply. For firms that choose to benefit from the tax incentive, complicated and lengthy application processes remain a dissuasive factor (UN Women, 2016^[56]). It is recommended that Viet Nam consolidates all tax incentives, including their eligibility criteria, into the main body of the tax law to facilitate transparency (OECD, 2015^[57]; 2018^[11]; 2023^[58]).

Generous tax investment incentives to certain sectors risk aggravating gender inequalities. Viet Nam offers generous tax incentives schemes to investors in select priority activities, such as high-tech industries, in line with broader national priorities to promote technology-intensive FDI (Prime Minister of Viet Nam, 2021^[59]). Under the LOI and the Prime Minister's Decision No. 29/2021/QD-TTg on special investment incentives, concessions on corporate income tax (CIT) are extended to investors in support of advanced technologies and digital products (Prime Minister of Viet Nam, 2021^[60]). These incentives include significant reductions or full exemptions on CIT for a period of up to 37 years. Generally, income-based incentives (e.g. CIT exemptions and CIT reduced rates) can involve significant costs in terms of revenue forgone, but they may also risk exacerbating gender inequalities by directing FDI to male-dominated activities. To mitigate these risks, Viet Nam may consider extending the eligibility criteria to include gender targets that encourage female employment in those activities. In addition, efforts to promote FDI in activities with lower proportions of women should be complemented with targeted skills development programmes that enable women to access job opportunities in these growing fields.

Investment promotion

Apart from manufacturing, Viet Nam's investment promotion strategy currently overlooks sectors where women are strongly represented. Viet Nam's current efforts are focused on knowledge-intensive, digital and green sectors, where women are less represented. This mismatch risks missing key opportunities of FDI working towards inclusive economic growth. For example, select sectors (i.e. education, health and social work) feature high proportions of women within their workforce but account for less than 1% of FDI inflows between 2018 and 2024. Broadening investment promotion efforts to include the health sector, in particular, could yield multiple benefits: helping the economy adapt to changing demographics and an ageing population, reducing the disproportionate care work shouldered by women in the long run, while at the same time creating opportunities for women to transition from jobs at risk due to digitalisation or other structural transformations of the economy.

Although Viet Nam's IPAs increasingly align promotion efforts with sustainable development, gender remains a gap. Promotional materials often highlight the government's commitment to inclusive growth, the green transition, and positioning Viet Nam as a key destination for achieving the SDGs (Investment and Trade Promotion Centre, 2024^[61]). While gender equality features in strategic documents like the National Strategy on Gender Equality (2021-2030), a concrete framework to attract gender-focused FDI is still absent.

To bridge this gap, Viet Nam could introduce targeted promotion efforts that encourage investments that link with women-led SMEs or sectors with high female employment. This includes incentivising foreign investors to support women's empowerment through hiring, training, and enterprise development. Aligning with global trends, where 45% of IPAs have adopted gender-focused initiatives, Viet Nam has an opportunity to position itself as both a competitive and inclusive investment destination (UNCTAD, 2020^[62]). Globally, IPAs are advancing gender equality by supporting inclusive foreign investment and promoting equity within their own operations, while also responding to growing demand from multinational enterprises aligning with SDG 5 (UNCTAD, 2020^[62]) (Box 5.4).

Box 5.4. Investment promotion to advance gender equality outcomes

Gender-sensitive investment promotion involves strategies used by IPAs to actively integrate gender equality into their efforts to attract and retain FDI. These initiatives boost economic empowerment for women and create attractive investment climates aligned with SDG standards.

"Argentinas al Mundo" ("Argentine Women Go Global") - Argentina

Investment promotion agencies with combined trade mandates often support women entrepreneurs to engage in international business. Argentina's national trade and investment agency (AAICI) launched "Argentinas al Mundo" ("Argentine Women Go Global"), a programme helping women-led businesses export and attract investment.

Leveraging FDI for gender equality - Costa Rica

The Costa Rican Foreign Trade and Investment Promotion Agency (PROCOMER) continually works, together with domestic and foreign private companies established in the country, to help close the gender gap in the business sector by implementing a range of targeted initiatives, including a pilot care network developed in collaboration with Free Trade Zones and local governments, capacity-building support for 40 women-led companies to advance their internationalisation through the IMPULSA program, training programmes aimed at improving women's employability under formal conditions through a co-financing incentive, and broader efforts designed to reduce structural gaps and promote productive transformation in women-led enterprises.

"Women in Tech" - Denmark

Copenhagen Capacity, a regional IPA in Denmark, actively integrates a gender lens into promoting its tech sector. It conducts targeted talent attraction campaigns such as "Women in Tech" to increase women's representation in ICT industries. This helps foreign investors in Copenhagen's tech scene recruit more female talent, addressing skill gaps and diversity goals. The campaign has raised the visibility of Denmark's female tech workforce, encouraging global tech companies to invest in the region with confidence they can hire a diverse, skilled team.

SDG scoring system - Türkiye

Türkiye's Investment Office developed an SDG scoring system for inbound projects – investments score higher if the company has strong gender-equality commitments or plans to employ a significant number of women.

Source: OECD based on Bonilla-Feret (2023^[63]) Gender defines investment promotion more than IPAs think, <https://www.fdiintelligence.com/content/locations/global/gender-defines-investment-promotion-more-than-ipas-think-82177>; FDI Centre (2023^[64]) How IPAs can contribute to gender equality through investment and trade, <https://fdi-center.com/how-ipas-can-contribute-to-gender-equality-through-investment-and-trade/>; and UNCTAD (2023^[65]), Investment Promotion and its Impact on Gender, https://unctad.org/system/files/official-document/diaepcbinf2023d6_en.pdf.

Investment facilitation

Viet Nam could further facilitate gender-focused investment through dedicated channels such as one-stop-shops explicitly designed for investors focused on gender-sensitive industries. Simplifying administrative processes and advocating reforms to reduce gender-related barriers in investment procedures could attract investors specifically interested in inclusive business models (Box 5.5). Furthermore, aftercare services could include targeted assistance and networking opportunities specifically aimed at linking foreign investors with local women-owned enterprises, thus enhancing women's economic empowerment and participation in global value chains.

Box 5.5. Investment facilitation to advance gender equality outcomes

Gender-sensitive initiatives in investment facilitation refers to strategies employed by IPAs to actively integrate gender equality into the attraction and retention of FDI. By supporting and encouraging investors to adopt gender-inclusive practices, IPAs can enhance the positive impact of foreign investment on gender equality and inclusive growth.

Chile's aftercare and facilitation services focused on gender and ESG goals.

InvestChile has developed aftercare and facilitation services focused on gender and ESG (Environmental, Social, Governance) goals. The agency provides training and advice to foreign investors on how to measure and report on gender equality within their operations. This hands-on support has led several multinational companies in Chile to improve their gender balance and be recognised for inclusive practices.

Austria's "Gender Equality Seal"

Invest Austria supports companies in obtaining a "Gender Equality Seal" and hosts annual awards to celebrate achievements in advancing gender equality. Past recipients have been recognised for initiatives such as challenging traditional hierarchies and offering comprehensive support around family leave.

Source: UNCTAD (2023^[65]) Investment Promotion and its Impact on Gender, https://unctad.org/system/files/official-document/diaepcbinf2023d6_en.pdf.

5.4.6. International agreements could further reinforce the role of investment in supporting gender equality in Viet Nam

Responsible business conduct

International instruments, such as the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct (Guidelines), help set expectations for businesses to address the negative impacts of their operations and contribute to sustainable development (Box 5.6). Viet Nam has taken important steps towards advancing the responsible business conduct (RBC) agenda, including through the adoption of the National Action Plan for Law and Policy Improvement to Promote Responsible Business Practices in Viet Nam 2023-2027 (Prime Minister of Viet Nam, 2023^[66]). Moving forward, Viet Nam could consider additional efforts to raise awareness of RBC among businesses and policymakers, review existing access-to-remedy mechanisms for RBC-related matters, integrate RBC principles into public procurement and SOE operations, and provide industry-specific training programmes for supporting industries (OECD, 2018^[1]).

Box 5.6. Principles on gender equality and non-discrimination in the OECD Guidelines

The OECD Guidelines for Multinational Enterprises on Responsible Business Conduct (2023) are a key international instrument for promoting RBC practices by foreign MNEs. The Guidelines are recommendations made by governments to MNEs to prevent and address the negative impacts of business operations on the economy, society and the environment. Signatory governments commit to promoting their uptake and implementation by business, in addition to establishing National Contact Points (NCPs) for Responsible Business Conduct which are national agencies tasked with supporting all actors – companies, governments and stakeholders – in implementing RBC.

Gender-related issues cut across various aspects of business activity. Chapter IV on 'Human Rights' and Chapter V on 'Employment and Industrial Relations' of the Guidelines are of particular interest to companies on this topic. Commentary 45 of Chapter IV on 'Human Rights' emphasises that enterprises can have an impact on virtually the entire spectrum of internationally recognised human rights and that in practice, some human rights may be at greater risk of adverse impacts than others in particular industries or contexts and therefore will be the focus of heightened attention. Enterprises should pay special attention to any particular adverse impacts on individuals who may be at heightened risk due to marginalisation, vulnerability or other circumstances, individually or as members of certain groups or populations. Chapter V on "Employment and Industrial Relations" highlights the principle of equality of opportunity and treatment in employment and non-discrimination, including on the basis of sex. Commentary 59 of Chapter V explains further the expectations related to promoting equal opportunities for all with special emphasis on equal criteria for selection, remuneration, training, and promotion, and equal application of those criteria, and prevent discrimination or dismissals on the grounds of marriage, pregnancy or of those workers with family responsibilities.

The OECD Due Diligence Guidance for Responsible Business Conduct provides practical guidance for companies on how to identify and address adverse impacts. The OECD Due Diligence Guidance for Responsible Supply Chains in the Garment and Footwear Sector explains how companies along these value chains can identify and address gender-specific risks, such as sexual harassment and discrimination.

Source: OECD (2023^[67]) Guidelines for Multinational Enterprises on Responsible Business Conduct, <https://doi.org/10.1787/81f92357-en>; OECD (2018^[68]) Due Diligence Guidance for Responsible Business Conduct, <https://doi.org/10.1787/15f5f4b3-en>; OECD (2018^[69]) Due Diligence Guidance for Responsible Supply Chains in the Garment and Footwear Sector, <https://doi.org/10.1787/9789264290587-en>.

International investment and trade agreements

Viet Nam is a signatory to two international investment and trade agreements that include provisions encouraging the positive contribution of investors on sustainable development, including gender equality. Viet Nam is one of 11 signatories to the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) free trade agreement, which entered into force on 14 January 2019 for Viet Nam. The agreement includes a dedicated chapter on investment, as well as several specific references to gender equality with a bearing on investment. In Chapter 19 on labour, signatories are encouraged to co-operate in the promotion of gender equality and the elimination of discrimination in the workplace (Article 19.10). Another reference includes a stronger obligation for parties to adopt domestic regulations and practices towards the elimination of discrimination in employment, with reference to the obligations set out in the ILO Declaration (Article 19.3). Chapter 23 on development includes a detailed provision on gender equality, whereby parties “shall consider” collaborating in the implementation of programmes that aim to build women’s skills and improve their job quality.

The EU-Viet Nam Free Trade Agreement (EVFTA), which entered into force on 1 August 2020, also includes two provisions that seek to improve the contribution of investment on gender equality. Along with the EVFTA, the European Union and Viet Nam signed the Investment Protection Agreement, which will come into force once ratified by all EU Member States. Similar to the CPTPP, the EVFTA includes a provision that calls on parties to fulfil their obligations under the ILO Declaration, including on the elimination of discrimination in employment (Article 13.4), as well as gender-related aspects of the ILO Decent Work Agenda (Article 13.14). Apart from EVFTA and CPTPP, Viet Nam's stock of international investment and trade agreements from the last decade do not include any other gender-related provisions.

International investment agreements increasingly include provisions that seek to strengthen the contribution of FDI on sustainable development areas, including on gender equality. Provisions related to gender equality can reaffirm parties' existing commitments under the international human rights framework or compel signatories to implement programmes or policies that advance gender equality (OECD, 2022^[25]). The scope of the provisions on sustainable development can be narrow or broad, but they may also have varying degrees of enforceability (i.e. binding force), depending on how the provision drafted (OECD, 2024^[70]). Viet Nam's inventory of international investment and trade agreements include provisions related to gender equality that have little to no binding force, regardless of how strong or specific the language may seem. In this regard, Viet Nam should favour agreements that envisage, more clearly, the contribution of FDI in the advancement of gender equality and allow for some degree of enforceability. A recent analysis of international agreements offers insight into how to better integrate gender considerations in the negotiations of IIAs, and provides guidance on how to translate the provisions into domestic practice, including in the form of promoting policy coherence (e.g. national strategies) or implementing specific programmes (e.g. raising awareness activities) (OECD, 2024^[70]).

5.4.7. Strengthening women's skills is key for Viet Nam's economic restructuring

Viet Nam implements several programmes to reskill and upskill women delivered by a plethora of actors. Viet Nam has a network of vocational training establishments that spans a total of 1 901 institutes as of December 2021 (BIBB, GIZ, 2023^[71]). Targets under the NSGE envision women representing 40% of enrolment in the vocational education system by 2030. The Vietnamese government also collaborates with the VWU to implement several training programmes, including projects 9 and 939, which aim to support women-led businesses and co-operatives with capacity building activities and business development services. However, relatively few initiatives aim to advance women's uptake of basic digital skills. One example is a partnership with the private sector to provide free training courses on digital and soft skills, including exclusively for women (PhunuVietnam, 2020^[72]). Positively, the National Innovation Center advances women's participation in STEM through FDI-linked initiatives including training programmes, corporate partnerships, and workshops. Another initiative, the Empower Her Tech programme, implemented in partnership with UNDP, aims to nurture the digital skills of women entrepreneurs (UNDP, 2024^[73]). Training and skills programmes are crucial to enable women to acquire new skillsets, but more efforts are needed to meet growing industry demands, particularly in sectors of priority for FDI, such as digital and green industries.

Expanding targeted programmes can boost women's participation and career advancement prospects in key sectors, and strengthen their role in the digital and green transitions. As noted in this report, nearly 80% of women in the labour market are classified as low- or under-skilled (UN Viet Nam, 2023^[9]). Women's access to technical training still lags behind that of men, with less than a quarter of women receiving such training in 2022, compared to 29% of men (NSO, 2022^[20]). With fewer opportunities for skills upgrading, Vietnamese women are less likely than men to transition to green jobs, or reap the benefits of the digital transformation (ILO, 2024^[74]; UN Viet Nam, 2023^[9]). To that end, Viet Nam may consider developing tailored training programmes to address the skills disparities of women while meeting industry demands. Such programmes can be designed to nurture women's basic digital skills to allow them to seize new job opportunities in emerging sectors. As women are less likely to occupy mid- to senior-

management roles at foreign firms, tailored programmes can aim to advance soft and managerial skills for women to enable them to increase their representation in leadership roles. The investment community can play a key part in delivering skills development initiatives, or supporting existing initiatives by MNEs to train their workforce (OECD, 2022^[25]). Examples of investment bodies that are involved in skills development include Costa Rica's IPA, PROCOMER (Box 5.7).

Box 5.7. Costa Rica's skills development programmes for women

The Costa Rican Foreign Trade and Investment Promotion Agency (PROCOMER) has pioneered initiatives to strengthen women's participation in business and international trade. A flagship example is the IMPULSA programme, which operates under the slogan Business with Equality.

IMPULSA seeks to promote gender equality in business and expand opportunities for women-led companies in Costa Rica. The programme strengthens women's business capacities in strategic areas such as business management, strategic communication, innovation, sustainability, finance, project management and negotiation. In parallel, it aims to improve the readiness of participating firms for entry into international markets or for integration through productive linkages, while promoting gender equality within Costa Rica's export offer.

The programme is structured in three sequential phases. The first phase consists of awareness-raising and networking workshops. The second phase comprises six virtual modules focused on developing entrepreneurial and leadership skills. The third phase provides a 360-degree approach to business scaling, including support for access to finance and internationalisation.

Beyond the core training components, participants benefit from intensive business training and mentoring, receive an individualised roadmap for internationalisation or supply-chain integration, and gain access to networking opportunities with other women entrepreneurs.

In 2025, the programme reached 196 women entrepreneurs. Participants received a 90% scholarship from the National Training Institute, with beneficiaries covering the remaining 10% of programme costs.

Source: OECD based on Procomer (2025^[75]) IMPULSA programme, <https://procomer.com/programa-impulsa/>.

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Notes

¹ Comparator economies were selected based on a similarity index that considers various country characteristics, including GDP, FDI and trade as a percentage of GDP, sectoral contributions to GDP, and geographical factors.

² The OECD average wage gap is the difference between the median earnings of men and of women relative to the median earnings of men. Estimates of earnings used in the calculations refer to unadjusted gross earnings of full-time wage and salary workers.

6 Improving the contribution of FDI to green growth

Viet Nam has seen a rapid increase in renewable energy investment, driven largely by foreign direct investment (FDI). At the same time, FDI in pollution- and GHG-intensive sectors, including fossil fuels and manufacturing, remains significant, representing over 60% of total FDI. This chapter examines the policy mix needed to enhance the contribution of FDI to green growth in Viet Nam. It analyses trends in FDI in renewable energy and other green activities, alongside continued investment in pollution- and GHG-intensive sectors. It also examines the role of foreign firms in promoting green business practices, as well as Viet Nam's strategic and institutional frameworks for green investment. The chapter identifies key barriers to green FDI and assesses the effectiveness of current policies. It offers policy recommendations to strengthen green investment promotion, improve regulatory implementation, and develop green skills and infrastructure.

6.1. Summary and main policy recommendations

While FDI in renewable energy in Viet Nam has increased strongly and foreign firms perform better on green business practices, FDI in polluting sectors remains significant. Private investment driven by generous feed-in tariffs (FiTs) expanded solar and wind power from less than 1% of installed power-generation capacity in 2017 to 28% in 2023. FDI contributed to this expansion, with renewable-energy projects' share of total greenfield FDI doubling between 2014-2018 and 2019-2023, reaching 14.7%. This remains below the OECD average of 24.1% in 2019-2023 and below comparator countries. It also remains lower than greenfield FDI in fossil fuels, which rose to 23% of the total in 2019-2023, well above benchmarks. FDI in pollution- and GHG-intensive manufacturing also remains large, accounting for 33% of greenfield FDI and 60% of total FDI. On green business practices, such as energy monitoring, firms in Viet Nam perform poorly overall, partly because of low electricity prices. Foreign firms, however, significantly outperform domestic ones, suggesting scope for technology and knowledge spillovers, particularly through stronger linkages between foreign and domestic firms.

Viet Nam's ambitious green growth targets require substantial high-quality private investment. Viet Nam's 2022 Climate Change Strategy aims for net zero GHG emissions by 2050. These objectives have been recently reaffirmed and operationalised through legislative regulatory reforms, including amendments to the Law on Investment and the establishment of a domestic carbon market under Article 139 of the Environmental Protection Law, with a pilot phase through 2028 and full operation from 2029, and the adoption of new mechanisms and policies for energy development for the 2026-2030 period (VietnamPlus, 2025^[1]). For the 2025-2026 pilot phase, emission quotas have been approved for selected facilities in the power, steel and cement sectors under Decision No. 263/QĐ-TTg and Decision No. 699/QĐ-BNNMT. The revised National Power Development Plan for 2021-2030, with a vision to 2050, sets the share of renewable energy at 74-75% by 2050, pursuant to Decision No. 768/QĐ-TTg dated 15 April 2025. The Socio-Economic Development Plan (SEDS) and Green Growth Strategy set targets for waste and wastewater management, access to clean water and energy efficiency. Meeting these goals requires substantial financing: USD 135 billion for largely renewable power generation and grid updates by 2030 (31.4% of Viet Nam's GDP) and up to USD 658 billion by 2050 (1.5 times Viet Nam's GDP) according to PDP VIII. Mobilising these resources requires more and better-quality private investment, especially foreign capital, as foreign companies have greater experience in large-scale renewable energy projects plus better access to capital and modern technology.

Attracting more investment that supports green growth requires greater coherence in Viet Nam's strategic plans, clearer strategies for private investment mobilisation and better inter-institutional and public-private co-ordination. Strong government commitment to green growth, underpinned by a coherent strategic framework, is essential for attracting green and low-carbon investment. Viet Nam has many strategies and plans relating to green investment, but they are often misaligned and divided among different ministries and agencies, creating co-ordination challenges. The effectiveness of policy co-ordination remains uncertain, and public-private dialogue needs strengthening. While strategic documents cite private investment as an important source of funding for green growth objectives, they offer limited information on how to mobilise it.

Regulations and standards, which support a positive contribution of FDI to green growth, are not always well designed and enforced. Challenges in environmental impact assessments (EIAs) and public consultations limit their ability to prevent pollution and environmental degradation from private investment. Energy efficiency measures face barriers from firms' low awareness, difficult access to financing, and uneven policy implementation. Despite a well-developed legal framework for responsible business conduct (RBC) and foreign firms' strong performance, gaps remain in implementation and awareness. Standardised power purchase agreements (PPAs) for renewable energies expose investors to many risks, including curtailment, termination compensation and dispute settlement, creating uncertainty over returns.

Stronger green investment promotion and facilitation, skills and innovation policies could support investment for green growth. Viet Nam is still in the early stages of integrating climate and environmental objectives into investment promotion and facilitation. Investment facilitation has not yet been fully leveraged to support investment in activities that contribute to green growth, and Viet Nam lacks designated green priority sectors. Administrative procedures for permitting and licensing, including access to land, can still create delays for investors in some areas, including renewable-energy projects. Recent reforms have helped streamline procedures, reduce processing times and compliance costs, while strengthening monitoring and enforcement. Infrastructure gaps also deter green investors: grid constraints and limited power-system flexibility cause renewable-electricity curtailment, reducing project revenues and debt-servicing capacity. Green investors in sectors such as renewable energy and green agriculture face significant technical and soft skills shortages, including at the TVET and technician level (GIZ, 2025^[2]).

Incentives and prices do not always support green investment. Below cost-recovery-level electricity prices compromise the financial viability of the state-owned electricity company, limit funding for grid updates, and reduce the bankability of private renewable and energy-efficiency projects. Some profit-based corporate income tax (CIT) incentives may be less effective where they support investments that would have proceeded without additional public support, particularly for large multinational investors affected by the Global Minimum Tax. Some incentives for renewable energy projects may be better aligned with actual generation, system needs and grid capacity, rather than installed capacity alone. Frequent changes in FiTs for renewable energies create uncertainty for investors, while generous tariffs combined with regulatory gaps have enabled inefficiencies.

Main recommendations

- Enhance the strategic and institutional framework for green investment.
 - **Improve the coherence of the strategic framework for green investment and strategies for private investment.** This requires better aligning strategies and plans on green investment and ensuring effective co-ordination among public institutions responsible for their implementation. Develop clear strategies with concrete policy measures to mobilise private investment supporting green growth.
 - **Strengthen public-private dialogue in green sectors.** This requires consulting private sector stakeholders on new regulations and legislation.
- Strengthen green investment promotion and facilitation.
 - **Adopt a more systematic approach to green investment promotion.** This includes adopting a national investment promotion strategy where climate and environmental considerations are clearly addressed and embedded. Viet Nam should identify specific economic activities where it has the greatest potential to develop low-carbon activities or growth poles to target investment promotion.
 - **Simplify administrative procedures affecting investment projects, including those supporting green growth.** A “one-stop-shop” for renewable energy projects could help reduce the length and complexity of procedures and the number of public institutions involved in the renewable energy investment process. Viet Nam’s IPA could also help identify investors’ key administrative challenges and advocate for further simplification, while recognising recent reforms to streamline procedures, reduce processing times and compliance costs, and strengthen monitoring and enforcement.
- Strengthen the legal and regulatory framework for green investment.
 - **Improve the implementation of EIAs and public consultations.** This involves carrying out EIAs earlier on in the investment decision-making process, improving human and

technical resources for EIA reviews, ensuring the impartiality of EIA appraisal committees, enhancing the quality of public consultations, giving more weight to environmental concerns over economic benefits when approving investment projects and improving monitoring and auditing of EIA implementation post-appraisal.

- **Improve the implementation of energy efficiency policies and regulations.** This could be achieved through awareness raising, targeted financial support, access to financing at concessional terms and better human and technical resources for monitoring and implementation. Moreover, better aligning electricity prices with the cost of supply is crucial to render private investment in energy efficiency measures bankable.
- **Improve the risk allocation in PPAs for renewable energy investors to ensure project bankability.** This involves reducing the risk of curtailment, for example through long-term minimum electricity purchase obligations, improving access to international arbitration and providing protection against change of law, clarity on termination compensation and take-over rights for creditors.
- **Accelerate power market liberalisation and enhance competition in Viet Nam's power markets.** This involves creating a competitive retail electricity market and strengthening competition in the wholesale electricity market by expanding market participation to renewable energy independent power producers (IPPs) and by opening electricity purchases and retail selling to private retail companies. Reforms should prioritise effective unbundling, transparent market rules, and a strong, independent regulatory framework to promote competition and a level playing field among electricity market participants. Changes to EVN's ownership and governance arrangements, where pursued, should be carefully sequenced and embedded within broader power-sector reforms.
- Improve price signals and incentives for green investment.
 - **Align electricity tariffs with the cost of supply.** This could improve EVN's financial viability, grid investment, and spur renewables and energy-efficiency projects. Plans to introduce a new two-component tariff (capacity + consumption) are a step forward. Tariff reform should go hand in hand with targeted support for poor households and stronger social protection.
 - **Shift from profit-based and indirect tax incentives to expenditure-based tax incentives.** Such incentives lower the cost of specific inputs or expenses, attracting investors who might not otherwise invest.
 - **Improve the stability and predictability of renewable support policies and introduce competitive renewable auctions.** Avoid frequent policy changes without sufficient notice for investors.
- **Improve public infrastructure supporting green investment: upgrade and expand the electricity grid and enhance power system flexibility.** Electricity storage, flexible generation capacity, regional interconnections, demand-response-management and smart grid development could render Viet Nam's electricity system more flexible. Private investment could play an important role in upgrading and expanding grid infrastructure and in developing storage and flexible generation capacity if it is supported by an appropriate regulatory framework.
- **Support the development of green skills and green innovation.** This requires a dedicated green skills development strategy, more collaborations between higher education institutions in Viet Nam and foreign investors and more in-house training in private companies. An effective skills assessment and anticipation (SAA) system should track available and missing green skills in the labour market. Targeted start-up accelerators or innovation centres for green technologies, measures to strengthen MSMEs' absorptive capacities and links with MNEs, and

stronger enforcement of intellectual property protection would foster more green innovation. Given the continued importance of manufacturing FDI in pollution- and GHG-intensive sectors, these efforts should also strengthen green innovation capabilities among domestic suppliers and promote the diffusion of responsible business conduct practices through linkages with foreign firms.

- **Improve the implementation and awareness of the role businesses play in delivering an effective and progressive response to global, regional and local environmental challenges.** This involves implementing the recently adopted National Action Plan (NAP) for Law and Policy Improvement to Promote Responsible Business Practices and enforcing environmental disclosure mechanisms for public and private companies. The adoption of a green taxonomy would set clear standards to guide environmental disclosure and reporting. Other areas for improvement include raising fines and strengthening litigation for environmental offences, improving the legal and regulatory framework and incentives for green public procurement, and building awareness of and aligning with international eco-labelling standards.

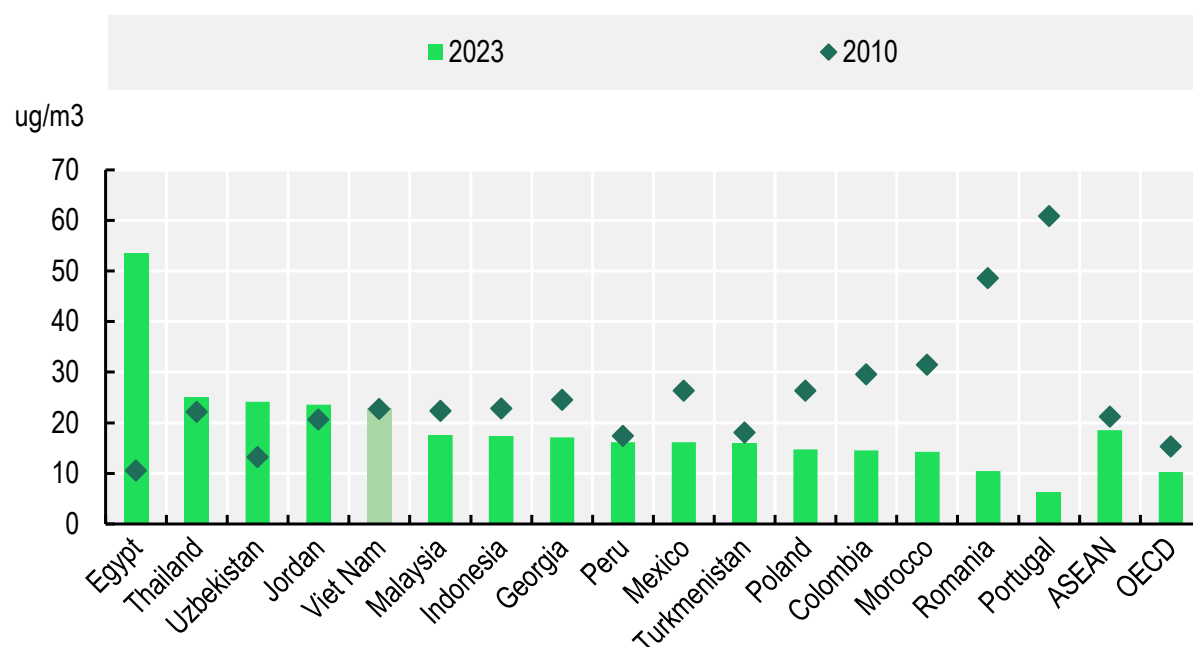
6.2. Key challenges and opportunities for green growth

6.2.1. Viet Nam faces significant pollution and other environmental challenges

Air pollution is high in big cities and industrial zones. Average levels of dust or fine particulate matter smaller than 2.5 microns (PM2.5) air pollution in Viet Nam have remained similar since 2010, and match ASEAN levels and those of Indonesia, Malaysia, and Jordan, but are more than double the OECD average (Figure 6.1). Air pollution is, however, significantly higher in big cities and industrial zones: although it has fell nearly 40% from 2015 to 2019, PM2.5 in Hanoi exceeds most comparators and is about 50% above the WHO's recommended limit of 35 ug/m³ (WHO, 2021^[3]). High use of private vehicles, especially motorcycles, and limited access to public transport drive up air pollution in big cities. In 2024, Viet Nam was had the world's fourth-largest number of motorcycles and the second highest rate of motorcycle ownership per inhabitant (World Population Review, 2024^[4]; World Bank, 2024^[5]). Coal-based electricity generation, fuel combustion by the rapidly expanding industrial sector, construction and burning of waste are further sources of air pollution (OECD, 2020^[6]).

Waste management, water pollution and land subsidence pose additional challenges despite recent improvements in environmental infrastructure. Approximately 96.6% of solid waste is collected in urban areas and 77.7% in rural areas (Nhan Dan, 2024^[7]). Treatment capacity remains limited, and landfill disposal continues to dominate, with persistent gaps in waste treatment and management. Untreated wastewater, especially from heavy industry, and poorly disposed solid waste cause significant water pollution and GHG emissions and pose health risks (OECD, 2020^[6]). Even though Viet Nam is a relatively water-rich country, the expansion of water-intensive agriculture and industry and rising pollution drive unsustainable use of groundwater. This has led to land subsidence in the highly fertile Mekong River Delta, crucial for Viet Nam's agriculture. If the Mekong River Delta continues to sink at the current rate, it could be submerged by 2200 - or earlier with sea-level rise from climate change (OECD, 2020^[6]). Ensuring compliance with environmental regulations among firms, including foreign-invested enterprises, remains important, particularly in relation to wastewater treatment, industrial emissions and environmental management in industrial zones. Firms in Viet Nam are increasingly required to conduct greenhouse gas inventories and implement emission reduction measures in line with the 2020 Law on Environmental Protection. However, available evidence does not allow for a comprehensive assessment of compliance levels among foreign-invested enterprises across sectors.

Figure 6.1. Air pollution in Viet Nam has remained broadly similar since 2010



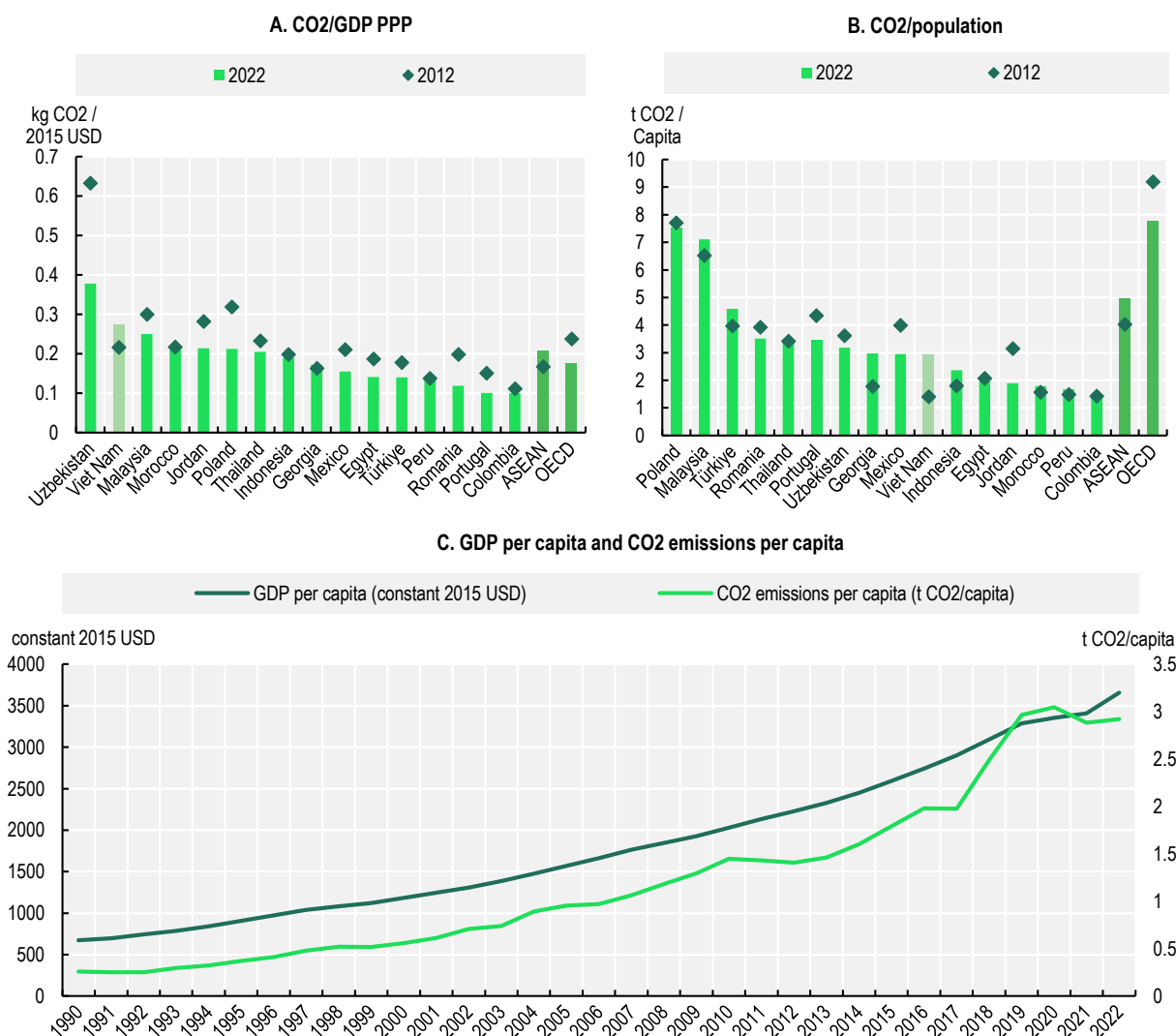
Note: The comparison uses 2010 and 2023 because they represent the first and latest available years in the PM2.5 data series.

Source: OECD based on WHO (2026^[8]), The Global Health Observatory, <https://www.who.int/>.

6.2.2. Viet Nam has not succeeded in decoupling CO₂ emissions from GDP growth

Unlike many comparators, Viet Nam has not yet decoupled carbon emissions from economic growth. Total CO₂ emissions more than doubled between 2012 and 2022 (IEA, 2024^[9]). CO₂ emissions per capita almost doubled, increasing faster than GDP per capita (Figure 6.2, Panels B and C). This raised CO₂ emissions per unit of GDP by more than 25% over the same period. CO₂ emissions per unit of GDP in Viet Nam are 35% above ASEAN and 50% above OECD levels (Figure 6.2, Panel A). This increase is driven by the rapid expansion of coal for electricity generation and the economy's high energy intensity linked fast industrial growth. Electricity generation accounts for the largest share of Viet Nam's CO₂ emissions (49% in 2022), followed by industry (31%) and transport (15%) (IEA, 2024^[9]). CO₂ emissions from electricity generation have almost quadrupled since 2012, when they accounted for just 34% of the country's total carbon emissions (IEA, 2024^[9]), while real GDP grew to nearly double over the same time period (World Bank, 2024^[5]).

Figure 6.2. Unlike many comparators, Viet Nam has not yet succeeded in decoupling its CO₂ emissions from output

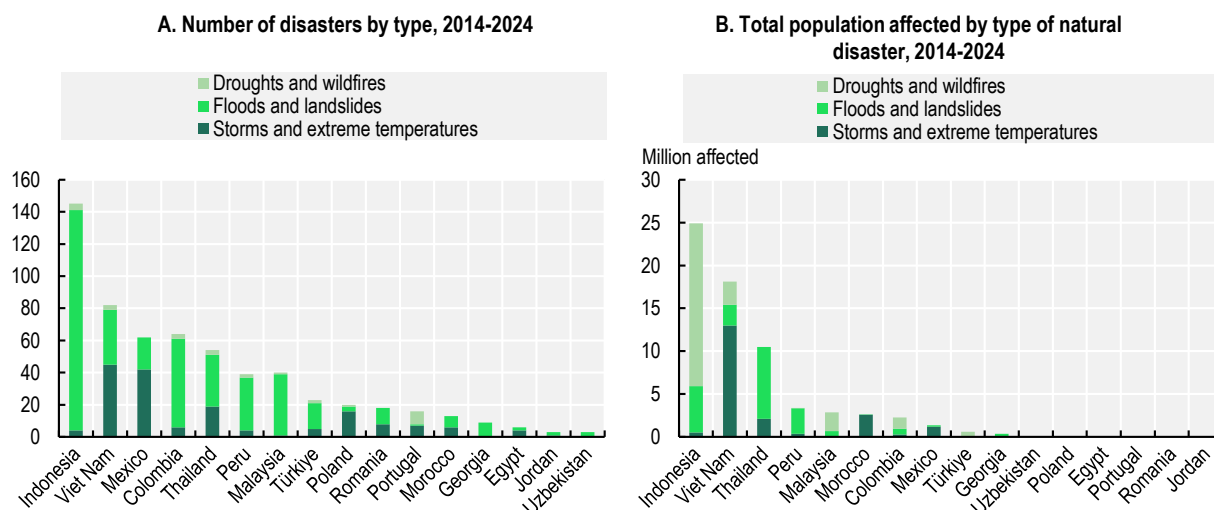


Source: OECD based on IEA (2024^[9]), The IEA Energy Data Centre, <https://www.iea.org/>; and World Bank (2024^[10]), World Bank Development Indicators, <https://databank.worldbank.org/>.

6.2.3. Viet Nam is vulnerable to climate change due to exposure to natural disasters

Viet Nam is strongly exposed to water-related extreme weather events, especially floods and storms. The country ranked 8th among 191 countries for natural disaster vulnerability on the European Union's INFORM Risk Index 2025 and scored 9.6-9.9/10 for vulnerability to coastal and river flooding (European Commission, 2024^[11]). Viet Nam has experienced the second-largest number of natural disasters – especially floods and storms – and the second-largest number of people affected by natural disasters among comparators, following only Indonesia (Figure 6.3). Currently, flooding affects about 930 000 people (around 1% of the population) annually and causes damage of USD 2.3-2.6 billion (0.5-0.6% of GDP) each year. Viet Nam's two large river deltas – the Mekong and Red River Deltas – and nearby urban areas, including Hanoi and Ho Chi Minh City, are most exposed to flooding (World Bank/ADB, 2021^[12]). Viet Nam's high vulnerability to extreme weather events reflects not only its geographic location and topography but also the concentration of a large share of its population, settlements and economic assets – including irrigated agriculture – in disaster-prone coastal lowlands (OECD, 2020^[6]).

Figure 6.3. Viet Nam is more exposed to natural disasters than most comparators, especially floods and storms



Source: OECD based on CRED (2026^[13]), EM-DAT: The International Disaster Database, <https://www.emdat.be/>.

Climate change will affect Viet Nam through more frequent and severe flooding and storms as well as rising sea levels. The country ranked 117th among 187 countries on the University of Notre Dame's ND-GAIN Index, which ranks countries by climate-change vulnerability (University of Notre Dame, 2024^[14]). It is estimated that the already high share of Viet Nam's population vulnerable to flooding from a 1-in-25-year event could rise from 33% to between 38% and 46% by 2100 due to climate change. Climate change will also impact Viet Nam through an increased frequency and intensity of tropical cyclones: without adaptation, a 1-in-100-year storm could cause losses equal to 9% of GDP by 2100. Viet Nam is also among the world's most vulnerable countries to sea-level rise. Without adaptation, permanent inundation of the country's low-lying river deltas could affect an estimated 6 to 13 million people and reduce GDP by 2.4% (World Bank/ADB, 2021^[12]).

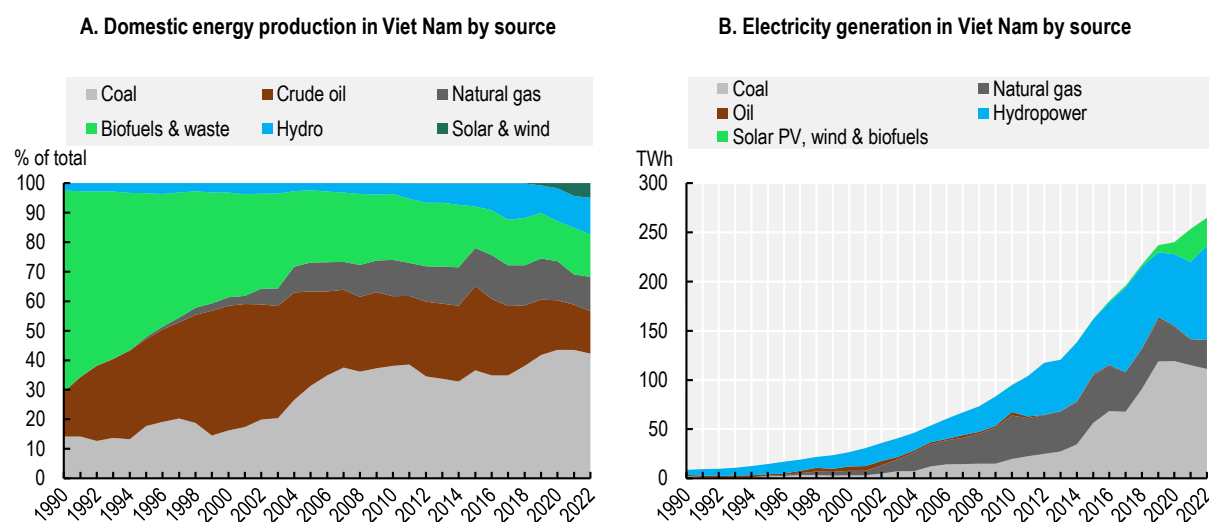
Climate change is also predicted to reduce agricultural yields and increase variability in hydrogeneration. Changes in rainfall patterns, salt intrusion and shifts in viable crops could all reduce agricultural yields. Estimates for rice range from a 5-10% reduction to a 50% reduction by 2040 (World Bank/ADB, 2021^[12]). Water scarcity in the dry season could be exacerbated by climate change and by limited storage capacity, water pollution, and the unsustainable exploitation of groundwater (OECD, 2020^[6]). Water scarcity could then cut hydropower output, threatening energy security.

6.2.4. While private investment has driven a rapid expansion in solar and wind power, coal-based power generation has increased strongly as well

A rapid increase in electricity demand in Viet Nam over the last decades has been met predominantly by fossil fuels, especially coal. Electricity consumption increased by an average of 9.2% between 2012 and 2022, driven by growing industrial and residential demand (IEA, 2024^[9]) linked to economic growth, rising incomes, population growth, and private investment-driven industrialisation (OECD, 2021^[15]). It is expected to continue increasing by 10-12% annually until 2030 (ITA, 2024^[16]). To meet this rising demand, coal-based electricity generation more than tripled between 2012 and 2022 and rose by a factor of 20 since 2002 (Figure 6.4, Panel B). Coal accounted for 42% of both energy production and electricity generation in Viet Nam in 2022 compared to only 21% of electricity generation and 35% of energy production in 2012 (Figure 6.4, Panels A and B). The country has the world's 13th largest coal reserves, with mining activities accounting for 7.3% of GDP in 2017. However, Viet Nam has been a net

coal importer since 2015 (OECD, 2020^[6]) and imports approximately two-thirds of its coal consumption (2022) (IEA, 2024^[9]).

Figure 6.4. While electricity from renewables other than hydropower shot up between 2018 and 2021, coal-based power generation increased fivefold over the last decade to 43% of total



Source: OECD based on IEA (2024^[9]), The IEA Energy Data Centre, <https://www.iea.org/>.

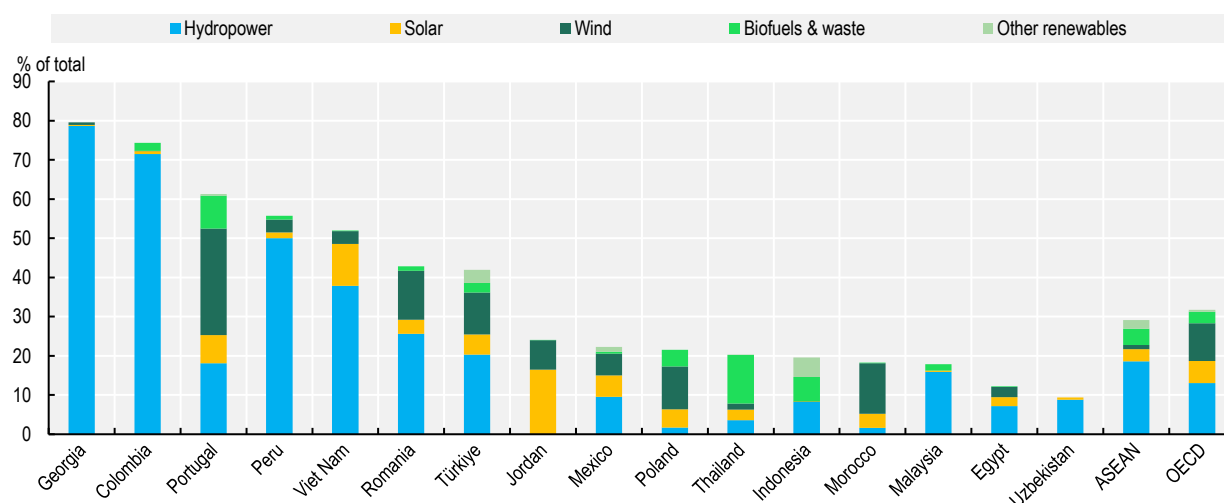
Viet Nam has a strong potential for solar and wind power. Viet Nam's technical offshore wind potential is one of the best in Asia and is estimated to be two to six times the country's total installed power-generation capacity in 2023. The bulk of this offshore potential aligns with major urban and industrial centres in southern Viet Nam. The country's total solar potential is estimated at five to 12 times its 2023 installed power-generation capacity, and the onshore wind potential at more than twice that capacity (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; VBF/The Asia Foundation/GEAPP, Forthcoming^[18]; IRENA, 2024^[19]).

The share of renewables in Viet Nam's electricity mix is higher than in most comparators. Renewables account for 52% of electricity generation in Viet Nam compared to about 30% on average in ASEAN and the OECD (Figure 6.5). The bulk of electricity renewable generation come from hydropower (73%), followed by solar (21%), and wind (6%). Viet Nam has the second-largest share of solar power in electricity generation among comparators, only behind Jordan.

Private investment supported by generous feed-in-tariffs (FiTs) has driven a rapid expansion of solar and wind power since 2017. Electricity generation from solar and wind took off in 2018, increasing from near zero to 10.7% and 3.3% of electricity generation, respectively, in 2022 (IEA, 2024^[9]; IRENA, 2024^[19]). Installed solar PV capacity increased from just 0.02% of total power-generation capacity 2017 to 23% in 2020, and installed wind capacity from just 0.5% in 2017 to close to 4% in 2021. In 2023, solar and wind made up nearly 28% of installed power-generation capacity (IRENA, 2024^[19]). This increase was driven by private investment incentivised by generous feed-in-tariffs (FiTs) (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). Since the phase-out of FiTs in 2021, however, solar power capacity additions have stalled and wind capacity has grown much more slowly (IRENA, 2024^[19]).

Figure 6.5. Viet Nam generates more than 50% of electricity from renewables, mainly from hydropower – a larger share than most comparators

Electricity generation from renewables by source (% of total electricity generation), 2022



Source: OECD based on IRENA (2024^[19]), IRENASTAT, <https://www.irena.org>.

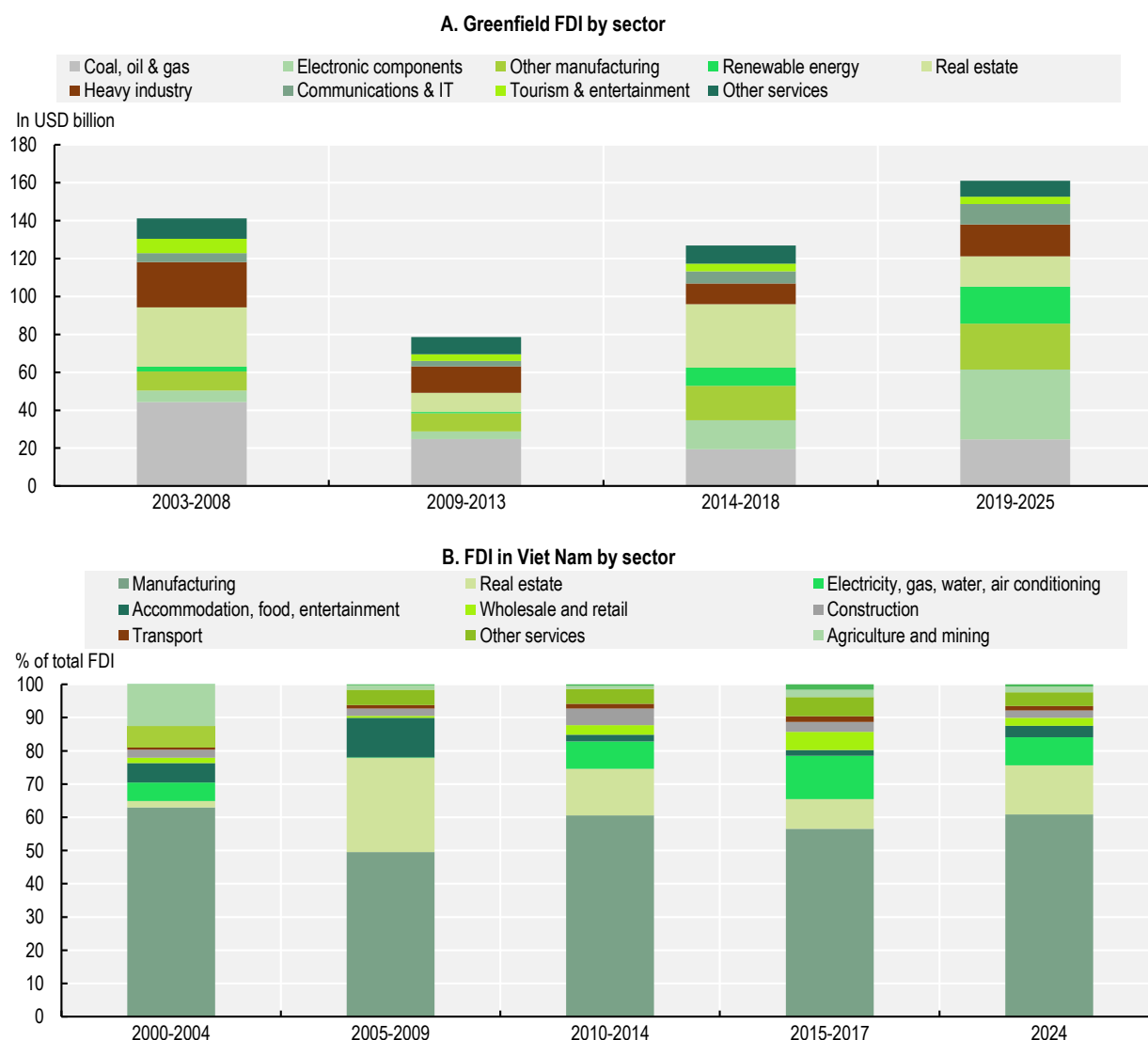
Power outages and electricity shortages are an important challenge for investors in strategic sectors such as semiconductors. Due to low water levels in hydropower dams and coal shortages, Viet Nam experienced power outages in 2023, a problem that climate change could worsen. High international energy prices in 2022 reduced Viet Nam's coal output, causing shortages and greater reliance on hydropower. This overreliance combined with drought and adverse weather lowered water levels in hydropower dams during the dry season. Together with fast growth in electricity demand, these developments caused power shortages and outages. Power outages occurred predominantly in Northern Viet Nam as electricity from solar and wind plants – concentrated mainly in the South – could not offset shortages in the North. The grid infrastructure connecting Northern and Southern Viet Nam is not yet sufficiently developed to transport solar and wind power from the South, where most capacity is located, to the North, where electricity demand is growing rapidly. More frequent droughts and water shortages due to climate change could further worsen power outages in the future (ITA, 2024^[16]; Ketelsen et al., 2023^[20]; Giang, 2023^[21]). Power outages and electricity shortages remain a major constraint for investors, particularly in energy-intensive sectors such as semi-conductors.

6.3. Contribution of FDI to green growth

6.3.1. FDI in carbon-intensive sectors is significant in Viet Nam

Whereas FDI in Viet Nam's heavy industrial sector has strongly decreased over the last two decades, FDI in manufacturing and fossil fuels, two notable contributors to GHG emissions, remains significant. Greenfield FDI in energy-intensive heavy industries – most importantly, metals, but also paper and chemicals – has fallen by 30% over the last two decades (Figure 6.6, Panel A). However, between 2019 and 2025, more than 45% of greenfield FDI was directed toward electronic components and other manufacturing sectors, which accounted for 12% of the country's total greenhouse gas emissions and 17% of its carbon emissions in 2016 (MONRE, 2020^[22]). National FDI statistics show a similar pattern: more than 60% of FDI went to manufacturing in 2024, and this share has remained high since the early 2000s (Figure 6.6, Panel B). Furthermore, while greenfield investment in coal, oil and gas declined from 2003-08, it rose again in the last decade and still made up around 25% of total greenfield FDI in 2019-2025. Fossil-fuel based energy production for electricity generation, transport and industrial uses accounted for 65% of GHG emissions and more than 80% of CO₂ emissions in 2016 (MONRE, 2020^[22]).

Figure 6.6. FDI in renewables has increased and FDI in heavy industry decreased, but FDI in fossil fuels and manufacturing remains considerable



Note: Sectors are based on fDi Markets sector classifications and grouped by the OECD using a correspondence table. Coal, oil & gas covers fossil-fuel energy activities; Electronic components includes electronic components, semiconductors and consumer electronics; Heavy industry includes metals, minerals, chemicals, building materials, industrial equipment, engines and turbines, automotive, aerospace and non-automotive transport manufacturing; Communications & IT includes communications and software and IT services; Tourism & entertainment includes hotels, tourism, leisure and entertainment. Other manufacturing and Other services group the remaining manufacturing and service activities not captured elsewhere. Panel B data for 2024 covers only the first ten months of the year (January-October). No data was available for the period 2018-2023.

Source: OECD based on Financial Times (2024^[23]), fDi Markets Database, <https://www.fdimarkets.com/> (Panel A); and data received from FIA (Panel B).

6.3.2. Renewables FDI doubled in the last decade but is still lower than FDI in fossil fuels

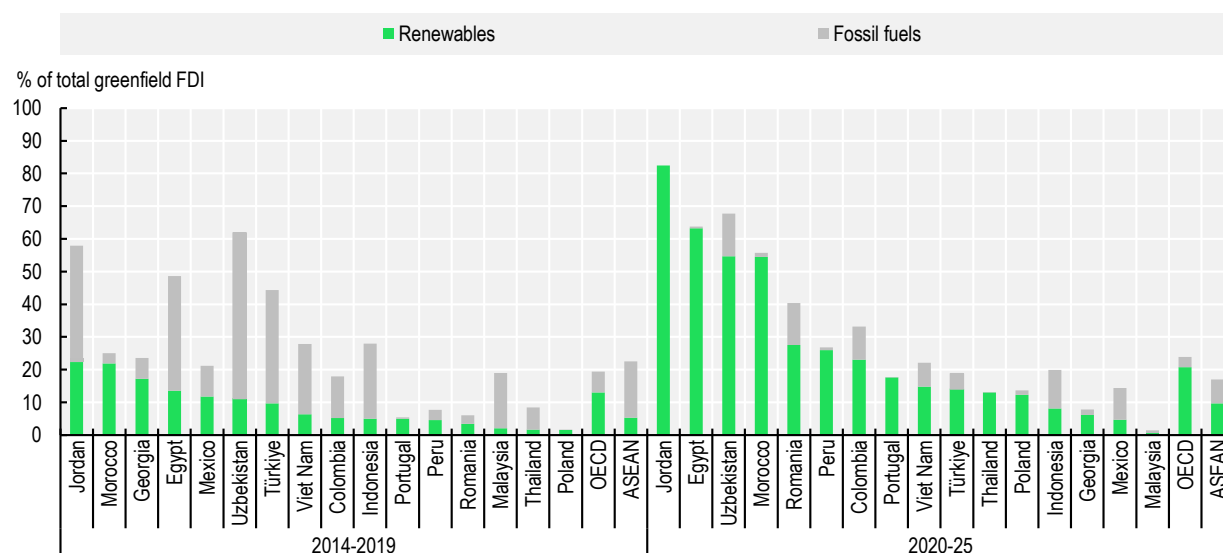
While the share of greenfield FDI targeting renewable energies has doubled in Viet Nam over the last decade, it remains lower than in most comparators. Between 2020 and 2025, 14.8% of greenfield FDI in Viet Nam targeted renewables. This compares to 9.7% on average in ASEAN but 20.8% in the OECD, and is significantly less than top performers like Jordan, Egypt or Uzbekistan, where more than 50% of greenfield FDI target renewables (Figure 6.7). Greenfield FDI in renewables in Viet Nam is directed

mainly to wind power (84% of total greenfield FDI in renewables between 2020 and 2025) and solar (10.7%) (Financial Times, 2024^[23]). In 2024, a Chinese investor announced plans to invest in one of the first green hydrogen projects in the country (Yep, 2024^[24]). More than 70% of renewable-energy greenfield FDI between 2019 and 2025 came from the United States, driven by a USD 13 billion announcement in an offshore wind park by an American company. Western European countries, especially Germany, and South-East and East Asian countries, especially Thailand and South Korea, accounted for the remainder of investment in renewables. Between 2019 and 2025, 96% of greenfield FDI in renewable energies in Viet Nam went to electricity generation and only 2.5% to manufacturing (Financial Times, 2024^[23]).

Greenfield FDI in fossil fuels continues to exceed greenfield FDI in renewables in Viet Nam. Viet Nam's share of FDI in coal, oil and gas in total greenfield FDI is above average compared to comparators, though it has significantly decreased between 2014-2019 and 2020-2025, representing 21.5% and 7.3%, respectively. Greenfield FDI in fossil fuels in Viet Nam is largely directed towards oil and gas exploration, fossil fuel-based electricity generation and natural gas infrastructure (Financial Times, 2024^[23]) driven by government targets to expand these sectors in the National Energy Development Strategy and Power Development Plan (Prime Minister, 2023^[25]; Prime Minister, 2016^[26]; Prime Minister, 2024^[27]).

Figure 6.7. Although FDI in renewables in Viet Nam has more than doubled over the last decade, FDI in fossil fuels remains sizable

Greenfield FDI in renewables and fossil fuels (% of total greenfield FDI)



Source: OECD based on Financial Times (2024^[23]), fDi Markets Database, <https://www.fdimarkets.com/>.

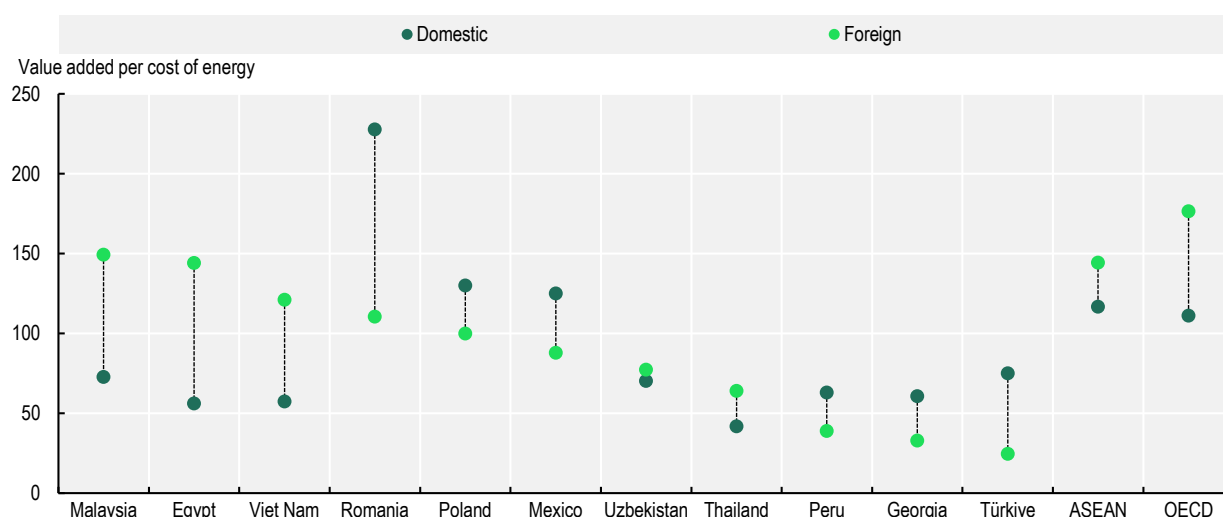
6.3.3. Foreign firms significantly outperform Vietnamese firms in clean business practices

If foreign firms outperform Vietnamese firms in green business practices, there is scope for green technology and knowledge spillovers. Multinational firms often bring advanced technologies and processes, excelling in climate-friendly business practices. Technology and knowledge spillovers can reach domestic firms through local suppliers and buyers, from improved regulatory compliance to innovations in energy use and industrial processes. Such spillovers are more likely to occur in manufacturing and services, which offer more local linkages than energy, building, and transport. Local partnerships, strategic alliances, joint ventures, worker mobility, and spin-offs from foreign MNEs also

transmit green practices. However, spillovers can also be negative if, for example, foreign investors are attracted by weaker environmental regulation (the so-called “pollution haven hypothesis”) (OECD, 2022^[28]).

Significant potential for technology and knowledge spillovers from foreign to domestic firms is reported in Viet Nam’s renewable energy sector. Domestic firms still lack access to the advanced technical solutions and specialised staff as well experience in large renewable project management required for the implementation of large renewable energy projects, especially offshore wind and solar power. They also lack access to capital to finance investments and R&D costs and independent research capacity. Foreign investors bring capital, modern technologies and advanced management models to Viet Nam, which can help improve domestic technology and human resources, raise production standards and domestic firms’ competitiveness and build supply chains through technology and knowledge spillovers (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]).

Figure 6.8. Foreign firms in Viet Nam are twice as energy efficient as domestic firms

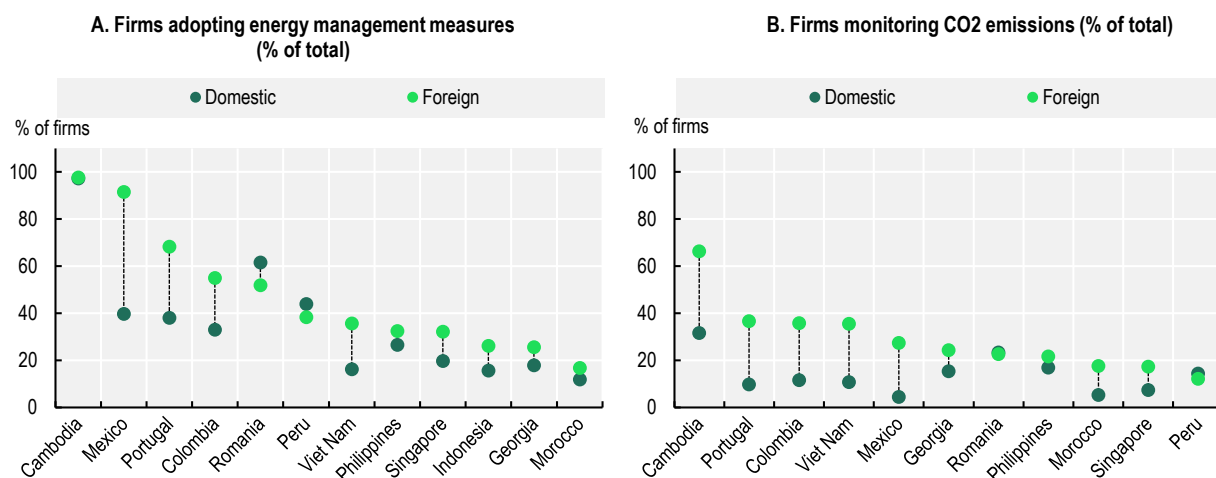


Source: OECD based on World Bank (2026^[29]), World Bank Enterprise Survey, <https://www.enterprisesurveys.org/>.

Foreign firms significantly outperform domestic firms in energy efficiency, management, and emissions monitoring, indicating scope for technology and knowledge spillovers. Foreign firms in Viet Nam are about twice as energy-efficient as domestic firms, although they remain 16% less efficient than foreign firms in ASEAN and 32% less than those in the OECD (Figure 6.8). They are also more than twice as likely as domestic firms to adopt energy management measures (Figure 6.9, Panel A). Their performance in energy management is, however, mixed in international comparison, reflecting the very low uptake of such measures among domestic firms in Viet Nam. Foreign firms are more than three times as likely as Vietnamese firms to monitor their CO₂ emissions, and their monitoring rates match or exceed those observed in comparator countries (Figure 6.9, Panel B). These differences suggest potential spillovers from foreign to domestic firms, although their realisation depends on enabling conditions such as price signals, skills availability, and supportive policy frameworks. Weak incentives for energy efficiency – notably low energy tariffs – may currently limit firms’ performance in energy efficiency and emission monitoring. Looking ahead, planned reforms to the intellectual property framework could further support technology transfer and licencing for low-carbon innovations, provided they are effectively implemented. Strengthening operational linkages between foreign-invested enterprises and domestic firms can further facilitate the diffusion of energy-efficient technologies and practices, subject to appropriate policy and market conditions.

This performance gap between foreign and domestic firms has policy implications. Strengthening technology and knowledge spillovers from foreign-invested firms can help domestic companies meet rising carbon-reporting and efficiency standards. Such upgrading is urgent as the European Union's Carbon Border Adjustment Mechanism (CBAM) will increasingly require Vietnamese exporters in energy-intensive sectors to demonstrate robust emissions monitoring and compliance.

Figure 6.9. Foreign firms in Viet Nam are twice as likely to adopt energy management measures as domestic firms and three times as likely to monitor CO₂ emissions



Source: OECD based on World Bank (2026^[29]), World Bank Enterprise Survey, <https://www.enterprisesurveys.org/>.

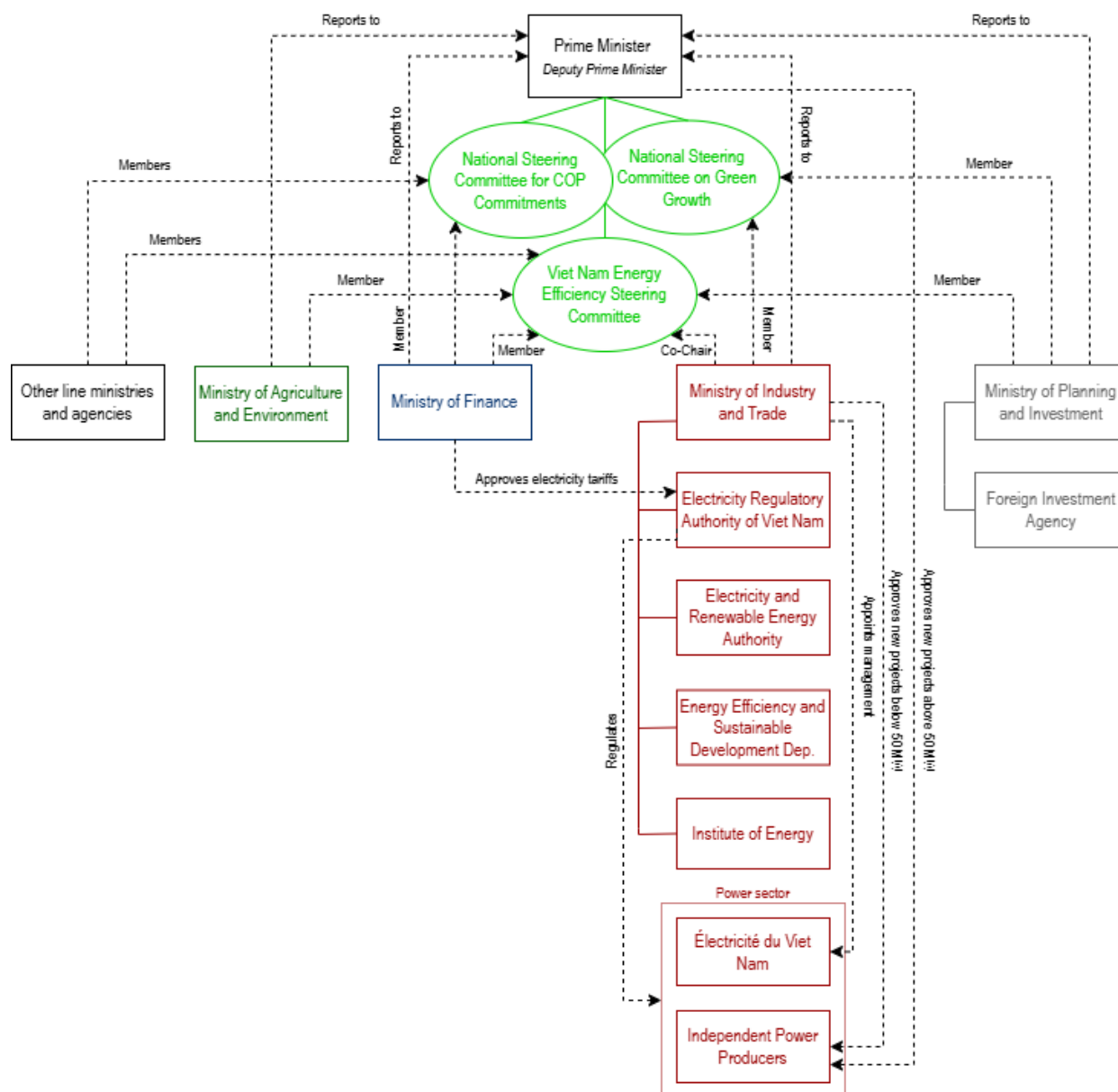
6.4. Policy framework for green FDI

6.4.1. Institutional framework for green FDI

Several channels for co-ordination between institutions responsible for investment policy and implementation and those overseeing green growth exist, but their effectiveness is unclear. Such mechanisms help align investment and green-growth policies and maximise FDI's contribution (OECD, 2022^[28]). Co-ordination mechanisms include the National Steering Committee on Green Growth, the newly established National Steering Committee for COP Commitments (which replaced the former National Committee for Climate Change), and the Viet Nam Energy Efficiency Programme (VNEEP) Steering committee. These committees include high-level representatives from the key investment and trade institutions – mainly MOF and MOIT – and from green-growth, climate and clean-energy bodies, especially MAE (formerly MONRE and MARD) and MOIT. The MOF also sits on all three committees for financing co-ordination. However, little is known about how often these committees meet or how effective they are at aligning policies. Overlaps also exist between their responsibilities and policy areas – notably between the National Steering Committee on Green Growth and the National Steering Committee for COP Commitments, which have similar membership. Private investors report that inter-institutional policy co-ordination and coherence remain challenging in Viet Nam.

Figure 6.10. Viet Nam's institutional setting for investment, climate and green-growth policies remains complex (updated to reflect institutional reform of February 2025)

Green investment institutions in Viet Nam



Note: Compared to the pre-reform structure, the Ministry of Agriculture and Environment (MAE) now lead on climate and green growth, and the former National Committee for Climate Change has been replaced by the National Steering Committee for COP Commitments.

Source: OECD elaboration.

The following public institutions are most involved in policies at the intersection of investment and green growth in Viet Nam:

- **Ministry of Industry and Trade (MOIT):** The MOIT has the overall responsibility for energy sector strategy, regulation and policymaking. It also leads the implementation and planning of energy sector mitigation activities to meet Viet Nam's NDC targets. Renewable energy projects between 30 and 50 MW are approved and granted generation licenses by MOIT, projects under 30MW are approved by the MOIT's regional offices and projects over 50 MW by the Prime Minister (OECD, 2021^[15]).
- **Electricity and Renewable Energy Authority (EREA):** EREA is attached to and funded by the MOIT. It is the main regulator for renewable energies and designs and regulates renewable energy support mechanisms, including FiTs (OECD, 2021^[15]; EREA, 2022^[30]).
- **Energy Efficiency and Sustainable Development Department (EESD):** EESD is attached to and funded by the MOIT and designs energy efficiency and conservation policies (OECD, 2021^[15]).
- **Electricity Regulatory Authority of Viet Nam (ERAV):** ERAV is attached to the MOIT and regulates Viet Nam's power sector. It monitors and enforces power-market rules and arbitrates PPA disputes. It sets retail electricity tariffs but must obtain MoF for large increases. ERAV lacks full independence being tied to the MOIT for budget and resources (OECD, 2021^[15]; ERAV, 2024^[31]). To reduce investor uncertainty and ensure fair, objective, politically independent decisions, ERAV's technical capacity, independence, and oversight role should be strengthened – especially as competitive power markets develop.
- **Institute of Energy:** The institute conducts research for power market planning and renewable energy development and comprises four laboratories (Institute of Energy, 2022^[32]; OECD, 2021^[15]).
- **Ministry of Finance (MOF):** The MOF formulates the state budget and Viet Nam's fiscal policy, including tax incentives, and oversees financial markets (MOF, 2024^[33]; OECD, 2021^[15]). The MOF's role in supporting climate action and green growth is limited because it does not lead these policy areas or their strategies. The Ministry also prepares and co-ordinates Viet Nam's development and Green Growth Strategies, manages investment policy and legislation, co-ordinates ODA and climate finance, and oversees public-private partnerships (PPPs), investment and company registration, and investment promotion (Government of Viet Nam, 2022^[34]; OECD, 2021^[15]). The MOF's role in implementing both the Green Growth Strategy and Viet Nam's investment strategy positions it to align the two strategies' objectives.
- **Foreign Investment Agency (FIA):** The FIA is Viet Nam's investment promotion agency and attached to MoF. It is responsible for developing and implementing Viet Nam's investment policy, monitoring inward and outward investment projects and registering investment projects (FIA, 2020^[35]; OECD, 2021^[15]).
- **Ministry of Agriculture and Environment (MAE):** MAE (formerly MONRE and MARD) leads the preparation and implementation of Viet Nam's Climate Change Strategy and NDC. It also oversees land use, water, minerals, environment, and marine/island protection. MAE is leading the green taxonomy and carbon-market agenda (MONRE, 2024^[36]; OECD, 2021^[15]). MAE leads the development of a green taxonomy and carbon markets.
- **Ministry of Construction (MOC):** MOC is responsible for energy efficiency policies in the building and construction sector, including building standards. It is also in charge of urban and rural construction planning and investment, housing and urban development and infrastructure (MOC, 2013^[37]; OECD, 2021^[15]).
- **National Steering Committee on Green Growth:** The committee is chaired by the Deputy Prime Minister and members include representatives of ministries and government agencies.¹ The

Committee is in charge of assisting the Government in co-ordinating the implementation of the National Green Growth Strategy for 2021-2030 with a vision to 2050, handling issues and proposing orientations and measures relevant to green growth (Socialist Republic of Viet Nam, 2022^[38]; MOIT, 2022^[39]; MIC, 2022^[40]).

- **National Steering Committee for COP Commitment:** An inter-ministerial committee chaired by the Prime Minister, responsible for co-ordinating delivery of Viet Nam's COP commitments and climate policy.
- **Viet Nam Energy Efficiency Programme (VNEEP) steering committee:** The committee is tasked with co-ordinating, supervising and monitoring the implementation of Viet Nam's energy efficiency programmes (VNEEPs) and reporting to the Prime Minister on the results of the implementation of these programmes. The committee is chaired by the Deputy Prime Minister. Its deputy chairs are the Minister of Industry and Trade and the Vice Minister of Industry and Trade. Members include line ministries and government agencies.² The committee can mobilise the support of domestic and foreign experts to provide inputs for the design of clean energy policies and regulations (VNEEP, 2021^[41]; OECD, 2021^[15]).
- **Viet Nam Electricity (EVN):** EVN is Viet Nam's state-owned electricity company. It has been partially unbundled into twelve generation companies (GENCOS), the National Power Transmission Corporation (EVN NPTC), five EVN regional Power Corporations for distribution and retail and the EVN Electric Power Trading Company (EPTC). These companies remain EVN subsidiaries, so EVN still effectively monopolises operation, transmission, distribution, and retail. EVN appoints the management of its subsidiaries and sets service and output targets for its Power Corporations. The government directs EVN's investments and appoints its board and senior management, retaining strong control (OECD, 2021^[15]; EVN, 2024^[42]). All IPPs - except off-grid solar PV rooftop projects and rooftop projects of less than 1MW – must sign grid-connection agreements and PPAs with EVN (Freshfields Bruckhaus Dehringer, 2020^[43]).
 - **National Load Dispatch Centre:** In 2024, the National Load Dispatch Centre was separated from EVN and became the National Power System and Market Operation Company (NSMO) under the Commission for the Management of State Capital at Enterprises (CMSC) (Prime Minister of Viet Nam, 2024^[44]; Thao, 2024^[45]).
- **Provincial People's Committees (PPC):** PPCs implement national strategies, regulations and laws at the provincial level with the support of regional offices of key ministries. They are strongly dependent on central planning. They develop provincial renewable energy development and energy efficiency action plans subject to central government approval, approve renewable energy projects below 3MW, grant land use rights to renewable energy projects and issue other regulatory permits (OECD, 2021^[15]).

While several fora for public-private dialogue on green growth and clean energy exist in Viet Nam, they could be further strengthened (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). The existing fora for dialogue are private sector led initiatives, including the Viet Nam Business Forum's Power and Energy Working Group, created in 2011 to enable policy dialogue with government on power and energy (VBF, 2024^[46]). The EuroCham Green Growth Sector Committee, set up in 2014, works to remove barriers and promote green business through dialogue with government and other stakeholders (EuroCham, 2024^[47]). Government co-ordination and consultation with the private sector – for example, in designing new direct power purchase agreement (DPPAs) – have improved, but consultations in other areas, such as the JETP, need strengthening. The JETP aims to mobilise half its funding (USD 7.75 billion) from private sources, yet local private sector involvement in its design has reportedly been limited.

Several high-level international initiatives aim to support green growth and investment in Viet Nam. This includes the JETP and the Asian Zero Emission Community (AZEC). The JETP was launched in 2022 by the International Donors Group.³ Viet Nam and this group issued a joint declaration to mobilise USD

15.5 billion for the clean-energy transition over the next three to five years – half public, half private – supported by the “Glasgow Financial Alliance for Net Zero” (GFANZ) of major private financiers (European Commission, 2022^[48]; Wischermann, 2024^[49]). AZEC, launched in Japan at the 2022 World Economic Forum, builds Asian partnerships to cut GHG emissions and advance the clean-energy transition, providing Viet Nam with financial and technical support. The Asia Zero Emission Community (AZEC), proposed by Japan in 2022 and formally launched in 2023, is a regional initiative led by the Government of Japan to promote decarbonisation, energy transition and sustainable investment co-operation across Asia, with a particular focus on renewable energy, hydrogen, energy efficiency and clean technologies (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; Ministry of Education, Trade and Industry (METI), 2025^[50]; IEA, 2025^[51])

Viet Nam’s JETP could contribute to raise the financial resources required for the country’s clean energy transition but is underfunded and lacks engagement with the private sector. At the UN Climate Conference 2023 in Dubai (COP28), Viet Nam launched a Resource Mobilisation Plan for the JETP with priority investment areas, transmission, energy storage, offshore wind, energy efficiency, solar PV, and Coal-plant transition. It pledges USD 8.1 billion of funding, but only USD 321 million in grants, USD 2.7 billion in loans on preferential terms and USD 4.8 billion in loans at market conditions (European Commission, 2023^[52]; Socialist Republic of Viet Nam, 2023^[53]; Wischermann, 2024^[49]). Overall, JETP pledges cover only 11.5% of Viet Nam’s energy-sector financing needs to 2030 and 3.0-4.2% to 2050. Limited private-sector involvement in its design may hinder mobilising enough private capital. Criticism also targets its weak focus on the “just” transition aspect (International Rivers, 2024^[54]).

6.4.2. Strategic framework for green FDI

Strong government commitment to green growth, underpinned by a coherent strategic framework, is the basis for attracting green and low-carbon investment. A coherent strategic framework and clear decarbonisation targets signal the government’s green growth and climate ambition to investors. Setting a clear, long-term transition trajectory tied to national growth and development goals is critical for investors to gauge transition risks. The European Green Deal provides an example of such commit and a clear framework for green, low-carbon development. It aims to make Europe the first climate-neutral continent by 2050, safeguard biodiversity, promote circular economy, cut pollution, boost industry competitiveness, and ensure a just transition for regions and workers (OECD, 2022^[28]).

Viet Nam has many strategies and plans on green investment. These include the Socio-Economic Development Plan (SEDS) 2021-2025, which sets overall social and economic targets and includes environmental protection and climate-adaptation goals (National Assembly, 2021^[55]). Viet Nam’s National Green Growth Strategy 2021-2030 with a vision to 2050, serves as the national framework document for green growth (Prime Minister, 2021^[56]). In 2022, the strategy was complemented by a National Action Plan on Green Growth 2021-2030 (Prime Minister, 2022^[57]) and in 2023 by statistical indicators to track its implementation and impact (Dezan Shira & Associates, 2023^[58]). Viet Nam’s National Strategy on Climate Change to 2050 sets the climate-adaptation policy framework and a net-zero 2050 target (Prime Minister, 2022^[59]). The National Power Development Plan (PDP) VIII 2021-2030, vision 2050, is the power-sector strategy, covering 10 years, revised every five, renewed every ten (OECD, 2021^[15]; Prime Minister, 2023^[25]). In 2024, Viet Nam adopted a detailed implementation roadmap for PDP VIII with power generation and grid infrastructure project pipelines (Prime Minister of Viet Nam, 2024^[60]). Viet Nam’s National Energy Development Strategy 2030, vision 2045, sets the overall energy framework (Prime Minister, 2024^[27]). Other sectoral green investment strategies include the Renewable Energy Development Strategy 2016-2030, vision 2050 (Prime Minister, 2015^[61]); the Hydrogen Energy Development Strategy 2030, vision 2050 (Prime Minister of Viet Nam, 2024^[62]); and the Industrial Development Strategy 2025, vision 2035 (Prime Minister of Viet Nam, 2014^[63]).

Table 6.1. Viet Nam has a large number of strategies and plans relating to green investment

Strategic documents for green investment

Strategic document	Year adopted	Main green investment targets and objectives	Institution responsible for implementation
Socio-Economic Development Plan (SEDS) 2021-2025	2021	- Not compromising the environment to achieve economic growth - Attracting investment projects “that do not cause environmental pollution” - Includes clear targets on access to clean water, waste collection and treatment, forest coverage and the sanctioning of environmental pollution caused by private companies - Improving environmental impact assessments (EIAs) - Attracting investment in energy infrastructure and encouraging the development of smart grids, renewable energy and strong participation of the non-state economic sector	Government, Supreme People's Court, Supreme People's Procuracy, State Audit
National Green Growth Strategy 2021-2030, with a vision to 2050	2022	- Promoting green growth to achieve economic prosperity, environmental sustainability and social equality - Building a green and carbon-neutral economy and reducing global warming - Fostering green growth has an orientation through investment in advanced technology, digital transformation, and smart and sustainable infrastructure facilities - Enhancing private investment's role in the green economy GHG emissions: 15% reduction in GHG emissions per unit of GDP by 2030 compared to 2014 and a 30% reduction by 2050 Energy efficiency: Reduction in the average primary energy consumption per unit of GDP by 1-1.5% annually during 2021-2030 and 1% annually during 2031-50 Renewable energies: 15-20% of renewable energies in total primary energy supply by 2030 and 25-30% by 2050 Green public procurement: 35% of green public procurement in total public procurement by 2030 and 50% by 2050. - Specific targets for forest coverage, advanced water-saving irrigation methods, municipal waste collection and treatment and wastewater treatment, sewerage and clean public transport	National Steering Committee for COP commitments
Updated Nationally Determined Contribution	2022	GHG emissions reduction by 15.8% by 2030 unconditionally and by 43.5% conditionally on international support compared to a business as usual (BAU) scenario based on a 2014 GHG inventory	
National Strategy on Climate Change until 2050	2022	- Provides a strategic and policy framework for climate adaptation and mitigation. - Aims at developing policies to attract private investment in climate change adaptation and mitigation and in particular at simplifying and streamlining investment procedures in these areas. GHG emissions: 43.5% reduction in GHG emissions by 2030 compared to BAU (corresponding to the conditional emission reduction target set out in the updated NDC). Net zero GHG emission by 2050. - Includes climate adaptation objectives and policies in the areas of water, agriculture, forests, resilience to natural disasters and infrastructure. - Concrete targets for forest coverage, disaster-resilient public infrastructure and housing and access to clean water. - Objectives for the development of an institutional and policy framework for climate change adaptation and mitigation, awareness raising, human resource development, research and technology, the mobilisation of financial resources and international co-operation.	MONRE
National Power Development Plan (PDP) VIII 2021-2030 with a vision to 2050	2023	- Ensuring power security and satisfying growing power demand resulting from industrialisation and higher living standards. - A fair energy transition and a power system based predominantly on renewable and new energies. Renewable energies: 30.9% - 39.2% of renewable energies in electricity generation by 2030 and 47% conditional on international support through the JETP. 74% - 75% of renewables in electricity generation by 2050. Rooftop solar systems on 50% office buildings and 50% of residential buildings by 2030 Coal: Decrease in the share of coal in Viet Nam's electricity generation mix is from the current 42% to 20% by 2030 but increase in the absolute amount of coal generation capacity from the current 27 944 MW (2023) to 30 127 MW by 2030.	MOIT

Strategic document	Year adopted	Main green investment targets and objectives	Institution responsible for implementation
		○ Finalisation only of coal power plants already under construction ○ Transformation of coal power plants, which have been operated for 20 years or longer into biomass and ammonia plants ○ Phase out of coal power plants, which have been operating for more than 40 years ○ Either transformation in biomass and ammonia power plants or phase out of all coal power plants by 2050. • Natural gas: Increase in electricity generation from natural from the current 11% of total to 24.8% of electricity generation capacity by 2030, based on both, liquefied natural gas (LNG) imports and domestic production. • Installed capacity for electricity generation: increase by 82% by 2030 and by 492-592% by 2050	
Renewable Energy Development Strategy 2016-2030 with a vision until 2050	2015	• Provides targets for renewable energy development and policy orientations to achieve those targets • Renewable energies in primary energy consumption: 31% of renewable energies in total primary energy consumption in 2020, 32.3% in 2030 and 44% in 2050 up from 22% in 2015 • Renewable energies in electricity generation: 38% of renewables in electricity generation by 2020, 32% by 2030 and 43% by 2050 up from 35% in 2015 • Includes targets for individual renewable technologies with a particular focus on biomass, on-shore wind and solar power • Provides information on policy support for renewables, including tax incentives, a net metering scheme and feed-in-tariffs for utility-scale independent power producers • Grants CIT, import tax and land-use fees incentives to renewable energy developers.	MOIT
National Energy Development Strategy 2030 with a vision to 2045	2024	• Viet Nam's strategic framework for the energy sector • Ensuring energy security and meeting Viet Nam's climate ambitions • Renewable energies: 15-20% of renewable energies in total primary energy supply by 2030 and 65-70% by 2045 ○ Promotion of renewable energies in a manner, which ensures power system safety and at reasonable prices and whilst simultaneously developing transmission infrastructure at the same pace to meet load demand across localities ○ Promotion of direct power purchase agreements between producers and consumers ○ Implementation of auctions for renewable energy projects • GHG emissions: Reduction of GHG in the energy sector by 15 - 35% by 2030 and 70 - 80% by 2045 • Energy efficiency: 7-10% increase in energy savings as share of total energy consumption by 2030 and 14-20% by 2045 • Smart grid development • Establishment of competitive energy markets • Restructuring and improving the management of state-owned energy companies • Prioritises private investment, including FDI, especially in electricity generation but also in transmission infrastructure • Fossil fuels: ○ Intensification of coal exploration and extraction and maintenance of current production ○ Petroleum exploration and extraction in shallow and deep waters ○ Exploration of shale gas and methane hydrate ○ Gradual reduction in coal-fired power while scaling up less-polluting natural gas, supported by the development and improvement of natural gas transport infrastructure, including LNG terminals	MOIT
Hydrogen Energy Development Strategy 2030 with a vision to 2050	2024	• Development of a renewable-energy based hydrogen ecosystem in Viet Nam, including production, storage, transport, distribution, domestic use and export to contribute to energy security and climate goals • Production of 100 000 – 500 000 tonnes of hydrogen annually by 2030 and 10 – 20 million tonnes annually by 2050 based on renewable energies and fossil fuels in combination with carbon capture • Hydrogen use in industry, electricity generation and transport .	MOIT

Strategic document	Year adopted	Main green investment targets and objectives	Institution responsible for implementation
Industrial Development Strategy 2025 with a vision to 2035	2014	- Development of industry on the basis of green growth, sustainable development and environmental protection - Includes objectives for enforcing environmental protection regulation and awareness rising on environmental protection and specific targets for reducing the energy intensity of GDP. - Renewable energies are amongst the strategy's priority sectors - Allows for a 4.5-5% annual increase in GHG emissions	MOIT

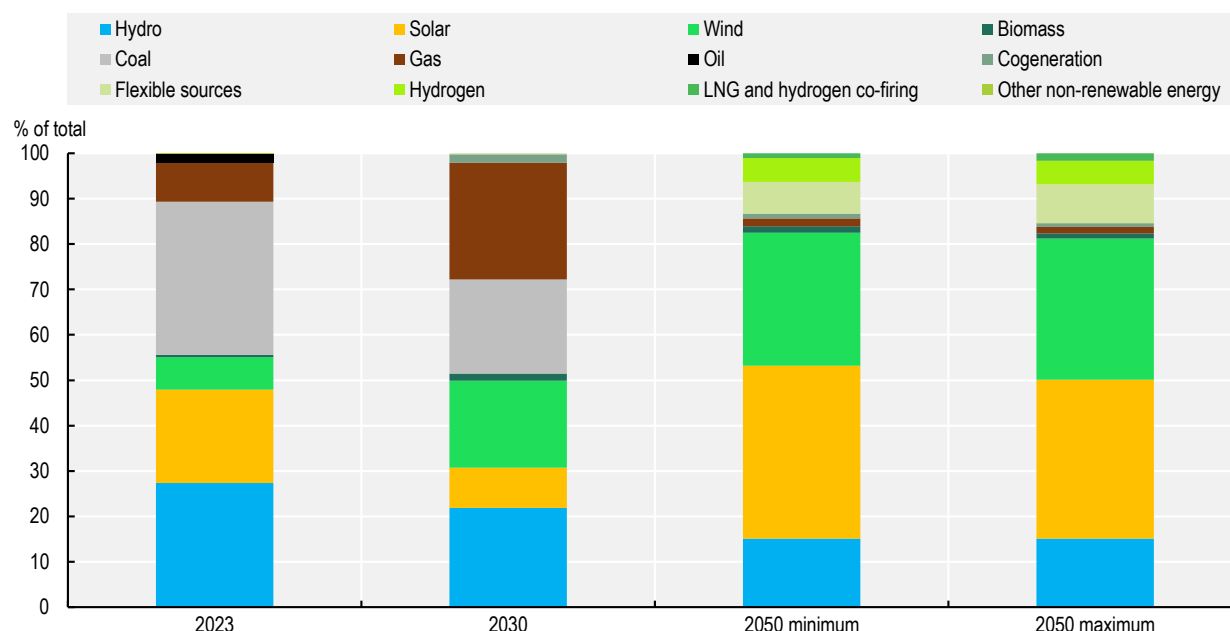
Source: OECD based on National Assembly (2021^[55]); Prime Minister (2021^[56]); Socialist Republic of Viet Nam (2022^[64]); Prime Minister (2022^[59]); Prime Minister (2023^[25]); Prime Minister (2016^[26]); Prime Minister (2021^[56]); Prime Minister (2023^[25]); Prime Minister (2016^[26]); Prime Minister (2023^[25]); Prime Minister of Viet Nam (2024^[60]); EuroCham (2024^[65]); Prime Minister (2023^[25]); Prime Minister (2015^[61]); Prime Minister (2024^[27]); Prime Minister (2024^[62]); and Prime Minister of Viet Nam (2014^[63]).

Viet Nam significantly strengthened its emission reduction ambitions in its 2022 updated Nationally Determined Contribution and Climate Change Strategy but largely conditional on international support. Viet Nam's 2022 updated NDC targets a 15.8% unconditional and a 43.5% conditional reduction in GHG emissions by 2030, compared with a business as usual (BAU) scenario based on the 2014 inventory. This compares to 9% unconditional and 27% conditional targets in the 2020 NDC. The conditional targets depend on international support via bilateral, multilateral, and Paris Agreement mechanisms. The energy sector accounts for 44.3% of reductions under the 2022 unconditional target and 56% under the conditional target (Socialist Republic of Viet Nam, 2022^[64]). The 2030 target in National Strategy on Climate Change until 2050 corresponds to the conditional NDC target. The strategy also sets a net-zero 2050 goal (Prime Minister, 2022^[59]).

In its PDP VIII and National Energy Development Strategy, Viet Nam significantly scaled up its ambitions in terms of renewable energies and scaled down previous plans to expand electricity generation from coal. The PDP VIII seeks to ensure power security and a clean-energy transition by expanding renewables, natural gas and coal to 2030, and renewables and hydrogen to 2050 (Figure 6.11). The PDP VIII's target for renewables in electricity generation is three times higher than PDP VII's target and five times higher with international support (Prime Minister, 2023^[25]) (Prime Minister, 2016^[26]). The coal share in Viet Nam's power mix is targeted to fall from 42% to 20% by 2030 and to zero by 2050 (Prime Minister, 2023^[25]) whereas the revised PDP VII had aimed for 53.2% (Prime Minister, 2016^[26]). The National Energy Development Strategy promotes renewables while ensuring system safety and reasonable prices, and synchronised transmission development to meet demand across regions. To support renewables, it targets smart grids for balancing, competitive energy markets, better SOE management, direct power purchase agreements (DPPAs), and auctions for renewable projects (Prime Minister, 2024^[27]). Viet Nam is now revising PDP VIII upwards to meet fast-growing demand as investment in new coal- and gas-fired plants has lagged behind plans.

Figure 6.11. The PDP VIII aims at expanding electricity generation from gas until 2030 and renewables combined with hydrogen until 2050

Electricity generation by source (% of total), 2023 and 2030 and 2050 targets in the PDP VIII



Notes: Data are based on IRENA, while the targets are derived from Viet Nam's 2023, 2030 and 2050 objectives set out in the Power Development Plan VIII (PDP VIII).

Source: OECD based on IRENA (2024^[19]), IRENASTAT, <https://www.irena.org>; and Prime Minister (2021^[56]).

The PDP VIII and National Energy Development Strategy still envision, however, significant fossil fuel development. The PDP VIII's new target for coal-based electricity generation still means absolute coal capacity will rise (Prime Minister, 2023^[25]). To compensate for reduced coal generation, it plans to more than double natural gas's share from 11% to 24.8% of total capacity by 2030 (Prime Minister, 2023^[25]). In line with the PDP VIII, the Energy Development Strategy aims to replace coal with natural gas, backed by expanded gas-transport infrastructure such as LNG terminals (Prime Minister, 2024^[27]). Although natural gas pollutes less than coal, it still causes significant GHG emissions. The strategy also seeks to intensify exploration and extraction of coal, petroleum, shale gas, and methane hydrate, while maintaining current output (Prime Minister, 2024^[27]).

The PDP VIII's target to double installed capacity for electricity generation by 2030 will require significant investment. The PDP VIII targets a capacity for electricity generation of 150 489 MW by 2030 and 490 529 – 573 129 MW by 2050 up from an installed capacity of 82 804 MW in 2023. Meeting these targets will require significant investment equivalent to an estimated USD 534-658 billion in total until 2050 for new and retrofitted generation capacity and grid infrastructure, of which USD 135 billion until 2030 and USD 399-523 billion between 2031 and 2050 (Prime Minister, 2023^[25]).

Viet Nam's strategies and plans provide limited guidance on how to mobilise private investment for green growth. Most cite private capital but give little detail on attracting it. Some, such as the Green Growth Strategy and the PDP VII, mention public-private partnerships (PPPs) (Prime Minister, 2023^[25]; Prime Minister, 2021^[56]). The PDP VIII stresses creating a transparent, attractive enabling environment and easing credit for electricity investment (Prime Minister, 2023^[25]). The Green Growth Strategy promotes financial incentives and the development of green capital, credit and insurance markets, carbon markets and an emissions trading system (Prime Minister, 2021^[56]). The Climate Change Strategy calls for simpler

procedures and joint public-private financing for adaptation mitigation (Prime Minister, 2022^[59]). The Hydrogen Development Strategy encourages green and climate credit and green bonds (Prime Minister of Viet Nam, 2024^[62]). In addition, MAE has drafted a national green taxonomy to guide sustainable lending, aiming to standardise green credit and enable concessional rates about two percentage points below market levels.

While Viet Nam has significantly strengthened its climate and energy framework in recent years, further alignment across strategies and implementation instruments would enhance coherence and investor certainty. Targets for GHG emission reductions, renewable energies and energy efficiency improvements differ between the different strategic documents. Furthermore, they do not always rely on the same target indicators (e.g. total GHG emissions vs. GHG emissions per capita; % of renewables in electricity generation vs. in installed capacity vs. in total energy supply). Some strategic documents predate recent reforms and would benefit from updating to reflect the strengthened ambition under the revised NDC and PDP VIII. An example of this is Renewable Energy Development Strategy 2016-2030 and the Industrial Development Strategy 2025. While Viet Nam recently strengthened its GHG emission reduction ambitions in its updated NDC and Climate Change Strategy, the Industrial Development Strategy allows for a 4.5-5% annual increase in GHG emissions (Prime Minister of Viet Nam, 2014^[63]). The Renewable Energy Development Strategy's targets are less ambitious than those set in PDP VIII, which was adopted in 2023, and were already exceeded in 2021 (Prime Minister, 2015^[61]; IRENA, 2024^[19]).

The implementation of strategies and plans relating to green investment falls under the responsibility of different ministries and agencies, creating potential co-ordination challenges. While the MOIT is responsible for the implementation of strategic documents relating to the energy sector including the PDP VIII, the Energy Development Strategy 2030, the Renewable Energy Development Strategy 2016-2030, the Hydrogen Energy Development Strategy 2030 and the Industrial Development Strategy 2025, MAE co-ordinates the Implementation of the Climate Change Strategy 2030 and MoF the implementation of the Green Growth Strategy. This creates potential challenges for co-ordinating the implementation of these different strategic documents. As these different strategic documents share many common objectives, co-ordination in strategy implementation is crucial.

While renewable energies feature prominently in Viet Nam's strategic documents for green investment, energy efficiency could be better prioritised. Most strategies and plans prioritise the renewable energy sector and include targets and policies for renewable energy development. Some strategic documents such as the Green Growth Strategy and the Energy Development Strategy include targets for energy efficiency but details on specific policies and implementation remain scarce. While the PDP VIII aims at improving energy efficiency in general, information on specific policies and measures remains rather vague and energy efficiency does not feature amongst the plan's priorities (Prime Minister, 2021^[56]).

To support the implementation of the PDP VIII targets for gradual coal phase out, it would be important to develop a detailed roadmap for the coal transition. Such a roadmap should also link this transition to the development of carbon markets and ensure energy security. The fact that many of Viet Nam's coal power plants have been constructed very recently and are still very young could pose a challenge to meeting coal phase out targets (EuroCham Viet Nam, 2024^[65]).

6.4.3. Legal and regulatory framework for green FDI

A fair, transparent, clear and predictable regulatory framework for investment is a critical determinant of investment decisions and their contribution to decarbonisation. Transparency and predictability matter even more when considering returns on investments with long time horizons, to ensure planning certainty and clear expectations on investment and climate policies and actions. Strong government commitments are necessary to catalyse low-carbon green investment. With clear, long-term and ambitious signals and emission goals, nationally and internationally, investors and markets will have

a better view on where to invest. While these signals are important for all business, they are crucial for giving the confidence to multinational investors with the requisite capacity and skills to invest in risky new technologies that are highly capital- and R&D-intensive (OECD, 2022^[28]). They are also particularly important for renewable energy investors given the capital-intensity and long delays for projects to become profitable and pay off. International guidance also stresses that a predictable, pro-investment regulatory setting is a precondition for clean-tech FDI (OECD; UNCTAD; Forthcoming^[66])

Legal framework for green investment

Viet Nam's legal framework for green investment consists in a set of laws related to investment and to green growth and the clean energy transition. This includes most importantly the 2023 Law on Investment and the 2024 Electricity Law (National Assembly, 2023^[67]) and the 2024 Electricity Law (National Assembly, 2024^[68]). Viet Nam has further strengthened its environmental policy framework under the 2020 Law on Environmental Protection, including measures to promote a circular economy, extended producer responsibility, green credit mechanisms and improved waste and plastic management. Other laws related to green investment include the Energy Efficiency Law (National Assembly of Viet Nam, 2022^[69]; National Assembly, 2010^[70]).

Viet Nam's 2023 Law on Investment contains several environmental provisions. Investment projects exerting great or potentially serious effects on the environment, including nuclear power plants and projects requiring repurposing of large areas of forest land, require approval from the National Assembly (article 30). Investment projects requiring preliminary environmental impact assessments (PEIAs) in line with the Law on Environmental Protection, have to include the PEIA in their application for approval for investment guidelines and PEIAs have to be taken into account in the appraisal process (article 33). If the request for investment guideline approval is validated, the validation must include solutions for environmental protection (article 33). The Law on Investment also states that investors shall comply with the Law on Environment (article 42). It interdicts the extension of the duration of investment projects using obsolete and environment threatening technologies (article 44) and allows for the suspension of investment projects in response to violations of the Law on Environmental Protection (article 47) (National Assembly, 2023^[67]). Encouraging foreign-invested enterprises to adopt best available techniques (BAT) and best environmental practices (BEP) can further strengthen environmental compliance and support the transition to low-emission production.

In November 2024, Viet Nam approved a new Electricity Law, which reforms electricity pricing, provides the basis for the creation of competitive energy markets and promotes investment in renewables, natural gas and nuclear power. It provides a legal framework for renewable energies, including directions on structuring tariffs in PPAs and special regulations and incentives for offshore wind development. It also provides specific regulations for LNG power development, including LNG imports and PPAs. It provides a high-level development policy for nuclear power, in particular small-scale nuclear reactors, which are acknowledged as a low-carbon energy source and incorporates nuclear power into national power development planning. The law also introduces overarching rules on bidding for energy projects, which could facilitate the move to renewable auctions. It includes new electricity trading mechanisms such as contracts, futures and options, which could facilitate the move towards fully competitive electricity markets. The law opens the way for reforming electricity tariffs to move towards a more competitive pricing system and ending cross-subsidies across consumer groups and regions to create a more equitable pricing structure. It also provides a broad framework for direct power purchase agreements (DPPAs) (National Assembly, 2024^[68]; Hanh, 2024^[71]; Ohya et al., 2024^[72]).

Environmental Impact Assessments and Strategic Environmental Assessments

EIA and strategic environmental assessment (SEA) systems are fundamental to ensure that international investments contribute to climate and environmental goals. EIAs and SEAs are

structured analytical and participatory approaches for developing and evaluating assessments of how the environment will be affected by certain activities and advise on how best to manage their environmental implications. While SEAs assess strategic and policy actions such as new or amended laws, policies, programmes and plans, EIAs are used to examine proposed investment projects such as highways, power stations, water resource projects and large-scale industrial facilities. EIAs support investors in minimising environmental risks associated with their investment projects. SEAs in turn ensure that the policies, regulations and standards that influence the attraction and environmental performance of investment are aligned with national climate and environmental objectives. Strengthening the implementation of EIA and SEA systems is essential for their effectiveness in greening FDI, reducing its carbon impacts and promoting responsible business conduct (OECD, 2022^[28]; OECD, 2023^[73]).

Investment projects, which are likely to have a significant adverse environmental impact, must undergo EIAs in Viet Nam. Viet Nam's 2020 Law on Environmental Protection provides the legal basis for EIAs in Viet Nam. Investment projects are classified into four groups according to their degree of risk for the environment and size. Group I projects are those with the highest level of risk and group IV projects those that do not pose a risk of adverse environmental impacts. Group I investment projects are subject to preliminary environmental impact assessments (PEIA) prepared by investors during the pre-feasibility phase. Group I investment projects and certain Group II investment projects (using environmentally sensitive land or marine areas, involving the environmentally sensitive extraction of minerals or water, repurposing environmentally sensitive land or requiring migration and relocation) are furthermore required to conduct EIAs. Urgent public investment projects are exempted from the EIA requirement. EIAs have to be prepared during the feasibility stage by the investor or a qualified consultancy firm. The 2020 Law on Environmental protection provides a list of detailed content requirements for EIA reports, including the results of public consultations (National Assembly, 2020^[74]).

EIAs are evaluated by MAE, PPCs and the Ministry of National Defence and Public Security in the case of projects in the field of defence and national security. MAE is responsible for the appraisal of Group I investment projects and Group II investment projects subject to approval by the National Assembly and Prime Minister, involving several provinces, located within territorial waters, or subject to issuance of mineral licenses, licenses to extract and use water resources, ocean dumping permits or marine area transfers. The Ministry of National Defense and Ministry of Public Security is responsible for the appraisal of EIAs of investment projects classified as state secrets in the field of national defense and security. PPCs are in charge of the appraisal of EIAs of all remaining Group II investment projects within their provinces. EIA appraisals are conducted of councils of at least seven members, of which at least one third are experts subject to specific criteria. Time limits for EIA appraisals are 45 days for Group I projects and 30 days for Group II projects (National Assembly, 2020^[74]). Between 2011 and 2019-2020, approximately 7 000 EIAs were appraised by competent authorities, of which approximately 200-250 annually by MONRE and the remainder by provinces (Pham, Bui and Puzirevsky, 2020^[75]).

Timely and well-planned public consultation processes can contribute to the effectiveness and success of EIAs and SEAs. They contribute to the successful design, implementation, operation and management of the proposed actions. Stakeholders, including foreign multinationals, provide a valuable source of information on key impacts, potential mitigation measures and the identification and selection of alternatives. Their consultation further ensures the EIA/SEA process is open, transparent, and robust, and also that individual EIAs/SEAs are founded on justifiable and defensible analyses (OECD, 2022^[28]). (OECD, 2023^[73])

Public consultations are a mandatory element of Viet Nam's EIA process. Investment project owners are responsible for holding public consultations either through a meeting to collect comments or in written form and to include the results in the EIA report that is submitted to the appraisal authority. Residential communities and individuals under direct impact of the investment project and agencies and organisation directly related to the investment project need to be included in these consultations. Consultation results have to be published online (National Assembly, 2020^[74]).

National and certain regional strategies and plans must undergo strategic environmental assessments (SEAs) in Viet Nam. This includes national strategies for the extraction and use of natural resources; national, regional, provincial and special administrative-economic unit development plans; national marine-spatial and land use plans; national and regional sectoral strategies and other types of national plans in areas with a significant impact on the environment. SEAs are carried out by the organisations responsible for preparing these different types of strategies and plans and are taken into account in the appraisal and approval process (National Assembly, 2020^[74]).

Challenges may remain in the implementation of EIAs in Viet Nam, despite the strengthened legal framework introduced under the 2020 Law on Environmental Protection. The law clarifies EIA appraisal responsibilities, sets time limits for appraisal, and requires public consultation during the preparation of EIA reports (National Assembly, 2020^[74]). Effective implementation nevertheless depends on the technical capacity of project owners, EIA consultants and appraisal authorities, particularly at the provincial level and for projects involving new technologies or complex environmental risks. Earlier studies highlighted capacity constraints among professionals carrying out EIAs and government staff reviewing them, as well as variation in the quality of EIA preparation across projects (Pham, Bui and Puzirevsky, 2020^[75]).

The timing and quality of EIAs remain important for their effectiveness. Under the 2020 Law on Environmental Protection, the approval of EIA appraisal results is one of the bases for competent authorities to undertake relevant investment approval steps (National Assembly, 2020^[74]). The legal framework does not allow projects subject to EIA requirements to begin construction before EIA approval. For special investment projects in industrial zones, the Law on Investment provides for exemptions from EIA requirements in specific cases, but such projects remain subject to environmental permits or environmental registration before construction where required. The key implementation challenge is therefore to make sure that environmental risks are assessed early enough to inform project design, location and mitigation measures. Earlier OECD work also highlighted the importance of carrying out EIAs early enough in the project cycle to influence key project decisions (OECD, 2018^[76]).

Public consultation and disclosure are legally required elements of the EIA process. The 2020 Law on Environmental Protection requires project owners to conduct public consultation during the preparation of EIA reports, and consultation results are used to complete the EIA report before submission to the competent appraisal authority. Consultation results must also be published online (National Assembly, 2020^[74]). The law further requires disclosure of approved EIA appraisal decisions and approved EIA reports within specified timeframes. Implementation challenges may nevertheless remain where affected communities have limited technical capacity, limited awareness of environmental rights and procedures, or limited ability to engage effectively with complex project documentation (OECD, 2018^[76]).

Post-appraisal monitoring and compliance remain important for translating EIA requirements into environmental outcomes. Once an EIA is approved, effective implementation depends on monitoring, inspection, reporting and enforcement by competent authorities, as well as compliance by project owners. Earlier studies pointed to challenges in post-appraisal monitoring, coordination between national and provincial authorities and the deterrent effect of penalties for non-compliance (Pham, Bui and Puzirevsky, 2020^[75]). Strengthening technical resources for monitoring, improving coordination between national and provincial authorities, and applying effective penalties for non-compliance can help make sure that mitigation measures identified in EIA reports are implemented in practice.

Energy efficiency and environmental standards and regulations

Adopting regulations and standards that reinforce climate and environmental goals can help create the right framework conditions for foreign investments in low-carbon technologies, services and infrastructure. Environmental performance standards, such as emissions standards, restrict the emissions or energy use of vehicles, power plants, buildings, appliances and industrial processes and

require the uptake of more efficient and less polluting technologies. For instance, fuel economy standards apply to the fuel efficiency of new road vehicles, and blending mandates apply to the use of biofuels in transport. Building standards apply to the thermal insulation of new buildings or to the retrofitting of old ones. Emissions standards of power plants regulate the carbon intensity of their electricity mix. Efficiency standards for consumer appliances remove certain products from the markets. Counter to the pollution haven hypothesis, there is little evidence that investors locational decisions are driven by differences in stringency of environmental standards and regulations. On the contrary, these standards can promote less polluting and more energy efficient investment projects (OECD, 2022^[28]).

Viet Nam has adopted a strategic, legal and regulatory framework for energy efficiency in different sectors and areas (Table 6.2). The Decree on Energy Efficiency and Conservation, adopted in 2003, and the Energy Efficiency Law, adopted in 2010, constitute Viet Nam's legal framework for energy efficiency (National Assembly, 2010^[70]; OECD, 2021^[15]). The Viet Nam Energy Efficiency Programme (VNEEP) is Viet Nam's national energy efficiency action plan and provides a strategic framework for energy efficiency and a co-ordination mechanism among different stakeholders (Prime Minister of Viet Nam, 2019^[77]; OECD, 2021^[15]). Key energy efficiency regulations and standards include mandatory energy audits for large energy users every three years, energy efficiency targets for energy-intensive industries (Government of Viet Nam, 2011^[78]), mandatory energy labelling for different types of equipment (MOIT, 2006^[79]) (Prime Minister of Viet Nam, 2011^[80]; Prime Minister of Viet Nam, 2017^[81]) and mandatory energy efficiency standards for buildings (OECD, 2021^[15]).

Challenges remain, however, in the implementation of energy efficiency standards and regulations. Energy audits and reporting are not always enforced and it remains uncertain whether energy efficiency targets for industries will be met. The implementation of energy audits for large energy consumers at the building level is a particular challenge as it is rendered complex by multiple owners and occupants (OECD, 2021^[15]). Likewise, available evidence indicates that the enforcement of energy efficiency standards in the building sector remains challenging and that awareness on the Energy Efficiency Building Code remains low (OECD, 2021^[15]; EuroCham Viet Nam, 2024^[65]).

Table 6.2. Strategic, legal and regulatory framework for energy efficiency in Viet Nam

Document or policy	Year adopted	Description	Type of document
Decree on Energy Efficiency and Conservation	2003	First formalisation of energy efficiency policies and objectives	Legal framework
Energy Efficiency Law	2010	Provides Viet Nam's legal framework for energy efficiency	Strategic framework
Viet Nam National Energy Efficiency Programme (VNEEP)	First VNEEP adopted in 2006, current third VNEEP 2019-2025 adopted in 2019	- Targets 5-7% savings of national energy consumption and power losses of less than 6.5% - Sets energy consumption reduction targets for specific industrial sectors - Key policies - Improvement of the regulatory framework for energy efficiency - Strengthening monitoring and enforcement - Building skills for energy efficiency through training and certifications - Includes energy efficiency and conservation activities across sectors	
Directive on promoting electricity conservation in 2023-2025 and subsequent years	2023	- Targets annual electricity savings of 2% during 2023-2025 - Reduction in power losses to less than 6% by 2025 - Reduction in the power system's peak load by 1 500 MW by 2025 through demand management and response measures - Solar panels for self-consumption in 50% of office buildings and residential houses by 2030 - LED lights for 100% of street lightening by 2025 - Annual electricity savings of at least 2% in industrial facilities consuming more than 1 million kWh of electricity annually (mandatory)	

Document or policy	Year adopted	Description	Type of document
Mandatory energy audits for large energy users (Energy Efficiency Law and implementing decrees)	2011	- Large industrial and agricultural facilities with a total annual energy consumption over 1 000 TOE and non-industrial buildings (e.g. residential, commercial, hospitals, schools) with an energy consumption of 500 TOE or more have to appoint qualified energy managers and to undertake energy audits every three years 2023: 3 491 facilities and buildings subject to mandatory energy audits	Regulatory framework
Mandatory energy efficiency targets for energy-intensive industries	2014	Mandatory energy efficiency targets for energy-intensive industries for 2025 for the chemicals, plastics, steel, paper, sugar and seafood processing industries	
Energy labelling	2006	2006: voluntary energy labelling for five types of equipment, including electrical appliances, lightening, industrial equipment and cars 2011: mandatory energy labelling and mandatory energy labelling and minimum energy performance standard (MEPS) framework	
Mandatory energy efficiency standards for large buildings	2013	2013: Energy Efficiency Building Code, which sets mandatory energy efficiency standards for the construction or retrofitting of civil buildings (office buildings, hotels, hospitals, schools, commercial buildings, services buildings, apartments buildings, etc.) with a gross floor area of 2 500 m² or larger 2017: update of Energy Efficiency Building Code	

Source: OECD based on National Assembly (2010^[70]), Prime Minister of Viet Nam (2019^[77]), OECD (2021^[15]), Prime Minister of Viet Nam (2023^[82]), Government of Viet Nam (2011^[78]), EVN (2024^[42]), Anh (2024^[83]), MOIT (2006^[79]), Prime Minister of Viet Nam (2017^[81]), Prime Minister of Viet Nam (2011^[80]).

Electricity pricing reforms and the promotion of international energy efficiency standards could improve the enforcement of energy audits and energy efficiency targets. Better alignment of Viet Nam's electricity tariffs with the cost of operation could increase the bankability of energy efficiency improvements. The dissemination of international energy efficiency standards such as ISO 50001 for Energy Management could also support energy efficiency improvements among industrial companies. It could furthermore allow foreign investors to more easily find suppliers, which meet international energy efficiency standards and send a positive signal to MNEs who scrutinise environmental impacts and green RBC along their supply chains. In 2019, 84 companies in Viet Nam had received ISO 50001 certification. Exemptions or relaxation of energy auditing requirements could incentivise further uptake of ISO 50001 (OECD, 2021^[15]).

Policies supporting energy efficiency in buildings are particularly important as Viet Nam's construction sector is expanding quickly. The construction industry is predicted to receive more investment in the coming years as demand for housing is increasing rapidly: by 70 million square meters annually, the equivalent of 17 500 buildings with 30 floors by 2030 (EuroCham Viet Nam, 2024^[65]). At the same time, the residential sector accounts for the second largest share in electricity consumption (28%) following the industrial sector (2022) (IEA, 2024^[9]).

The number of buildings certified with green building certifications in Viet Nam has increased rapidly but remains overall low. In 2024, Viet Nam largely exceeded its target of 80 green buildings by in the VNEEP 2019-2030 by 2025 with more than 400 green buildings having obtained certifications such as LOTUS or Leadership Energy and Environmental Design (LEED) (MOC, 2024^[84]). This remains, however, low in international comparison and compared to Viet Nam's total building stock (EuroCham Viet Nam, 2024^[65]). Financial incentives for green buildings and public energy retrofitting programmes could support the wider adoption of energy efficiency in the construction and building sector. Public programmes could unlock a large project pipeline, raise awareness and demonstrate new financing models (OECD, 2021^[15]). The government could also set an example by committing to a target for green building certifications for existing government buildings (EuroCham Viet Nam, 2024^[65]).

Better awareness of the potential for and benefits of energy efficiency and the availability of the right skills and technical expertise could further disseminate such measures. Many businesses in Viet Nam are unaware of the benefits of energy efficiency. At the same time, technical expertise and skilled workers such as energy auditors are lacking (Haverman, 2024^[85]).

Access to financing is an important challenge to energy efficiency improvements in private companies in Viet Nam. The high cost of capital, reflected in high interest rates and collateral requirements, frequently exceeds benefits in terms of savings from energy efficiency improvements in the light of low electricity tariffs. Public financing for energy efficiency is constrained by high degree of fiscal decentralisation. More than half of government revenues are managed by provincial governments. This renders the standardisation and aggregation of energy efficiency projects, which can create economies of scale and reduce costs, difficult (OECD, 2021^[15]).

The success of donor-driven initiatives aiming at improving access to financing for energy efficiency improvements in private companies has been limited. The World Bank's Viet Nam Scaling Up Energy Efficiency project with funding from the Green Climate Fund and implemented with MOIT set up a risk sharing facility to support access to commercial financing for energy efficiency projects. This facility is endowed with a USD 11.3 million grant and a USD 75 million guarantee to provide partial credit guarantees to participating financial institutions to cover potential defaults on loans to industrial enterprises and energy service companies (ESCOs) (Pham, 2022^[86]; OECD, 2021^[15]). While a USD 250 million target was set for 2025, however, the facility has not yet succeeded in mobilising any commercial financing for energy efficiency projects (World Bank, 2024^[87]; World Bank, 2024^[88]).

Power purchase agreements and direct power purchase agreements

The risk allocation in Viet Nam's standardised PPAs creates uncertainty over investors' revenues and returns to investment and constrains access to financing. Private renewable energy generators in Viet Nam, which do not participate in the competitive wholesale electricity market, sell the electricity they produce to EVN through standardised PPAs. These PPAs do not require EVN to pay for the electricity generated by renewable power plants unless it is delivered to the grid and do not contain minimum electricity purchase obligations, thus allowing for disruptions in payments in the case of curtailment due to oversupply of electricity and grid congestion. These provisions create significant risks and uncertainty over revenues for investors as power system flexibility and grid infrastructure are important challenges in Viet Nam, which have led to substantial curtailment of renewable energy electricity generators in recent years (see Section 1.3.6. in Chapter 1). Uncertain revenues and returns to investment create uncertainty over their ability to repay debt and can constrain access to financing (OECD, 2021^[15]; Freshfields Bruckhaus Dehringer, 2020^[43]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

Lack of access to international arbitration, protection against change of law and take-over rights for creditors and low and uncertain termination compensation constitute additional risks. PPAs do not allow for international arbitration unless agreed by both PPA signatories. Under the model PPA, MOIT's EREA is responsible for dispute resolution and if unresolved, disputes are escalated to ERAV. This can cause conflicts of interest as EVN, EREA and ERAV are all dependent on MOIT. Furthermore, PPAs do not protect investors from changes in law and tax policies after signature of the PPA. PPAs do not include any mechanisms for calculating termination compensation in the event that the PPA is terminated by the buyer either and there is thus uncertainty over whether such compensations would be sufficient to cover debt and investment costs incurred. Finally, sample PPAs do not explicitly grant lenders the right to take over the project and PPA in the event of default of the renewable energy developer or to transfer rights to a third-party buyer as it is the case in other countries such as Malaysia or the Philippines. Taking over projects and PPAs is subject to complex administrative and legal procedures in Viet Nam. This can be an obstacle to access to finance (OECD, 2021^[15]; Freshfields Bruckhaus Dehringer, 2020^[43]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

Recent changes to currency indexation and the duration of PPAs could turn out either beneficial or create additional uncertainty for investors. In 2023, Viet Nam abolished the indexation of electricity prices to the VND/USD exchange rate in solar and wind power PPAs and a 20-year fixed term for PPAs (MOIT, 2023^[90]). The abolition of currency indexation renders PPAs less attractive and bankable for investors with foreign currency loans. On the other hand, in the context of decreasing renewable prices worldwide, a more mature renewable market in Viet Nam and larger-scale renewable projects, the currency indexation might, however, no longer be necessary to render renewable energy project bankable, especially in the case of large developments (KPMG, 2024^[91]). A longer term for PPAs would allow for covering the whole operational lifespan of solar PV panels of 25 to 35 years and wind turbines of 20 to 30 years. A shorter duration of PPAs, however, would result in more uncertainty for investors (KPMG, 2024^[91]; Allen & Gledhill, 2023^[92]).

The concept of long-term minimum contracted quantity introduced in Viet Nam's newly adopted electricity law could reduce the risk of curtailment for investors. Including long-term minimum contracted quantities in PPAs could allow for providing renewable developers with more certainty on renewable dispatch levels, a more stable stream of payments from EVN and revenues for the duration of PPAs and more certain returns on their investments. This requires further details on the implementation of minimum contracted quantities in PPAs in the decrees on the implementation of the new electricity law (Moncrieff, Tran and Ho, 2024^[93]).

In 2024, Viet Nam introduced more flexible standardised PPAs for solar and wind IPPs, which participate in the competitive wholesale market. These PPAs also apply to fossil fuel IPPs, all large hydropower plants (> 30MW) and small hydropower plants participating in Viet Nam's competitive wholesale electricity market. They allow parties flexibility in determining and agreeing on the duration of the PPA, the method of dispute settlement, which can include international arbitration, and other elements. They also allow for bilingual PPAs in Vietnamese and English. PPAs do not, however, include minimum electricity offtake guarantees from EVN or protection against curtailment (MOIT, 2024^[94]; Nguyen, Nguyen and Le, 2024^[95]; Allens Linklaters, 2024^[96]).

In July 2024, Viet Nam introduced direct power purchase agreements (DPPAs), allowing renewable developers to sell electricity directly to large consumers (Government of Viet Nam, 2024^[97]). The mechanism applies to solar, including rooftop solar, wind, small hydropower, geothermal and other renewable sources. Two models exist. (1) On-site DPPAs enable renewable generators located close to large consumers, such as in industrial zones, to supply electricity through private connection lines. Generators may sell excess electricity to EVN or its subsidiaries after delivery to the corporate consumer. (2) Off-site DPPAs allow eligible solar and wind plants (minimum 10 MW and participating in the wholesale market) to enter into contract-for-difference arrangements with large consumers (minimum 200 MWh monthly consumption for production purposes, connected at ≥ 22 kV). Generators sell electricity into the wholesale market at spot prices, with the corporate consumer settling the difference between the spot price and a pre-agreed strike price to manage price volatility (Moncrieff, Tran and Ho, 2024^[98]; Cryll, 2024^[99]; Government of Viet Nam, 2024^[97]). The framework was further refined in 2025 through Decree No. 57/2025/ND-CP, which clarifies implementation arrangements and eligibility conditions.

DPPAs can generate more certain revenues for renewable generators, facilitate access to financing and improve energy security for large corporate consumers. DPPAs can guarantee renewable generators a predictable and stable stream of revenues, especially if the strike price is inflation-indexed and large corporate consumers are financially strong. In several developed countries' DPPA markets like the United States, large corporate consumers are willing to pay more than utility board rates as a result of the economic benefits of DPPAs over the long term and advantages beyond the electricity supply in terms of green responsible business conduct (RBC). In Viet Nam, in the context of electricity outages and energy security concerns, large corporate consumers might be willing to pay more for DPPAs as they could contribute to a more stable electricity supply. Financially strong and creditworthy corporate consumers

could also improve access to financing for renewable developers, who could diversify offtaker risk and would no longer depend only on EVN for electricity payments (Moncrieff, Tran and Ho, 2024^[98]). On-grid DPPAs could further allow for a better risk allocation between renewable developers and electricity off-takers by allowing them to freely negotiate the terms of the PPA. This could allow on-grid DPPAs to address issues for renewable developers such as curtailment risk, lack of a stable and predictable stream of revenues or dispute resolution concerns and ultimately facilitate access to financing (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

DPPAs could accelerate electricity market liberalisation, foster competition and attract more green investors to Viet Nam. DPPAs could render Viet Nam's wholesale and retail electricity markets more competitive, thereby reducing costs and incentivising new investments in renewables. DPPAs are also expected to create new opportunities for green responsible business conduct, by allowing businesses to source clean energy and enabling them to obtain renewable energy certificates and carbon credits. This might allow Viet Nam to attract more investors committed to green energy and environmental criteria (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]; Moncrieff, Tran and Ho, 2024^[98]). Demand from large international companies, which are established or seek to establish a base in Viet Nam, for clean energy is increasing as these companies frequently have corporate commitments to 100% clean energy (EuroCham Viet Nam, 2024^[65]). Ultimately, DPPAs could encourage more investment in renewable energies in Viet Nam and accelerate the clean energy transition (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]; Moncrieff, Tran and Ho, 2024^[98]).

Risks related to DPPAs include deficiencies in Viet Nam's transmission infrastructure and regulatory uncertainties. Deficiencies in Viet Nam's transmission infrastructure pose a risk to the supply of electricity through off-site DPPAs, which rely on national grid infrastructure. Viet Nam's electricity grid might not always be able to accommodate the additional electricity sold through off-site DPPAs. While on-site DPPAs do not face this challenge, uncertainty remains, however, on whether foreign-owned renewable developers or generators are allowed to develop, operate and charge fees for private transmission lines. In practice, private electricity transmission lines from renewable generators to large corporate consumers might furthermore render switching to the public electricity supply – for example, when insufficient electricity is produced from renewable generators – difficult as this would require switching to a different transmission line and could cause disruptions in electricity supply (Moncrieff, Tran and Ho, 2024^[98]). Uncertainties remain also on the terms and cases of termination of DPPAs and on what happens when large customers' electricity consumption falls below 200 000 kWh a month. Finally, while financially strong large customers could facilitate access to financing for renewable developers, the opposite is true for financially weak large customers. Other challenges might surface as DPPA implementation starts given that this mechanism is still novel in Viet Nam (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

Power market liberalisation

Introducing competition in the power sector is crucial for supporting private investment in renewables. Unbundling monopolies in the power sector by separating power generation, transmission and distribution can help create more space for foreign investment in power generation. New entrants can in turn exert competitive pressures towards conventional power generators and spur the wider diffusion of renewable power investments across domestic actors. The decentralised nature and the smaller generation capacity of clean energy projects compared to their fossil fuel counterparts makes independent power production well-suited for mainstreaming clean energy technologies. Competition can be supported through effective regulators as dominant incumbent enterprises may deter independent renewable power producers from entering a market through tender procedures even where structural separation has been implemented. Therefore, countries in which regulators adequately address anticompetitive practices by incumbent utilities, including state-owned enterprises (SOEs), are likely to be more attractive destinations for multinationals seeking investment opportunities in renewable power (OECD, 2022^[28]).

Electricity market liberalisation in Viet Nam has progressed at a slower pace than planned initially.

Viet Nam's 2004 Electricity Law set out three distinct phases of electricity liberalisation: (1) the establishment of a competitive generation market in 2012-2018, (2) the establishment of a competitive wholesale electricity market in 2019 and (3) the establishment of a competitive retail electricity market in 2023 (with a pilot phase in 2021-2023). While Viet Nam's wholesale electricity market was launched in 2019, only 108 power plants equivalent to 38% of total installed electricity generation capacity were participating in the wholesale market as of March 2023. Non-renewable and hydropower plants with an installed capacity of 30MW or more are required to participate in the market. Renewable electricity generators other than hydropower, however, do not participate in the wholesale electricity market yet but benefit from annually adjusted fixed electricity prices. Furthermore, electricity buying and retail selling continues to be monopolised by EVN as the only buyers in the market are EVN and its five power corporations. Viet Nam's retail market is not operational yet (ERAV, 2024^[100]; EVN, 2023^[101]).

Viet Nam introduced several new regulations in preparation of the further liberalisation of power markets and the introduction of a competitive electricity retail market.

In 2020, Viet Nam adopted a new roadmap for energy market development with two phases: (1) the consolidation and improvement of the competitive wholesale electricity market and operationalisation of the competitive retail electricity market from 2021 to 2025 and (2) the finalisation and expansion of the competitive retail electricity market starting from 2026 (Prime Minister of Viet Nam, 2020^[102]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). Furthermore, in preparation of the launch of the competitive retail market, in 2020, MOIT adopted new regulations on the design of the electricity retail market, which allow electricity consumers to choose their electricity suppliers (MOIT, 2020^[103]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

In 2024, Viet Nam issued new regulations for the wholesale electricity market, which expand mandatory participation and could enhance competition.

New regulations require hydropower plants with a capacity of 10 MW or more to participate in the wholesale electricity market upon expiration of their avoided-cost tariff PPAs, other renewable energy power plants with a capacity of 10 MW or more upon expiration of their FIT PPAs and BOT power plants, which have been transferred to the government, upon expiration of their BOT contracts. Renewable energy power plants with on-grid DPPAs are also required to participate in the market. In addition, power plants in industrial zones selling part of their electricity output to the national grid, power plants with an installed capacity of up to 30 MW connected to the grid at voltage levels of 110 kV or higher and renewable energy power plants other than hydropower with an installed capacity of 10 MW or more can participate in the market on a voluntary basis. Furthermore, a number of plants are required to participate indirectly in the wholesale electricity market, which means that they sell the electricity they produce to EVN-EPTC, which then sells it on the market. This includes BOT power plants with effective contracts and renewable energy power plants other than hydropower except for those with off-grid DPPAs (MOIT, 2024^[104]; VILAF, 2024^[105]). The mandatory and voluntary expansion of participation in the wholesale electricity market to a larger number of participants is an important step to increase competition.

Viet Nam has not yet fully separated electricity generation, transmission, distribution and power trading and its energy regulator lacks full independence.

Viet Nam's state-owned electricity company, Electricity of Viet Nam, has been partially unbundled into separate companies for electricity generation, transmission, distribution and power trading (OECD, 2021^[15]). However, these companies remain subsidiaries of EVN. This results in potential conflicts of interest and could favour non-competitive practices: the transmission grid operator's role in negotiating and facilitating grid connections may create advantages for SOEs in accessing the transmission grid compared with IPPs. Viet Nam's energy regulator ERAV is not fully independent as it is attached to MOIT (OECD, 2021^[15]).

The full unbundling of Viet Nam's system operator from EVN in 2024 represents an important step in supporting competition and boosting investor confidence.

In 2024, the National Load Dispatch Centre was fully separated from EVN and became the National Power System and Market Operation Company (NSMO) under the Commission for the Management of State Capital at Enterprises (CMSC)

(Prime Minister of Viet Nam, 2024^[44]; Thao, 2024^[45]). NSMO determines short-term operations of electricity generation plants and acts as the interface with the transmission system. The full independence of the system operator is an important step to support objective dispatch prioritisation and effective competition. This can strengthen investor confidence given frequent oversupply and congestion in Viet Nam's transmission networks combined with a lack of commitment to take or pay all electricity generated by renewable developers (OECD, 2021^[15]).

SOEs' share in electricity generation has decreased by 40% since 2016 as a result of privatisation of EVN's generation assets and private investment in renewables. EVN's share in total installed capacity for electricity generation has decreased from 61.4% in 2016 to 58% in 2018 and 37.1% in 2023. The share of installed capacity owned by the state-owned petroleum and coal companies (Petrovietnam and Vinacomin) has decreased as well from 14.7% in 2017 to 10% in 2023. This is driven by increased private investment in renewable energies: the share of independent power producers (IPPs) and BOTs in Viet Nam's installed capacity for electricity generation has increased from 23.9% in 2016 to 51.9% in 2023, largely due to investment in solar and onshore wind power plants (EVN, 2023^[101]; EVN, 2017^[106]; EVN, 2018^[107]). At the same time, Viet Nam is partially privatising EVN's electricity generation assets by selling part of GENCOs' shares but this process has been very slow and interest limited due to a too high value of shares in generation companies, concerns over indebted generation plants and corporate governance and as better performing power plants are bundled together with poorly performing ones. Furthermore, as EVN keeps majority shares in generation companies, partial privatisation has so far had a limited impact on competition, reflecting both ownership structures and broader constraints related to market design, regulation and corporate governance (OECD, 2021^[15]).

Going forward, Viet Nam should continue progressing towards more competitive wholesale and retail electricity markets, with reforms carefully sequenced and adapted to institutional capacities. Experience across emerging and developing economies suggests that ownership reform alone does not guarantee efficiency or competition outcomes, and that liberalisation tends to be most effective when accompanied by strong regulation, transparent market rules and adequate system operation and planning capacity. In this context, further diversification of ownership in electricity generation and greater private participation can contribute to market contestability, provided that regulatory oversight, grid access rules and market governance are sufficiently robust to ensure a level playing field among all participants (World Bank, 2019^[108]). SOEs can benefit from direct or indirect state aid and other advantages, thereby undermining competition. Integrating renewable electricity generators, who currently benefit from fixed prices, into Viet Nam's power market could also enhance competition in the wholesale electricity market. Viet Nam's newly established DPPAs are another mechanism to foster more competition. An effective wholesale market is key for increasing efficiency and driving electricity cost reductions and can play an important role in balancing intermittent renewables and enhancing power system flexibility. Market prices, which reflect electricity supply and demand, can incentivise electricity generators to increase or decrease electricity generation as necessary (OECD, 2021^[15]; Giang, 2023^[21]).

6.4.4. Green investment promotion and facilitation

Investment promotion bodies can create awareness of existing green investment opportunities, attract green investors, and facilitate their establishment and expansion in the economy. Investment promotion bodies – whether as IPAs or departments in ministries – are key players in bridging information gaps that may otherwise hinder the realisation of foreign investments, and their potential sustainable development impacts. Many prioritise green investments, by selecting green priority sectors such as renewable energies or other low carbon technologies or green priority investment projects, and by allocating resources accordingly (OECD, 2022^[28]; OECD, Forthcoming^[109]). Investment facilitation services can help reduce administrative barriers to low-carbon investments. Investment aftercare services are an important channel for the propagation of FDI low-carbon spillovers through the interactions of foreign MNEs

with domestic firms and workers. Investment promotion bodies also tend to have the role to raise policymakers' awareness of regulatory needs to promote low-carbon investment (OECD, 2022^[28]).

Investment promotion

Viet Nam is still in the early stages of integrating green considerations into investment promotion policies. Although Viet Nam does not have official priority investment sectors, renewable energies are one of the sectors, which is in practice promoted the most by Viet Nam's investment promotion agency (IPA). Electricity, gas and steam and water supply, sewage and waste management are furthermore among those industries, on which information is provided on the FIA's website, although updates of these sector descriptions date back to 2020 (FIA, 2020^[110]; FIA, 2020^[111]). Viet Nam's IPA also attributes supporting the low-carbon transition a moderate level of importance in its investment promotion goals and reports contributing to combating climate change and sustainable production and consumption in its role as an IPA (OECD, 2024^[112]).

Viet Nam's strategic documents on investment promotion include references to green growth and environmental protection. In August 2019, Viet Nam adopted a Politburo's Resolution on orientations to enhance the quality and efficiency of foreign investment by 2030. This resolution aims at improving the quality of foreign investment in Viet Nam, including with respect to environmental protection criteria. It targets an increase in the share of foreign firms adhering to environmental criteria by 50% by 2025 as compared to 2018 and by 100% by 2030. To achieve these objectives, the strategy seeks to improve environmental protection and energy saving regulations and standards, holding foreign investors better accountable for their environmental impact and enhancing the management, inspection and supervision of the environmental impact and adherence to environmental standards of foreign investment projects (Central Committee, 2019^[113]). In June 2022, Viet Nam approved the Strategy for Foreign Investment Cooperation for 2021-2030. This strategy aims at holding foreign investors better accountable for environmental protection. To improve the effectiveness and sustainable development impact of foreign investment, it seeks to enhance standards and regulations on environmental protection and energy efficiency and to improve the government's management of foreign investment with respect to the environment, including the adherence to environmental standards, and response to foreign investment projects causing significant environmental pollution (Prime Minister of Viet Nam, 2022^[114]). Although the strategy contains several provisions on environmental protection, however, green growth and decarbonisation in foreign investment are much less prominent in the strategy than in the 2019 Politburo Resolution.

Viet Nam is also promoting the transition of traditional industrial parks into eco-industrial parks to attract sustainable FDI and align with emerging green supply chain requirements in key export markets such as the EU and the United States. The Ministry of Finance, through the Department of Economic Zones Management, is supporting cleaner production, resource and energy efficiency, energy conservation measures, circular-economy practices, e-waste recycling and environmentally friendly materials production in industrial parks. Pilot programmes in several provinces (e.g. Ninh Binh, Cần Thơ, Đà Nẵng) aim to convert existing parks into eco-parks by encouraging waste and energy symbiosis, improved water management and low-carbon technologies. These initiatives are intended to enhance Viet Nam's appeal to multinational enterprises seeking compliant, low-impact supply chains and to strengthen the country's positioning as a destination for sustainable manufacturing investment.

Going forward, it would be beneficial to adopt a more systematic approach to promoting green investment. This includes adopting a national investment promotion strategy, in which climate and environmental considerations are embedded, in consultation with relevant ministries and agencies such as MOIT and MAE. This also involves reviewing and identifying specific economic activities where Viet Nam has the greatest potential to develop low-carbon activities or growth poles. Once such activities have been identified, relevant bodies should design investment promotion packages for these low carbon

activities combining tools that range from intelligence gathering (e.g. market studies) and sector-specific events to pro-active investor engagement (one-to-one meetings, email/phone campaigns, enquiry handling). Aftercare services should be designed to help investors overcome information barriers associated with identifying low-carbon business partners, suppliers and distributors, for example, through match-making services, and help them reduce emissions along their supply chains. (OECD, 2022^[28]).

Green investment facilitation

Viet Nam's IPA could facilitate investment in renewable energy through policy advocacy on the simplification of investment procedures and the creation and hosting of a dedicated one-stop-shop. Investment promotion bodies play a crucial role in understanding investors' challenges and advocating for reforms required to promote low-carbon investments by serving as the primary interface between investors and other government institutions (OECD, 2022^[28]). Viet Nam's IPA could more systematically engage in this role by raising awareness of the administrative and implementation challenges facing investors in low-carbon activities, including renewable energy projects, and advocating for reforms to simplify relevant procedures. Investment promotion bodies also play an important role in supporting investors in low-carbon activities to acquire the necessary permits and clearances for their investment projects (OECD, 2022^[28]). Viet Nam's FIA could play a more active role in this process through the creation and hosting of a "one-stop-shop" for renewable energy projects. Such a one-stop-shop could help reduce the length and complexity of procedures, limit the number of public institutions with which investors have to interact, and improve coordination across responsible agencies (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; EuroCham Viet Nam, 2024^[65]).

The permitting and licensing process for renewable energy projects can involve multiple sequential procedures from project development and construction to commercial operation. Investors may need to complete procedures involving different ministries and public agencies at the central and provincial levels before project implementation can begin. These procedures can relate to investment and enterprise registration, inclusion in national and provincial planning, grid connection agreements with EVN, land clearance, EIAs, electricity project implementation, construction-related approvals, commissioning and electricity operating licences. Varying administrative procedures across provinces, together with coordination challenges and overlapping responsibilities between regulatory agencies, can add further complexity (OECD, 2021^[15]; Freshfields Bruckhaus Dehringer, 2020^[43]; VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). Some administrative procedures remain cumbersome and can increase investor costs, create uncertainty over project implementation and returns, and complicate access to finance. In some cases, project-development rights, infrastructure assets or land-use rights may be transferred between investors as projects move towards implementation (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]; Nguyen, 2023^[115]; OECD, 2021^[15]).

The administrative process is particularly difficult to manage for investors in offshore wind. They require sea area allocations, but a legal and regulatory framework has recently been established. Recent regulations have clarified institutional responsibilities for allocating sea areas and granting approval for using marine areas for activities such as measuring, monitoring, investigating, exploring, and surveying for the purpose of developing offshore wind power projects (Hutt, 2024^[116]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). Sea allocations are furthermore facilitated by the development of marine spatial planning in Viet Nam, which identifies areas suitable for offshore wind development and provides clearer guidance on where projects can be located. The absence of transmission lines to transport electricity from wind farms to the grid adds a further challenge for investors. Furthermore, Viet Nam's seaports currently still lack the capacity to serve the various functions of offshore wind power construction activities, including manufacturing, assembly, storage, transportation and maintenance of equipment for the offshore wind power industry (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]).

Viet Nam has taken steps to make the permitting and licensing process more efficient. A 2023 circular simplifies certain administrative procedures for the development of wind power projects. This includes the requirement to submit a report when the project does not comply with the planning scheme in terms of operations, scale and capacity, as well as certain requirements for the commencement of construction, such as adding new wind power plants to the national electricity development master plan and completing several administrative procedures (MOIT, 2023^[90]; KPMG, 2024^[91]; Allen & Gledhill, 2023^[92]). Viet Nam's new Electricity Law introduces new regulations for offshore wind projects, including exemptions from or reductions in land- and sea-use fees, the possibility of transferring shares in offshore wind projects, and provisions for electricity output negotiations under PPAs with electricity market participants (National Assembly, 2024^[68]; Hanh, 2024^[71]; Ohya et al., 2024^[72]; Moncrieff, Tran and Ho, 2024^[93]). Such efforts should be accompanied by strengthened monitoring, enforcement and accountability mechanisms.

The administrative procedures to access land can be particularly complex for foreign investors. Investors in Viet Nam cannot buy land but only Land Use Rights Certificates (LURCs), Vietnamese nationals indefinitely and foreigners for up to 50 years. The process for acquiring LURCs is complex, involving multiple administrative procedures and public institutions and other stakeholders. This includes the appraisal of land and clearance plans by provincial authorities such as the regional office of MAE (formerly MONRE), land-use change in special areas designated for agriculture or forest, negotiations with the parties owning the LURCs, agreements of land lease fees, clearance and compensation of current owners and an agreement with the PPCs. Prior to the agreement with PPCs, investors must complete an EIA and obtain an investment registration certificate and an enterprise registration certificate. Investors in Viet Nam are not only responsible for securing land for the renewable power plants themselves but also for securing land for and installing power lines and transformers from the plant to the nearest connection point to the grid. This further complicates the process to obtain LURCs as it may require negotiations with multiple LURC owners (OECD, 2021^[15]). Access to land for transmission infrastructure is moreover not only a challenge for private investors but also for EVN-NTPC (EuroCham Viet Nam, 2024^[65]). An additional difficulty is that land for renewable projects is limited due to Viet Nam's geography with many hills and densely forested areas and must compete with other uses such as agriculture (OECD, 2021^[15]).

Problems with compensation and clearance are common challenges for investors and can delay project implementation and raise costs. Investors are responsible for securing cleared land for project development and bearing all compensation costs, creating risks and uncertainty stemming from potentially high land prices and lengthy clearance processes (VBF/The Asia Foundation/GEAPP, Forthcoming^[18]). Land prices and compensation are often high and uncertain due to overlapping regulations, which complicate price determination (Nguyen, 2024^[117]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). In addition, the Land Law accords Provincial People's Committees up to three years to complete compensation, support and resettlement processes, which can result in delays, increased costs and financial losses for investors (VBF/The Asia Foundation/GEAPP, Forthcoming^[18]). Recent reforms seek to address these challenges. A new Land Law adopted in 2024 has improved regulations on land management, land types, land price determination and land-use fees. It is supported by implementing regulations, including recent decrees on land administration such as Decree 49/2026/ND-CP (Government of Viet Nam, 2026^[118]), aimed at improving administrative procedures and land access, which may help address several of the challenges investors face (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

Viet Nam's strict regulations on using LURCs as securities to access credit prevent foreign renewable developers from using LURCs as collateral for loans, thereby impacting their access to financing. Land rights are an important tool for allowing renewable investors to secure financing for their projects (OECD, 2021^[15]). According to Viet Nam's Land Law, however, project companies can only use LURCs as collateral for loans if they pay the land rent to the state in a one-time lump-sum payment. Projects that are exempted from land rent payments, as it is often the case for renewable energies, or projects that pay rent annually cannot use their LURCs as collateral. The 2024 Land Law further limits

projects eligible for one-time land rental payments primarily to industrial zones (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]; National Assembly of Viet Nam, 2024^[119]). Moreover, LURCs and property attached to the land can be used as security for loans from onshore licensed credit institutions only but not for loans from foreign lenders. Using a local bank as security agent can allow for bypassing this restriction but uncertainty exists on whether such an arrangement would be enforceable by Vietnamese courts in case of default by the borrower (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]; National Assembly of Viet Nam, 2024^[119]; OECD, 2021^[15]). In the case of offshore wind projects, it is still unclear whether maritime area allocations can be used as collateral for loans similarly to LURCs (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

Government acquisition of LURCs could facilitate access to land for investors while floating solar offers an option to bypass the land acquisition challenge. Government identification and acquisition of LURCs of land for renewable projects could be an option in combination with the introduction of an auction system. While this would significantly cut red tape and lower costs for investors, it would, however, require that responsible government authorities have sufficient institutional capacity and human and financial resources to identify land for renewable projects and acquire LURCs. In light of Viet Nam's significant hydropower capacity, floating solar power plants constitute another opportunity to bypass challenges linked to land acquisition (OECD, 2021^[15]).

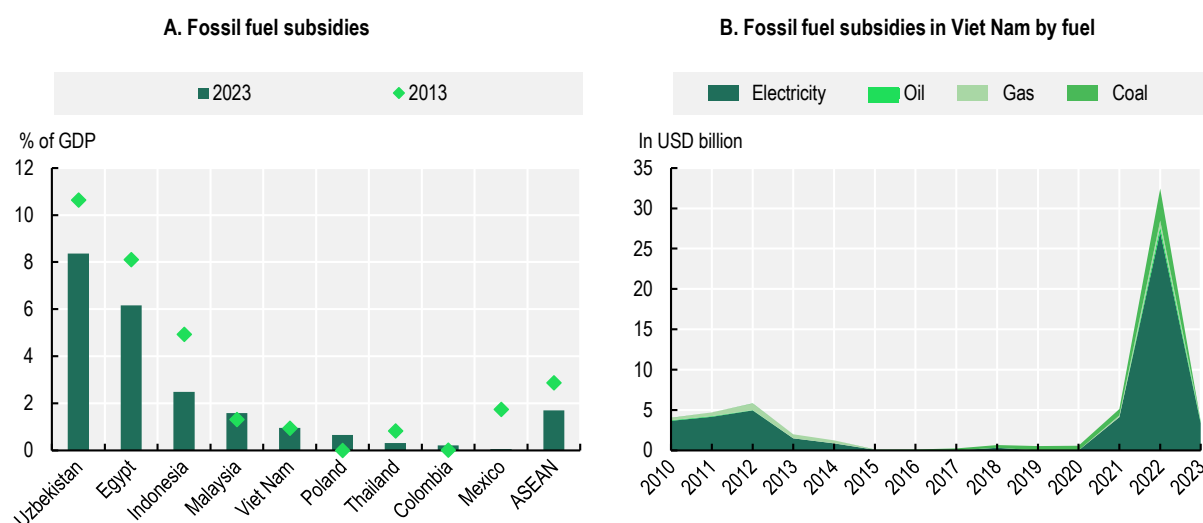
6.4.5. Pricing, incentives and financial support for green investment

Fossil fuel subsidies and electricity pricing

Fossil fuel subsidies in Viet Nam - made up to more than 90% of electricity subsidies – have decreased from an all-time high of USD 32.4 billion (9% of GDP) in 2022 to USD 3.6 billion (1% of GDP) in 2023 (IEA, 2024^[120]). High fossil fuel subsidies for electricity generation reflect indirect subsidies as end-user electricity prices in Viet Nam are estimated to be below the cost of operation and maintenance and debt service expenses (OECD, 2021^[15]). The spike in electricity subsidies in 2022 reflects high international energy prices, leading to a sharp increase in the cost of electricity generation as Viet Nam relies on imported coal, oil and electricity. This increase was not proportionally passed on to end-user electricity prices.

Actual electricity subsidies are likely to be significantly higher than these estimates. The estimates are based on the comparison of end-user prices with international reference prices, which may not fully reflect substantial debt servicing expenses by EVN. Although average electricity retail tariffs in Viet Nam increased by 50% between 2010 and 2022 and international energy prices decreased in 2023 from their all-time high in 2022, in 2023, EVN incurred losses of more than USD 1.2 billion (EVN, 2024^[42]) and EVN's combined losses in the 2022-2023 period amounted to up to USD 2 billion. These losses have to be covered by the government through subsidies for EVN or government-guaranteed loans (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). At approximately 8.3 US cents/kWh, electricity prices are estimated to remain below the cost of operation, maintenance and debt service combined with a reasonable return on capital for future investment estimated at approximately 12 US cents/kWh (OECD, 2021^[15]). The transmission tariff component of electricity prices is particularly low, thereby reducing the profitability of EVN-NDTC and its financial resources for investment in transmission infrastructure. Transmission tariffs amounted to 0.32 cents/kWh in 2022 while tariffs of at least 0.72 cents/kWh would be required to cover investment needs (EuroCham Viet Nam, 2024^[65]).

Figure 6.12. Fossil fuel subsidies in Viet Nam have declined and are moderate



Notes: Subsidies are calculated by comparing average end-user prices paid by consumers with reference prices that correspond to the full cost of supply. The price gap multiplied by the amount of energy consumption corresponds to the subsidy.

Source: OECD based on IRENA (2024^[19]), IRENASTAT, <https://www.irena.org/>; and World Bank (2024^[10]), World Bank Development Indicators, <https://databank.worldbank.org/>.

The better alignment of end-user electricity tariffs with market prices could further support and accelerate the clean energy transition in Viet Nam. Below-cost recovery tariffs compromise EVN's financial viability, thereby impairing the company's ability to make investments required to modernise and expand Viet Nam's outdated electricity grid infrastructure to allow for the smooth integration of intermittent renewables in the country's power mix. Below-cost recovery tariffs also limit the government's fiscal space for investments in renewables and other ancillary services and infrastructure as EVN's losses need to be covered by the government. Moreover, the current pricing structure encourages overconsumption of electricity and reduces the bankability of private investment in renewable energies and energy efficiency improvements. The gradual liberalisation of electricity prices could spur significant investment in renewable energies and energy efficiency. Electricity price increases should be accompanied by targeted support for poor households and improved social protection. At present, energy subsidies for vulnerable household are modest in Viet Nam (OECD, 2021^[15]). Viet Nam's new electricity law adopted in 2024 provides the framework for reforming electricity prices in Viet Nam and removing cross-subsidies across consumer groups and regions to achieve a more competitive and equitable pricing structure (National Assembly, 2024^[68]; Hanh, 2024^[71]; SIPET, 2024^[121]).

Viet Nam's planned introduction of two-component electricity pricing could better align electricity prices with the cost of supply and allow for greater efficiency in investment in and usage of power generation capacity. The current pricing structure takes into account only the monthly amount of electricity consumed and does not accurately reflect the cost of supply. The new electricity price structure would consist in a price paid for registered capacity and a price paid for consumed electricity. Consumers with a higher registered capacity would need to pay more even if they have a low maximum registered capacity usage time. The new structure would more accurately reflect the full cost of electricity supply and encourage consumers to use electricity more effectively and spread electricity consumption more evenly over time. This could reduce peak demand and support system load balancing, thereby reducing the need for investment in additional power generation capacity and grid infrastructure to meet electricity demand

during peak hours and ultimately improving efficiency in investment in power generation capacity and grid infrastructure. EVN is also proposing to classify electricity consumers into three groups (non-residential consumers, residential consumers with electricity consumption up to 2 000 kWh/month, residential consumers with output over 2 000 kWh/month) and four voltage levels. The new pricing structure would initially apply to industrial, non-residential consumers and residential consumers with consumption levels above 2 000 kWh/month (EVN, 2024^[122]; EVN, 2024^[123]; TTC, 2024^[124]; Kiet and Hue, 2024^[125]).

Carbon pricing

Carbon pricing provides a technology-neutral case for low-carbon investment and consumption and incentivises businesses to reduce their carbon emissions. Carbon pricing raises the cost of carbon-intensive assets and behaviours and effectively encourages the required shift of production and consumption decisions towards low- and zero-carbon options. Carbon pricing can internalise the climate costs of carbon emissions. Not reflecting the full costs that carbon emissions impose on society results in extensive consumption of carbon-intensive goods, such as fuels or final products, as well as investment in production processes. Carbon pricing raises the returns on low-carbon relative to high-carbon investments and reduces the competitiveness of carbon-intensive industries, ultimately downsizing these industries while incentivising investments in low-carbon activities. Carbon emissions can be priced through taxes or emissions trading systems, where authorised bodies set a cap on GHG emissions and allocate or auction a limited number of tradable permits that allow a discharge of a specific quantity of a specific pollutant (e.g. CO₂) over a set time period. Emitters are required to hold permits in amount equal to their emissions but can increase their emissions by buying permits from others willing to sell them. Carbon pricing through taxes or emissions trading provides incentives for emissions abatement where it can be done at least cost (OECD, 2022^[28]).

Viet Nam levies an Environmental Protection Tax (EPT) on products with significant negative environmental impacts. Taxable goods under Article 3 of the Law on Environmental Protection Tax (2010, amended 2012) include gasoline, diesel, fuel oil, kerosene and other fuels, coal, hydrochlorofluorocarbons, plastic bags, pesticides with restricted use, and several other listed chemicals. Rates are set within minimum-maximum bands defined in the law. EPT revenues flow into the general State Budget and are not earmarked for the Viet Nam Environmental Protection Fund, although budget resources can still be allocated to environmental projects through normal budgetary processes (OECD, 2021^[15]).

Viet Nam is preparing to fully operationalise a domestic carbon market by 2029 following a pilot phase through 2028 (National Assembly, 2020^[74]). The carbon market is grounded in Article 139 of the 2020 Law on Environmental Protection, which establishes the legal basis for allocating and trading greenhouse gas (GHG) emission quotas and carbon credits generated through domestic and international offset mechanisms to support national emission-reduction targets and low-emission technologies (National Assembly, 2020^[74]). The Ministry of Finance is responsible for establishing the market, while the Ministry of Agriculture and Environment is responsible for its operation international co-ordination. In 2022, Viet Nam adopted regulations creating a national monitoring, reporting and verification system, a GHG inventory, and the architecture and roadmap for the domestic carbon market (Government of Viet Nam, 2022^[126]). In 2024, the government approved a list of sectors and criteria for facilities required to conduct GHG inventories and participate, covering energy, transport, construction, industrial processes and agriculture (Prime Minister of Viet Nam, 2024^[127]; STAMEQ, 2024^[128]). During the 2025-2027 trial phase, the market will operate only domestically and will not be linked to international markets, with foreign purchases of carbon credits prohibited (Government of Viet Nam, 2022^[126]; Viet Nam News, 2024^[129]). The pilot will include 150 large companies in the thermal power, iron and steel, and cement sectors, for which emission quotas have been allocated as part of the initial implementation phase, including approved allocations for 2025 and 2026 (MONRE, 2024^[130]; Viet Nam News, 2024^[131]). The iron and steel sector

was prioritised to support its adjustment to the EU's Carbon Border Adjustment Mechanism (CBAM), given that the European Union is Viet Nam's largest export market for iron and steel products (Yin, 2024^[132]).

Developing and operationalising Viet Nam's carbon market requires further improving and filling gaps in existing regulation and awareness raising. This includes the definition of clear and harmonised reporting requirements for carbon emissions and principles for calculating and certifying carbon credits, improving and simplifying third-party verification mechanisms and a reliable platform for trading. A clearer and complete legal and regulatory framework will also improve the availability of financing for emission-reducing projects, which is currently a constraint (Anh and Foster, 2024^[133]; PWC, 2023^[134]). In addition to filling gaps in existing legislation and regulations, there is also a need for training, information sharing and awareness raising of new regulations among businesses (VNEEC, 2024^[135]).

Investment Incentives

Renewable energies, energy efficiency equipment and other environmental protection technologies benefit from generous corporate-income tax (CIT) incentives (Table 6.3). They enjoy a three-year exemption from land rent everywhere and a longer exemption up to the entire project period in socio-economic priority areas. Raw materials, supplies and components for renewable energy infrastructure and other environmental protection projects are exempt from import duties under Law No. 107/2016/QH13 for five years from the start of production, provided they are not produced domestically and statutory conditions are met. Renewable energy, energy efficiency and other environmental technology projects can further access preferential loans for up to 70% of investment from Viet Nam Development Bank although in practice, limited funding constrains this incentive. Renewables and other environmental technologies such as pollution monitoring systems, energy storage systems and hydrogen are part of the sectors, which are prioritised for research and development.

In addition, Viet Nam provides registration-fee relief to encourage the uptake of clean vehicles and environmental service equipment. Decree No. 10/2022/ND-CP and Decree No 51/2025/ND-CP grant a 0% first-time registration fee for electric cars and electric buses during 2025-2027, followed by a 50% reduction thereafter, and extend exemptions or reduction to certain environmental protection vehicles, equipment, and facilities.

Renewable energies, energy efficiency equipment and other environmental protection technologies also benefit from generous indirect tax incentives. They enjoy a three-year exemption from land rent everywhere and a longer exemption up to the entire project period in socio-economic priority areas. Raw materials, supplies and companies for renewable energy infrastructure and other environmental protection projects, which are not produced domestically, are also exempt from import taxes for five years. Renewable energy, energy efficiency and other environmental technology projects can further access preferential loans for up to 70% of investment from Viet Nam Development Bank although in practice, limited funding constrains this incentive. Renewables and other environmental technologies such as pollution monitoring systems, energy storage systems and hydrogen are part of the sectors, which are prioritised for research and development.

Planned reforms could align incentives with environmental outcomes. MOST has proposed introducing a set of green standards for FDI projects and requiring periodic reporting on energy efficiency and emission reduction as a condition to access investment incentives. Linking preferential tax and other benefits to measurable green performance could help ensure that public support effectively rewards low-carbon investment and improves transparency.

Rebalancing profit-based and indirect tax incentives towards more targeted expenditure-based incentives could improve the contribution of FDI to green growth in Viet Nam. Exemptions from indirect taxes for renewable developers, such as import taxes on machinery and equipment, land-use fees and land rent, as well as the general input VAT refund available to all investment projects, can support investment in renewable energy capacity. However, some incentives may be better aligned with actual

generation, system needs and grid capacity, rather than installed capacity alone. CIT reductions or exemptions for eligible green activities, such as renewables, energy-efficient technologies, water and waste, can support investment in priority sectors. Where tax incentives are used, they could be better targeted towards projects that introduce green technologies, cleaner production methods and technological innovation, while remaining consistent with Viet Nam's tax legislation and the responsibilities of the Ministry of Finance. However, as profit-based incentives, they may be less effective where they support investments that would have materialised without additional public support, and they can involve significant forgone public revenues (OECD, 2022^[28]). Their effectiveness may also be affected by the implementation of the new Global Minimum Corporate Income Tax, to which Viet Nam has adhered.

Forthcoming change to Viet Nam's CIT framework could further affect green and high-tech investment. A new Corporate Income Tax Law, adopted in 2025 and expected to take effect in 2026, will expand eligible incentives by introducing additional deductibility for R&D and innovation expenditures, alongside exemptions and preferential rates for selected high-technology, renewable energy and environmental protection activities. These reforms aim to encourage investment in advanced technologies and green growth but will also interact with Viet Nam's commitment to the Global Minimum Tax, which may limit the effectiveness of profit-based incentives for large multinational investors.

Table 6.3. Green investment incentives in Viet Nam

Green investment incentives in Viet Nam

Target sector	Incentive	Legal basis
Renewable energies, environmental protection, water and waste management	CIT exemption for four years, followed by reduced CIT rate of 5% for nine years, followed by reduced CIT rate for two years, which can be extended for another 15 years for large-scale or high-technology projects	Law No. 01/VBHN-VPQH on Corporate Income Tax, Articles 13 and 14; Circular No. 78/2014/TT-BTC, Article 19; and Circular No. 96/2015/TT-BTC, Article 11; Decree No. 218/2013/ND-CP, Article 15; Law No. 40/VBHN-VPQH on Investment, Articles 15 and 16
Incomes of enterprises investment in environment and from planting, cultivating, protecting forests	Reduced CIT rate of 10%	Law No. 01/VBHN-VPQH on Corporate Income Tax, Articles 13 and 14; Circular No. 78/2014/TT-BTC, Article 19; and Circular No. 96/2015/TT-BTC, Article 11; Decree No. 218/2013/ND-CP, Article 15; Decree No. 12/2015/NĐ-CP, Article 1; Law No. 40/VBHN-VPQH on Investment, Articles 15 and 16
All sectors	CIT exemption for income from the transfer of Certified Emission Reductions (CERs) by companies that have been issued emission reduction certificates	Law No. 01/VBHN-VPQH on Corporate Income Tax, Article 4.8.
Clean and renewable energy, energy-saving technologies; collection, treatment, recycling or re-use of waste; water management	Exemption from land and water surface rent for three years with extension possible for projects in socio-economic priority areas	Decree No. 46/2014/ND-CP, Article 19; Law No. 40/VBHN-VPQH on Investment, Articles 15 and 16
Renewable and clean energy and waste-to-energy	Exemption on non-agricultural land use tax	Law No. 48/2010/QH12 on Non-agricultural Land Use Tax, Article 9.1; Circular No. 153/2011/TT-BTC guiding non-agricultural land use tax, Article 10.1
Land used by business for public works to serve the business purpose in the field of environment	Exemption from land rent	Decree No. 46/2014/ND-CP, Article 19; Law No. 40/VBHN-VPQH on Investment, Articles 15 and 16
Renewable energies, energy storage technologies, hydrogen and other environmental protection and environmentally friendly technologies	Classified as high technologies prioritised for development investment	Decision No. 38/2020/QĐ-TTg

Target sector	Incentive	Legal basis
High-tech enterprises, science & technology enterprises, R&D and innovation activities	CIT exemption for 4 years, followed by 9 years at 5% and 2 years at 10% (extendable up to 15 years for large-scale/high-tech projects); additional super-deduction of R&D expenses (up to 200%) and preferential 10% CIT for 15 years introduced under the 2025 CIT Law for advanced and green technologies	Decree No. 13/2019/ND-CP (science & technology enterprises); Decision No. 29/2021/QĐ-TTg (high-tech); Law No. 67/2025/QH15 on Corporate Income Tax (amended 2025)
Environmental protection and pollution reduction technologies; waste and wastewater management	Import tax exemption on raw materials, supplies and components not produced domestically for five years from the start of production (available to renewable energy and other eligible green projects meeting statutory conditions)	Law No. 107/2016/QH13 on Import and Export Duties, Art. 16; Circular No. 02/2007/TT-BTM; Law No. 40/VBHN-VPQH on Investment, Arts. 15–16
Renewable energies; energy efficient technologies; clean technology innovation, environmentally friendly buses, wastewater and waste management in urban centres, industrial parks and special economic zones; clean water supply	Preferential loans for up to 70% of investment from Vietnam Development Bank up to 15 years	Decree No. 78/2023/ND-CP; Decree No. 32/2017/ND-CP
All sectors	Pre-operational project development expenses qualify for an input VAT refund under specific conditions, including proper documentation and adherence to the prescribed declaration method	Decree No. 49/2022/ND-CP; Decree No. 209/2013/ND-CP; Law No. 01/VBHN-VPQH on Value Added Tax

Notes: A new Corporate Income Tax Law (Law No. 67/2025/QH15) introduces enhanced R&D and innovation deductibility and expanded exemptions for high-tech and green sectors, expected to take effect from 2026. Also, under Law No. 107/2016/QH13 on Import and Export Duties, import duty exemptions apply to renewable energy and other environmental protection projects if their raw materials, supplies and components are not produced domestically and statutory conditions are met. Non-agricultural land-use tax exemptions apply to eligible renewable and green projects under Law No. 48/2010/QH12.

Source: OECD based on National Assembly (2023^[67]); MOF (2014^[136]); MOF (2015^[137]); Government of Viet Nam (2013^[138]); National Assembly (2023^[139]); Government of Viet Nam (2015^[140]); Government of Viet Nam (2014^[141]); Prime Minister (2020^[142]); MOT (2007^[143]); National Assembly (2005^[144]); Government (Government, 2023^[145]); Government of Viet Nam (2017^[146]); Government of Viet Nam (2022^[147]); Government of Viet Nam (2013^[138]); National Assembly (2016^[148]); Le (Le, 2024^[149]); Freshfields Bruckhaus Dehringer (2020^[43]); Source of Asia (2023^[150]); Western Pacific (2024^[151]); LNT (2023^[152]); and VDB (2023^[153]).

Expenditure-based incentives that target low-carbon investments are linked to specific expenses and lower the cost of related inputs. For instance, Mauritius and South Africa offer accelerated depreciation allowances on machinery used to generate renewable energy. In Malaysia, investors can benefit from a special tax allowance for expenditure for integrated waste management solutions, electric vehicle charging stations and renewable energy projects (biomass, biogas, small hydropower, geothermal, solar and wind energy). Colombia has introduced accelerated depreciation for machinery, equipment and civil works related to energy generation from non-conventional energy sources and energy efficiency management (OECD, 2024^[154]). By lowering the cost of capital, these incentives are expected to facilitate investment that would otherwise not be made and have the potential to mobilise more investment per dollar of forgone tax revenue. A downside of targeted expenditure-based incentives is that they require greater tax administration capacities and are associated with higher compliance costs in terms of qualifying and reporting requirements (OECD, 2022^[28]).

Renewable support mechanisms

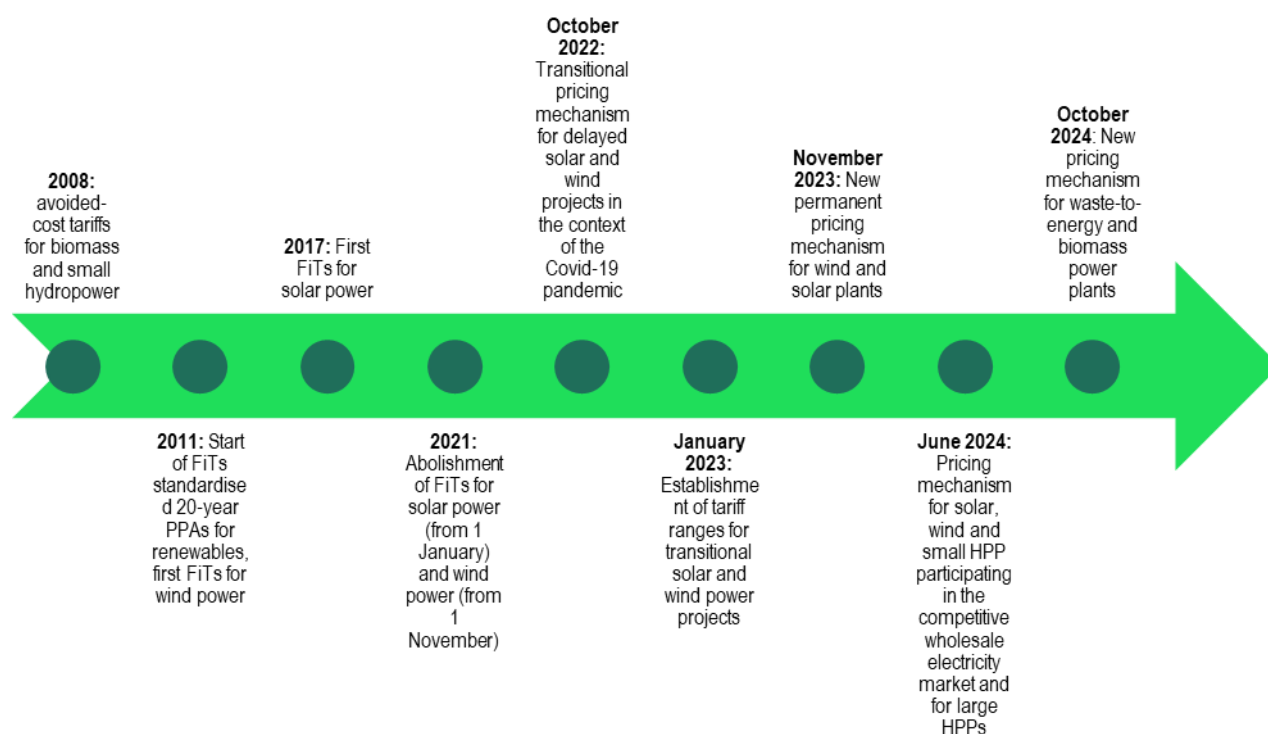
Viet Nam is in the process of reforming its renewable energy support mechanisms. The country started gradually introducing FiTs for renewable energies in 2008, which were subsequently phased out for solar and wind power in 2021 (Figure 6.13). As a result of the COVID-19 pandemic, however, 62 solar and wind projects, which had signed PPAs with EVN prior to the expiry of FiTs, could not be completed on time and were therefore not able to benefit from FiTs. In October 2022, Viet Nam introduced a transitional pricing mechanism for these solar and wind projects (MOIT, 2022^[155]). In November 2023, the country adopted a new permanent pricing mechanism for new wind and solar projects (MOIT, 2023^[156]). As part of power market liberalisation, in June 2024, the country introduced a different pricing mechanism for solar, wind and small hydropower plants participating in the competitive wholesale electricity market and large hydropower plants (> 30 MW) (MOIT, 2024^[94]; Nguyen, Nguyen and Le, 2024^[95]; Allens Linklaters, 2024^[96]). In October 2024, Viet Nam adopted a new pricing mechanism for waste-to-energy and biomass power plants (MOIT, 2024^[157]). The new transitional and permanent pricing mechanisms are based on tariff ranges defined by EVN (MOIT, 2022^[155]; MOIT, 2023^[156]; MOIT, 2024^[157]). Only small hydropower plants continue to benefit from the in 2008 introduced avoided-cost tariffs (OECD, 2021^[15]).

Viet Nam's FiTs have been an important tool to kick off the solar and wind markets but have been less successful in supporting investment in other renewable technologies. Fuelled by a relatively high FiT, between 2017, when the solar FiT was introduced until 2020, when it expired, 16.7 GW of solar PV capacity (the equivalent of 20.2% of installed capacity for electricity generation) were connected to the grid in Viet Nam. 4 GW (4.8% of installed capacity for electricity generation) of onshore wind capacity was installed between 2011 and 2021 (IRENA, 2024^[19]). FiTs supported rapid investment in solar power and to a lesser extent onshore wind power, by providing investors with stable profits and guarantees. Viet Nam does, however, not have any offshore wind parks yet. Similarly, since the introduction of a biomass FiT in 2014, no investments in biomass power plants have been realised despite opportunities for biomass development, especially in the sugar industry (OECD, 2021^[15]; Nguyen, 2024^[158]; Van, 2022^[159]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). This reflects too low wind and biomass FiTs to cover the cost of investment and operation of these technologies and to offer investors sufficient risk-adjusted returns. Even though the in 2011 introduced wind FiTs were raised in 2018, the short timeline until their expiry date in November 2021 rendered the implementation of new projects difficult (OECD, 2021^[15]; Nguyen, 2024^[158]; Van, 2022^[159]).

Frequently changing renewable support policies have caused uncertainty for investors and reduced investor confidence. Solar and wind FiTs were frequently adjusted and eventually fully phased out with often limited advance notice for investors. The implementation of a new competitive auction mechanism, which has been announced for several years, has been substantially delayed and has lacked clarity (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; VBF/The Asia Foundation/GEAPP, Forthcoming^[18]; Vu, 2024^[160]; Nguyen, 2023^[115]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). These frequent changes have reduced investor confidence as policy stability is particularly important for investors in the renewable energy sector due to the long payback periods for renewable energy investments and large amount of capital resources required. As projects often take many years to become profitable, long-term policy stability and commitment that the project can be implemented and operated effectively is essential for renewable energy investors (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). Frequent changes have furthermore resulted in numerous different legal documents regulating the licensing and support mechanisms for different types of renewable energies separately. This complex legal framework has created additional uncertainty and costs for investors (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]).

Figure 6.13. Viet Nam's renewable support mechanisms have been adjusted frequently since their introduction

Evolution of FiTs for renewable energies in Viet Nam



Source: OECD elaboration based on MOIT (2023^[156]; 2022^[155]; 2024^[157]; 2023^[161]; 2023^[90]); ; OECD (2021^[15]); and MOIT (2024^[94]).

Generous combined with gaps in the regulatory framework did not always incentivise the prioritisation of the most suitable projects from a cost-benefit perspective. Solar and, to a lesser extent, onshore wind FiTs in Viet Nam prior to their 2021 expiry were significantly higher than developers' investment and operating costs, providing a substantial public subsidy. This created risks that some projects could benefit from support mechanisms without fully meeting legal and regulatory requirements, including projects developed on agricultural and forestry land (Hiep, 2024^[162]; VBF/The Asia Foundation/GEAPP, Forthcoming^[89]). Reports also indicate that some investors without a strong track record in the energy sector were able to benefit from FiTs. These implementation challenges may have contributed to a sub-optimal distribution of investment, with projects offering the strongest returns and cost-benefit ratios not always being prioritised.

The new pricing mechanisms expose renewable developers to more risks, while less generous tariffs may better align support levels with project costs and system needs. Price ranges are provided in VND and are no longer indexed to the VND/USD exchange rate, as was the case for the previous solar and wind FiTs, which expired in 2021. Furthermore, the new permanent pricing mechanism for solar and wind power projects no longer guarantees FiTs for the full length of PPAs but adjusts FiT ranges on an annual basis (MOIT, 2023^[156]; MOIT, 2024^[157]). Transitional solar and wind FiT ranges are significantly lower than FiTs provided under the previous pricing mechanism (MOIT, 2023^[161]; Barnes, 2023^[163]). The length of PPAs is also no longer fixed to 20 years (MOIT, 2023^[161]; MOIT, 2022^[155]; MOIT, 2023^[90]; MOIT, 2024^[157]). These changes make project profitability less predictable for developers and leave them exposed to exchange rate fluctuation risks, especially those with foreign currency loans (Cooper and Nguyen, 2024^[164]; Huld, 2023^[165]). Yet, on the other hand, the adjustments also reduce the risk of excessive returns and can

help better align support levels with project costs and system needs (MOIT, 2023^[166]; Cooper and Nguyen, 2024^[164]; Huld, 2023^[165]; MOIT, 2024^[157]).

Despite recent reforms, incentives for selling renewable electricity could be strengthened. Price ranges are administratively set and not fully cost-reflective, while low retail tariffs, curtailment risk and the absence of capacity or ancillary service payments reduce revenue certainty. Grid congestion and quotas – such as the 20% cap for rooftop systems – further constrain sales. These market features limit bankability for developers and slow private investment.

Given the limitations of the FiT mechanism, Viet Nam is currently in the process of replacing FiTs with competitive renewable auctions. Competitive bidding could result in lower electricity prices to be paid to IPPs, reduce costs, improve transparency and enhance efficiency in renewable investments. The new electricity law introduces competitive bidding for power projects within the scope of the PDP VIII with interest from two or more investors with a few exceptions, including DPPAs. The law provides basic rules and regulations for competitive bidding for power projects (National Assembly, 2024^[68]). An in 2024 adopted government decree on the implementation of the Law on Bidding (Government of Viet Nam, 2024^[166]) and a MOIT circular on bid evaluation criteria and documents for investor selection in competitive bidding processes in the energy sector (MOIT, 2024^[167]) provide further details on the rules and regulations governing the bidding process. To avoid uncertainty for investors, it will be important to shift to competitive bidding for renewable energy projects gradually and to avoid abrupt changes to policy and support mechanisms as it has been the case in the past (OECD, 2021^[15]). At present, there is still uncertainty among investors about the design of the future auction mechanism (EuroCham Viet Nam, 2024^[65]). To create the right framework conditions for competitive tendering, it would also be beneficial to further increase competition in the wholesale electricity market and to improve the availability of data and information on renewable potential and grid infrastructure (VBF/The Asia Foundation/GEAPP, Forthcoming^[18]).

Net metering

To reach the PDP VIII's ambitious target for rooftop solar, Viet Nam introduced a new net metering scheme in 2024. This new scheme will replace the at the end of 2020 expired FiTs for rooftop solar and provides a legal and regulatory system for on- and off-grid rooftop solar systems for self-consumption. Viet Nam's PDP VIII targets a total rooftop solar capacity of 2 600 MW by 2030, with 50% of all office buildings and residential houses to be equipped with rooftop solar systems (Prime Minister, 2023^[25]). The in 2024 adopted implementation plan allocates this capacity between different provinces and municipalities (Prime Minister of Viet Nam, 2024^[60]). This strategy targeting a large amount of rooftop rather than utility-scale grid-connected solar could allow for expanding solar power and meeting increases in demand for electricity without significant additional investment needs in balancing sources and grid infrastructure.

Viet Nam's new net metering scheme for rooftop solar allows for two models of self-produced and self-consumed rooftop solar systems: systems that are connected to the national grid (on-grid) and systems that are not connected to the national grid (off-grid). Off-grid systems, which do not feed electricity into the national grid, do not face any capacity limits. On-grid systems, on the other hand, cannot exceed a generating capacity of 100 kW or equal to the total installed capacity of the existing load. They can sell the surplus power of up to 20% of their installed capacity to EVN at a price equalling the preceding year's average market price (Government of Viet Nam, 2024^[168]; Baker McKenzie, 2024^[169]; Frasers Law Company, 2024^[170]; Watson Farley & Williams, 2024^[171]).

Large on-grid rooftop solar systems are subject to additional administrative procedures. They have to sign five-year PPAs with EVN when they start generating electricity. On-grid systems with a capacity above 100 kW are furthermore required to install special devices for controlling and monitoring electricity generation, which are connected to EVN's system, and to be covered by a province's and municipality's quota for roof-top solar as defined in the PDP VIII's implementation plan. On-grid systems with a capacity

of 1 000 kW or more require an electricity operating license and a power development certificate and are subject to carry out procedures for power planning. Off-grid systems and on-grid systems with an installed capacity below 1 000 kW are subject to the notification of relevant authorities. Roof-top solar consumer-producers are entitled to tax incentives for renewable energies (Government of Viet Nam, 2024^[168]; Baker McKenzie, 2024^[169]; Frasers Law Company, 2024^[170]; Watson Farley & Williams, 2024^[171]).

Problems with the new net-metering scheme include unclear responsibilities between central and local authorities, inconsistencies with power planning, uncertainty related to leasing models and implementation challenges related to the 20% limit. Responsibilities between provincial and central authorities for ensuring that large on-grid systems respect provincial and municipal quotas defined in the PDP VIII's implementation plan are unclear and this process is further complicated by the small size of rooftop systems, which are not accounted for in municipal and provincial power plans. Furthermore, the exclusion of off-grid systems and on-grid systems with a capacity of less than 100 kW from power planning could result in capacity additions significantly beyond the PDP VIII's 2 600 MW target for 2030 and municipal and provincial plans' targets if many households decide to install such systems. Such additions could contribute to electricity oversupply, grid overload and curtailment. The implementation and monitoring of the 20% cap on electricity, which can be fed into the national grid, is not clear either (Recessary, 2024^[172]; Investment Newspaper, 2024^[173]). Finally, it is not entirely clear whether the new support scheme allows for leasing or financial leasing of rooftop solar systems (VBF/The Asia Foundation/GEAPP, Forthcoming^[89]).

6.4.6. Public infrastructure supporting green investment

Integrating variable solar and wind capacity into Viet Nam's electricity mix requires enhancing the flexibility of its power system and expanding and upgrading grid infrastructure. Storage capacity, flexible generation capacity, regional interconnections and demand-response management can balance fluctuations in the electricity supply from solar and wind power. A sufficiently developed electricity grid allows for transporting electricity to those locations, where demand is concentrated. In Viet Nam, in the absence of such balancing resources and an insufficiently developed electricity grid, the rapid expansion of intermittent renewables has caused an oversupply of electricity and congestion in the transmission system since the beginning of 2020. This oversupply has led to strategic curtailment of electricity generators, including solar and wind power plants, reducing developers' revenues, impacting their ability to repay debt obligations and causing financial losses in some cases (OECD, 2021^[15]; Ketelsen et al., 2023^[20]; GIZ ESP, 2024^[174]; Daiss, 2022^[175]; ITA, 2024^[16]; VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). This challenge is partly the result of a concentration of solar power plants in the South of Viet Nam while demand growth is occurring largely in the industrialised Northern region. In the absence of adequate grid infrastructure, excess electricity cannot be transferred from the Southern to the Northern part of Viet Nam (Ketelsen et al., 2023^[20]). Curtailment can damage investor and lender confidence, thereby reducing access to finance and investment and increasing financing costs.

Viet Nam has taken initial steps to enhance system flexibility through flexible gas-fired power plants and demand-response management. As discussed above, in its PDP VIII, Viet Nam plans to significantly expand natural-gas fired electricity generation. Modern, quickly dispatchable natural gas-fired power plants could help balance intermittent renewables and are less polluting than coal-fired plants. The PDP VIII also aims to promote economical and efficient energy use and increase demand-response management through smart grid development. In 2012, Viet Nam adopted a Smart Grid Development Roadmap, which sets timelines for different measures to automate grid operation (Prime Minister of Viet Nam, 2012^[176]) and an implementing decision by the MOIT in 2016 defined more specific measures and targets (MOIT, 2016^[177]). In 2019, Viet Nam also adopted a demand response roadmap, which defines targets and measures to improve demand response management in Viet Nam (MOIT, 2019^[178]).

Viet Nam has initiated the automation of its power grid and started upgrading grid infrastructure. The country has deployed Supervisory Control and Data Acquisition (SCADA) systems for remote and on-site control, monitoring and analysis in all power stations and high-voltage substations of 110 kV and above, and started automating the operation of high-voltage substations. Viet Nam has also started rolling out electronic meters and remote meter-reading and data collection systems. Going forward, it will be important to use all functionalities of SCADA systems, solve technical problems, roll out electronic meters more widely, start deploying smart meters and implement commercial demand-response programmes (IES/EWEC, 2023^[179]). EVN-NPTC has already made progress in expanding and upgrading the country's transmission grid, notably through the construction of a 500 kV transmission line to improve regional interconnectivity (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]).

Enhanced regional interconnection and electricity trade could render Viet Nam's electricity system more flexible. Interconnection can allow Viet Nam to export excess electricity from renewable energies during periods of oversupply and to import electricity when it is experiencing electricity shortages. Currently, only a limited number of cross-border transmission lines connect Viet Nam's electricity grid with Lao PDR, Cambodia and China. Some of them are dedicated to the import of electricity from specific plants in neighbouring countries such as several hydropower plants in Lao PDR (OECD, 2021^[15]). Viet Nam is planning additional interconnectors with Lao PDR and Cambodia (EVN, 2021^[180]). Viet Nam is also part of the regional initiatives for power market integration ASEAN Power Grid (APG), which aims to connect the energy markets of the ASEAN's 10 members, and Greater Mekong Subregion (GMS) programme, a joint initiative with Cambodia, China, Lao PDR, Myanmar and China. These initiatives are, however, both still in the early stages. Further advancing them and improving regional interconnection requires harmonising technical and regulatory standards and operating procedures, developing national and subsequently regional power markets and agreeing on data and information sharing and on joint operation of interconnectors (OECD, 2021^[15]).

Battery storage could enhance power system flexibility. Viet Nam's PDP VIII targets 300 MW of battery storage by 2030 (Prime Minister, 2023^[25]). Viet Nam's legal basis for battery energy storage systems is developing, while implementation rules, market arrangements and revenue models may require further clarification to support private investment at scale (EuroCham Viet Nam, 2024^[65]). Furthermore, Viet Nam's 2030 target for battery storage remains low, amounting to only 0.4% of the installed capacity for electricity generation. Other countries such as Uzbekistan have made the integration of battery storage systems into newly built utility-scale solar and wind power plants mandatory (OECD, Forthcoming^[181]).

Private investment in Viet Nam's transmission grid infrastructure and balancing sources such as flexible natural-gas fired generation capacity and electricity storage could allow to finance significant investment needs. The PDP VIII forecasts investment needs in grid infrastructure of USD 14.9 billion by 2030 (USD 1.5 billion annually) and USD 34.8 – 28.6 billion between 2031 and 2050 (USD 1.7 – 1.9 billion annually) (Prime Minister, 2023^[25]). This compares to current annual investment by EVN-NPTC of USD 0.5-0.8 billion (EuroCham Viet Nam, 2024^[65]). Viet Nam is planning to overcome this financing gap through the facilitation of private investment in transmission grid infrastructure (Daiss, 2022^[175]). Viet Nam's amended PPP law encourages PPPs in transmission line and substation development (ITA, 2024^[16]). The recently amended electricity law allows for private investment in transmission infrastructure (Ketelsen et al., 2023^[20]; EuroCham Viet Nam, 2024^[65]). Facilitating private investment in grid infrastructure, requires, however, further improving and completing the regulatory framework.

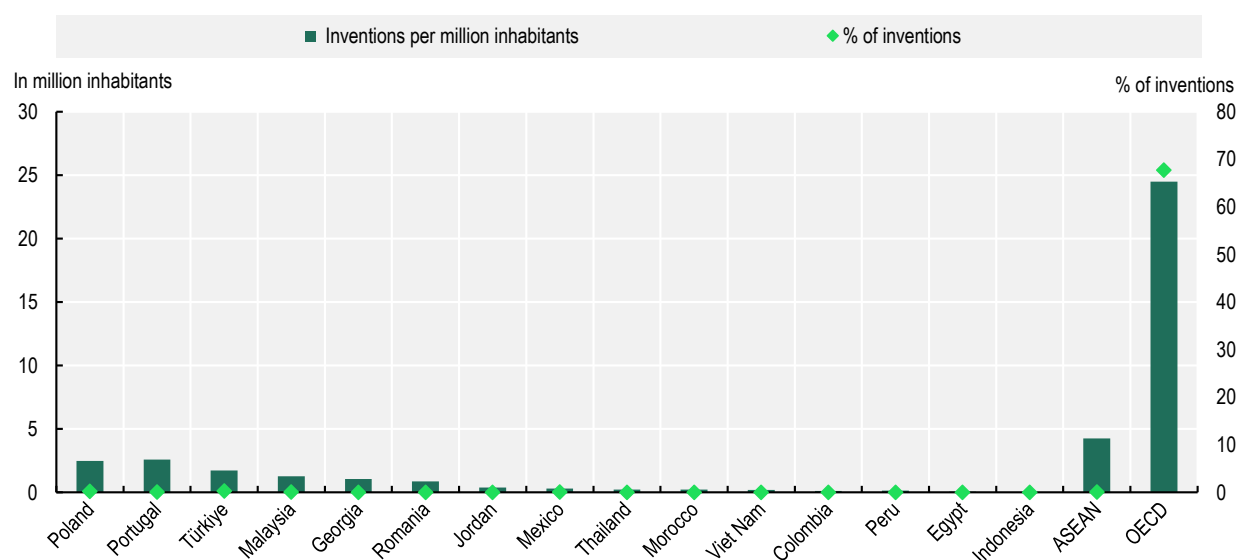
6.4.7. Green innovation and skills

Low-carbon innovation

Low-carbon and environment-related R&D remains moderate in Viet Nam in line with R&D in general. Inventions of environment-related technologies increased from about 0.03 per million inhabitants in 2010 to around 0.2 per million in 2021, but this remains low compared with the OECD average of about 24.5 per million on average (Figure 6.14). This is in line with Viet Nam's overall moderate performance in R&D: in 2021, there were only 779 researchers in R&D per million people compared to 4 079 in the OECD (in 2020) and R&D expenditure amounted to only 0.43% of GDP compared to 3% in OECD members on average. Likewise, there were only 7.2 patent applications by residents and non-residents per billion USD of PPP GDP in Viet Nam in 2021 compared to 20.2 in OECD countries on average (World Bank, 2024^[10]).

Figure 6.14. Green inventions remain moderate in Viet Nam in international comparison

Environment-related technologies patents per person (millions) and inventions (% of total inventions), 2021



Source: OECD based on OECD (2024^[182]), OECD Patent Statistics (Patents - Indicators), <https://data-explorer.oecd.org>.

Environment-related innovation in Viet Nam is concentrated in the energy sector: in 2021, 37.4% of environment-related technology inventions were climate change mitigation technologies in energy generation, transmission and distribution followed by 29.% environmental management technologies and 18.2% climate mitigation technologies related to buildings (OECD, 2024^[182]). In the energy sector, significant potential for clean energy innovation exists in offshore wind, given unique challenges in Viet Nam in terms of tropical storms, and in biomass, where potential exists to use agricultural feedstocks such as rice husk, rice straw, coconut pith, sugar cane bagasse and coffee waste from rural communities (OECD, 2021^[15]).

Viet Nam's moderate performance in innovation in general and in low-carbon innovation in particular can be attributed to the institutional and policy framework for innovation, a focus on technology generation and lower innovation capacity. Multiple public institutions are involved in innovation policymaking but implementation and co-ordination amongst these institutions and with the private sector is limited (World Bank, 2021^[183]; VISTI/NESTA, 2020^[184]). This holds also true in the renewable energy sector where collaboration between private companies and universities and other

research institutions is not common (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). Innovation policies are too narrowly focused on tax incentives and grants and too few programmes, which promote spillovers and linkages between local suppliers and MNEs, exist. Furthermore, existing programmes focus too much on large firms. Viet Nam's policies are also biased towards support for the invention of new technologies at the expense of adoption and diffusion of existing technologies from abroad and among a wider pool of firms (World Bank, 2021^[183]; VISTI/NESTA, 2020^[184]). Green skills mismatches and shortages (see section in green skills) and shortcomings in education result furthermore in a lower innovation capacity.

Viet Nam could support green innovation through targeted start-up accelerators, incubators or innovation centres for green technologies, renewable energy and energy efficiency. Several initiatives already exist in Viet Nam, often supported or developed by international donors. This includes the Green Technology Incubator by the German-funded Digital Transformation Centre Project, implemented by GIZ and Viet Nam's National Innovation Centre (Fourdozen, 2024^[185]; Viet Nam News, 2023^[186]), the Acceleration Program for Innovative Startups in the field of Energy Efficiency (AIS4EE) funded by the European Union and the Global Green Growth Institute (GGGI) and implemented in collaboration with MOIT (VNEEP, 2024^[187]; AIS4EE, 2024^[188]; EVSET Facility, 2024^[189]; GGGI, 2024^[190]) and the World Bank-funded Vietnam Climate Innovation Centre (World Bank, 2024^[191]; Australian Government, 2019^[192]). Driven by demand from international investors, an increasing number of local green startups specialising in products and services such as environmental-friendly packaging are also developing. Green accelerators and incubators can play an important role in supporting private enterprises in green innovation. Going forward, it could be beneficial strengthen the role of universities and research institutions in such initiatives to foster more collaboration between them and private companies.

Measures to strengthen MSMEs' absorptive capacities could facilitate more green innovation. Absorptive capacity is defined as the ability of the firm to acquire, assimilate and exploit the available information, knowledge and technology that comes through interaction with other firms. Governments can strengthen MSMEs' absorptive capacities by implementing targeted measures that support the development of strategic assets and resources at the firm level (e.g. access to skills, finance, innovation and digitalisation, etc.). Such measures often involve financial support and technical assistance but also training and guidance on the skills, managerial and organisational changes that are required to strengthen firm productivity and innovation. Measures that facilitate access to qualified human capital can strengthen firms' capabilities in areas that require highly specialised expertise and skillsets such as those involving the use of innovative production processes, automation and digitalisation. Managerial skill development programmes in the form of seminars, workshops and individual consultations and improved access to finance can also enhance firms' absorptive capacities (OECD, 2022^[28]). Improved absorptive capacities can facilitate both, the adoption of new technologies among firms and the development of new processes and products.

Intellectual property protection is crucial for facilitating low-carbon innovation and investment. Intellectual property rights (IPRs) create strong incentives for innovation as they ensure that investors earn a fair return on their technological innovations. IPRs can be used to generate revenues from licences, encourage synergistic partnerships, or create a market advantage and be the basis for productive activities. They are especially important for the development of low-carbon technologies, which are both research- and capital-intensive (OECD, 2022^[28]).

Viet Nam has a legal and regulatory framework for intellectual property rights in line with international standards and is a signatory to international agreements on intellectual property rights. Viet Nam's 2005 Intellectual Property law, amended in 2009, provides the legal framework for intellectual property protection in Viet Nam (National Assembly, 2009^[193]). In 2019, Viet Nam adopted a National Strategy on Intellectual Property with a Vision to 2030 (Prime Minister of Viet Nam, n.d.^[194]). Viet Nam is a signatory of important intellectual property agreement such as the Paris Convention for the Protection of Industrial Property, the WTO Trade-Related Aspects of Intellectual Property Rights (WTO

TRIPS) Agreement, the World Intellectual Property Organization, the Patent Cooperation Treaty, the Madrid Protocol and The Hague Agreement concerning the International Deposit of Industrial Designs (OECD, 2021^[15]).

The enforcement of intellectual property protection could be further improved in Viet Nam. Challenges exist in the enforcement and implementation of intellectual property laws and regulations in Viet Nam (ITA, 2024^[195]; OECD, 2021^[15]). In 2024, Viet Nam ranked 85 out of 125 countries on the International Property Rights Index. It was performing worst in judicial independence and copyright protection (Property Rights Alliance, 2024^[196]). Viet Nam has further been listed on the Watch List in the United States Trade Representative's Special 301 Report for over a decade (Office of the United States Trade Representative, 2024^[197]; ITA, 2024^[195]).

Planned measures could also strengthen the domestic ecosystem for green technology adoption. MOST has proposed to establish Vietnamese organisations capable of providing internationally recognised green certification and to train specialised experts and intermediaries to facilitate green technology transfer. Building such certification capacity and a pool of technology-transfer specialists would help local firms meet global sustainability standards, adopt advanced low-carbon technologies, and better integrate into international green value chains.

Green skills

Skills shortages are an important challenge for green investors in sectors such as renewable energies or green agriculture in Viet Nam. In the case of renewable energies, the solar and wind sectors' rapid expansion since 2017 has led to significant shortages in skilled workers. Wind and solar power plants have to rely largely on specialised technicians from abroad or Vietnamese nationals, who have been trained abroad in renewable energies. They face difficulties in recruiting engineers, renewable energy project managers and specialised technicians locally, especially, with a good level of English and solid project management and soft skills such as teamworking. Without adequate skills development policies, Viet Nam's ambitious renewable energy targets can be expected to further exacerbate existing skills shortages (Hien, 2021^[198]). Other green sectors such as green agriculture face difficulties in hiring skilled workers as well (Do, 2023^[199]).

Viet Nam has started introducing courses related to renewable energy at both tertiary education institutions and the TVET level. Approximately 20 universities offer courses related to renewable energy, including Hanoi University of Science and Technology, University of Electricity and Ho Chi Minh City University of Technology. Most researchers teaching these courses have been well-trained abroad (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]; Hien, 2021^[198]; An, 2024^[200]). In parallel, vocational training for wind and solar technologies is being developed through public–private partnerships, including industry-led TVET programmes supported by international partners (GIZ, 2025^[2]). A notable example is the GIZ-supported development partnership establishing vocational training centres for wind and solar energy, which has trained instructors and technicians across multiple provinces (GIZ, 2025^[2]). Despite these initiatives, most programmes remain recent and the number of trained technicians remains insufficient to meet rapidly growing demand (Hien, 2021^[198]). Several development partners are working with Viet Nam to expand and improve education and training programmes in renewable energies and other green technologies, for example, the Agence Française de Développement (AFD), United Nations Industrial Development Organization (UNIDO), the Swiss State Secretariat for Economic Affairs (SECO), the United Nations Environment Programme (UNEP) and the Deutsche Gesellschaft für Technische Zusammenarbeit (GIZ) (OECD, 2021^[15]).

The development of green skills figures amongst the objectives of Viet Nam's Green Growth Strategy and action plan (Prime Minister, 2021^[56]). The plan includes integrating green growth into curricula at all education levels, investing in training infrastructure in schools and vocational institutions, and strengthening co-operation with the private sector and internationally on green skills. It also calls for

measuring green jobs, forecasting demand and supply, and building a national labour market information system (Prime Minister, 2022^[57]). Going forward, preparing a dedicated green skills development strategy could provide clearer guidance for policy and investment (OECD, 2021^[15]).

It will also be important to foster more collaborations between higher education institutions in Viet Nam and private investors, especially foreign companies, in renewable energies and other green industries (VBF/The Asia Foundation/GEAPP, Forthcoming^[17]). Some collaborations exist already: for example, Hanoi University of Science and Technology is collaborating with EVN and foreign investors from Japan on training related to renewable energies (An, 2024^[200]). The agricultural company Greenfeed Vietnam reports collaborating with more than 40 universities and colleges through the award of scholarships, scientific research activities and internship opportunities to meet its human resource needs (Do, 2023^[199]). Going forward, Viet Nam could establish a dedicated council or committee to regularly engage business associations, employers and businesses, trade unions and non-governmental organisations, educational institutions and government institutions and to foster more collaboration between stakeholders in the development of green skills (OECD, 2019^[201]).

More in-house training by private investors could support the development of sufficient green skills in Viet Nam. Dedicated tax incentives for training in green skills such as tax allowances or credits for training and education expenses could incentivise more in-house training and skills development by green investors.

To better align its education system and in particular TVET education with the private sector's needs, Viet Nam requires information on those green skills that are available or lacking in the labour market. Individuals and firms alike require this information to make decisions about which skills to develop. Governments need this information to design relevant education and training policies and programmes. An effective skills assessment and anticipation (SAA) system could identify the types of green occupations, qualifications and fields of study in demand in the labour market, or that may become so in the future. Such systems should use both quantitative and qualitative methods, as well as both short- to medium-term and longer-term evaluations to allow for robust analysis (OECD, 2019^[201]). The objective of developing a national labour market information system in the action plan for Viet Nam's Green Growth Strategy is a first step in the direction of the development of such a system.

6.4.8. Responsible business conduct

Responsible business conduct (RBC) and voluntary compliance promotion instruments can facilitate more environment- and climate friendly business practices. OECD's Guidelines for Multinational Enterprises on Responsible Business Conduct recommend that businesses take due account of the need to protect the environment, including improving environmental performance and addressing any adverse environmental impacts in their own operations and supply chains, within the framework of laws, regulations and administrative practices in the countries, in which they operate. In particular, Chapter 6 of the Guidelines on "Environment" addresses aspects such as environmental management systems, continual improvement of corporate environmental performance, training of workers on environmental matters, and raising environmental awareness (OECD, 2023^[73]).

Awareness of RBC is not yet widespread in Viet Nam but is increasing, driven in part by foreign investors' higher RBC standards and spillovers to local firms. Evidence from business surveys, investor reporting and stakeholder consultations suggests that large foreign investors – particularly from European countries – tend to perform more strongly in green RBC practices. These practices include environmental and climate reporting, the use of renewable energy and electric vehicles, and the adoption of recycling and circular-economy initiatives, thereby creating opportunities for supply-chain spillovers to domestic companies. Foreign companies' demand for green products and services, such as sustainable packaging from local suppliers, has supported the emergence of local industries in these areas and

contributed to green innovation by domestic firms (PWC, 2022^[202]; EuroCham Viet Nam, 2024^[65]; OECD, 2018^[76]).

Despite these firm-level improvements, particularly among foreign-invested enterprises, the implementation and enforcement of green RBC and environmental protection regulations remain a challenge at the system level in Viet Nam. Environmental damage and pollution by investors persist due to weaknesses in monitoring, enforcement and compliance with laws and regulations (OECD, 2018^[67]). Reflecting these challenges, Viet Nam ranked last (180th of 180 countries) on Yale University's 2024 Environmental Performance Index, which assesses countries' performance and policies in the areas of climate change, environmental health and ecosystem vitality (Yale Centre for Environmental Law and Policy, 2024^[195]). Environmental risks are likely to intensify as Viet Nam moves up the value-added chain towards more sophisticated high-tech and electronics manufacturing, where risks related to industrial and hazardous waste, including electronic and chemical waste, can be pronounced (OECD, 2018^[76]).

The EU–Viet Nam Free Trade Agreement (EU-VFTA) provides an important contextual anchor for responsible business conduct in Viet Nam, as it explicitly references sustainable development and responsible business practices. By deepening trade and investment links, the agreement also increases exposure of foreign investors, exporters and local suppliers to EU disclosure and RBC-related expectations. In addition, the EU's Corporate Sustainability Reporting Directive (CSRD), adopted in 2022, places reporting obligations on large companies with operations in the EU, which may indirectly influence corporate practices in Viet Nam through parent-company and supply-chain requirements (Nam et al., 2024^[203]). Separately, the EU's Carbon Border Adjustment Mechanism (CBAM) affects Vietnamese exporters in carbon-intensive sectors by introducing emissions reporting and, over time, carbon pricing requirements. While CBAM is not a responsible business conduct instrument, it may indirectly incentivise improved emissions measurement and carbon management among affected firms (Slaughter and May, 2025^[204]).

Viet Nam published the National Action Plan (NAP) for Law and Policy Improvement to Promote Responsible Business Practices in Viet Nam, which contains provisions on green RBC, in July 2023. The NAP's overall objectives aim at enhancing “the positive impacts and minimise the negative ones of economic and business development activities on society and the environment”. The NAP's specific actions include reviewing and improving legislation on natural resources and environment to promote responsible business practices, including Viet Nam's Law on handling of administrative violations in the fields of investment, labour, environmental protection, protection of vulnerable groups, and consumer protection. They also include the development of complaint mechanisms to report negative impacts of businesses on the environment at government institutions such as hotlines, mailboxes or fora for dialogue as well as the collection of data on complaints from these mechanisms (Prime Minister of Viet Nam, 2023^[205]).

The development of Viet Nam's National Action Plan (NAP) on Responsible Business Conduct included stakeholder consultations, involving representatives from the public and private sectors, state-owned enterprises, international partners, trade unions, civil society organisations and vulnerable groups. The process was supported by development partners, including the United Nations Development Programme (UNDP), and featured consultations and workshops, as well as a period for public comments via the Ministry of Justice's website in February 2023 (DIHR, 2023^[206]). From a policy design perspective, a longer and more transparent consultation period, with clearer communication on how stakeholder inputs are reflected in final policy documents, could have further strengthened the quality, inclusiveness and credibility of the NAP. International experience suggests that extended consultation timelines and systematic feedback mechanisms can enhance stakeholder ownership and support effective implementation of RBC frameworks. In addition, while earlier assessments of Viet Nam's regulatory framework for responsible business conduct have been made publicly available, the publication of subsequent analytical updates could further support transparency and informed policy dialogue.

In 2022, Viet Nam adopted the 2022-2025 Programme to support private enterprises in sustainable business, which includes objectives for RBC. It aims at “sustainably developing private sector enterprises, ensuring close, reasonable and harmonious co-ordination between economic efficiency and social responsibility, protection of resources and environment, contributing to the attainment of 17 sustainable development goals of Viet Nam by 2030” and at developing an environment supporting businesses which contribute to “the creation of jobs, the improvement of living standards of low-income earners and disadvantaged people, the environmental protection and response to climate change in Vietnam”. The programme’s specific objectives and activities include awareness rising and the provision of information on sustainable business among private companies and public sector officials (Prime Minister of Viet Nam, 2022^[207]).

Environment entities to make environment and climate-related financial disclosures can help mobilise green investment and provide companies with incentives to reduce their carbon footprint and environmental impact. Effective, clear, and consistent environment- and climate-related disclosures can reveal how companies are preparing for a lower-carbon economy and how they are dealing with pollution and other environmental risks and thus supports investors to better assess financial exposure to climate-related risks. Such disclosures can improve the accuracy of ESG investment ratings and ultimately facilitate investments into lower carbon assets. The Task Force on Climate-related Financial Disclosure (TCFD) provides recommendations to companies on TCFD, which include the disclosure of information on the governance, strategy, management and targets around climate-related risks. Environmental regulations on reporting requirements are also increasingly used to address the cross-border environmental footprint of multinationals (OECD, 2022^[28]).

The disclosure of environmental information is mandatory for public and listed companies and SOEs in Viet Nam. Circular No. 96/2020/TT-BTC (2020) makes the annual disclosure of environmental and social impacts mandatory for public companies, listed organisations, security companies and companies with publicly offered or listed bonds. Companies must disclose total direct and indirect greenhouse gas (GHG) emissions, measures and initiatives to reduce GHG emissions, the total amount of raw materials used for the manufacture and packaging of the products and services during the year, the share of recycled materials used to produce products and services, direct and indirect energy consumption, energy savings initiatives, the amount of water used, share of reused water, the number of times being fined for failing to comply with laws and regulations on the environment and the total amount of such fines, green capital market activities (MOF, 2020^[208]; EuroCham, 2024^[209]; Keslio, 2024^[210]). Viet Nam’s State Securities Commission (SSC) published in co-operation with the IFC the Sustainability Reporting Handbook for Vietnamese Companies (2013) (SSC/IFC, 2013^[211]) and GHG Emissions Reporting Guidebook (2023) (SSC/IFC, 2023^[212]; SSC, 2023^[213]) to support companies in their ESG disclosure. Decree 47/2021/ND-CP makes the disclosure of information on environmental protection mandatory for state-owned enterprises (SOEs) in Viet Nam (Government of Viet Nam, 2021^[214]; Slaughter and May, 2025^[204]).

Survey evidence suggests that ESG adoption is progressing among firms in Viet Nam, though with differing areas of emphasis. Around 44% of companies report having made ESG commitments and a further 36% plan to do so within the next two to four years. ESG commitments are more prevalent among foreign-invested companies (57%) than among Vietnamese listed (35%) and non-listed firms (40%), reflecting the influence of parent-company policies, home-country reporting requirements and reputational considerations (PWC, 2022^[202]). Across firms, governance is most frequently identified as the primary focus of ESG strategies, cited by 62% of companies, while environmental considerations are prioritised by 22%. This pattern is consistent with international experience, where governance reforms often represent an entry point for broader ESG integration, with environmental and social dimensions gaining prominence as reporting frameworks, regulatory requirements and investor expectations evolve (PWC, 2022^[202]).

Challenges remain in the implementation of environmental reporting. A main issue with Circular No. 96/2020/TT-BTC is the absence of clear standards on how to report, leading to confusion and inconsistent

disclosure quality. Many firms also struggle to collect and process the required data. Reporting could be strengthened by adopting a green taxonomy and aligning with international standards such as the European Sustainability Reporting Standards and the Task Force on Climate-Related Financial Disclosures standards, alongside mandatory validation or audits. Disclosure could also extend to biodiversity and waste generation, already covered in other regions such as Singapore and the European Union (EuroCham, 2024^[209]). Looking ahead, public access to emissions and environmental data is expected to improve as the newly formed MAE assumes disclosure responsibilities and releases more comprehensive, regularly updated inventories and related datasets.

Special reporting requirements exist for companies in special economic zones, industrial clusters and other dedicated areas for production. Viet Nam's Law on Environmental Protection includes a separate section on environmental protection during production, business operation and service provision. Investors in industrial clusters, special economic zones and other dedicated areas for production are required to comply with environmental inspection requirements, engage in environmental monitoring and prepare reports on environmental protection to be shared with competent authorities (National Assembly of Viet Nam, 2022^[69]; MOJ/Government of Sweden/UNDP, 2020^[215]). Large GHG emitting facilities in energy, transport, construction, industrial processes and agriculture, which are on the list of facilities to develop GHG inventories, have to monitor and report their GHG emissions to MAE on an annual basis and to develop GHG reduction plans (National Assembly of Viet Nam, 2022^[69]; Slaughter and May, 2025^[204]).

Higher fines for environmental offenses and more effective litigation by courts, better public participation and stronger support for communities affected by environmental offenses could strengthen the implementation of environmental regulations. Fines and other punishments for offenses in the area of environmental protection are not high and strong enough to deter environmentally harmful behaviour. Victims of environmental offenses frequently avoid litigation through the court system due to its perceived complexity, inefficiency and costs. Viet Nam furthermore lacks mechanisms to allow people and social organisations to raise concerns on the violation of environmental regulations and environmental pollution through their participation in the design and monitoring of investment projects. Communities affected by environmental pollution and damage lack support to monitor and report such violations (MOJ/Government of Sweden/UNDP, 2020^[215]).

Viet Nam introduced the legal concept of social enterprises in 2014; however, uptake remains limited relative to the overall enterprise population. Social enterprises are defined as enterprises with the objective of addressing social and environmental challenges in the public interest, which reinvest at least 51% of their annual profits for these purposes. While the legal framework enables social enterprises to receive donations and financial support from domestic and foreign individuals and organisations, their number remains small compared to the total number of registered firms, and their economic footprint is modest (National Assembly, 2022^[216]; MPI, 2024^[217]; OECD, 2018^[76]). This suggests that, despite a supportive legal basis, social enterprises have not yet become a widespread vehicle for delivering social and environmental objectives through private business activity.

Eco-labelling exists in Viet Nam since 2009 when the "Viet Nam Green Label" was introduced but awareness and use remain limited. MONRE (now MAE) is responsible for setting and promulgating criteria, granting certification and monitoring the use of Viet Nam Green Label. In 2014, MONRE issued detailed criteria for the eligibility of products for the Viet Nam Green Label. Eligible products include office paper, electronic devices, batteries, fluorescent lamps, biodegradable plastics and cosmetics. In 2018, 59 products had obtained the Viet Nam Green Label certification (MONRE, 2018^[218]; MONRE, 2009^[219]). In addition, in 2012, Viet Nam introduced criteria for environmentally friendly plastic bags such as biodegradability and limits on the presence of heavy metals. Plastic bags complying with these criteria are exempted from the country's environmental protection tax, which applies to environmentally harmful products, including plastic bags. As of 2018, 46 products from 41 companies had received certification as environmentally friendly plastic bags (MONRE, 2018^[218]; MONRE, 2012^[220]). However, limited public

awareness and market demand for ecolabelling products as well as interest by businesses have hindered the broader uptake of and demand for certification (MONRE, 2018^[218]).

In 2022, the Viet Nam Green Label was replaced with the Viet Nam Ecolabel for environmentally friendly products and services. As the Viet Nam Green Label is, Viet Nam Ecolabel is managed by MAE. Once obtained, Viet Nam Ecolabel certifications are valid for three years (Government of Viet Nam, 2022^[221]; TCHEM, 2025^[222]). In 2023, MONRE issued criteria for environmentally friendly plastic packaging, including biodegradability, the use of recycled materials and maximum limits for pollutants, which are more stringent than the previously applied criteria in the context of the Viet Nam Green Label (MONRE, 2023^[223]; TCHEM, 2025^[222]). In 2024, Viet Nam introduced a green label and inspection certificate for vehicles using clean, green energy and environmentally friendly fuel in the context of vehicle inspections (MOT, 2024^[224]; Huyen, 2024^[225]).

Viet Nam has started developing a regulatory framework for green public procurement (GPP), which is now being strengthened. The 2022 amended Law on Environmental Protection first defines GPP as the purchase of environmentally friendly products and services awarded the Viet Nam Ecolabel, giving them priority in state-funded projects, and its implementing Decree No. 08/2022/ND-CP on the law's implementation provides further details (National Assembly of Viet Nam, 2022^[69]). More recently, the revised Law on Public Procurement and Decree No. 24/2024/ND-CP allow contracting authorities to prioritise environmentally friendly goods and services. Eco-labelled and energy-labelled products now qualify for incentives, and environmental criteria can be built into bid specifications, price evaluations, and early planning and cost estimation. These updates could help create more predictable domestic demand for low-carbon goods and services, though further expansion beyond the Viet Nam Ecolabel and stronger implementation could make GPP more effective.

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Notes

¹ Members include the Minister of Natural Resources and Environment, the Minister-Chairman of the Office of Government, the Minister of Planning and Investment, the Minister of Finance, the Minister of Foreign Affairs, the Minister of Justice, the Minister of Industry and Trade, the Minister of Transport, the Minister of Agriculture and Rural Development, the Minister of Construction, the Minister of Information and Communications, Minister of Education and Training, Minister of Science and Technology, Minister of Labour, Invalids and Social Affairs, Minister of Health, the Governor of the State Bank of Viet Nam and the Chairman of the Commission for the Management of State Capital at Enterprises.

² Members include the Deputy Minister of Construction, the Deputy Minister of Planning and Investment, the Deputy Minister of Science and Technology, the Deputy Minister of Education and Training, the Deputy Minister of Transport, the Deputy Minister of Agriculture and Rural Development, the Deputy Minister of Labor, Invalids and Social Affairs, the Deputy Minister of Natural Resources and Environment, the Deputy Minister of Information and Communications, the Deputy Minister of Finance, the Vice Chairman of Viet Nam Energy Conservation and Energy Efficiency Association, the Deputy General Director of Électricité du Viet Nam and the Director General of the Energy Efficiency and Sustainable Development Department (Ministry of Industry and Trade).

³ European Union, the United Kingdom, the United States, Japan, Germany, France, Italy, Canada, Denmark and Norway

FDI Qualities Review of Viet Nam

Powering the Next Growth Phase

Foreign direct investment (FDI) is a cornerstone of Viet Nam's economic transformation, helping expand exports, build industries and create jobs. As the country enters a new stage of development, maintaining strong growth will depend less on the volume of investment and more on its quality – how much it increases productivity, transfers knowledge, supports Vietnamese firms and benefits workers. This report examines how FDI can power Viet Nam's next growth phase by boosting technology adoption, digital transformation, workforce skills, quality jobs, opportunities for women and the transition to a greener economy. It reviews how current investment policies work in practice, how different government agencies co-ordinate and how progress is tracked. The report identifies concrete reforms to attract investors that innovate, train local workers and partner with domestic suppliers – helping Vietnamese businesses move up the value chain and ensuring that investment delivers broader benefits across the economy.



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